RISK INSURED REST ASSURED

wapic

Transformational Leadership

Wapic Insurance Plc
Annual Report & Accounts 2015

Annual Report & Accounts Consolidated and Separate Financial Statements for the year ended 31 December 2015.

Together with Directors' and Auditor's Reports.

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About Us

Wapic Insurance Plc. ("Wapic" or "the Company") is a leading West African multi-line insurance company providing solutions covering life, general and special risks. Established in 1958 and listed on the Nigerian Stock Exchange since 1978, Wapic's mission is to transform into a diversified financial services institution, delivering value in a sustainable manner to her customers and stakeholders while playing a lead role in the transformation of the industry.

With headquarters in Lagos, Nigeria, Wapic is organized into two core business segments, General and Life Insurance. The Company has two wholly owned subsidiaries, Wapic Life Assurance Limited and Wapic Insurance (Ghana) Limited as well as an associated company, Coronation Merchant Bank Limited. Through a diverse portfolio of products and a commitment to providing the best customer experience possible, Wapic, with an AM Best Financial Strength rating of "B-" and an Issuer Credit rating of 'bb-", has significantly enhanced its underwriting capacity placing it among the top five insurance companies in Nigeria by solvency and capital.

RISK INSURED REST ASSURED

Welcome

Wapic has evolved over the years to be a leading underwriter. In line with our vision to transform and illuminate the insurance industry for the benefits of our customers and other stakeholders, Wapic has developed innovative products centered around our diverse customer needs.

As we continue our transformational journey to restore confidence in the insurance industry through prompt claims payment processes and a pleasant customer experience, we are committed to push beyond all boundaries in our service delivery.

Wapic is poised to deliver on its brand promise- Risk Insured Rest Assured which underpins everything we do. Our success is as a result of our commitment to conduct our business in an open, innovative and collaborative manner to advance the best interests of our stakeholders. Guided by our core values, Wapic is set to deliver the highest level of unbeatable service to meet the different challenges and opportunities presented by different generations of customers.

2015

Annual Report & Accounts

Overview

Business and Financial Highlights

Key Performance Indicators

Profit before tax (N'000)		% change
Wapic Group		2 747%
Wapic Company		477%
31 Dec 2015	1, 667 663	1 036 327
31 Dec 2014	58 573	-274828

Gross premium written (N'000)		% change
Wapic Group		36%
Wapic Company		30%
31 Dec 2015	7 , 100 713	5, 212 600
31 Dec 2014	5, 203 960	4, 015 687

Net Premium Income (N'000)		% change
Wapic Group		33%
Wapic Company		45%
31 Dec 2015	3, 911 499	2, 715 417
31 Dec 2014	2, 950 803	1, 868 901

Net claims expense (N'000)		% change
Wapic Group		64%
Wapic Company		81%
31 Dec 2015	1, 634 687	862 820
31 Dec 2014	997 570	477 978

Underwriting Profit (N'000)		% change
Wapic Group		12%
Wapic Company		42%
31 Dec 2015	1, 477 693	1, 194 177
31 Dec 2014	1, 315 838	838 441

Investment Income (N'000)		% change
Wapic Group		-5%
Wapic Company		-22%
31 Dec 2015	1, 376 314	746 137
31 Dec 2014	1, 455 201	955 784

Operating expenses (N'000)		% change
Wapic Group		13%
Wapic Company		6%
31 Dec 2015	3, 468 245	2, 364 885
31 Dec 2014	3, 074 351	2, 235 984

Earnings per share (N'000)		% change
Wapic Group		400%
Wapic Company		1236%
31 Dec 2015	10	5
31 Dec 2014	2	-0,44

Business and Financial Highlights

Wapic Group

Total Assets (N'000)	7%
31 Dec 2015	23, 694,610
31 Dec 2014	22, 058,871

Total Liabilities (N'000)	11%
31 Dec 2015	8, 732,312
31 Dec 2014	7, 858,250

Gross Earnings (N'000)	42%
31 Dec 2015	10, 424,313
31 Dec 2014	7, 344,488

Wapic Company

Total Assets (N'000)	2%
31 Dec 2015	20, 163,859
31 Dec 2014	19, 815,164

Total Liabilities (N'000)	31%
31 Dec 2015	5, 590,177
31 Dec 2014	5, 424,087

Gross Earnings (N'000)	43%
31 Dec 2015	7, 771,482
31 Dec 2014	5, 425,180

Wapic Life

Total Assets (N'000)	12%
31 Dec 2015	5, 017,965
31 Dec 2014	4, 463, 180

Total Liabilities (N'000)	25%
31 Dec 2015	2, 464,425
31 Dec 2014	1, 970,494

Gross Earnings (N'000)	49%
31 Dec 2015	1, 729,698
31 Dec 2014	1, 160,468

Profit Before Tax (N'000)	-71%
31 Dec 2015	40,027
31 Dec 2014	139,783

Wapic Ghana

Total Assets (N'000)	58%
31 Dec 2015	1, 634,772
31 Dec 2014	1, 036,469

Total Liabilities (N'000)	27%
31 Dec 2015	708,033
31 Dec 2014	558,484

Gross Earnings (N'000)	22%
31 Dec 2015	923,133
31 Dec 2014	758,840

Profit Before Tax (N'000)	-174%
31 Dec 2015	-173,132
31 Dec 2014	234,149

2015

Annual Report & Accounts

AIGBOJE AIG-IMOUKHUEDE (CON)

Chairman's Statement

Dear Distinguished Shareholders',

It is with great pleasure that I present to you our Financial Statements for the year ended December 31, 2015. A year in which we made significant progress on the successful implementation of our transformation strategy.

For the second consecutive year, we recorded improved earnings well above the industry average across key indices. We also recorded exponential growth in our Profit Before Tax (PBT) and Profit After Tax (PAT) performance enablingthe Board to fulfil the commitment made to Shareholders at our 2014 Annual General Meeting and recommend a dividend payment for approval at this meeting.

Global Economic Environment

The year 2015 recorded declining global output growth, with both advanced and emerging economies suffering deteriorating economic conditions. The United States of America (USA) and the United Kingdom (UK) however stood out as notable economic growth nodes. Both the International Monetary Fund (IMF) and the World Bank had to make downward revisions to their growth forecasts, particularly given the sustained fall in crude oil prices which reached its lowest level in over a decade.

Operating Environment

The decline in economic growth largely driven by the fall in crude oil prices which began in 2014, continued into 2015 with Gross Domestic Product (GDP) falling to a low of 2.35% in the fourth quarter of 2015.

The financial markets responded negatively to the Central Bank of Nigeria's protectionist stance vis a vis the Naira, leading to significant volatility in the equity and debt markets. Bearish sentiments dominated activities on the Nigerian Stock Exchange All Share Index which declined by 17.37% to close at 28,642.45 for the year. Inflationary pressures began to reflect in consumer prices with analysts predicting that inflation rates will close above 10%.

Following his historic electoral victory in the March , 2015 presidential elections, President Muhammadu Buhari resumed office demonstrating a strong resolve to address issues of corruption and insecurity in Nigeria. The President also began to effect changes in the leadership of key public institutions, including the National Insurance Commission (NAICOM), where Alhaji Mohammed Kari was appointed as the Commissioner for Insurance in July 2015. The new Commissioner has intensified regulatory supervision, adopting a zero tolerance approach to compliance infractions. During the year, NAICOM introduced the Prudential Guidelines for Insurers and Reinsurers in Nigeria and the Market Conduct and Business Practice Guidelines for Insurance Institutions in Nigeria which took effect in 2015.

Financial Performance

You will be pleased to learn that despite the inclement operating environment, our market share growth continued to out-pace the industry average. Our Gross Written Premium (GWP) grew by 36% from N5.2billion in 2014 to N7.1billion in 2015. The drivers of this performance include the following;

Growth in Market Share

Customer Engagement:

During the year under review, we deepened engagement with our customers, through personal visits and other electronic channels, using our Financial Service Advisors (FSA) and our Contact Center.

Customer Experience:

We are investing time to understand our customers' needs and inventing processes to create a unique and excellent customer experience enabling us to reengineer our service delivery processes to ensure an excellent customer experience across all touch points.

Consumer Research & New Products:

We have completed a detailed consumer research survey which we commissioned to gain deep insight and better understanding of consumer needs and opportunities within Nigeria and Ghana. Insights from this consumer research survey are being used to develop innovative products for our customers across specific segments. Simultaneously, we have enhanced the features, benefits and branding of our entire bouquet of compulsory products.

Branding:

Following the launch of our new corporate identity in 2014, we have implemented a number of initiatives to make our brand more recognizable and appealing to our target market. We have also taken steps to ensure our brand values are internalized by all employees and key partners.

Underwriting Performance

Operational Efficiency

We recorded a 12% improvement in our underwriting performance. This was driven largely by our new risk based pricing and efficient risk selection criteria. We continue to maintain high solvency margins well above regulatory requirements as well as robust reinsurance arrangements

Claims Payment

In 2014, we initiated a comprehensive review of all outstanding claims in our books with a view to ensuring that by December 2014 they had all been paid. This meant that Wapic was well ahead of NAICOMs 2015 directive for insurance companies to ensure payment of all outstanding claims by September 2015. We believe that insurance companies have a moral and fiduciary duty to ensure customers claims are processed and paid in the shortest time possible.

Investment Performance

We recorded very strong investment performance in 2015. Whilst our Investment Strategy ensures that our insurance liabilities are matched against investments in highly liquid assets, our shareholders' funds are invested in a slightly more aggressive portfolio of assets which include public and non-public equity investments, structured to deliver above market returns. This strategy has seen us become the largest shareholder in Coronation Merchant Bank Limited an emerging leader in the merchant and investment banking subsector which is generating outstanding returns to your company.

Dividend

Subject to your approval at this meeting, the Board of Directors is recommending a dividend of three (3) kobo per ordinary share. I will like to express the appreciation of the Board to all our Shareholders for your patience given the lack of dividend for over 8 years, I'm confident that going forward shareholders can look forward to regular dividend payments.

Corporate Governance

In the course of the year, the Board accepted the resignation for personal reasons of Mr. Ashish Desai as Managing Director of the Company. Leveraging on your Company's robust Succession Planning Framework, the Board of Directors identified and recruited Mrs. Adeyinka Adekoya as the new Managing Director of the Company. Mrs. Adekoya is an accomplished insurance professional and brings onboard significant experience, having operated within the insurance industry for over 25years. She has strong experience in technical underwriting and broker engagements. Her appointment to the Board underscores the importance that your Company attaches to issues of diversity and sustainability.

Also during the year, Mr. Rantimi Ogunleye was appointed as the Managing Director of Wapic Life Assurance Limited to replace Mr. Olaniyi Onifade who took up an appointment with another insurance company. Mr. Ogunleye has over 20years experience in the industry where he has worked with some of Nigeria's leading insurance companies. His strong experience in Bancassurance, product design and marketing are of significant relevance to the execution of our corporate strategic plan.

A new Managing Director was also appointed for Wapic Insurance (Ghana) Limited, our Ghanaian subsidiary. He is Mr. Adedayo Arowojolu who was prior to his appointment the Group head of the Oil & Gas Group within the Institutional Client's sales function in Nigeria. Mr. Arowojolu is a respected insurance professional with over 15years experience in the insurance industry.

As we welcome in this new team of highly respected professionals to the Wapic family, we thank all the outgoing Executives for their contributions to our transformation project during their time with us.

Sustainability

Our people have worked very hard to ensure the achievement of our corporate objectives and we continue to recruit high quality personnel with local and international experience to strengthen the capacity of our workforce. During the year we graduated our second set of 20 graduate trainees from the Wapic Academy after five (5) months of rigorous classroom training.

We remain conscious of the need to imbibe environmental, social and governance concerns at the heart of our business. As such, I am pleased to announce the completion of our environmentally friendly Head Office building which will be commissioned before the end of this year.

I will like to thank all our employees for their dedication, our customers for their loyalty and patronage, and our shareholders for your patience and confidence in our Board and Management.

Aigboje Aig-Imoukhuede (CON)
Chairman,Board of Directors

Chief Executive's Statement

Introduction

The Chairman, Distinguished Shareholders Ladies and Gentlemen. It is my pleasure to be present at this occasion and to present a report on the activities of Wapic Insurance PLC. However, before doing so I will like to give a brief report on the economic and regulatory environment in which the Company operated in the twelve (12) months of 2015.

The year 2015 posed serious challenges for the Nigerian business environment as it witnessed the conduct of a General Election that heralded the transition of political power from the ruling party to the opposition. The heightened tension and obvious retraction of business within the first quarter of the year posed serious concerns. However there was a little reprieve as the change of power went on smoothly without violence or business disruption.

This period was followed by uncertainty within the economy, the fall in the price of crude oil at the International market and it's impact on the revenue earnings of the Federal Government and it's abilities to meet the import requirements in terms of foreign exchange posed serious concerns.

In spite of these challenges your company's Gross Written Premium (GWP) growth of 37% was well above the industry average of 12%. The company also showed its sustained strength with the AM Best rating of B- on financial strength (FSR) and bb- on issuer credit rating strength with a stable outlook. This makes Wapic the 3rd Nigerian Insurer to achieve an international rating.

Regulatory Environment

The regulatory environment has been very supportive . Since the enforcement of the No Premium No Cover Policy by National Insurance Commission NAICOM, operators in the industry have experienced improved cash flow as customers begin to align their business decisions with the policy guidelines.

The regulator has established Minimum Operating Standards in the conduct of insurance business in Nigeria with the release of the revised operational and business conduct guidelines in July 2015. This is intended to harmonize and bring greater sanity into the insurance business operations in the country.

In line with the vision to prepare the Nigerian insurance industry for the leadership positon in the emerging market, the regulators are in the process of reviewing the insurance act in order to align the insurance industry with the expectations of the global economies.

Competition and market Development

The operating environment remains competitively stiff, hence the need to invest in consumer research to have a better understanding of our market and grow our market share ahead of competition. This is in line with the strategic thrust of the company and the fast changing business landscape and paradigm.

Group Activities

The Group's overall business operations which consists of Non Life, Life and Investments recorded remarkable growth during the period under review as briefly detailed below.

Non-Life Business

In 2015, the Non-Life business portfolio achieved significant growth of 30% in Gross Written Premium (GWP), driven largely by Oil & Energy, Motor and Marine business. Oil & energy remained the strongest class of business and contributed 41% in 2015 as against 31% in 2014, while Motor and Marine contributed 15% and 6% respectively.

The Company recorded a growth of 30% in 2015 in Net premium Income (NPI). Oil & energy alone contributed 35%, while Motor and General Accident contributed 23% and 30% respectively. Non-life claims grew by 154%, mainly as a result of the large scale natural catastrophe in our Ghana operations on the 3rd June 2015. The growth in claims resulted in a 4% decline in underwriting results for 2015 as against 2014.

Life Business

There was an 87% growth in the Gross Written Premium (GWP) for Life business from N651million recorded in 2014 to N1.22billion in 2015. The result was in line with the strategic thrust of increasing the Company's share of life business in the market. The growth in GWP was driven by the Group Life product which grew by 119%. Net premium income also grew in the same manner with Group Life contributing 93%, while net Claims grew by 18%. The growth was driven by claims in the Group Life class of business and is in direct relation to the growth in business..

Investments

Our strategic decision to diversify into chosen markets have started to produce the desired results. The company invested in both public and non-public equities during the period. Notable amongst our non-public equity investments is our investment in Coronation Merchant Bank (CMB) which is now an associate of the Company.

Performance Ratios

Inspite of the numerous challenges in the operating environment during the year under review, the Company recorded significant growth in its business operations.

Gross Written Premium (GWP) ra 37% growth was recorded in 2015 against the corresponding period in 2014 while Net Premium Income (NPI) similarly grew by 32% from N2.84billion in 2014 to N3.9billion in 2015

Profit after Taxation grew by 448% to N1.3billion as against N237million in 2014. The earnings per Share of 10k .in 2015 was an improvement on the 2k in 2014 while the Shareholders Funds was N14.96billion as against N14.2billion in 2014.

In 2014, while insurance contract liabilities grew by 52% from N3billon in 2014 to N4.6billion in 2015, our risk retention also improved from 61% in 2014 to 63% in 2015. Finally. Net assets per share grew to 112k in 2015 from 106k in 2014 while return on equity was 10% from 2% in 2014.

Future Outlook

The outlook for our Industry remains bright especially in the wake of the emerging opportunities in the oil & Gas, Aviation, Small and Medium Scale Enterprises, Retail as well as the now postively evolving Civil Service workforce under the present Federal Government. We would continue to strategically occupy and perform leading roles in the provision of appropriate products and delivery channels for the various segments and sectors of the market.

Distinguished Ladies and Gentlemen, the above cannot be achieved without deliberate investment in our human capital. In this regard, investment in our human assets will continue to occupy a greater proportion of our strategic thrust through innovative products, specific training programe and Information Technology, to achieve cutting edge service delivery.

We are convinced that with commitment to our goals and objectives, Management will continually achieve significant growth, in profitability and shareholder value. Your continued support is therefore required as we move ahead in our chosen markets.

I thank you all and God bless

Adeyinka Adekoya
Managing Director/Chief Executive Officer

Products & Services

Wapic Insurance Plc

wapic

Ensure peace of mind in moments of crisis with the lenders in Occupiers Liability

- Are your premises compliant to avoid prosecution?
- Do you know what to do if there is a fire, a bomb threat or a terrorist attack?
- Do you know what to do if there is a gas leak, a power cut, a flood or a major incident affecting your premises?
- Do you know what to do if there is a major incident affecting your neighbourhood?
- Do you know what to do if there is a major incident affecting your business?
- Do you know what to do if there is a major incident affecting your employees?
- Do you know what to do if there is a major incident affecting your customers?
- Do you know what to do if there is a major incident affecting your suppliers?
- Do you know what to do if there is a major incident affecting your supply chain?
- Do you know what to do if there is a major incident affecting your business continuity?
- Do you know what to do if there is a major incident affecting your reputation?
- Do you know what to do if there is a major incident affecting your brand?
- Do you know what to do if there is a major incident affecting your shareholders?
- Do you know what to do if there is a major incident affecting your investors?
- Do you know what to do if there is a major incident affecting your stakeholders?
- Do you know what to do if there is a major incident affecting your reputation?
- Do you know what to do if there is a major incident affecting your brand?
- Do you know what to do if there is a major incident affecting your shareholders?
- Do you know what to do if there is a major incident affecting your investors?
- Do you know what to do if there is a major incident affecting your stakeholders?

wapic

Protect your vehicle the right way

Products & Services (continued)

Wapic Life Assurance Limited

wapic

Can Your Employer Be Part of Your Family

Products & Services (continued)

Wapic Insurance (Ghana Limited)

wapic

There are better ways to protect your vehicle

Business Review

Corporate Philosophy

To transform and illuminate the insurance industry for the benefit of our customers and other stakeholders.

To lead in all that is worthy.

- We strive for our personal best in our thoughts, our words and our actions, being better today than we were yesterday.
- Our interactions with customers and colleagues embody competence, a good work ethic and a focus on serving others.
- We build on what we know works, constantly refining and finding better ways to serve our customers and our colleagues.
- We look to the future, ensuring that our actions today build towards a healthy tomorrow, where our business, team, community and wider environment survives and thrives.
- We are all leaders in our own way. We hold ourselves accountable for our choices. We take ownership of our tasks, our actions and our decisions.
- The contribution of every team member is vital to our success. We each play our part in making it work.
- We consider the experience of others in everything we do. Our interactions with our colleagues and customers reflect kindness and understanding of their situation. We appreciate the efforts and experiences of others.

Report of the External Consultants

Technical, Operations and Product Report

Technical Operations

In spite of the economical challenges experienced in the year, the Company continued in its quest to ensure a pleasurable customer experience for its customers by offering innovative and tailor made products to meet our customers needs. We re-branded our Motor Product (MOOV) and created three variants as part of our aim to please our customers. We also re-packaged our compulsory Occupiers and Group Life Products.

Similarly, superior service delivery and creation of channels through which our customers' reach could be expanded was given priority in the year 2015. We also initiated the implementation of a robust technology infrastructure to support our operations and actualize the corporate objectives of the Company.

We equally improved our business portfolio through our new Risk Based Pricing and adopted efficient risk selection criteria by using enhanced data analysis to deliver superior Risk-adjusted returns. We leveraged on the support of our in-house actuary and two external consulting firms to enrich and ensure proper simulation of our prices and maintenance of adequate reserves. This ensured that the Company complied consistently with Solvency Margin requirement for the business..

Underwriting

2015 saw a continuation of our strategic growth. The General Business portfolio experienced a 30% growth in Gross Written Premium (GWP), driven largely by growth in the Oil & Energy, Motor and Marine Insurance premium incomes. The Oil & Energy business remained the strongest class of business and contributed 41% to GWP as against 31% in 2014. Motor and Fire & Special Perils Insurance business segments contributed 15% and 6% to GWP respectively in 2015.

Net Premium Income recorded a growth of 45% in 2015. This was largely driven by Oil & Energy, Motor and General Accident which grew by 35%, 23% and 30% respectively in the year under review.

Furthermore, the Company experienced a 42% growth in underwriting results this year (Underwriting results being underwriting income less expenses).

The Motor, Oil & Energy and General Accident classes of business contributed 19% 37%, and 33% respectively to the General Business Underwriting results for the year under review.

The Life business GWP grew by 87% in 2015. This indicated a full recovery from the slower growth of 2% experienced in 2014 due to the implementation of the No Premium, No Cover policy and the deepening of our strategic initiatives.

The growth in the Life GWP was driven largely by Group Life product which grew by 119%..

Claims

We recognize that claims payment reinforces customer's confidence and so we continued to ensure that our customers were delighted by their claims experience through our prompt claims settlement process.

The total claims paid in 2015 are as distributed below across the various portfolios;

1. Group Life Scheme – 27%
2. General Accident Portfolio – 17%
3. Oil & Gas Schemes - 7%
4. Motor - 20%
5. Engineering - 1%
6. Marine business - 6% and
7. Aviation Business - 3%

Reinsurance

The Company established and maintained robust reinsurance arrangements with highly rated reinsurance companies that we partnered with. We continued to ensure efficiency in matching premium generated against reinsurance expenses.

During the financial year, the Company had business transactions with the following Re-insurance companies in compliance with the Insurance Act of 2003.

Foreign Reinsurers:	Rating	Agency
Munich Mauritius Reinsurance Company Limited	AA-	A.M Best
Swiss Reinsurance Company Limited	A+	A.M Best
Local Reinsurers:		
African Reinsurance Corporation	A-	A.M Best
Reinsurance Corporation		
Continental Reinsurance Plc	BB+	A.M Best
Nigeria Reinsurance Corporation	BB+	GCR

Performance Ratios

We closed the year with an Underwriting expense ratio of 17%, a Claims ratio of 30% and an Operating expense ratio of 49%. Underwriting expense remained flat when compared to prior year, the increase on claims ratio from 35% in 2014 was mainly as a result of huge claims payout from our Ghana subsidiary, Operating expense ratio improved from 59% in 2014.

This resulted in a combined ratio of 89% representing a drop from the 97% recorded in 2014. The insurance liabilities of the Company increased by 52% from N3.07billion in 2014 to N4.68billion in 2015, a reflection of the growing buffer for our policy holders. Retention ratio improved from 61% in 2014 to 63% in 2015. Overall, we have continued to improve our underwriting capacity and are very confident that we would enjoy better returns from the underwriting arm of our business in the near future.

Despite the numerous challenges we face in our daily operations from the sub-optimal business terrain, we would stay focused on the opportunities for business success and charge ourselves with delivering customer experience and illuminating the insurance industry with bespoke customer focused services for the benefit of our customers and other stakeholders. We shall continue to enhance our relationship with brokers, agents and all other stakeholders who played significant roles in our success. We shall lead in all that is worthy.

Product portfolio / products performance

Non-Life Business

In 2015, the Non-Life Business portfolio grew by 38% in Gross Written Premium (GWP), driven largely by growth in the Oil & Energy, General Accident and Motor, at 40%, 28% and 14% respectively.

Life Business

The GWP for the Life business grew by 87%, from N0.65 billion in 2014 to N1.3 billion in 2015. The Group Life business recorded a growth of 119% (from N0.51 billion in 2014 to N1.12 billion in 2015) while the Individual Life grew dropped 27% (from N139million in 2014 to N100million in 2015). Group Life and Individual Life businesses contributed 98% and 73% respectively to the 2015 figures. The Net Premium Income recorded a growth of 58%, from N0.63 billion in 2014 to N0.99 billion.

Product packaging redesign/ simplification

Our bouquet of products were repackaged and simplified in order to provide insurance solutions that meet specific needs of our customers leveraging in the results of a consumer research survey that was commisioned during the year.

The exercise was to gain customer insight and available opportunities within the retail market.

Our aim is to offer insurance solutions that are flexible, easy to access, simple, transparent and tailored to suit specific needs, thereby providing unique and meaningful benefits to our customers.

Investment Report

Investments

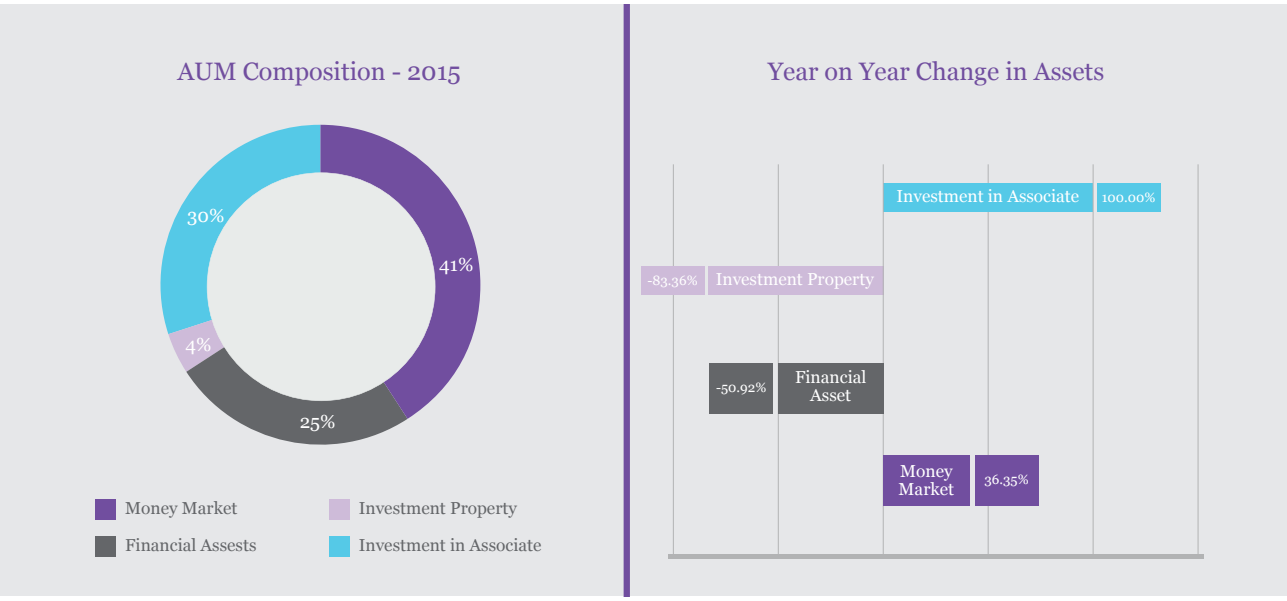
Investment Management is fundamental to the Company's business. The company has a disciplined investment strategy that ensures the efficieny of our assets and liability management towards creating value for policy holders, Shareholders and other Stakeholders. The company continues to ensure that assets are properly matched against underlying liabilities. Asset-Liability underscores Wapic's investment management process designed to deliver sustainable growth and manage investment risks.

The Company's established governance structure and risk management framework guides the management of our accumulated Assets Under Management (AUM). This framework is constantly reviewed and monitored by the Board Investment Committee.

The Company took a strategic decision to increase its shareholding in Coronation Merchant Bank Limited during the 2015 financial year, and this changed the ownership interest in the company to an Associate status. The net realised gain from this investment is N1.12billion.

Total AUM declinded to N17.29billion during the period under review. This represented a 4.05% drop against the preceeding 2014 financial year. The reduction in AUM is primarily due to our increased investment in our Ghana subsidiary through capital injection that was necessitated by regulatory requirements.

The Charts below show the composition of our investment portfolio as at 31st December 2015 and the changes in the composition of the portfolio from the previous reporting year.



The company its reduced Investment in Property component of the portfolio to 4% from 22% in 2014 to 4% in 2015.The reduction in Investment property holding is part of the continued efforts to reduce low yield legacy investments in property.

The 36% increase in money market in the outcome of a deliberate strategy by the company to take advantage of emerging investment opportunities as they arise.

The recorded dip in investment income was as a results of the losses incurred on disposal of some non-yielding property investments as well as the low yield fixed income securities during the year.

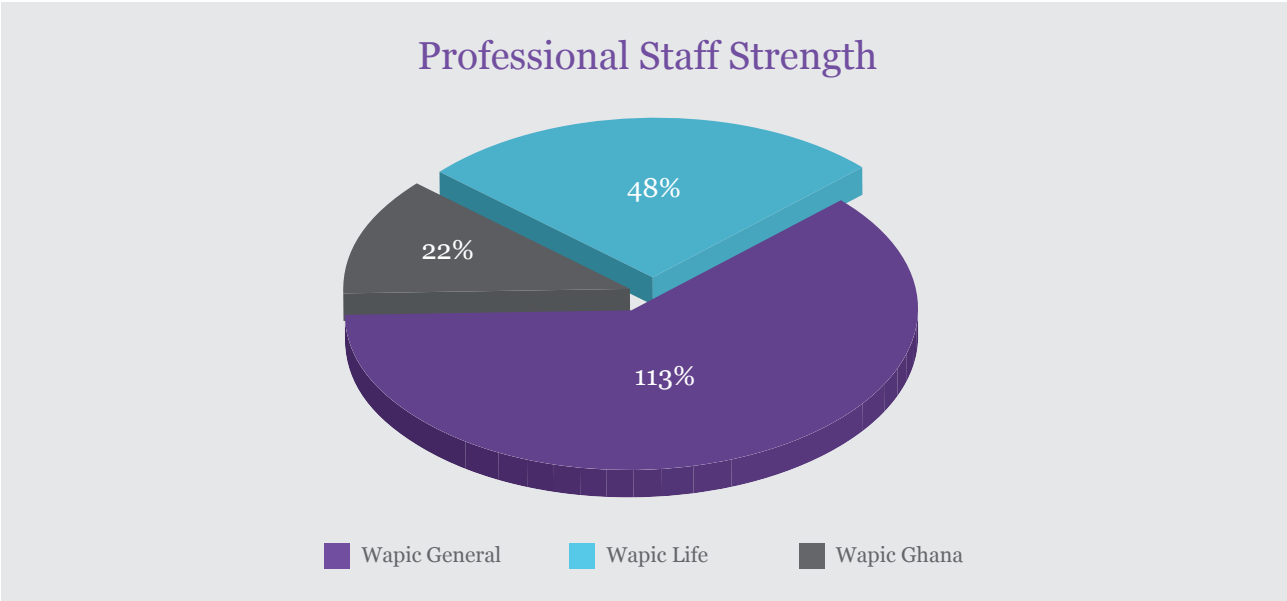
Our People, Culture and Diversity

A 'People Business'

In Wapic our people are at the heart of our achievements; this is underscored by our strategic goal of attracting and retaining a talented and diverse workforce. Our strong commitment to diversity and inclusiveness facilitates access to the widest talent pools with a wide range of nationalities in a workforce of over 200 professionals.

Our people strategy and diversity is anchored in the business, and aims to ensure that our employees reflect the diversity of the customers we serve in the different communities in which we operate. Wapic Insurance is about our highly skilled team delivering the best possible insurance solutions for people in need, because we know that it is the way we respond to clients and exceed their expectations that makes a real difference.

Through the professionalism of our 211 employees across Nigeria and Ghana, we exude passion because we are able to empathise with our customers and hence, provide innovative solutions to their entreaties. The professional staff strength as at December 2015 is 211 comprising 100 female & 111 male employees.

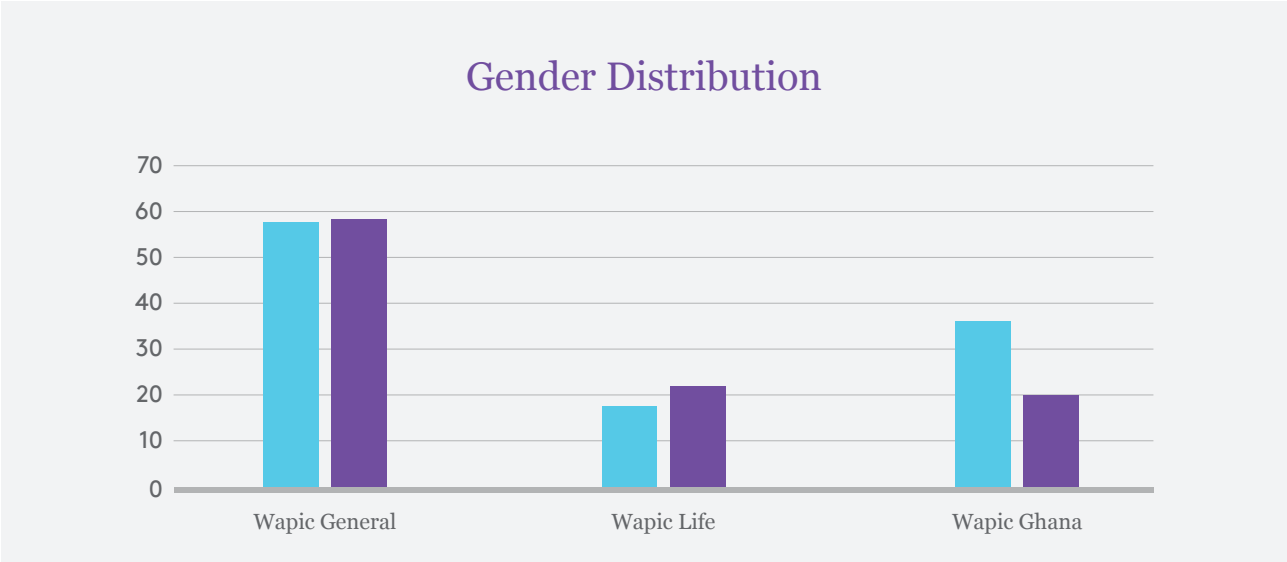


Gender	Wapic General	Wapic Life	Wapic Ghana	Total
Male	58	17	36	111
Female	59	21	20	100
Total	**117**	**38**	**56**	**211**

Our commitment to diversity and inclusiveness significantly reinforces our competitive edge. While building a diverse workforce in terms of gender and age distribution, the expectation is that the ratio of female to male staff will continue to increase in 2015.

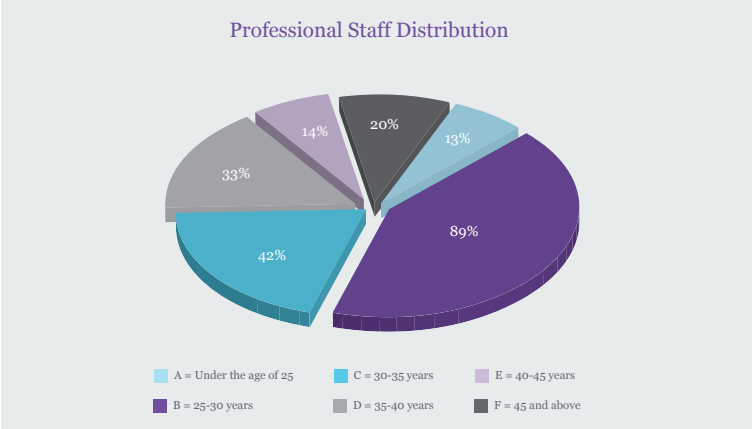
As at 31 December, 2015 our female workforce constituted:

a. 47.4% of our total employees
b. 23.07% of our Management positions
c. 33.3% of top Management positions
d. 33.3% of our Board positions



Since the introduction of the Wapic Women's Forum in 2014, we have organised various events aimed at fostering a supportive work environment for our female staff. These forums help our women create a network in order to develop leadership skills, career advancement opportunities and the drive needed for the success of Wapic Insurance.

Age Distributiuon	
A = > 25	13
B = 25 - 30 years	89
C = 30 - 35 years	42
D = 35 - 40 years	33
E = 40 - 45 years	14
F = 45 and Above	20



Our commitment to diversity and inclusiveness significantly reinforces our competitive edge. While building a diverse workforce in terms of gender and age distribution, the expectation is that the ratio of female to male staff will continue to increase in 2016.

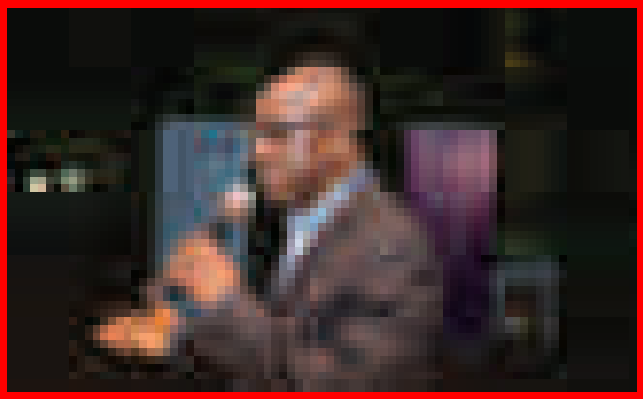
Our Culture – The Wapic Way

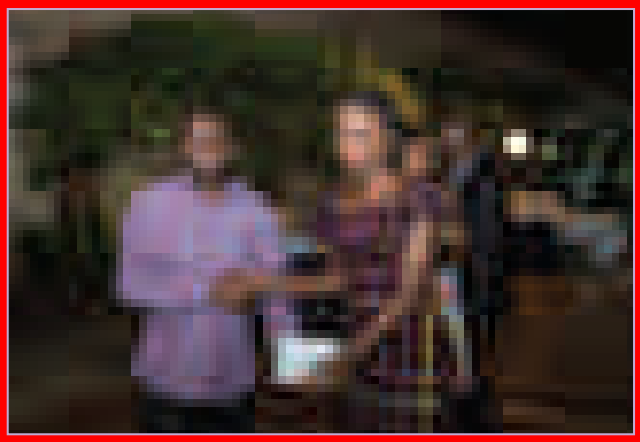
Wapic aims to create a dynamic working environment through a strong performance-driven culture, by collaborating, innovating and consistently seeking areas for improvement within the organisation. This is supported by a strong emphasis on people growth and development, in order to nurture a committed and engaged workforce.

We believe in driving a culture that gives our people the room to achieve, to grow and to seek new opportunities. We also seek to be the most innovative, the most tenacious in opening new markets and the most creative in developing new products and offering state-of-the-art services to clients, brokers and agents around the world.

The Wapic culture is largely one of leadership. Our actions will inspire others to follow. Our organization will be worthy of emulation in all that we do and The Wapic brand will embody this culture. Our culture will be reflected in our vision and mission which is derived from our shared goals and strategies.

Our culture will be reflected in our story, brand, and values and most importantly in our people. These are the elements that guide our actions, behaviours and communications. Our culture will be reflected in how we work. These are the operational standards that underpin our business. To sustain the Wapic culture, the Company will continually seek talents who align with this culture.





Sustainability Report

Wapic has imbibed a culture of sustainable business practices. We recognize that the success of our business is dependent upon transparency, strong corporate governance and stakeholder management.

In order to further enshrine these practices, we have developed a robust sustainability strategy that defines and addresses the challenges of balancing economic growth, social development and environmental protection so that future generations are not compromised by actions taken today. This will ensure that we operate in a responsible and ethnical manner, treating our stakeholders with respect.

Our intention is to ultimately provide superior products and services for our clients while simultaneously working to improve the environmental social and economic aspects of the communities in which we operate.

Employee Standards, Diversity and Human Rights

Wapic's workplace policies and practices aim at shaping corporate culture and guiding relationships amongst employees and the Company. We are committed to creating a work environment where people can make a difference both as individuals and as part of a team. The engaging, inclusive work environment of Wapic helps attract, engage and retain talented employees while enabling them to achieve their full potentials.

The Company is committed to respecting human rights in all its business activities through compliance with national laws and in labour legislation. Our workplace policies and practices are aimed at shaping corporate culture and guiding relationships between the Company and its Stakeholder groups

Customer satisfaction

Wapic recognizes that marketplace perceptions and reactions to business behaviour and practices are critical to corporate success. As part of our social responsibility, we strive to reinforce confidence in the insurance market particularly in the area of prompt claims payment.

We are committed to treating our customers fairly, with openness and transparency, and ensure that our marketing practices enable us to focus on building and maintaining sustainable, long-term relationships with our customers. Using our various channels platforms, we endeavor to make our customers feel special by reaching out to them individually.

Occupational Health and Safety

Wapic protects the health and safety of its employees, customers, vendors and the public by implementing policies and initiatives that demonstrate our commitment to a safe, secure, and healthy work environment. We trained certified personnel as fire wardens, fire searchers and continuously conduct fire drill exercises. In the period under review, we experienced no workplace accidents, fatalities or occupational and safety incidents.

Investing in the community

We believe in adding value to the communities in which we operate by investing in economic, social and cultural development. The Company's social investment focuses on assisting progress in education, health, the environment, enterprise development and social welfare. In the period under review, we provided various types of support in the form of giving cash, or giving employee time or simply giving gifts, all of which are practices that align with acceptable global standards. We collaborated with credible and impactful organizations to build strong and healthy communities where people can live and work, and where businesses can survive into the future. For instance, Wapic co-sponsored the production of a film on Ebola- 93 Days which is media based initiative centered on the true-life story of men and women who risked their lives and made sacrifices to save the Nigerian people from the consequences of the outbreak of the highly-dreaded Ebola Virus Disease. The film has not be released yet.

Donations of Books at the Lions Village- Lagos State Motherless Babies' Home

Donations of Books at the Lions Village- Lagos State Motherless Babies' Home

Ethical supplier relations

Our operating standards for purchasing services and products, and for selection of suppliers, have contributed to building a sustainable business. Wapic recognizes that its dealings with suppliers often take place in cultures with different norms and values. We therefore expect our suppliers to have a natural respect for ethical standards in the context of their own particular culture. The Company's procurement activities give due consideration to social impacts and human rights, environmental impacts and the need to combat bribery and corruption. Our relationship with suppliers is based on the principle of fair and honest dealings at all times and in all ways. We therefore pay attention to treating suppliers fairly, selecting vendors based on value, performance and price, providing justifiable and transparent selection.

Workplace policy and programme

We recognise that HIV/AIDS, TB and malaria together pose a serious threat to our operations and productivity. The Company seeks to minimise the social and economic consequences of these diseases to our employees, their families and the broader community. Wapic therefore implements an HIV/AIDS, TB and malaria workplace policy which encompasses prevention, care and support, while promoting a working environment that is free of stigmatization and discrimination. We also create awareness on other health issues that can affect the workplace as they emerge such as The Zika Virus, Ebola, Lassa fever e.t.c

Stakeholder engagements

Our stakeholders include rating agencies, governments, parastatals, not-for-profit organisations, employees, local communities, regulators, analysts, shareholders, investors, customers, suppliers, media, development finance institutions (DFIs) and multilateral agencies. We categorise stakeholders based on their interaction with our business activities. The categories are not mutually exclusive; some groups potentially have interests that cut across a number of areas. We commit adequate resources to ensuring that we understand the views and needs of all our stakeholders, and also that we are able to respond positively and in a timely manner to their feedback. We adopt a number of mechanisms to engage stakeholders, including opinion surveys, focus group discussions on particular issues, regular dialogue with media representatives and NGOs and staff, consultations with consumer groups and involvement in industry-wide discussions.

Ethics and Whistle-blowing

Wapic deployed a more robust whistle-blower system in 2015 to enable staff to report unethical activities affecting the Company so that measures can be taken to address them. The system was outsourced to the KPMG Ethics Line. This has enhanced awareness of the existence of a whistle-blowing channel and increased the confidence of staff and other stakeholders with regards to reporting any suspicious activities or misconduct that could damage the Company's operations or reputation. It has deterred workplace misdemeanours and strengthened staff integrity and discipline. About 90% of staff across the Company and its subsidiaries have received training in ethics and Wapic's whistle-blower system.

As an ethical organization, Wapic has demonstrated zero tolerance for bribery and corruption. This is clearly defined in the Company's Anti-Bribery and Corruption policy as well as our Code of Conduct for Directors and Staff.

Risk Management

Introduction and Overview

Wapic Insurance Plc recognizes the role of enterprise risk management practices in achieving her strategic vision of being a leading insurance company in Nigeria. The Group has a well-established risk governance structure and an experienced risk team. Our risk management framework provides essential tools to enable us take timely and informed decisions to maximize opportunities and mitigate potential threats.

Our Approach to Risk Management

Risk is an inherent part of Wapic Insurance Plc ("the Company") and its subsidiary companies' ("the Group") business activities. Wapic's overall risk tolerance is established in the context of the Group's earning power, capital, and diversified business model. Effective risk management is critical to any insurance company for achieving financial soundness. Based on the foregoing, aligning risk management to the Company's organizational structure and business strategy has become an integral part of our business. Wapic Insurance Plc's risk management framework and governance structure are intended to provide comprehensive controls and management of the major risks inherent in its business activities. It is also intended to create a culture of risk awareness and personal responsibility Group wide.

In addition to the monitoring of the risk types, the risk correlation between risk types is also being monitored. To ensure that the inter-relationships between risk types are kept within moderate level, where appropriate, underwriting and investment standards have been tightened. To mitigate against higher level of market volatility and economic uncertainty, the Group regularly subjects its exposures to a range of stress tests across a wide variety of products, currencies, portfolios, profitability, and customer segments.

The Group's risk management architecture is carefully crafted to balance corporate oversight with well-defined risk management functions, which fall within any of the three categories where risk must be managed: lines of business, governance and control and corporate audit. The Board of Directors and management of the Company are committed to constantly establishing, implementing and sustaining tested practices in risk management to match those of leading international insurance companies. We are convinced that the long-term sustainability of our Group depends critically on the proper governance and effective management of our business. As such, risk management occupies a significant position of relevance and importance in the Group.

The Board of Directors determines Wapic Insurance Plc's overall risk objectives by issuing risk policies. These policies define acceptable levels of risk for day-to-day operations as well as the willingness of Wapic to assume risk, weighed against the expected rewards. The umbrella risk policy is detailed in the Enterprise Risk Management (ERM) Framework, which is a structured approach to identifying opportunities, assessing the risk inherent in these opportunities and actively managing these risks in a cost-effective manner. It is a top-level integrated approach to events identification and analysis for proper assessment, monitoring and identification of business opportunities. Specific risk policies are also in place for managing risks in the different core risk areas of Underwriting, claims, credit, market and operational risks as well as for other key risks such as liquidity, strategic and reputational risk.

The evolving nature of risk management practices and the dynamic nature of the insurance industry require regular review of the effectiveness of each enterprise risk management component. In the light of the above, the Group's ERM Framework is subject to continuous review to ensure effective and cutting-edge risk management. The review is done in either or both of the following ways: via continuous self-evaluation and monitoring by the risk management and compliance functions in conjunction with internal audit; and through independent evaluation by external auditors, examiners and consultants. The Group's management has primary responsibility for risk management and the review of the ERM Framework and to provide robust challenge based on quantitative and qualitative metrics. All amendments to the Group's ERM Framework require Board approval. The risk management division is responsible for the enforcement of the Group's risk policy by constantly monitoring risk, with the aim of identifying and quantifying significant risk exposures and acting upon such exposures as necessary.

Overall, we view risk not only as a threat or uncertainty, but also as a potential opportunity to grow and develop the business, within the context of our clearly articulated and Board driven risk appetite.

Hence our approach to risk management is not limited to considering downside impacts or risk avoidance; it also encompasses taking risk knowingly for competitive advantage. Wapic Insurance Plc approaches risk, capital and value management robustly and we believe that our initiatives to date have positioned the Group at the leading edge of risk management.

Risk Management Philosophy, Culture, Appetite and Objectives

Risk Management Philosophy and Culture

Risk management is at the core of the operating structure of the Group. We ensure that we limit adverse variations in earnings and capital by managing risk exposures within our moderate risk appetite. Our risk management approach includes minimizing undue concentrations of exposure, limiting potential losses from stress events and the prudent management of liquidity.

In 2015, our risk management practice continued to achieve desired results despite the increase in size and scale of operations. Hence, management has remained closely involved with risk management initiatives, which have focused on preserving appropriate levels of capital and liquidity, as well as managing the risk inherent in the portfolios.

Risk management is integral to the Group's decision-making and management process. It is embedded in the role of all employees to ensure congruence with organizational culture, thus enhancing the quality of decision making across board. The Group considers risk management philosophy and culture as the set of shared beliefs, values, attitudes and practices that characterize how the Group considers risk in everything it does, from strategy development and implementation to its day-to-day activities. In this regard, the Group's risk management philosophy is that a moderate and guarded risk attitude ensures sustainable growth in shareholder value and reputation.

The Group believes that enterprise risk management provides the superior capabilities to identify and assess the full spectrum of risks and to enable staff at all levels better understand and manage risks. This will ensure that:

- Risk acceptance is done in a responsible manner;
- The Executive and the Board of the Company have adequate risk management support;
- Uncertain outcomes are better anticipated;
- Accountability is strengthened; and
- Stewardship is enhanced.

The Group identifies the following attributes as guiding principles for its risk culture;

a) Management and culture:

- Consider all forms of risk in decision-making;
- Create and evaluate business-unit and Group-wide risk profile to consider what is best for their individual business units/department;
- Adopt a portfolio view of risk in addition to understanding individual risk elements;
- Retain ownership and accountability for risk and risk management at the business unit or other point of influence level;
- Strive to achieve best practices in enterprise risk management;
- Document and report all significant risks and enterprise-risk management deficiencies;
- Adopt a holistic and integrated approach to risk management and bring all risks together under one or a limited number of oversight;
- Empower risk officers to perform their duties professionally and independently without undue interference;
- Ensure clear segregation of duties between market facing business units and risk management/control functions;
- Continue to demonstrate appropriate standards of behavior in development of strategy and pursuit of objectives.

b) Risk officers' work as allies and thought partners to other stakeholders within and outside the Group and are guided in the exercise of their powers by a deep sense of responsibility, professionalism and respect for other parties.

c) Risk management is a shared responsibility. Therefore, the Company aims to build a shared perspective on risks that is based on consensus.

d) Risk management is governed by well-defined policies, which are clearly communicated across the Group.

e) Equal attention is paid to both quantifiable and non-quantifiable risks.

f) The Group avoids products and businesses it does not understand.

Board Audit and Compliance Committee	• Oversight of financial reporting and accounting • Oversight of the external auditor • Oversight of the internal auditor • Oversight of regulatory compliance • Monitoring the internal control process • Oversight of enterprise risk management
Board Enterprise Risk Management Committee	• Assist in the oversight of the review and approval of the companies risk management policy including risk appetite and risk strategy; • Review the adequacy and effectiveness of risk management and controls; • Oversee management's process for the identification of significant risks across the company and the adequacy of prevention, detection and reporting mechanisms; • Review of the company's compliance level with applicable laws and regulatory requirements that may impact the company's risk profile; • Review changes in the economic and business environment, including emerging trends and other factors relevant to the company's risk profile; and • Review large underwritten risks for adequacy of reinsurance and other risk management techniques including environmental & social management system • Review and recommend for approval of the Board risk management procedures and controls for new products and services.
Board Investment Committee	• Reviews and approves the company's investment policy • Approves investments over and above managements' approval limit • Ensures that optimum asset allocation is achieved
Board Establishment and Governance Committee	• Advises the Board on its oversight responsibilities in relation to compensation, benefits and all other human resource matters affecting the directors and employees of the Company. • Monitors the Group's people-risk universe. • Ensures the right caliber of executive management is attracted, retained, motivated and rewarded.
Board Finance and General Purpose Committee	• Assists the Board on its oversight function of managing financial risks. • Review and make recommendation on long term financial plan for the company. • Review the company's capital appropriation. • Provides periodic oversight of Board approved programs.

Risk Management Unit – relationship with other units

The relationships between risk management unit (RMU) and other units are highlighted below:

- RMU sets policies and defines risk limits for other units in the Company;
- RMU performs group-wide risk monitoring and reporting;
- Other units provide relevant data to RMD for risk monitoring and reporting and identify potential risks in their line of business and RMU provides a framework for managing such risks;
- RMU and market facing units collaborate in designing new products;
- RMU and internal audit co-ordinate activities to provide a holistic view of risks across the Group;
- RMU makes recommendations with respect to capital allocation, pricing and reward/sanctions based on risk reports; and
- Information technology support group provides relevant user support to the RMD function in respect of the various risk management software.

Group risk oversight approach

Our oversight starts with the strategy setting and business planning process. These plans help us articulate our appetite for risk, which is then set as risk appetite limits for each business unit to work within.

The Group's risk management division provides a central oversight of risk management across the Group to ensure that the full spectrum of risks facing the Group are properly identified, measured, monitored and controlled in order to minimize adverse outcomes.

The division is complemented by the financial control, strategy /PMO and compliance group in the management of capital management, strategic and compliance risks, respectively.

The Chief Risk Officer coordinates the process of monitoring and reporting risks across the Group. Internal audit has the responsibility of auditing the risk management and control function to ensure that all units charged with risk management perform their roles effectively on a continuous basis. Audit also tests the adequacy of internal control and makes appropriate recommendations where there are weaknesses.

Strategy and Business Planning

Risk management is embedded in our business strategy and planning cycle. Testament to this is the inclusion of risk management as one of our strategic priorities. By setting the business and risk strategy, we are able to determine appropriate capital allocation and target setting for the Group and each of our businesses.

All business units are required to consider the risk implications of their annual plans. These plans include analysis of the impact of objectives on risk exposure. Throughout the year, we monitored business performance regularly focusing both on financial performance and risk exposure. The aim is to continue the process of integrating risk management into the planning and management process and to facilitate informed decisions.

Through ongoing review, the links between risk appetite, risk management and strategic planning are embedded in the business so that key decisions are made in the context of the risk appetite for each business unit.

Risk Appetite

Risk appetite is an articulation and allocation of the risk capacity or quantum of risk the company is willing to accept in pursuit of its strategy, duly set and monitored by the executive committee and the Board, and integrated into our strategy, business, risk and capital plans. Risk appetite reflects the Group's capacity to sustain potential losses arising from a range of potential outcomes under different stress scenarios.

The Group defines its risk appetite in terms of both volatility of earnings and the maintenance of minimum regulatory capital requirements under stress scenarios.

Our risk appetite can be expressed in terms of how much variability of return the Group is prepared to accept in order to achieve a desired level of result. It is determined by considering the relationship between risk and return. We measure and express risk appetite qualitatively and in terms of quantitative risk metrics. The quantitative metrics include earnings at risk (or earnings volatility) and, related to this, the chance of regulatory insolvency, chance of experiencing a loss and economic capital adequacy. These comprise our group- level risk appetite metrics. In addition, a large variety of risk limits, triggers, ratios, mandates, targets and guidelines are in place for all the financial risks (e.g. credit, market and asset and liability management risks).

The Group's risk profile is assessed through a 'bottom-up' analytical approach covering all of the Group's major businesses, subsidiaries and products. The risk appetite is approved by the Board and forms the basis for establishing the risk parameters within which the businesses must operate, including policies, concentration limits and business mix.

In 2015, the risk appetite metrics were tracked against approved triggers and exceptions were reported to management for prompt corrective actions. Key issues were also escalated to the Board Risk Management committee.

Risk Objectives

The broad risk management objectives of the Group are:

To identify and manage existing and new risks in a planned and coordinated manner with minimum disruption and cost;

- To protect against unforeseen losses and ensure stability of earnings;
- To maximize earnings potential and opportunities;
- To maximize share price and stakeholder protection;
- To enhance credit ratings and depositor, analyst, investor and regulator perception; and
- To develop a risk culture that encourages all staff to identify risks and associated opportunities and to respond to them with cost effective actions.

Risk Categorization

Wapic Insurance Plc is exposed to an array of risks through its operations. The Group has identified and categorized its exposure to these broad risks as listed below:

- Credit risk
- Operational risk
- Market risk
- Liquidity risk
- Underwriting risk
- Property price risk
- Reputational risk

Credit risk:

Credit risk is the risk of default arising from the uncertainty of a counterparty's ability to perform its contractual obligations. This may arise from the following but not limited to Premium receivables, reinsurance recoveries, fund placements in deposit money banks, vendors, and fund's managers. However, in terms of premium payment and investments in counterparties, considerable risks exist that brokers and lead insurers who are allowed extended payment period may default.

Operational risk:

This is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. This includes legal risk, strategic risk and reputational risk. Legal risk includes, but is not limited to, exposure to fines, penalties, or punitive damages resulting from supervisory actions, as well as private settlements.

Market risk:

Market risk is the risk that the value of an investment will decrease due to movements in market factors. Volatility frequently refers to the standard deviation of the change in value of a financial instrument with a specific time horizon. The Group is exposed to this risk through its financial assets and comprises of:

- Interest rate risk is the risk that the value of a fixed income security will fall as a result of movement in market interest rates.
- Equity price risk: the risk that the fair value of equities decreases as a result of changes in the levels of equity indices and the value of individual stocks.
- Foreign Exchange risk: the risk associated with movement in the exchange prices on dollar-based transactions which the company is exposed to.
- Property price risk: the risk arising from changes in the market value of properties and fluctuations in expected rental incomes.

Liquidity risk:

This is the risk that a company may be unable to meet short term financial demands. This usually occurs due to the inability to convert a security or hard asset to cash without a loss of capital and/or income in the process. Wapic Insurance Plc recognizes the risk of loss due to insufficient liquid assets to meet cash flow requirements or to fulfill its financial obligation once a claim crystallize.

Underwriting risk:

Underwriting activities are primarily concerned with the pricing, acceptance and management of risks arising from our contracts with policyholders. It entails the risk that:

- The prices charged by the Group for insurance contracts will be ultimately inadequate to support the future obligations arising from those contracts, risk exposure under its insurance contracts that were unanticipated in the design and pricing of the insurance contract;
- Risks are not adequately ceded to reinsurers exposing the Group to potential high claims pay-out;
- many more claims occur than expected or that some claims that occur are much larger than expected claims resulting in unexpected losses and;
- The Group's policyholder will act in ways that are unanticipated and have an adverse effect on the Group.

Reputational risk:

The Group is exposed to this risk through events that damage its image amongst stakeholders and the public which may impair the ability to retain, generate and drive sustainable business. We understand that reputational risk is the biggest risk to our business as it poses a special threat to the confidence of our customers, regulators and industry.

Operational Risk Management

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people, or systems, or from external events. Our definition of operational risk excludes regulatory risks, strategic risks and potential losses related solely to judgments with regard to taking credit, market, interest rate, liquidity, or insurance risks.

It also includes the reputation and franchise risk associated with business practices or market conduct in which the Company is involved. Operational risk is inherent in Wapic's global business activities and, as with other risk types, is managed through an overall framework designed to balance strong corporate oversight with well-defined independent risk management. This framework includes:

- Recognized ownership of the risk by the businesses;
- Oversight by independent risk management; and
- Independent review by Corporate Audit.

We seek to minimize exposure to operational risk, subject to cost trade-offs. Operational risk exposures are managed through a consistent set of management processes that drive risk identification, assessment, control and monitoring.

The goal is to keep operational risk at appropriate levels relative to the characteristics of our businesses, the markets in which we operate, our capital and liquidity, and the competitive, economic and regulatory environment. Notwithstanding these controls, Wapic group incurs operational losses.

Our operational risk strategy seeks to minimize the impact that operational risk can have on shareholders' value.

The Company's strategy is to:

- Reduce the likelihood of occurrence of expected events and related cost by managing the risk factors and implementing loss prevention or reduction techniques to reduce variation to earnings.
- Minimize the impact of unexpected and catastrophic events and related costs through risk financing strategies that will support the Company's long term growth, cash flow management and balance sheet protection.
- Eliminate bureaucracy, improve productivity, reduce capital requirements and improve overall performance through the institution of well designed and implemented internal controls.

In order to create and promote a culture that emphasizes effective operational risk management and adherence to operating controls, there are three distinct levels of operational risk governance structure in Wapic Insurance Plc.

Level 1

Refers to the oversight function carried out by the board of directors, board risk committee and the executive management. Responsibilities at this level include ensuring effective management of operational risk and adherence to the approved operational risk policies.

Level 2

Refers to the management function carried out by operational risk management group. It has direct responsibility for formulating and implementing the Group's operational risk management framework including methodologies, policies and procedures approved by the board.

Level 3

Refers to the operational function carried out by all business units and support functions in the Group. These units/functions are fully responsible and accountable for the management of operational risk in their respective units. They work in liaison with operational risk management to define and review controls to mitigate identified risks. Internal audit provides independent assessment and evaluation of the Group's operational risk management framework. This periodic confirmation of the existence and utilization of controls in compliance with approved policies and procedures, provide assurance as to the effectiveness of the Group's operational risk management framework. Importantly, the tools used to assess, measure and monitor operational risks in the Group include but not limited to a loss database of operational risk events; an effective risk and control self-assessment process that helps to analyze business activities and identify operational risks that could affect the achievement of business objectives; and key risk indicators which are used to monitor operational risks on an ongoing basis.

The Group's operational risk framework

The Group's current operational risk framework was implemented to meet internal and regulatory requirements. There has been significant investment in the implementation of improved measurement and management approaches for operational risk to strengthen control, improve customer service, improve process efficiencies and minimize operating losses. The Group recognizes the fact that It is neither cost-effective nor possible to attempt to eliminate all operational risks.

Events of small significance are thus expected to occur and are accepted as inevitable with relevant budgeting for these losses being exercised where appropriate. Events of material significance are limited and the Group seeks to reduce the risk from these extreme events in a framework consistent with its agreed risk appetite. Processes are in place to monitor management and future

mitigation of such events. The role of risk department is to establish, implement and maintain the operational risk framework for the modelling and managing of the Group's operational risk, while reinforcing and enabling operational risk management culture throughout the Group. The aim is to integrate, based on international norms and best practices, all operational risk activities and to compile a reliable operational risk profile contributing to the Group's risk- reward profile. The key advantage introduced by the current framework is the financial quantification and modelling of operational risks. This functionality has significantly improved the Group's operational risk measurement and management capabilities.

Management and control responsibilities

The first line of governance for managing operational risk rests with business and operational risk management that forms part of the day-to-day responsibilities of all business unit management. Business unit staff report any identified breakdowns in control and any risk events that may result in financial loss and/or reputation damage. Amongst others, business management are responsible to ensure that processes for identifying and addressing ineffective controls and the mitigating of risk events are implemented and executed.

Operational risk teams form the secondary line of governance by ensuring that processes to identify weaknesses are effective and identified weaknesses are acted upon. The Group operational risk profile is presented to the Board quarterly. Control effectiveness is monitored at the Risk Management Committee and at the Board; and the multi-layered system of defenses ensures pro-active operational risk management.

Measuring and managing operational risk

The Group recognizes the significance of operational risk and is committed to enhancing the measurement and management thereof. Within the Group's operational risk framework, qualitative and quantitative methodologies and tools are applied Group-wide to identify and assess operational risks and to provide management information for determining appropriate mitigating measures.

Risk event data collection and reporting

A standard process is used Group-wide for the recognition, capture, assessment, analysis and reporting of risk events. This process is used to help identify where process and control requirements are needed to reduce the recurrence of risk events. Risk events are loaded onto a central database and reported monthly to the ERMC.

Risk and control self-assessments (RCSA)

In order to pro-actively identify and actively mitigate risks, the operational risk framework utilizes RCSAs. RCSA is used at a granular level to identify relevant material risks and key controls mitigating these risks. The risks and controls are assessed on a quarterly basis and relevant action plans are put in place to treat, tolerate, terminate or transfer the risks, taking into account the relevant business risk appetites. The RCSA programme is extensive and covers the entire Group. The Internal Audit further tests the effectiveness of the RCSAs within the normal course of auditing and relevant metrics are monitored and actioned where relevant.

Key risk indicators (KRIs)

A comprehensive set of KRIs are in place across the Group, with relevant and agreed thresholds set by the business. KRIs are monitored on a Group as well as business unit level, based on significance. Threshold breaches are managed in accordance with an agreed process across the Group.

Reporting

Business units are required to report on both a regular and an event-driven basis. The reports include a profile of the key risks to their business objectives, RCSA and KRI results, and operational risk events. Risk reports are presented to executive management and risk committees.

Information Security and Continuity of Business

Information security and the protection of confidential and sensitive customer data are priority of the Company. The Group has developed and implemented an Information Security Risk Management framework that is in line with best practice. The framework is reviewed and enhanced regularly to address emerging threats to customers' information.

A critical tool in managing our operational risk is the Business Continuity Plan (BCP) that documents the procedures to be executed by relevant teams in the event of a disaster. The Group assesses the feasibility of its BCP annually by simulating a disaster and gaps noted are properly addressed to ensure that business operations are not disrupted in the event of a disaster.

Credit Risk Management

Credit risk arises from the failure of a counterparty of the Company to repay amount due as at an agreed date or failure to perform as agreed. Wapic's exposure to credit risk is primarily derived from the following activities:

- Unpaid premium from insured or brokers; and
- Non-recovery of claims paid from reinsurers.

The Group's Risk Management philosophy is that moderate and guarded risk attitude will ensure sustainable growth in shareholder's value and reputation. Wapic's policy is to set out specific rules for risk origination and management of the investment portfolio. The plan also sets out the roles and responsibilities of different individuals and committees charged with these responsibilities.

Wapic Insurance Group is exposed to risk relating to its debt holdings in its investment portfolio, outstanding premiums from brokers, co-insurance and the reliance on reinsurers to make payment when certain loss conditions are met.

Following NAICOM's introduction of a new prudential guideline which took effect on July 2015, the Group's investment policy was adjusted to accommodate the new limits set to guide Insurers asset allocation for both Policyholders' Funds and Shareholders' Funds. This led to the adjustments of the Group's limits on fixed income and money market instruments including portfolio composition limits, issuer type limits, aggregate issuer limits and corporate sector limits.

The Group's investment portfolio and receivables are exposed to credit risk through its fixed income money market instruments, trade receivables and reinsurance receivables. The total exposures from the Group's and Company's financial assets to credit risk are as follows:

31 December 2015						
In Thousands of Naira						
	Note					
Cash and cash equivalents	8	7,053, 721	53%	Cash and cash equivalents	3,320,235	46%
Fixed income instruments	9	3,568, 739	27%	Fixed income instruments	1,627,496	22%
Held for trading assets	9	109	0%	Held for trading assets	11	0%
Trade receivables	10	552,079	4%	Trade receivables	534,723	7%
Other receivables (excluding prepayments)	13	1,174,204	9%	Other receivables (excluding prepayments)	1,256,940	17%
Reinsurance assets (excluding prepaid reinsurance)	11	391,265	3%	Reinsurance assets (excluding prepaid reinsurance)	238,287	3%
Statutory deposit	19	521,547	4%	Statutory deposit	300,000	4%
		13,261,664	100%		7,277,692	100%

31 December 2014						
In Thousands of Naira						
	Note					
Cash and cash equivalents	8	5,173,243	41%	Cash and cash equivalents	3,190,253	42%
Fixed income instruments	9	6,598,362	52%	Fixed income instruments	3,843,061	50%
Held for trading assets	9	10,083	0%	Held for trading assets	9,827	0%
Trade receivables	10	2,699	0%	Trade receivables	-	0%
Other receivables (excluding prepayments)	13	167,628	1%	Other receivables (excluding prepayments)	81,193	1%
Reinsurance assets (excluding prepaid reinsurance)	11	274,472	2%	Reinsurance assets (excluding prepaid reinsurance)	227,451	3%
Statutory deposit	19	518,508	4%	Statutory deposit	300,000	4%
		12,744,995	100%		7,651,785	100%

The Group's exposure to credit risk is low as Government sector (Government bonds and Treasury bills) and money market accounted for 83% of the investment as at 31 December 2015 (93% in 31 December 2014).

The Group further manages its exposure to credit risk through counterparty risk via established limits as approved by the Board. These limits are determined based on credit ratings of the counterparty amongst other factors. All fixed income investments are measured for performance on a quarterly basis and monitored by management on a monthly basis.

The Company's counterparty exposure as at 31 December 2015 is represented below:

Company Portfolio				
Counterparty		**Investment in money market**		%
National Banks		2,704,197		93%
Discount House		202,819		7%
Others		-		0%
Total		**2,907,016**		**100%**

The Company's exposure to banks and finance houses at 31 December 2014 is represented below:

Company Portfolio				
Counterparty		**Investment in money market**		%
National Banks		2,506,152		84%
Discount House		373,005		13%
Others		101,918		3%
Total		**2,981,075**		**100%**

Reinsurance contract is executed only with reinsurers with a minimum acceptable credit rating. The creditworthiness of all reinsurers is monitored and reported to management by the Risk Management function by reviewing their annual financial statements and qualitative observations through formal and informal communication channels. Reinsurance treaties are reviewed annually by management prior to renewal of the reinsurance contract.

Aside credit risk exposure from our investment policies, the Group is also exposed to this risk from its core business – outstanding premiums from clients.

Trade receivables are short-term in nature consisting of a large number of policyholders and are subject to moderate credit risk. The Group categorizes its exposure to this risk based on business sources (namely Agents, Brokers and Insurance Companies) and periodically reviews trade receivable to ensure credit worthiness.

Credit risk exposure to trade receivables arises from the 30 days window given by NAICOM in the "No Premium No Cover" (NPNC) policy. This gives brokers the latitude to withhold premiums collected from insured for 30 day. However, they are expected to issue their credit note and remit the premiums at the expiration of the 30 days grace period. Brokers who fails to remit are reported on quarterly basis to NAICOM and are subject to the downgrading process in the Group's Credit Policy Guide. The Group's risk exposure to credit risk is low as the receipt of insurance premium from the insured is a pre-condition for the issuance of insurance cover.

Market Risk Management

The financial markets of Nigeria and Ghana were adversely affected by volatility in the markets. Wapic Insurance Plc's ability to meet business objectives was affected by the adverse changes in the major market risk factors: interest rates, foreign exchange rates, equity prices, and property prices. Wapic's identification, management, control, measurement and reporting of market risk is designed along the following major risk factors;

1. Interest rate risk
2. Foreign exchange risk
3. Equity price risk

1. Interest rate risk

Interest rate risk is the exposure of the Group's financial condition to adverse movements in interest rates, yield curves and credit spreads. The Group is exposed to interest rate risk through the interest bearing assets and liabilities in the company's books. The Company is significantly exposed to interest-rate risk as the percentage of interest yielding assets to AUM is significant. Also, the Group is exposed to interest rate risk through its Life underwriting investment policies that have guaranteed interest rate. As a result, the Company's investment income move in the direction of interest rate in the short and medium term. The drop in the Central Bank of Nigeria (CBN) Monetary Policy Rate (MPR) in November 2015 from 13 percent to 11 percent and the contractionary direction of monetary policy saw a sharp drop in interest with Treasury Bills getting as low as 1 percent. This development presents a big challenge for 2016 investment income. The Investment Team have reviewed the current asset allocation to ensure an optimal yield given the falling interest rates and the slowdown in the economy.

Market Risk						
Group - 31 December 2015						
Assets						
In thousands of Naira						
Cash and cash equivalents	7,053,721	-	7,053,721	-	-	-
Debt securities - Held to maturity	3,568,739	-	1,879,947	30,000	-	1,658,792
Statutory deposit	521,547	-	-	-	-	521,547
	11,144,007	-	8,933,668	30,000	-	2,180,339
Liabilities	1,196,180	1,196,180	-	-	-	-
Liabilities on investment contracts	1,196,180	1,196,180	-	-	-	-
Total interest re-pricing gap	**9,947,827**	**(1,196,180)**	**8,933,668**	**30,000**	**-**	**2,180,339**
Cumulative	9,947,827	(1,196,180)	7,737,488	7,767,488	7,767,488	9,947,827
Increase by 100bp	99,478	(11,962)	89,337	300	-	21,803
Increase by 500bp	497,391	(59,809)	446,683	1,500	-	109,017
Decrease by 100bp	(99,478)	11,962	(89,337)	(300)	-	(21,803)
Decrease by 500bp	(497,391)	59,809	(446,683)	(1,500)	-	(109,017)

Market Risk						
Group - 31 December 2014						
Assets						
In thousands of Naira						
Cash and cash equivalents	5,173,243	-	5,173,243	-	-	-
Debt securities - Held to maturity	6,598,362	-	4,443,392	490,302	852,244	812,424
Statutory deposit	518,508	-	-	-	-	518,508
	12,290,113	-	9,616,635	490,302	852,244	1,330,932
Liabilities	1,176,266	1,176,266	-	-	-	-
Liabilities on investment contracts	1,176,266	1,176,266	-	-	-	-
Total interest re-pricing gap	**11,113,847**	**(1,176,266)**	**9,616,635**	**490,302**	**852,244**	**1,330,932**
Cumulative	11,113,847	(1,176,266)	8,440,369	8,930,671	9,782,915	11,113,847
Increase by 100bp	111,138	(11,763)	96,166	4,903	8,522	13,309
Increase by 500bp	555,692	(58,813)	480,832	24,515	42,612	66,547
Decrease by 100bp	(111,138)	11,763	(96,166)	(4,903)	(8,522)	(13,309)
Decrease by 500bp	(555,692)	58,813	(480,832)	(24,515)	(42,612)	(66,547)

Fair value sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the reporting period would not affect profit or loss.

The table below shows the impact on the Group's profit before tax if interest rates on financial instruments had increased or decreased by 100 basis points, with all other variables held constant.

In thousands of Naira	31 Dec. 2015	31 Dec. 2014
Increase in interest rate by 2000 basis points	268,423	267,982
Decrease in interest rate by 1000 basis point	(134,212)	(133,991)

A summary of the Company's interest rate gap position on non-trading portfolios was as follows

Market Risk

Re-pricing period						
Company - 31 December 2015						
Assets						
In thousands of Naira						
Cash and cash equivalents	3,320,235	-	3,320,235	-	-	-
Debt securities - Held to maturity	1,627,496	-	486,845	30,000	-	1,110,651
Statutory deposit	300,000	-	-	-	-	300.000
	5,247,731	-	3,807,080	30,000	-	1,410,651
Liabilities	-	-	-	-	-	-
Liabilities on investment contracts	-	-	-	-	-	-
Total interest re-pricing gap	**5,247,731**	**-**	**3,807,080**	**30,000**	**-**	**1,410,651**
Cumulative	5,247,731	-	3,807,080	3,837,080	3,837,080	5,247,731
Increase by 100bp	52,477	-	38,071	300	-	14,107
Increase by 500bp	262,387	-	190,354	1,500	-	70,533
Decrease by 100bp	(52,477)	-	(38,071)	(300)	-	(14,107)
Decrease by 500bp	(262,387)	-	(190,354)	(1,500)	-	(70,533)

A summary of the Company's interest rate gap position on non- trading portfolios was as follows:

Market Risk

Re-pricing period						
Company - 31 December 2014						
Assets						
In thousands of Naira						
Cash and cash equivalents	3,190,253	-	3,190,253	-	-	-
Debt securities - Held to maturity	3,843,061	-	3,340,487	-	-	502,574
Statutory deposit	300,000	-	-	-	-	300,000
	7,033,314	-	6,530,740	-	-	502,574
Liabilities		-	-	-	-	-
Liabilities on investment contracts	-	-	-	-	-	-
Total interest re-pricing gap	**7,033,314**	**-**	**6,530,740**	**-**	**-**	**502,574**
Cumulative	7,033,314	-	6,530,740	6,530,740	6,530,740	7,033,314
Increase by 100bp	70,333	-	65,307	-	-	5,026
Increase by 500bp	351,666	-	326,537	-	-	25,129
Decrease by 100bp	(70,333)	-	(65,307)	-	-	(5,026)
Decrease by 500bp	(351,666)	-	(326,537)	-	-	(25,129)

Fair value sensitivity analysis for fixed rate instruments

The Group does not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the reporting period would not affect profit or loss.

The table below shows the impact on the Group's profit before tax if interest rates on financial instruments had increased or decreased by 100 basis points, with all other variables held constant.

In thousands of Naira	31 Dec. 2015	31 Dec. 2014
Increase in interest rate by 2000 basis points	160,711	182,001
Decrease in interest rate by 1000 basis point	(80,356)	(91,001)

Foreign exchange risk

Foreign exchange risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates.

Foreign exchange risk exposure of the Group's financial condition is due to adverse movements in exchange rates. The Group is exposed to foreign exchange currency risk primarily through transactions denominated in foreign currency. The Group is also exposed to foreign currency fluctuation in its investments in unquoted equity, dollar-denominated bond instruments, fixed deposits and bank balances in other foreign currencies.

The Group's foreign exchange risk is considered at a Group level since an effective overview of such risk is a critical element of the Group's asset/liability risk management. The Board of Directors defines its risk tolerance levels and expectations for foreign exchange risk management and ensures that the risk is maintained at prudent levels.

Both the Central Bank of Nigeria and Bank of Ghana came up with different foreign exchange restriction policies due to the persistent weakening of the Naira and Cedi in 2015. Prominent of these policies are: the highly debated 41-item list banned from obtaining foreign exchange at the interbank segment, and the embargo placed on foreign currency denominated cash deposits. These policies increased the volatility in the parallel market as almost all transactions (tangible and invisible) were technically denied access to foreign exchange.

The Group was adversely affected by these policies as it had to source US dollars in the parallel market to recapitalize Wapic Ghana. Additionally, Wapic Ghana's performance was also adversely affected because of the depreciation of the Cedi and translation losses reported upon consolidation.

Foreign exchange risk is quantified using the net balance of assets and liabilities in each currency, and their total sum. The Group is exposed to foreign exchange risk through cash balances maintained in foreign currency. The Group is not exposed to significant risk of adverse movements in foreign exchange rates. The financial position of the company has no significant sensitivity to foreign exchange risk.

The table below summaries the Group's financial instruments at carrying amount, categorised by currency:

31 December 2015								
Group								
In thousands of Naira								
Assets								
Cash and cash equivalents	8	7,053,721	6,385,056	596,737	15,194	26,560	30,175	-
Equity securities - Available-for-sale	9	743,973	721,667	22,306	-	-	-	-
Debt securities - Held to maturity	9	3,568,739	2,180,771	693,926	-	-	694,042	-
Non pledged trading assets	9	109	109	-	-	-	-	-
Trade receivables	10	552,079	552,079	-	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	11	391,265	277,606	-	-	-	113,659	-
Other receivables (excluding prepayments)	13	1,174,204	365,698	779,387	-	-	29,119	-
Statutory deposit	19	521,547	500,000	-	-	-	21,547	
Total financial assets		**14,005,636**	**10,982,985**	**2,092,356**	**15,194**	**26,560**	**888,542**	**-**
Liabilities								
Investment contract liabilities	21	1,196,180	1,196,180	-	-	-	-	-
Trade Payables	22	210,576	129,240	-	-	-	81,336	-
Other payables (excluding non-financial liabilities)	23	2,408,179	2,298,545	-	-	-	109,634	-
Total financial liabilities		3,814,935	3,623,965	-	-	-	190,970	-
Net financial assets/liabilities		**10,190,701**	**7,359,020**	**2,092,356**	**15,194**	**26,560**	**697,572**	**-**
Insurance contract liabilities	20	4,676,611	4,140,044	-	-	-	536,567	-
Net policyholders' assets/(liabilities)		**5,514,090**	**3,218,976**	**2,092,356**	**15,194**	**26,560**	**161,005**	**-**

31 December 2014								
Group								
In thousands of Naira								
Assets								
Cash and cash equivalents	8	5,173,243	5,077,747	68,753	12,618	50	14,075	-
Equity securities - Available-for-sale	9	2,178,051	2,171,556	6,495	-	-	-	-
Debt securities - Held to maturity	9	6,598,362	5,746,118	-	-	-	852,244	-
Non pledged trading assets	9	10,083	10,083	-	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	11	274,472	274,472	-	-	-	-	-
Trade receivables	10	2,699	2,699	-	-	-	-	-
Other receivables (excluding prepayments)	13	167,628	151,097	-	-	-	16,531	-
Statutory deposit	19	518,508	500,000	-	-	-	18,508	-
Total financial assets		**14,923,046**	**13,933,771**	**75,248**	**12,618**	**50**	**901,358**	**-**
Liabilities								
Investment contract liabilities	21	1,176,266	1,176,266	-	-	-	-	
Trade Payables	22	417,655	-	-	-	-	-	-
Other payables (excluding non-financial liabilities)	23	2,823,570	2,683,069	-	-	-	140,501	-
Total financial liabilities		4,417,491	3,859,335	-	-	-	140,501	-
Net financial assets/liabilities		**10,505,555**	**10,074,436**	**75,248**	**12,618**	**50**	**760,857**	**-**
Insurance contract liabilities	20	3,070,797	2,905,486	-	-	-	165,311	-
Net policyholders' assets/(liabilities)		**7,434,758**	**7,168,950**	**75,248**	**12,618**	**50**	**595,546**	**-**

The table below summaries the Group's financial instruments at carrying amount, categorised by currency:

31 December 2015							
Company							
In thousands of Naira							
Assets							
Cash and cash equivalents	8	3,320,235	3,287,098	3,839	10,679	18,619	-
Equity securities - Available-for-sale	9	703,474	681,168	22,306	-	-	-
Debt securities - Held to maturity	9	1,627,496	933,570	693,926	-	-	-
Non pledged trading assets	9	11	11	-	-	-	-
Trade receivables	10	534,723	534,723	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	11	238,287	238,287	-	-	-	-
Other receivables (excluding prepayments)	13	1,256,940	477,553	779,387	-	-	-
Statutory deposit	19	300,00	300,00	-	-	-	-
Total financial assets		**7,981,165**	**6,452,409**	**1,499,458**	**10,679**	**18,619**	**-**
Liabilities							
Trade Payables	22	104,066	104,066	-	-	-	-
Other payables (excluding non-financial liabilities)	23	2,152,544	2,152,544	-	-	-	-
Total financial liabilities		2,256,610	2,256,610	-	-	-	-
Net financial assets/liabilities		**5,724,555**	**4,195,799**	**1,499,458**	**10,679**	**18,619**	**-**
Insurance contract liabilities	20	3,200,391	3,200,391	-	-	-	-
Net policyholders' assets/(liabilities)		**2,524,164**	**995,408**	**1,499,458**	**10,679**	**18,619**	**-**

31 December 2014							
Company							
In thousands of Naira							
Assets							
Cash and cash equivalents	8	3,190,253	3,116,855	60,730	12,618	50	-
Equity securities - Available-for-sale	9	2,178,051	2,171,556	6,495	-	-	-
Debt securities - Held to maturity	9	3,843,061	3,843,061	-	-	-	-
Non pledged trading assets	9	9,827	9,827	-	-	-	-
Trade receivables	10	-	-	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	11	227,451	227,451	-	-	-	-
Other receivables (excluding prepayments)	13	81,193	81,193	-	-	-	-
Statutory deposit	19	300,000	300,000	-	-	-	-
Total financial assets		**9,829,836**	**9,749,943**	**67,225**	**12,618**	**50**	**-**
Liabilities							
Trade Payables	22	328,885	328,885	-	-	-	-
Other payables (excluding non-financial liabilities)	23	2,670,128	2,670,128	-	-	-	-
Total financial liabilities		2,999,013	2,999,013	-	-	-	-
Net financial assets/liabilities		**6,830,823**	**6,750,930**	**67,225**	**12,618**	**50**	**-**
Insurance contract liabilities	20	2,201,313	2,201,313	-	-	-	-
Net policyholders' assets/(liabilities)		**4,629,510**	**4,549,617**	**67,225**	**12,618**	**50**	**-**

Equity Price Risk

The Group is exposed to equity price risks arising from equity investments. This exposure is managed through the adherence to investment in good fundamentals equities approved by the Board and in line with NAICOM investment guidelines.

Asset allocation to investment in equity is shown below

	Group		Company	
	31-Dec-2015		31-Dec-2015	
Allocation Target	Quoted Equities	Unquoted Equities	Quoted Equities	Unquoted Equities
Insurance fund	0%	0%	0%	0%
Shareholders fund	4%	1%	5%	0%

	Group		Company	
	31-Dec-2014		31-Dec-2014	
Allocation Target	Quoted Equities	Unquoted Equities	Quoted Equities	Unquoted Equities
Insurance fund	0%	0%	0%	0%
Shareholders fund	2%	13%	2%	13%

The equity price changes are monitored by the Investment Management Committee (IMC) and the holdings are adjusted when there are deviations from the investment policy. The Group manages its exposure to equity price risk using sensitivity analysis to assess potential changes in the value of investment in equities and the impact of such changes on the Group's investment income. There have been no major changes from prior period in the exposure to risk or policies, procedures and methods used to monitor and measure the Group equity price risk.

Below is the Group and Company quity price sensitivity:

	Group		Company	
	2015	2014	2015	2014
	31-Dec	31-Dec	31-Dec	31-Dec
	Increase/ Decrease by 100Bp	Increase/ Decrease by 100Bp	Increase/ Decrease by 100Bp	Increase/ Decrease by 100Bp
Listed Equities (HFT)	4	403	0	393
Listed Equities (AFS)	26,729	12,124	26,729	12,124
Unlisted Equities (AFS)	3,030	74,998	1,410	74,998
Impact on profit before tax	4	403	0	393
Tax charge of 30%	(1)	(121)	(0)	(118)
Impact on profit after tax	3	282	0	275
Impact on equity	29,762	87,404	28,139	87,397

Liquidity Risk Management

Liquidity risk is the risk that a company may be unable to meet short term financial demands. This usually occurs due to the inability to convert a security or hard asset to cash without a loss of capital and / or income in the process. The Group mitigates this risk by monitoring cash activities and expected outflows. The Group's current liabilities arise as claims are made and clients request for termination of their investment-linked products. The Group has zero tolerance for liquidity risk and is committed to meeting all liabilities as they fall due.

The Board approves the Group's liquidity policy and contingency funding plan, including establishing liquidity risk tolerance levels. The Board and its committees, monitors our liquidity position and reviews the impact of strategic decisions on our liquidity. Liquidity positions are measured by calculating the Group's net liquidity gap.

Below is a summary of the contractual re-pricing or maturity dates (whichever is earlier) of financial assets matched with financial liabilities.

Quantifications

Wapic Insurance Plc adopts both qualitative and quantitative approaches to measuring liquidity risk. Specifically, the Company uses the following techniques;

a) Funding and Liquidity plan;

b) Gap Analysis; and

c) Ratio Analysis.

The Funding and Liquidity plan defines the Group's sources and channels of utilization of funds. The funding liquidity risk limit is quantified by calculating liquidity ratios and measuring/monitoring the cumulative gap between our assets and liabilities. The Liquidity Gap Analysis quantifies the monthly and cumulative gap in a business environment. The gap for any given tenor bucket represents the liabilities to, or placements made, the market required to replace maturing liabilities or assets. The Company monitors the cumulative gap as a ±20% of the total risk assets and the gap as a ±20% of total liabilities.

The following table shows the undiscounted cash flows on the Group's financial assets and liabilities, as well as on the basis of their earliest possible contractual maturity. The Gross nominal inflow / (outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial asset and liability.

Residual contractual maturities of financial assets and liabilities

Group - 31 December 2015						
In thousands of Naira						
Assets						
Cash and cash equivalents	7,053,721	7,053,721	7,053,721	-	-	-
Equity securities - Available-for-sale	743,973	743,973	743,973	-	-	-
Investmentat fair value through profit or loss	109	109	109	-	-	-
Held to maturity	3,568,739	3,568,739	1,879,947	-	446,714	1,242,078
Trade receivables	552,079	552,079	552,079	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	391,265	391,265	391,265	-	-	-
Other receivables (excluding prepayments)	1,174,204	1,174,204	734,376	-	-	439,828
Statutory deposit	521,547	521,547	-	-	-	521,547
Total financial assets	**14,005,636**	**14,005,636**	**11,355,469**	**-**	**446,714**	**2,203,453**
Liabilities						
Investment contracts	1,196,180	1,196,180	1,196,180	-	-	-
Trade payables	210,576	210,576	210,576	-	-	-
Other payables (excluding non-financial liabilities)	2,408,179	2,408,179	2,408,179	-	-	-
Total financial liabilities	**3,814,935**	**3,814,935**	**3,814,935**	**-**	**-**	**-**
Gap - Net financial assets/liabilities	**10,190,701**	**10,190,701**	**7,540,534**	**-**	**446,714**	**2,203,453**
Insurance liabilities	4,676,611	4,676,611	4,676,611	-	-	-
Gap - Net policyholders' assets/(liabilities)	**5,514,090**	**5,514,090**	**2,863,923**	**-**	**446,714**	**2,203,453**
Cumulative liquidity gap	5,514,090	5,514,090	2,863,923	2,863,923	3,310,637	5,514,090

Residual contractual maturities of financial assets and liabilities

Group - 31 December 2014						
In thousands of Naira						
Assets						
Cash and cash equivalents	5,173,243	5,173,243	5,173,243	-	-	-
Equity securities - Available-for-sale	2,178,051	2,178,051	2,178,051	-	-	-
Investmentat fair value through profit or loss	10,083	10,083	10,083	-	-	-
Held to maturity	6,598,362	6,598,362	4,443,392	490,302	852,244	812,424
Trade receivables	2,699	2,699	2,699	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	274,472	274,472	274,472	-	-	-
Other receivables (excluding prepayments)	167,628	167,628	167,628	-	-	-
Statutory deposit	518,508	518,508	-	-	-	518,508
Total financial assets	**14,923,046**	**14,923,046**	**12,249,568**	**490,302**	**852,244**	**1,330,932**
Liabilities						
Investment contracts	1,176,266	1,176,266	1,176,266	-	-	-
Trade payables	417,655	417,655	417,655	-	-	-
Other payables (excluding non-financial liabilities)	2,823,570	2,823,570	2,823,570	-	-	-
Total financial liabilities	**4,417,491**	**4,417,491**	**4,417,491**	**-**	**-**	**-**
Gap - Net financial assets/liabilities	**10,505,555**	**10,505,555**	**7,832,077**	**490,302**	**852,244**	**1,330,932**
Insurance liabilities	3,070,797	3,070,797	-	-	-	3,070,797
Gap - Net policyholders' assets/(liabilities)	**7,434,758**	**7,434,758**	**7,832,077**	**490,302**	**852,244**	**(1,739,865)**
Cumulative liquidity gap	7,434,758	7,434,758	7,832,077	8,322,379	9,174,623	7,434,758

The following table shows the undiscounted cash flows on the Company's financial assets and liabilities, as well as on the basis of their earliest possible contractual maturity. The Gross nominal inflow / (outflow) disclosed in the table is the contractual, undiscounted cash flow on the financial asset or liability.

Residual contractual maturities of financial assets and liabilities

Company - 31 December 2015						
In thousands of Naira						
Assets						
Cash and cash equivalents	3,320,235	3,320,235	3,320,235	-	-	-
Equity securities - Available-for-sale	703,474	703,474	-	-	-	703,474
Investmentat fair value through profit or loss	11	11	11	-	-	-
Held to maturity	1,627,496	1,627,496	486,845	-	446,714	693,938
Trade receivables	534,723	534,723	534,723	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	238,287	238,287	238,287	-	-	-
Other receivables (excluding prepayments)	1,256,940	1,256,940	817,112	-	-	439,828
Statutory deposit	300,000	300,000	-	-	-	300,000
Total financial assets	**7,981,165**	**7,981,165**	**5,397,212**	**-**	**446,714**	**2,137,239**
Liabilities						
Trade payables	104,066	104,066	104,066	-	-	-
Other payables (excluding non-financial liabilities)	2,152,544	2,152,544	2,152,544	-	-	-
Total financial liabilities	**2,256,610**	**2,256,610**	**2,256,610**	**-**	**-**	**-**
Gap - Net financial assets/liabilities	**5,724,555**	**5,724,555**	**3,140,602**	**-**	**446,714**	**2,137,239**
Insurance liabilities	3,200,391	3,200,391	3,200,391	-	-	-
Gap - Net policyholders' assets/(liabilities)	**2,524,164**	**2,524,164**	**(59,789)**	**-**	**446,714**	**2,137,239**
Cumulative liquidity gap	2,524,164	2,524,164	(59,789)	(59,789)	386,925	2,524,164

Residual contractual maturities of financial assets and liabilities

Company - 31 December 2014						
In thousands of Naira						
Assets						
Cash and cash equivalents	3,190,253	3,190,253	3,190,253	-	-	-
Equity securities - Available-for-sale	2,178,051	2,178,051	-	-	-	2,178,051
Investmentat fair value through profit or loss	9,827	9,827	9,827	-	-	-
Held to maturity	3,843,061	3,843,061	2,850,185	490,302	-	502,574
Trade receivables	-	-	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	227,451	227,451	227,451	-	-	-
Other receivables (excluding prepayments)	81,193	81,193	81,193	-	-	-
Statutory deposit	300,000	300,000	-	-	-	300,000
Total financial assets	**9,829,836**	**9,829,836**	**6,358,909**	**490,302**	**-**	**2,980,625**
Liabilities						
Trade payables	328,885	328,885	328,885	-	-	-
Other payables (excluding non-financial liabilities)	2,670,128	2,670,128	2,670,128	-	-	-
Total financial liabilities	**2,999,013**	**2,999,013**	**2,999,013**	**-**	**-**	**-**
Gap - Net financial assets/liabilities	**6,830,823**	**6,830,823**	**3,359,896**	**490,302**	**-**	**2,980,625**
Insurance liabilities	2,201,313	2,201,313	2,201,313	-	-	-
Gap - Net policyholders' assets/(liabilities)	**4,629,510**	**4,629,510**	**1,158,583**	**490,302**	**-**	**2,980,625**
Cumulative liquidity gap	4,629,510	4,629,510	1,158,583	1,648,885	1,648,885	4,629,510

The following table shows amount expected to be recovered or settled after more than twelve months (non-current) for each asset and liability line item and the amounts expected to be recovered or settled no more than twelve months after the reporting period (current).

Group						
	31 December 2015			31 December 2014		
In Thousands of Naira						
Assets						
Cash and cash equivalents	7,053,721	-	7,053,721	5,173,243	-	5,173,243
Financial assets	3,070,742	1,242,078	4,312,821	7,974,072	812,424	8,786,496
Trade Receivables	552,079	-	552,079	2,699	-	2,699
Reinsurance assets	922,583	-	922,583	667,928	-	667,928
Deferred acquisition	414,545	-	414,545	253,508	-	253,508
Other receivables and repayments	785,293	439,828	1,225,121	314,624	-	314,624
Investment property	-	674,950	674,950	-	4,056,314	4,056,314
Investment in associates	-	5,244,301	5,244,301	-	-	-
Investments in subsidiaries	-	-	-	-	-	-
Intangible assets	-	35,065	35,065	-	49,814	49,814
Property and equipment	-	2,374,524	2,374,524	-	1,570,978	1,570,978
Deferred tax asset	-	363,353	363,353	-	664,759	664,759
Statutory deposit	-	521,547	521,547	-	518,508	518,508
Total Assets	**12,798,964**	**10,895,646**	**23,694,610**	**14,386,074**	**7,672,797**	**22,058,871**
Liabilities						
Insurance contract liabilities	4,533,660	142,951	4,676,611	2,956,831	113,966	3,070,797
Investment contract liabilities	1,196,180	-	1,196,180	1,176,266	-	1,176,266
Trade Payables	210,576	-	210,576	417,655	-	417,655
Other payables	2,496,916	-	2,496,916	2,893,034	-	2,893,034
Current income tax	152,029	-	152,029	300,498	-	300,498
Total Liabilities	**8,589,361**	**142,951**	**8,732,312**	**7,744,284**	**113,966**	**7,858,250**
Gap	4,209,603	10,752,695	14,962,298	6,641,790	7,558,831	14,200,621

The following table shows amount expected to be recovered or settled after more than twelve months (non-current) for each asset and liability line item and the amounts expected to be recovered or settled no more than twelve months after the reporting period (current).

Company						
	31 December 2015			31 December 2014		
In Thousands of Naira						
Assets						
Cash and cash equivalents	3,320,235	-	3,320,235	3,190,253	-	3,190,253
Financial assets	933,570	1,397,411	2,330,981	3,350,314	2,680,625	6,030,939
Trade Receivables	534,723	-	534,723	-	-	-
Reinsurance assets	724,547	-	724,547	618,021	-	618,021
Deferred acquisition	339,529	-	339,529	214,138	-	214,138
Other receivables and repayments	845,122	439,828	1,284,950	203,031	-	203,031
Investment property	-	639,950	639,950	-	4,021,314	4,021,314
Investment in associates	-	4,364,339	4,364,339	-	-	-
Investments in subsidiaries	-	3,876,571	3,876,571	-	3,231,976	3,231,976
Intangible assets	-	31,844	31,844	-	45,835	45,835
Property and equipment	-	2,284,511	2,284,511	-	1,480,074	1,480,074
Deferred tax asset	-	131,679	131,679	-	479,583	479,583
Statutory deposit	-	300,00	300,00	-	300,00	300,000
Total Assets	**6,697,726**	**13,466,133**	**20,163,859**	**7,575,757**	**12,239,407**	**19,815,164**
Liabilities						
Insurance contract liabilities	3,200,391	-	3,200,391	2,201,313	-	2,201,313
Trade Payables	104,066	-	104,066	328,885	-	328,885
Other payables	2,228,084	-	2,228,084	2,731,208	-	2,731,208
Current income tax	57,636	-	57,636	162,681	-	162,681
Total Liabilities	**5,590,177**	**-**	**5,590,177**	**5,424,087**	**-**	**5,424,087**
Gap	1,107,549	13,466,133	14,573,682	2,151,670	12,239,407	14,391,077

Underwriting, Claims & Reinsurance risk

Underwriting is the process in which an insurer appraises a risk being presented by the proposer and deciding whether or not to accept the risk and the consideration (premium) to receive. Weaknesses in the systems and controls surrounding the underwriting process can expose an insurer to the risk of unexpected losses which may threaten the capital adequacy of the insurer. The Company's underwriting process is subject to internal audit.

Underwriting risk management and control:

Risk management department of the Company is responsible for the following:

- Ensure compliance with the regulatory requirements at it relates to underwriting;
- Coordinate issues tracking activities and ensure action plans are developed for all identified gaps;
- Collaborate with the underwriting risk committee to develop appetite and tolerance limits;
- Identify and manage the Company's underwriting risk;
- Review and approve reinsurance and retrocession arrangements as mandated by NAICOM.

Insurance risk

Insurance risk is the inherent uncertainty regarding the pricing, adverse selection, product design, net retention, reserving, occurrence, amount or timing of insurance liabilities. It also covers the future risk claims and expenses exceeding the value placed on insurance liabilities. The timing is specifically influenced by future mortality, longevity, morbidity, persistency and expenses about which assumptions are made in order to place a value on the liabilities. The company managed and monitored consistently within acceptable limits those exposures assumed in the course of providing insurance cover to insured risks.

Managing pricing risk

a) Individual life products – Term-assurance and savings plan

The price for an individual life product is adjusted for the following risk factors:

- Age;
- Gender;
- Smoker status;
- Medical conditions;
- Financial condition; and
- Hazardous pursuits.

The Company employs the following additional controls and measures to ensure that only acceptable risks are accepted and risks are appropriately priced:

- Underwriting controls, with risk classification based on the above risk factors;
- Regular review of premium rates; and
- Appropriate policy conditions, including any exclusion on the cover on the individual's life.
- Premium rates are guaranteed for the period up to the renewal of a policy, typically, after 1 year.

b) Deposit administration

Premium rating on deposit administration policies distinguishes between the ages and gender of prospective policyholders. Annual premiums, payable up front, are re-priced at renewal of the deposit administration policies.

c) Company life products

Underwriting on Company's business is much less stringent than for individual business, as there is typically less scope for anti-selection. The main reason for this is that participation in the Company schemes is normally compulsory and members have limited choice in the level of the benefits.

Company's policies are priced using standard mortality tables. The price for an individual scheme is adjusted for the following risk factors:

- Region;
- Salary structure;
- Gender structure; and
- Industry.

For large schemes, a scheme's past experience is a crucial input in setting rates for the scheme. Rates are guaranteed for one year and reviewable at the renewal of the policy.

d) Short-term insurance (general insurance) products

Underwriting on short-term insurance products takes the form of the insurance applicant completing a proposal form. The company used identified risk factors to classify the risk and charge the appropriate premium.

Where the value of the item(s) to be insured exceeds a pre-specified limit, the underwriting consideration becomes more stringent. This is particularly the case for marine and aviation cover. In this case the Company makes use of specialist to assess the risks and set an appropriate premium for cover.

Mortality and morbidity risks

The risk that actual experience in respect of the rates of mortality and morbidity may vary from what is assumed in pricing and valuation, depending on the terms of different products. The material classes of business most affected by these risks are discussed below.

a) Individual life products – Term assurance and Savings Plan

Products are sold directly to individuals providing a benefit on death. The main insurance risk relates to the possibility that rates of death may be higher than expected.

For contracts with fixed and guaranteed benefits (such as the minimum death benefits available on savings plan policies) and fixed future premiums, the Company employs additional underwriting controls and measures to manage its exposure to mortality risk. This includes but not limited to:

- Ensure that only acceptable risks are accepted.
- Claims assessment processes to ensure only valid claims are paid;
- Purchased reinsurance to limit liability on particularly large claims or substandard risks; and
- Concentration risk is reduced by diversification of business over a large number of independent lives, as well as by taking out catastrophe reinsurance.

b) Company life products

Employe benefit products provide life cover to members of a Company, such as employees of companies or members of trade unions.

An aggregate stop-loss reinsurance agreement is in place to ensure that the Company's exposure to the aggregate mortality risk in its Company life business is managed and limited to a specified limit.

In addition, there is a catastrophe reinsurance treaty in place for both Company business and individual business. Such a treaty is particularly important for the Company's life business as there are considerably more concentrations of risks compared to individual business.

c) Deposit administration

Deposit administration contracts provide a guaranteed life annuity conversion at the maturity of the contract. The mortality risk in this case is that the policyholders may live longer than assumed in the pricing of the contract. This is known as the risk of longevity.

The Company manages this risk by allowing for improvements in mortality when pricing and valuing the contracts. The Company also performs more detailed actuarial experience investigations and adjust assumptions in pricing for new contracts and valuation of existing contracts when necessary.

Outstanding claims

This represents the estimated ultimate cost of settling all claims arising from incidents occurring as at the date of the statement of financial position.

Claims management risk

This is the risk that the insurer may be unable to manage the settlement process by which insurers fulfil their contractual obligation to policyholders. The Company has in place a claims management policy and procedure for ensuring that claims are handled fairly and promptly. In establishing and maintaining effective claims handling systems and procedures, the Company considers the following factors:

- Appropriate systems and controls to ensure that all liabilities or potential liabilities notified to the insurer are recorded promptly and accurately. Accordingly, the systems and controls in place ensure that proper records are established for each notified claim;
- Suitable controls are maintained to ensure that estimates for reported claims and additional estimates are appropriately made on a consistent basis and are properly categorized;
- Regular reviews of the actual outcome of the estimates made is carried out to check for inconsistencies and to ensure that procedures remain appropriate. The reviews include the use of statistical techniques to compare the estimates with the eventual cost of settling the claims, after deducting the amounts already paid at the time the estimates were made;
- A functional system is in place to ensure that claim files without activity are reviewed on a regular basis;
- Appropriate systems and procedures are in place to assess the validity of notified claims by reference to the underlying contracts of insurance and reinsurance treaties;
- Suitable systems are adopted to accommodate the use of suitable experts such as loss adjusters, lawyers, actuaries, accountants etc. as and when appropriate, and to monitor their use; and
- Appropriate procedures are in place to identify and handle large or unusual claims, including system to ensure that senior management are involved from the outset in the processing of claims that are significant because of their size or nature.

Claims experience risk

In terms of the short-term insurance contracts held by the Company, the claims experience risk for these policies is that the number of claims and/or the monetary claim amounts are worse than that assumed in the pricing basis. The Company manages this risk by charging premiums which are appropriate to the risks under the insurance contracts.

Under the short-term insurance products, the Company also holds a concentration risk, which is the risk of a large number of claims from a single event or in a particular geographical area. The Company reduced this risk by diversification over a large number of uncorrelated risks, as well as arranged catastrophe reinsurance cover.

Reinsurance risk

This is the risk of inadequate reinsurance cover which may be triggered by a situation such as the insolvency of a reinsurer, omission to cede risk to the treaty, wrong cession to the treaty, assumption of risks without reinsurance cover, acceptance of risks above automatic capacity and there is already market saturation and non-payment of reinsurance premium as at

when due. The Company ensures that it manages reinsurance risk by maintaining adequate reinsurance arrangements and treaties in respect of the classes or category of insurance business authorized to transact. The Company particularly put in place a documented policy stating:

- Systems for the selection of reinsurance brokers and other reinsurance advisers;
- Systems for selecting and monitoring reinsurance programmes;
- Clearly defined managerial responsibilities and controls;
- Presence of a well-resourced reinsurance department that prepares clear methodologies for determining all aspects of a reinsurance programme.
- Senior management that review the Company's reinsurance management systems on a regular basis.
- Reinsurers were profiled and categorized into tiers in determining the company's exposure limit to reinsurers.

Technical Reserving methods

The provision for outstanding claims, including IBNR, was determined for each line of business on both gross and net of reinsurance basis. A yearly cohort from year 2006 has been adopted in building the historical claims. The UPR was calculated using a time – apportionment basis, in particular, the 365ths method. The UPR is calculated on the assumption that risk will occur evenly during the duration of the policy. Description of insurance reserves by segment.

IBNR

	Group		Company	
In thousands of Naira				
Class of business				
Aviation	14,021	13,506	14,021	13,506
Bonds	-	-	-	-
Engineering	62,987	38,739	45,877	38,739
Fire	43,989	25,515	37,543	25,515
General Accident	306,190	166,685	300,066	166,685
Marine	34,680	16,071	33,304	16,071
Motor	169,400	42,530	48,126	42,530
Oil and Energy	399,360	353,805	399,360	353,805
Group Life	492,432	394,470	-	-
Total				

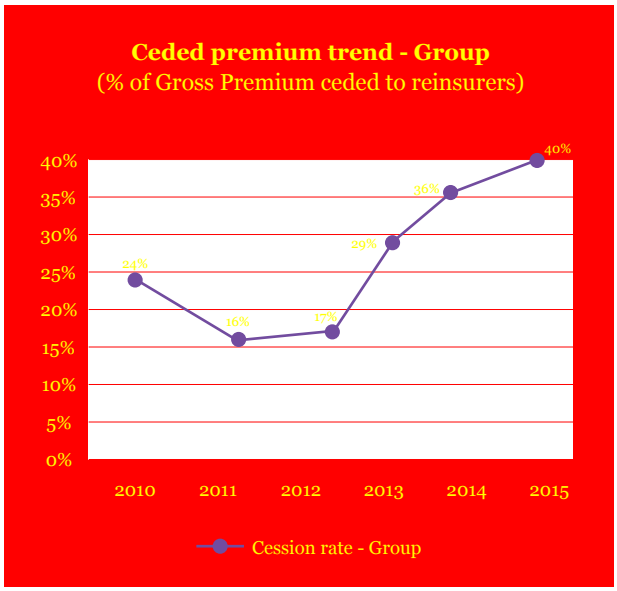
UPR and Life fund

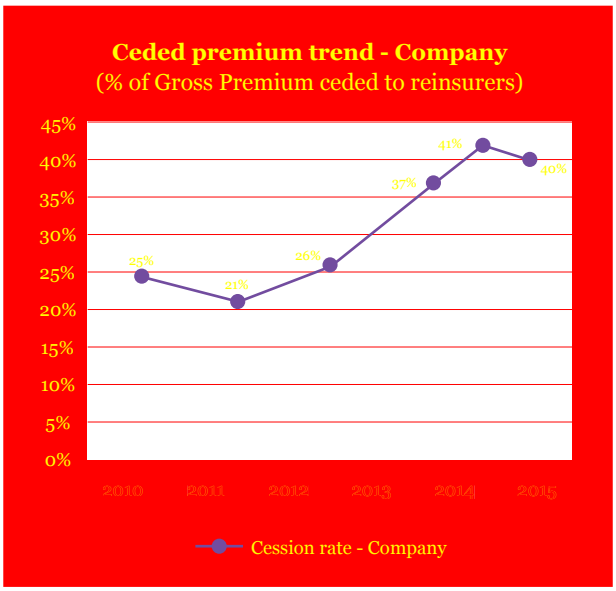
	Group		Company	
In thousands of Naira				
Class of business				
Aviation	14,081	67,956	14,082	67,956
Bonds	-	2	-	2
Engineering	857,376	221,281	857,376	208,900
Fire	196,335	117,602	143,119	96,927
General Accident	280,028	188,496	258,591	175,002
Marine	141,616	93,524	139,934	89,613
Motor	499,466	342,111	301,976	227,262
Oil and Energy	162,097	335,345	155,568	335,345
Group Life	217,057	64,972	-	-
Life Fund	142,951	113,966	-	-
Total				

Reinsurance for non-life insurance and life insurance

Wapic's reinsurance unit keep abreast with risks the Company might be exposed to depending on the types of business (life / non-life) that have been underwritten in the Company. The objective of purchasing reinsurance is to provide market-leading capacity for customers while protecting the balance sheet and optimizing Wapic's capital efficiency.

The unit is guided by the treaty arrangement (both life and non-life) which was effected at the inception of the year for all line of insurance business that Wapic underwrites, except for Motor insurance which has a form of pool arrangement with the Nigerian Liability Insurance Pool (NLIP). The company's retention limit was increased in 2015 as a result of its increased capitalization and improved technical skill. This gives the company the ability to absorb more risk and retain a significant and stable portion of premium. The chart below shows that Wapic Group ceded more premiums to the reinsurers in 2015 as compared to 2014, arising out of the increase in large insurance risks written in 2015.





Sensitivity analysis

Sensitivity analyses are performed to test the variability around the reserves that are calculated at a best estimate level. The estimated claim amounts can never be an exact forecast of future claim amounts and therefore looking at how these claim amounts vary provides valuable information for business planning and risk appetite considerations. A sensitivity analysis was done to determine how the IBNR reserve amount would change if we were to consider the 75th percentile as opposed to our best estimate figures included in reserve reviews as at 31 December 2015. The 75th percentile is a generally accepted level of prudency. The results based on fitting a Normal distribution to the best estimate IBNR reserves as at 31 December 2015 are as follows:

	Best	Gross INBR	Best	Net INBR
In thousands of Naira				
Class of business				
Aviation	14,021	17,692	13,506	17,042
Bonds	-	-	-	-
Engineering	45,877	57,890	38,739	48,882
Fire	37,543	47,374	25,515	32,197
General Accident	300,066	378,639	166,685	210,332
Marine	33,304	42,025	16,071	20,279
Motor	48,126	60,728	42,530	53,666
Oil and Energy	399,360	503,934	353,805	446,450
Total				

Key Developments in the Group 2015

- In line with Wapic's strategic objectives, the General Underwriting Unit was transformed and structured into two teams, namely Corporate Underwriting Unit and Retail Underwriting Unit to ensure seamless and personally services.
- Trained the technical team in enhancing their technical competencies generally and on specific areas including Engineering underwriting and effective claims management.
- The Actuarial Services team was enhanced with a view to provide more efficient services.

Compliance risk

1. Introduction

Wapic Insurance philosophy is to always comply fully with both the spirit and the letters of all the applicable laws and regulations governing our activities. Compliance risk is the risk of damage to the company's reputation as a result of failure (or perceived failure) to comply with relevant laws, regulations, internal policies and procedures or ethical standards. In addition to reputational damage, failure to effectively manage compliance risk can expose the Company to fines, civil and criminal penalties, payment of damages, court orders and suspension or revocation of licenses. A failure (or perceived failure) can adversely impact customers, staffs and shareholders of Wapic Insurance Plc.

Considering the high level of priority the Company placed on Compliance Risk Management, the role has direct Board oversight. In this capacity, the board perform the following roles instruments, trade receivables and reinsurance receivables. The total exposures from the Group's and Company's financial assets to credit risk are as follows:

a) Approve the Company's Policies and changes in policies;

b) Monitor the Company's compliance with laws and regulations, its code of conduct and ethics and Corporate governance practices;

c) Ensure new and changed legal and regulatory requirements are identified, monitored and reflected in Company processes;

d) Approve the compliance structure, mechanisms and processes established by management to ensure compliance with current laws, regulations and supervisory requirements; and

e) Ensure the Company has a compliance culture that contributes to the overall objective of risk-management.

2. Regulatory Environment

NAICOM released two guidelines which have apparently replaced the 2011 guideline by consolidating the requirements of 2011 guidelines and several other circulars / guidelines into two documents. The two new guidelines (1. Market Conduct and Business Practice and 2. Prudential Guidelines) released by NAICOM became effective in June and July 2015 respectively. These documents have been reviewed and processes have been put in place for the Company to comply fully with all the requirements.

3. Our Approach

Compliance and Internal Control function has been created to ensure protection of stakeholders not only from regulatory infractions but also from good business practice perspective. The Company recognizes its accountability to all its stakeholders under the legal and regulatory requirements applicable to its business. Compliance and Internal Control function as well as every staff of Wapic Insurance Plc and its subsidiaries are committed to high standards of integrity, ethics and fair dealing in the conduct of business. Our risk management philosophy is deepened in the effective convergence risk management through the 'Three Lines of Defence' model.

Our approach to Compliance Risk Management is creation of strong compliance and control culture within the Company. We do this by aligning the processes in the Company with all the applicable regulatory requirements as well as internal policies; closely provide regular advisory services to business units in order to achieve the business objectives of the Company without exposing the Company or any of its stakeholders to any regulatory or reputational risks.

Governance

2015

Annual Report & Accounts

The Board

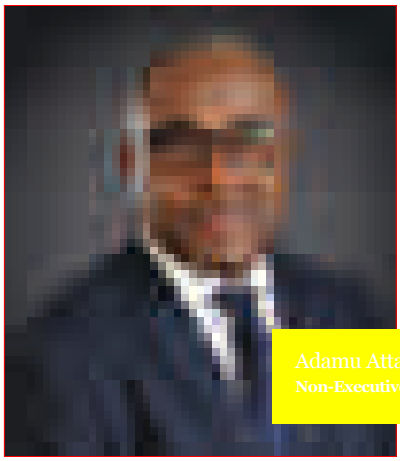
Aigboje Aig-Imoukhuede (CON):
Chairman

Mr. Aigboje Aig-Imoukhuede is a highly regarded banking professional with 25years experience in financial markets, investment banking, management, risk management, strategy and commercial banking. He retired in 2014 from Access Bank Plc, which is a leading African Bank, where he served as Chief Executive Officer for twelve years. He is currently the President of the Nigeria Stock Exchange and a non-executive director on the Boards of both local and foreign companies.

Mr. Aigboje Aig-Imoukhuede holds a Bachelors of Law (LLB) degree from the University of Benin and was called to the Nigerian Bar in 1987.

He is an Honorary Fellow of the Chartered Institute of Bankers of Nigeria and is currently studying for the Trium EMBA Degree at the London School of Economics. Mr. Aigboje Aig-Imoukhuede has attended numerous notable training programs locally and internationally, including the Program for Management and Development at Harvard Business School Boston, International Directors' Program at Insead as well as Banks and Credit Officers Program at the CitiBank School of Banking New York. He is passionate about sustainability, leadership, global health and the economic advancement of Africa.

Mr. Aigboje Aig-Imoukhuede was appointed to the Board of Wapic Insurance Plc. in November 2011 and is the Chairman of the Board of Directors.

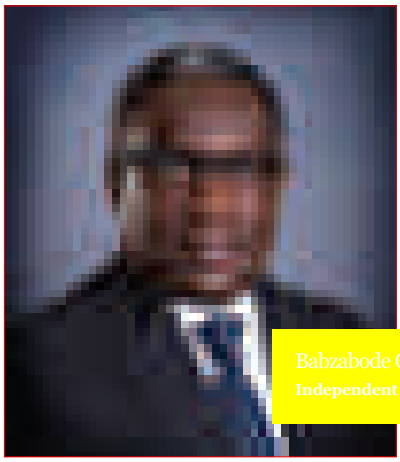


Adamu Atta
Non-Executive Director

Mr. Adamu Atta is the Chairman and Chief Executive of Matad Group Nigeria Ltd, an investment company with operations across Africa. His business interests cut across various sectors such as oil and gas, energy, transport and logistics, tourism, textiles, agriculture, construction, communication and manufacturing. With over two decades experience in financial management and consulting, Mr. Atta has developed an enviable portfolio of clients.

Mr. Adamu Atta holds a Bachelor Degree in International Relations/International Economics from the United States International University (USIU). He also has Masters Degrees in International Development Economics and Political Science from the University of California (UCLA and Ahmadu Bello University Zaria respectively.

Mr. Adamu Atta was appointed to the Board in January 2013 and is the Chairman of the Board Establishment and Governance Committee.

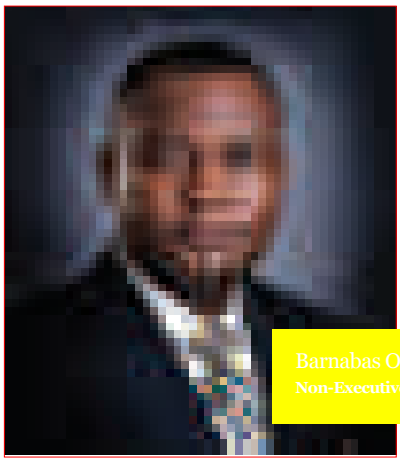


Babzabode Osunkoya
Independent Non-Executive Director

Mr. Bababode Osunkoya is a Senior Partner at the chartered accounting firm of Abax-OOSA Professionals. With over two decades post-qualification experience in banking, audit, accountancy, taxation, business and financial advisory, Mr. Osunkoya is an accounting graduate from the University of Lagos and is one of the first Certified Forensic Auditors of the Chartered Institute of Accountants of Nigeria. Mr. Bababode Osunkoya is a Fellow of the Institute of Chartered Accountants of Nigeria (ICAN), the Chartered Institute of Taxation of Nigeria (CITN), and an Associate Member of the Institute of Directors (IoD).

Mr. Bababode Osunkoya joined the Board of Wapic Insurance Plc in January 2013. He is the Chairman of the Board Audit and Compliance Committee and the Board Finance and General Purpose Committee.

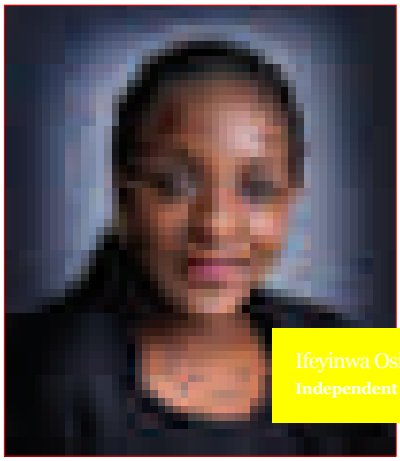
The Board



Barnabas Olise
Non-Executive Director

Mr. Barnabas Olise is the Managing Director/CEO of Enterprise Value Matrix Consult Limited, which is a multidisciplinary consultancy firm.

Mr. Barnabas Olise's work experience spans nearly two decades and covers auditing, consulting and banking. He began his career in Deloitte, an international firm of chartered accountants as an audit trainee, and later joined Intercontinental Bank (Now Access Bank Plc) where he facilitated the Ghanaian subsidiary's branch expansion to 28 outlets. He also had responsibility for Group Executive Management Services and Franchise Expansion before resigning from the Bank. Mr. Barnabas Olise was appointed to the Board in November 2011.

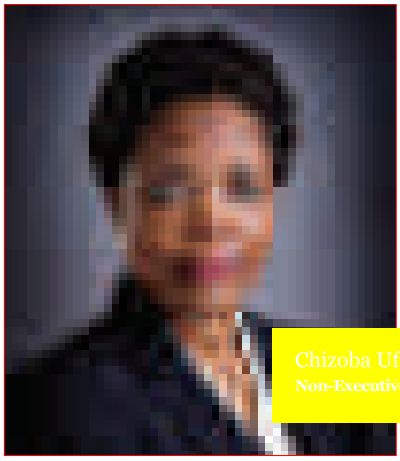


Ifeyinwa Osime
Independent Non-Executive Director

Mrs. Ifeyinwa Osime is a partner at McPherson Legal Practitioners. She has served on various boards, and was at one time the Company Secretary of African Development Insurance Company Limited where she had oversight over the company's claims settlement process. She is also the founder of a special needs program which offers support, therapy and counseling to people with special needs (developmental delays) and their families.

Mrs. Ifeyinwa Osime holds a Bachelors of Law Degree (LLB) and a Masters of Laws Degree (LLM) in Commercial and Corporate Law from the University of Benin and the London School of Economics respectively. She was called to the Nigerian Bar in 1987 and is an Alumnus of the Executive Business Programs of the Harvard Business School and Insead Graduate Business School.

Mrs. Ifeyinwa Osime joined the Board of Wapic Insurance Plc in April 2014 and was approved by NAICOM in September 2014. She is the Chairperson of the Board Enterprise Risk Management Committee.



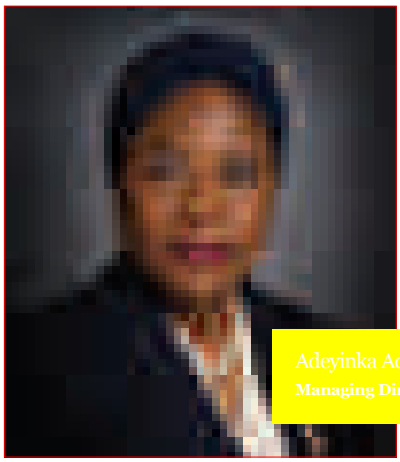
Chizoba Ufoeze
Non-Executive Director

Ms. Chizoba Ufoeze is the Managing Director/CEO of United Alliance Company of Nigeria Limited, with over two decades experience as an investment analyst in the financial services industry.

Ms. Chizoba Ufoeze has a Bachelor of Science Degree in Urban & Regional Planning from the University of Nigeria, Nsuka and an MBA from the Middlesex University Business School London. She also has a Masters of Science Degree in Investment Management from the City University Business School, London.

She joined the Board of Wapic Insurance Plc. in January 2014 and was approved by NAICOM in May 2014. She is the Chairperson of the Board Investment Committee.

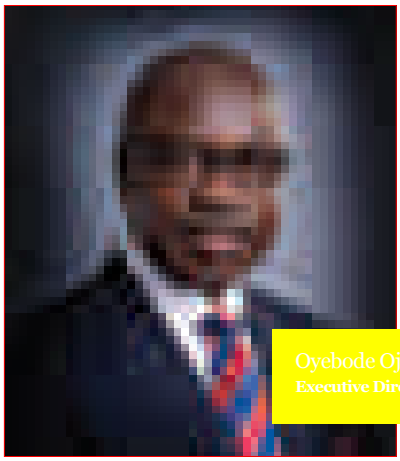
The Board



Adeyinka Adekoya
Managing Director

Mrs. Adekoya started her professional career with Lambert Willis & Associate (Insurance Brokers). She spent 23 years at Law Union and Rock where she rose through the ranks gathering experience in the technical department. Prior to joining Wapic, Mrs. Adekoya was the Head Institutional Business Development Division at Cornerstone Insurance. She was appointed Managing Director with effect from November 1, 2015.

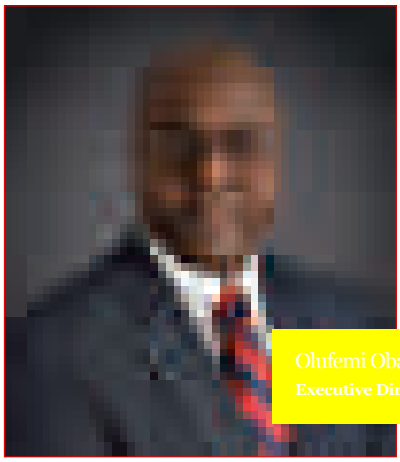
Mrs. Adekoya has a Bachelor of Science and Maters of Business Administration both from the University of Lagos. She is a Fellow of the Chartered Insurance Institute of Nigeria and an Associate of the Chartered Insurance Institute, London.



Oyebode Ojeniyi
Executive Director

Mr. Ojeniyi was appointed Executive Director in January 2014. He has over two decades experience in the financial services industry and principally in banking. Prior to joining Wapic Insurance Plc., he was a Deputy General Manager at Access Bank Plc. where he was the Group Head of Financial Institutions. His responsibilities included business development in quasi-financial institutions which included insurance companies, pension fund administrators and capital market operators.

He holds a Bachelor of Science Degree and a Masters of Science Degree in Agricultural Economics from the University of Ibadan. He also has a Masters in Business Administration from Ogun State University. Mr. Ojeniyi is a Fellow of the Institute of Credit Administration of Nigeria and the Institute of Strategic Management of Nigeria. He is a Member of the Chartered Insurance Institute (UK) and an Honorary Senior Member of the Chartered Institute of Bankers of Nigeria.



Olufemi Obaleke
Executive Director

Mr. Obaleke was appointed Executive Director in January 2014. He has over two decades experience in the financial services industry and has worked in a number of banks, one of which was Access Bank Plc, where he was a General Manager, Business Banking. His banking experience covers sales, business development, international operations and branch expansion.

He holds a Bachelor of Education Degree in Management Economics from the University of Ibadan and a Masters in Business Administration from Abubakar Tafawa Balewa University. He is a Member of the Chartered Institute of Bankers and has attended Executive Management Programmes in leading business schools locally and internationally.

Management Team

Adeyinka Adekoya

Rantimi Ogunleye

Adedayo Arowojolu

Olufemi Obaleke

Bode Ojeniyi

Peter Ehimhen

Mary Agha

Sunny Ogbemudia

Sade Tunde-Phillips

Oluseyi Taiwo

Muyiwa Oke

Felicia David

Clement Okafor

Kenechukwu Nwankwo

Corporate information

Directors

Mr. Aigboje Aig-Imoukhuede, CON	Chairman
Mr. Barnabas Olise	Non Executive Director
Mr. Adamu Mahmoud Atta	Non Executive Director
Ms. Chizoba Ufoeze	Non Executive Director
Mr. Bababode Osunkoya	Independent Non Executive Director
Mrs. Ifeyinwa Osime	Independent Non Executive Director
Mrs. Adeyinka Adekoya *	Managing Director/Chief Executive Officer
Mr. Femi Obaleke	Executive Director
Mr. Bode Ojeniyi	Executive Director
Mr. Ashish Desai ***	Managing Director/Chief Executive Officer
Mr. Folusho Alliyu **	Executive Director

* Appointed during the year effective 1 November 2015 | **Resigned during the year effective 23 March 2015 | ***Resigned during the year effective 28 July 2015

Corporate Office

WAPIC Insurance PLC
50, Awolowo Road, Ikoyi
P.O. Box 55508, Falomo, Ikoyi, Lagos
Telephone: 234-1-8119857, 4615153
Email:info@wapic.com
Website: www.wapic.com

Independent Auditor	PricewaterhouseCoopers, Landmark Towers, 5B Water Corporation Drive, Oniru, Lagos. Tel: +234 1 271 1700 www.pwc.com/ng
Company Secretary	Ms. Mary Agha
Bankers	Access Bank Plc Fidelity Bank Plc First Bank of Nigeria Limited Guaranty Trust Bank Plc
Re-insurers	African Reinsurance Corporation Continental Reinsurance Plc Munich Reinsurance Company Limited Swiss Reinsurance Group Waica Reinsurance Corporation
Actuaries	HR Nigeria Limited FRC/NAS/00000000738 Alexander Forbes Consulting Actuaries Nigeria Limited FRC/2012/0000000000504
Estate Surveyor and Valuer	Bode Adediji Partnership FRC/2013/0000000000279
Registrar	United Securities Limited 10 Amodu Ojikutu Street Victoria Island, Lagos Telephone: +234 01 730898 /+234 01 730891

Directors' Report

For the year ended 31 December 2015

The directors are pleased to submit their report together with the audited financial statements of Wapic Insurance Plc ("the Company") and its subsidiaries (together "the Group") for the year ended 31 December 2015.

Legal form and principal activity

"The Company was incorporated on 14 March 1958 as a private limited liability Company under the name of West African Provincial Insurance Company Limited. The Company was converted to a public limited liability company in 1990 when the Company's shares were listed on the Nigerian Stock Exchange.

The Company secured a life insurance business licence from National Insurance Commission (NAICOM) in 2000 and became a composite insurance business.

The Company seperated the life business and transferred the related assets and liabilities to its subsidiary, Wapic Life Assurance Limited, on 1 March 2007 through which it continues to provide life assurance services. The Company operates from its corporate office in Lagos and branches in major cities of the Federation.

The Company has two wholly owned subsidiaries which include one foreign and one local subsidiary, namely; Wapic Life Assurance Limited and Wapic Insurance (Ghana) Limited and one associate company, Coronation Merchant Bank Limited.

The financial results of the subsidiaries have been consolidated in these financial statements.

Operating results

The following is a summary of the Group's and Company's operating results for the year ended 31 December 2015:

	Group	Group	Company	Company
Gross premium written	7,100,713	5,203,960	5,212,600	4,015,687
Profit/ (loss) before tax	1,667,663	58,572	1,036,327	(274,827)
Income tax	(370,277)	178,261	(412,142)	269,613
Profit/(loss) after tax for the year	1,297,386	236,833	624,185	(5,214)
Transfer to contingency reserve	(188,594)	(147,232)	(156,378)	(120,471)
Basic and diluted earnings/(loss) per share (kobo)	10	2	5	(0)

Dividend

The directors have recommended a dividend in respect of the year ended 31 December 2015 of 3kobo per share, amounting to a total dividend of N401,482,147 to be proposed at the annual general meeting. The dividend payable have not been reflected in these financial statements.

Directors and their interests

The following Directors of the Company held office during the period and had direct and indirect interests in the shares of the Company. The directors' interests in the issued share capital of the Company as recorded in the register of members and as advised by the Company's registrars for the purposes of section 275 of the Companies and Allied Matters Act and the listing requirements of the Nigerian Stock Exchange are as follows:

31 December 2015

Name of Director	Direct	Indirect	Total
Mr. Aigboje Aig-Imoukhuede (Chairman) +	5,495,785	4,685,838,642	4,691,334,427
Mr. Barnabas Olise	5,002,061	-	5,002,061
Mr. Bababode Osunkoya	1,411	-	1,411
Mr. Adamu Mahmound Atta	16	-	16
Mr. Femi Obaleke	1,876	-	1,876
Mr. Bode Ojeniyi	387,758	-	387,758
Ms. Chizoba Ufoeze	18,000,000	-	18,000,000
Mrs. Ifeyinwa Osime	656,693	-	656,693
Mrs. Adeyinka Adekoya	-	-	-

31 December 2014

Name of Director	Direct	Indirect	Total
Mr. Aigboje Aig-Imoukhuede (Chairman) +	5,495 785	4,216,667,306	4,222,163,091
Mr. Ashish Desai	90,188,933	-	90,188,933
Mr. Folusho Alliyu	-	-	-
Mr. Barnabas Olise	5,002,061	-	5,002,061
Mr. Bababode Osunkoya	-	-	-
Mr. Adamu Mahmoud Atta	-	-	-
Mr. Femi Obaleke	-	-	-
Mr. Bode Ojeniyi	387,758	-	387,758
Ms. Chizoba Ufoeze	54,609,473	-	54,609,473
Mrs. Ifeyinwa Osime	656,693	-	656,693

Indirect holdings by directors are broken down as follows:

Director/Indirect Interest	2015	Beneficial Percentage Ownership	2014	Beneficial Percentage Ownership
Mr. Aigboje Aig-Imoukhuede (Chairman):-	-	-	-	-
- United Alliance Company of Nigeria Limited	427,074,472	50%	188,721,755	50%
- Trust and Capital Limited	518,717,608	50%	287,898,989	50%
- Reunion Energy Limited	2,862,700,786	50%	549,558,140	50%
- Strategic Alliance Investment Limited	877,345,776	50%	877,345,776	50%
- Stanbic Nominees Nigeria Limited	-	50%	2,313,142,646	50%
	4,685,838,642	-	**4,216,667,306**	-

Directors' interest in contracts

In accordance with section 277 of the Companies and Allied Matters Act, the following directors have notified the Company of any declarable interests in contracts or proposed contracts with the Company.

Related Director	Interest in Entity	Name of Company	Services
Mr. Aigboje Aig-Imoukhuede	Director	Coronation Capital Limited	Consultancy services

Appointment of directors

The Company appointed the following directors during the year:

Mrs. Adeyinka Adekoya	Managing Director (with effect from 1 November 2015)

Reappointment of directors

The Company reappointed the following director during the year:

Mr. Bababode Osunkoya	Non Executive Director (with effect from 29 April 2015)
Mr. Adamu Mahmoud Atta	Non Executive Director (with effect from 29 April 2015)

Retirement of directors

The following directors resigned from the Board of the Company during the year:

Mr. Ashish Desai	Managing Director (with effect from 28 July 2015)
Mr. Folusho Alliyu	Executive Director (with effect from 23 March 2015)

Ownership structure

The called-up and fully paid-up shares of the Company as at 31 December 2015 were beneficially held as follows:

	Number of shares	Percentage holding
	2015	2015
Reunion Energy Limited	2,862,700,786	21
Strategic Alliance Investment Limited	877,345,776	7
Blakeney GPIII Limited	1,885,644,848	14
Other Nigerian entities, citizens and associations	7,757,046,842	58
Total	**13,382,738,252**	**100**

	Number of shares	Percentage holding
	2014	2014
Stanbic Nominees Nigeria Limited	1,904,834,183	14
Blakeney GPIII Limited	1,885,644,848	14
Other Nigerian entities, citizens and associations	9,592,259,221	72
Total	**13,382,738,252**	**100**

Analysis of shareholders

31 December 2015

Range	Number of Shareholders	Numbers of shares held	% of number of shareholders	% of number of shares held
1-1,000	660,487	130,098,478	79	1
1,001-5,000	128,602	275,816,816	15	2
5,001-10,000	22,703	165,030,997	3	1
10,001-50,000	21,563	444,334,033	3	3
50,001-100,000	2,839	195,459,967	0	1
10,001-500,000	2,366	480,237,548	0	4
500,0001-1,000,000	359	258,875,741	0	2
1,000,001-5,000,000	465	858,284,433	0	6
5,000,001-10,000,000	66	449,531,060	0	3
10,000,001-100,000,000	58	1,504,149,872	0	11
10,000,001-1,000,000,000	**18**	**8,620,919,307**	**0**	**64**
	839,526	**13,382,738,252**	**100**	**100**

31 December 2014

Range	Number of Shareholders	Numbers of shares held	% of number of shareholders	% of number of shares held
1-1,000	662,830	130,580,300	79	1
1,001-5,000	129,309	277,485,747	15	2
5,001-10,000	22,923	166,684,021	3	1
10,001-50,000	21,884	452,932,726	3	3
50,001-100,000	2,878	197,758,754	0	1
10,001-500,000	2,401	488,078,474	0	4
500,0001-1,000,000	347	250,625,733	0	2
1,000,001-5,000,000	463	865,239,441	0	6
5,000,001-10,000,000	72	508,636,048	0	4
10,000,001-2,000,000,000	77	10,044,717,008	0	75
	843,184	13,382,738,252	100	100

According to the register of members as at 31 December 2015, no individual shareholder held more than 5% of the issued capital of the Company except the following;

	Number of shares	Percentage holding	Number of shares	Percentage holding
	2015	2015	2014	2014
Reunion Energy Limited	2,862,700,786	21	-	-
Strategic Alliance Investment Limited	877,345,776	7	-	-
Stanbic Nominees Nigeria Limited	-	-	1,904,834,183	14
Blakeney GPIII Limited	1,885,644,844	14	1,885,644,848	14

Acquisition of own shares

The Company did not purchase any of its own shares during the year (2014: Nil).

Donations

The Group made no contributions to charitable and non-political organisations during the year. (December 2014: Nil)

Employment of disabled persons

The Group operates a non-discriminatory policy on recruitment. Applications by disabled persons are always fully considered, bearing in mind the respective aptitudes and abilities of the applicants concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment with the Group continues and that appropriate training is arranged. It is the policy of the Group that the training, career development and promotion of disabled persons should, as far as possible, be identical with those of other employees. During the year under review, there was no disabled person in its employment.

Employee involvement and training

The Group ensures that employees are informed of matters concerning them through formal and informal fora with an appropriate two-way feedback mechanism. In accordance with the Group's policy of continuous development, in-house training is provided on various aspects of the organisation. In addition, employees are nominated to attend both local and international courses and workshops which are complemented by on-the-job trainings.

Health, safety at work and welfare of employees

Health and safety regulations are in force within the Group's premises and employees are aware of existing regulations. The Group provides subsidies to all levels of employees for medical, transportation, housing and lunch expenses.

Gender analysis

The number and percentage of women employed during the financial year vis-à-vis total workforce was as follows;

31 December 2015

	Male Number	Female Number	Male %	Female %
Employees	86	84	51%	49%
Detailed analysis of the Board and top management is as follows;				
	Male Number	Female Number	Male %	Female %
Assistant Manager	5	7	42%	58%
Deputy Manager	9	1	90%	10%
Manager	9	2	82%	18%
Senior Manager	3	1	75%	25%
Controller	3	-	-	-
Assistant General Manager	2	2	50%	50%
Deputy General Manager	3	-	100%	-
General Manager	-	-	-	-
Executive Director	2	-	100%	-
Managing Director	-	1	-	100%

31 December 2014

	Male Number	Female Number	Male %	Female %
Employees	108	75	59%	41%
Detailed analysis of the Board and top management is as follows;				
	Male Number	Female Number	Male %	Female %
Assistant Manager	4	3	57%	43%
Deputy Manager	4	1	80%	20%
Manager	4	3	57%	43%
Senior Manager	4	1	80%	20%
Controller	-	-	-	-
Assistant General Manager	2	2	50%	50%
Deputy General Manager	1	-	100%	-
General Manager	-	-	-	-
Executive Director	3	-	100%	-
Managing Director	1	-	100%	-

Events after the end of the reporting period

No material events after the end of the reporting period that could have a material effect on the financial statements of the Company which have not been recognised and/or disclosed.

Auditors

Messrs. PricewaterhouseCoopers having indicated their willingness, will continue in office in accordance with Section 357(2) of the Companies and Allied Matters Act, CAP 20, Laws of the Federation of Nigeria.

By Order of the Board

Mary Agha

FRC/2013/NBA/00000002817

Company Secretary

29 January 2016

Corporate Governance Report

Introduction

Our corporate governance report affords us the opportunity to explain to our stakeholders how our company has been governed during the year. It reports on how the Board has functioned and the workings of our systems and structures of governance.

Wapic Insurance Plc ("Wapic" or "the Company") remains committed to implementing the best practice standards of corporate governance. The Company and its subsidiaries ('the Group') function under a governance frame work that enables the Board to discharge its role of providing oversight and strategic direction in balance with its responsibility to ensure the Company's compliance with regulatory requirements and acceptable risk.

"The Company is mindful of its obligations under the relevant codes of corporate governance such as the National Insurance Commission (NAICOM) Code of Corporate Governance for the Insurance Industry in Nigeria, the Securities and Exchange Commission's Code of Corporate Governance ('the SEC Code') and the Post Listing Requirements of the Nigerian Stock Exchange (NSE). These, in addition to its Board Charter collectively provide the basis for promoting sound corporate governance in the Company. Our core values of excellence, professionalism, innovation, sustainability, teamwork, leadership, and empathy are the bedrock upon which we continue to build our corporate behavior.

Performance evaluation

The Company's performance on Corporate Governance is continuously being monitored. Regular reviews are carried out on the Company's compliance status with the NAICOM Code of Corporate Governance for the Insurance Industry in Nigeria, the SEC Code of Corporate Governance, and the NSE Post Listing Requirements. Regular reviews are also carried out on the Company's compliance status with the various regulatory circulars and guidelines and quarterly reports are furnished to the Board through the Board Audit and Compliance Committee, the Board Enterprise Risk Management Committee, as well as the Board Establishment and Governance Committee.

As part of its commitment to uphold sound Corporate Governance practices and in compliance with the requirement of the NAICOM Code of Corporate Governance, the Board has established a system of independent annual evaluation carried out by an independent consulting firm engaged to carry out an assessment of its own performance, that of its Committees and individual Directors. At its Annual General Meeting (AGM), held on April 29, 2015, the shareholders of the Company approved the appointment of Accenture Limited to facilitate the Board performance evaluation. The Board is comfortable that Accenture Limited provides value-adding and objective evaluation notwithstanding its provision of strategy consulting assistance to the Wapic Group. The result of the Board performance evaluation is presented to the Board and the individual director's assessment is communicated and discussed with the Chairman. The cumulative results of the performance of the Board and individual directors are considered by the Board Establishment and Governance Committee as a guide in deciding eligibility for re-election.

Appointment, Retirement and Re-election of directors

No Non-Executive Directors were appointed during the year.
The Board appointed the following Executive Director:

1. Ms. Adeyinka Adekoya	Executive Director	* Effective date of appointment - 1 November 2015
Mrs. Adeyinka Adekoya was appointed Managing Director of Wapic Insurance Plc with effect from November 1, 2015 subject to all regulatory approvals being first had and obtained. The appointment of Mrs. Adeyinka Adekoya followed receipt and acceptance by the Board of the resignation of Mr. Ashish Desai. Mrs. Adeyinka Adekoya has a B.sc in Insurance and an MBA, both from the University of Lagos. Mrs. Adeyinka Adekoya is a Fellow of the Chartered Insurance Institute of Nigeria (FCII) and an Associate of the Chartered Insurance Institute, London (ACII). Mrs. Adeyinka Adekoya has over 25 years experience in the Insurance Industry. Immediately prior to joining Wapic Insurance Plc, Mrs. Adeyinka Adekoya was General Manager and Head, Institutional Business Development at Cornerstone Insurance Plc. She was also the Deputy General Manager, Technical at Law Union & Rock Insurance of Nigeria Plc.		

In accordance with the provisions of Articles 90 - 92 of the Company's Memorandum and Articles of Association as well as Section 259 of the Companies and Allied Matters Act Cap C20, Laws of the Federation of Nigeria 1990, one-third of all non-executive directors (rounded down) are offered for re-electing every year (depending on their tenure on the Board) together with Directors appointed by the Board since the last AGM. In keeping with this requirement, the following Directors will retire and being eligible, will be standing for re-election at this Annual General Meeting:

- Mr. Aigboje Aig-Imoukhuede, CON
- Mr. Barnabas Olise

The following directors retired from the Board of the Company during the year.

Mr. Ashish Desai	Managing Director (with effect from 28 July 2015)
Mr. Folusho Alliyu	Executive Director (with effect from 23 March 2015)

Shareholders' meeting

Shareholders meetings are duly convened and held in line with the Company's Articles of Association and existing statutory and regulatory regimes in an open manner, for the purpose of deliberating on issues affecting the Company's strategic direction. This occurs through a fair and transparent process and also serves as a medium for promoting interaction between the Board, Management and Shareholders. Attendance at the Annual General Meeting is open to shareholders or their proxies, while proceedings at such meetings are usually monitored by members of the press, representatives of the Nigerian Stock Exchange, National Insurance Commission and the Securities and Exchange Commission. The Board ensures that shareholders are provided with adequate notice of meetings. An Extraordinary General Meeting may also be convened at the request of the Board or Shareholders holding not less than 10% of the Company's paid-up capital.

Access to Information and Resource

The Company's reports and other communication to shareholders and other stakeholders are in plain, readable and understandable format while its website www.wapic.com is also regularly updated with both financial and non-financial information. The Board ensures that shareholders' statutory and general rights are protected at all times particularly their right to vote at general meetings. The Board also ensures that all shareholders are treated equally regardless of the size of their shareholding and social conditions.

Shareholders Rights Protection

There is ongoing engagement between Executive Management and the Board, and the heads of relevant strategic business units attend Board meetings to make presentations. The Company's external auditors attend the Board, the Board Audit and Compliance Committee and the Statutory Audit Committee Meetings. The Directors have unrestricted access to the Group Management and Company information in addition to the resources to carry out their roles and responsibilities. This includes access to external professional advice at the Company's expense.

The Board

The primary obligation of the Board of Directors is to advance the prosperity of the Company by collectively directing the Company's affairs, whilst meeting the appropriate interests of shareholders and stakeholders. The Board is the Company's highest decision making body responsible for governance. It operates on the understanding that sound governance practices are fundamental to earning the trust of stakeholders which is critical to sustainable growth.

Composition and Role

"The Company has a unitary Board structure. As at December 31, 2015, the Board was comprised of nine (9) members made up of six (6) Non-Executive Directors and three (3) Executive Directors, in line with the provisions of S.5.04 (ii) of the NAICOM Code of Corporate Governance for Insurance Companies in Nigeria. The full details of the Board Composition and their roles are as set out below:

S/N	Name	Designation
1.	Mr. Aigboje Aig-Imoukhuede, CON	Chairman
2.	Mr. Adamu Mahmoud Atta	Non-Executive Director
3.	Mr. Bababode Osunkoya	Independent Non-Executive Director
4.	Mr. Barnabas Olise	Non-Executive Director
5.	Ms. Chizoba Ufoeze	Non-Executive Director
6.	Mrs. Ifeyinwa Osime	Independent Non-Executive Director
7.	Mrs. Adeyinka Adekoya	Managing Director
8.	Mr. Femi Obaleke	Executive Director
9.	Mr. Bode Ojeniyi	Executive Director

In line with best practice and in accordance with the provisions of all the Codes of Corporate Governance by which the Company is governed, there is separation of powers between the Chairman and the Managing Director. The Board is able to reach impartial decisions as its Non-Executive Directors are a blend of independent and non-independent directors with no shadow or alternate Directors, which ensures that independent thought, is brought to bear on decisions of the Board. The effectiveness of the Board derives from the diverse range of skills and competences of the executive and non-executive directors who have exceptional degrees of insurance, financial and broader entrepreneurial experiences.

The Board is responsible for ensuring the creation and delivery of sustainable value to the Company's stakeholders through its management of the Company's business. The Board is accountable to the shareholders and is responsible for the management of the Company's relationship with its various stakeholders. The Board ensures that the activities of the Company are at all times executed within the relevant regulatory framework. The Board Charter is comprised of a set of principles that have been adopted by the Board as a definitive statement of Corporate Governance.

Appointment Process and Induction of Board Members

The Board Establishment and Governance Committee is responsible for recommending new appointments to the Board of both Executive and Non-Executive Directors. When making Board appointment recommendations, the Committee takes cognizance of the existing range of skills, experience, background and diversity on the Board in the context of the Company's strategic direction before articulating the specification for the candidate sought. We are comfortable that our Board is sufficiently diversified to optimize its performance.

We believe that a robust induction will improve Director's performance. Consequently, there is a personalized induction program for new Directors which include one-on-one meetings with each of the Executive Directors and Senior Executives responsible for each of the Company's key business areas. Such sessions focus on the challenges, opportunities and risks facing the business areas. The induction programme covers an overview and review of the strategic business units as well as Board processes and policies. A new Director receives an induction pack comprising of charters, significant reports, important legislations as well as policies.

Delegation of Authority

The ultimate responsibility for the Company's operations rests with the Board. The Board retains effective control through a well-developed Committee governance structure that provides in-depth focus on Board responsibilities. The Board delegates authority to the Managing Director and the Executive Management to manage the affairs of the Company within the parameters established by the Board from time to time. The Board meets quarterly and emergency meetings are convened as may be required. The Annual Calendar of Board and Board Committee meetings are approved in advance at the beginning of each financial year and all Directors are expected to attend each meeting. Material decisions may be taken between meetings through written resolutions as provided for by the Company's Articles of Association. The Annual Calendar of Board activities include a Board Retreat at an offsite location, to consider strategic matters and review the opportunities and challenges facing the institution. All Directors are provided with Notices, Agenda and meeting papers in advance of each meeting and where a Director is unable to attend a meeting he/she is still provided with the relevant papers for the meeting. Such Director reserves the right to discuss with the Chairman any matter he/she may wish to raise at the meeting. The Directors are also provided with regular updates on developments in the regulatory and business environment. The Board met 5 times in the 2015 financial year.

Board Committees

The Board carries out its oversight function through its standing committees each of which has a charter that clearly defines its purpose, composition, and structure, frequency of meetings, duties, tenure and reporting lines to the Board. In line with best practice, the Chairman of the Board does not sit on any of the committees. The Board's five standing Committees are aligned with the provisions of the NAICOM Code of Corporate Governance for the Insurance Industry in Nigeria and are the Board Enterprise Risk Management Committee, the Board Audit and Compliance Committee, the Board Establishment and Governance Committee, the Board Investment Committee, the Board Finance and General Purpose Committee. The composition and responsibilities of the Committees are set out below:

S/N	Director	BACC	BERMC	BIC	BEGC	BFGPC
1.	Mr. Aigboje Aig-Imoukhuede, CON[1]	-	-	-	-	-
2.	Mr. Adamu Mahmoud Atta[1]	-	M	M	C	M
3.	Mr. Bababode Osunkoya[1]	C	M	-	-	C
4.	Mr. Barnabas Olise[1]	M	M	M	-	M
5.	Ms. Chizoba Ufoeze[1 **]	M	M	C	M	M
6.	Mrs. Ifeyinwa Osime[1]	-	C	-	M	M
7.	Mrs. Adeyinka Adekoya[2]	-	-	-	-	-
8.	Mr. Bode Ojeniy[i2]	-	M	-	-	M
9.	Mr. Femi Obaleke[2]	-	-	M	-	M

Keys

(C) Chairman | (M) Member | (-) Not a member | (1) Non-Executive | (2) Executive | (BACC) Board Audit and Compliance Committee | (BERMC) Board Enterprise Risk Management Committee | (BIC) Board Investment Committee | (BEGC) Board Establishment and Governance Committee | (BFGPC) Board Finance and General Purpose Committee

Board Audit and Compliance Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to the integrity of the Company's financial statements and the financial reporting process; the independence and performance of the Company's internal and external auditors; and the Company's system of internal control and mechanism for receiving complaints regarding the Company's accounting and operating procedures. The Committee also monitors the status of the Company's internal and regulatory compliance. The Company's Chief Internal Auditor and Chief Compliance Officer have access to the Committee and make quarterly presentations to the Committee.

The Committee is chaired by Mr. Bababode Osunkoya. Mr. Osunkoya is an accounting graduate from the University of Lagos. He is a Fellow of the Institute of Chartered Accountants of Nigeria and the Chartered Institute of Taxation of Nigeria. He is also an associate member of the Institute of Directors. Mr. Osunkoya is a Certified Forensic Accountant of the Institute of Chartered Accountants of Nigeria. He is also a member of Public Practice Monitoring Committee of the Institute of Chartered Accountants of Nigeria.

Key issues considered by the Committee during the period included consideration of the internal audit report on the Company's activities as well as consideration of other external/regulatory audit reports, approval of audited financial statements and approval of the Company's audit and internal control plans as well the Company's status of compliance with internal policies and regulatory requirements. The Committee met five (5) times in the 2015 financial year.

Board Enterprise Risk Management Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to establishment of policies, standards and guidelines for risk management, and compliance with legal and regulatory requirements. In addition, it oversees the establishment of a formal written policy on the overall risk management system. The Committee also ensures compliance with established policies through periodic reviews of reports provided by management and ensures the appointment of qualified officers to manage the risk function. The Committee evaluates the Company's risk policies on a periodic basis to accommodate major changes in the internal or external environment.

The Committee is chaired by Mrs. Ifeyinwa Osime. Mrs. Osime holds a Law Degree (L.L.B), and Masters (LL.M) in Commercial & Corporate Law from the University of Benin and London School of Economics, University of London respectively. She is also a Barrister at Law (BL) of the Supreme Court of Nigeria. She has over 24 years professional experience in law and insurance and was the Company Secretary of African Development Insurance Company Limited from 1989 to 1997 with oversight over claims settlement. She is an alumnus of the Harvard Business School.

The key issues considered by the Committee during the period included consideration of the A.M. Best Report on the risk rating for the Company, implementation of relevant internal policies such as the policies on whistle blowing, anti-money laundering, market risk and ALM governance structure, the Committee also monitored the status of the Company's compliance with relevant regulatory policies, review of the impact of audit findings on the risk profile of the Company, evaluation of the nature and effectiveness of action plans implemented to address identified compliance weaknesses. The Committee met four (4) times in the 2015 financial year.

Board Establishment and Governance Committee

The Committee advises the Board on its oversight responsibilities in relation to compensation, benefits and all other human resource matters affecting the Company. Specifically, the Committee is responsible for determining and executing the processes for board appointments, recommending appropriate remuneration for directors (both executive and non-executive) and approving remuneration for all other members of staff. The Committee is responsible for reviewing and recommending the Company's organizational structure to the Board for approval. The Committee is also responsible for reviewing the performance and effectiveness of the Board of the Company's subsidiaries on an annual basis. The Committee ensures that the Company's human resources are maximized to support the long term success of the enterprise and to protect the welfare of all employees.

The Committee is chaired by Mr. Adamu Atta. Mr. Atta holds a B.A in International Relations and Economics and an MA in Development Economics from the United States International University and the University of California respectively. He also has a Masters in Political Economics from Ahmadu Bello University, Zaria. Mr. Atta has over two decades experience in financial management and consulting.

The key decision and initiatives of the Committee in 2015 include review of the succession planning policy, review and recommendation to the Board of 2014 Full Year and 2015 Half Year Collegiate Appraisal Report, recommendation to the Board of the Appointment of the Managing Director, providing strategic oversight over the human resources transformation plan for the Company, review of the Board assessment report for the Company and its subsidiaries. The Committee met four (4) times during the period.

Board Investment Committee

The Committee advises the Board on its oversight responsibilities in relation to the Company's general investments and provides strategic guidance for the development and achievement of the Company's investment objectives.

The Committee therefore works with Management to review the quality of the Company's investment portfolio and the trends affecting the portfolio, overseeing the effectiveness and administration of investment related policies including compliance with legal investment limits and the Company's in-house investment restrictions, reviewing the process for determining provision for investment losses and the adequacy of the provisions made as well as providing oversight and guidance to the Company regarding all aspects of implementing the NAICOM Guidelines and compliance with other regulatory Risk based supervision framework.

Ms. Chizoba Ufoeze chaired the Committee. Ms. Chizoba Ufoeze is a graduate of University of Nigeria Nsukka and has an MSc in Investment Management from the City University Business School London, and an MBA from the Middlesex University Business School, London. Ms. Ufoeze is an Investment Analyst with over 23 years' experience in the financial services industry.

Key issues considered by the Committee included approval of the investment portfolio and risk appetite, oversight of the Company's investment portfolio and related risk management processes, continued monitoring of the Company's compliance with relevant regulatory and internal investment policies with respect to the Company's investment portfolio, approval of investment limits as well as investment exceptions where necessary. The Committee met four (4) times in the 2015 financial year.

Board Finance and General Purpose Committee

The Committee assists the Board in fulfilling its oversight responsibility relating to Management of the Company's exposure to financial risk; the Company's business plan, cash plan, balance sheet and capital structure; the Company's capital allocation strategy including the cost of capital.

The Committee also reviews and makes recommendations on the long-term financial plan for the Company; capital adequacy and requirements of the Company and makes recommendations on the methodology, sources and uses of capital as well as expected returns on capital deployed. Other responsibilities of the Committee include review of the Company's capital appropriation matters (within limits established by the Board) including recommending approval of those programs requiring Board approval and providing periodic oversight of Board approved programs.

The Committee is chaired by Mr. Bababode Osunkoya. Mr. Osunkoya is an accounting graduate from the University of Lagos. He is a Fellow of the Institute of Chartered Accountants of Nigeria and the Chartered Institute of Taxation of Nigeria. He is also an associate member of the Institute of Directors. Mr. Osunkoya is a Certified Forensic Accountant of the Institute of Chartered Accountants of Nigeria. He is also a member of Public Practice Monitoring Committee of the Institute of Chartered Accountants of Nigeria.

Key issues considered by the Committee included review of the financial control report, approval of the annual budget as well as the capital and operating expenses of the company, quarterly review of budget utilization against the actual plan, quarterly review of rights issue utilisation, review of the unaudited financial statement, update on the head office construction, monitoring of corrective actions to bring the organization into compliance with the budget and other financial targets. The Committee met five (5) times during the 2015 financial year.

Attendance at Board and Board Committee Meetings

Directors' attendance at meetings during the 2015 financial year was as shown below:

	Name of Directors	Name of Directors					
1.	Mr. Aigboje Aig-Imoukhuede, CON	5	N/A	N/A	N/A	N/A	N/A
2.	Mr. Adamu Mahmoud Atta	5	N/A	4	4	4	5
3.	Mr. Bababode Osunkoya	5	5	4	N/A	N/A	5
4.	Mr. Barnabas Olise	5	5	4	4	N/A	5
5.	Ms. Chizoba Ufoeze	5	5	4	4	4	5
6.	Mrs. Ifeyinwa Osime	5	N/A	4	N/A	4	5
7.	Mrs. Adeyinka Adekoya*	N/A	N/A	N/A	N/A	N/A	N/A
8.	Mr. Bode Ojeniyi	5	N/A	4	N/A	N/A	5
9.	Mr. Femi Obaleke	5	N/A	N/A	4	N/A	5

*Adeyinka Adekoya – appointed November 1, 2015

Executive Committee

The Executive Committee (EXCO) is made up of the Managing Director as Chairman, and all the Executive Directors as members. It is primarily responsible for the implementation of strategies approved by the Board and ensuring the efficient deployment of the Company's resources.

Management Committees

These are standing committees made up of senior management staff of the Company. The Committees are also risk driven and are set up to identify, analyze and make recommendations on risks pertaining to the Company's day to day activities. They ensure that risk limits set by the Board and the regulatory bodies are complied with and also provide input to the various Board Committees in addition to ensuring the effective implementation of risk polices. These Committees meet as frequently as risk issues occur and take actions and decisions within the confines of their respective powers.

The management committees include: Investment Management Committee, Underwriting and Claims Management Committee, Enterprise Risk Management Committee, Criticised Assets Committee, IT Steering Committee and Vendor Management Committee.

Statutory Audit Committee

In compliance with Section 359 of the Companies and Allied Matters Act 1990, Wapic constituted a standing Shareholders Audit Committee made up of three nonexecutive directors and three shareholders. The composition of the Committee is as set out below:

1.	Mr. Chinwendu Achara	(Shareholder)	Chairman
2.	Mrs. Mary Joke Shofolahan	(Shareholder)	Member
3.	Mr. Adeniyi Adebisi	(Shareholder)	Member
4.	Mr. Bababode Osunkoya	(Director)	Member
5.	Ms. Chizoba Ufoeze	(Director)	Member
6.	Mr. Barnabas Olise	(Director)	Member

The Committee met 3 times during the 2014 financial year.

Succession planning

Wapic Insurance has a Succession Planning Policy which was approved by the Board at its 91st meeting held on April 29, 2013 and is regularly reviewed by the Board with the most recent review at the 100th meeting held on July 30, 2015. Succession planning is aligned to the Company's performance management process. The policy identifies key positions, for all Wapic Insurance operating entities in respect of which there will be formal succession planning. The Company's policy provides that potential candidates for the other positions shall be identified at the beginning of each financial year by the Human Resources Head, based on performance and competencies.

Code of Ethics

Wapic Insurance has in place, a Code of Conduct which specifies expected behaviour of its employees and Directors. The code is designed to empower employees and Directors and enable effective decision making at all levels of the business according to defined ethical principles. The Code requires that each Company employee shall read the Code and sign a confirmation that he has understood the content. In addition, there is an annual re-affirmation exercise. The Company also has a Compliance Manual which provides guidelines for addressing violations/breaches and ensuring enforcement of discipline with respect to staff conduct. The Company also has a Disciplinary Guide which provides sample offences/violations and prescribes disciplinary measures to be adopted in various cases. The Head of Human Resources is responsible for the design and implementation of the "Code of Conduct" while the Chief Compliance Officer is responsible for monitoring and ensuring compliance.

The Chief Compliance Officer issues at the commencement of each financial year, an Ethics & Compliance message to all staff within the Group. The Ethics & Compliance message reiterates the Company's policy of total compliance with all applicable laws, regulations, corporate ethical standards and policies in the conduct of the Company's business. The message admonishes employees to safeguard the franchise and advance its growth in a sustainable manner while ensuring compliance with relevant policies, laws and regulations.

Dealing in Company Securities

The Group implements a Non-Dealing Period Policy that prohibits Directors, members of the Audit Committee, employees and all other insiders from abusing, or placing themselves under the suspicion of abusing price sensitive information in relation to the Company's securities. In line with the policy affected persons are prohibited from trading on the company's security during closed period. The Company has put in place a mechanism for monitoring on-going compliance with the policy.

Remuneration Statement

The Report on Directors' remuneration is as set out in the Audited Financial Statements. The Group has established clear policy guideline for the determination and administration of compensation. In line with the policy guidelines, the Company seeks to attract and retain the best talent in countries that it operates. To achieve this, the Company seeks to position itself among the best performing and best employee rewarding companies in its industry. This principle will act as a general guide for the determination of compensation. The objective of the policy is to ensure that salary structure including short and long term incentives motivate sustained high performance and are linked to corporate performance. It is also designed to ensure that stakeholders are able to make reasonable assessment of the Company's reward practices. It is the Company's policy to comply in full with all local tax policies while seeking to take opportunities of legal tax avoidance.

Operating within the guidelines set by the principles above; compensation for staff will be determined annually at the end of each financial year and approved by the Board of Directors through the Board Establishment and Governance Committee.

Total compensation provided to employees will typically include guaranteed and variable portions. The guaranteed pay will include base pay and other guaranteed portions while variable pay may be both performance based and discretionary.

The Company has put in place a performance bonus scheme which seeks to attract and retain high performing employees. Awards to individuals are based on the job level, business unit performance and individual performance. Other determinants of the size of individual award amount include pay level for each skill sets which may be influenced by relative dearth of skill in a particular area.

Whistle Blowing Procedure

Wapic Insurance has a whistle-blowing policy which provides the procedure for reporting suspected breaches of the Company's internal policies, laws and regulations. There is a special e-mail address and telephone hotline dedicated for whistle blowing. The Company's Chief Compliance Officer (CCO) is responsible for monitoring and reporting to the Board on whistle blowing.

Complaint Management Policy

The Company has a Complaints Management Policy which has been put in place in line with the SEC Rules Relating to the Complaints Management Framework of the Nigerian Capital Market and applies to all complaints about Wapic Insurance Plc, made by members of the public or external organisations arising out of issues contained in the Investment and Securities Act. The Complaint Management is hosted on the Company's website www.wapic.com.

The Company Secretary

The Company Secretary has the primary duty of assisting the Board and Management in developing and implementing good corporate governance standards. She ensures that there is timely and appropriate information dissemination within and to the Board. She is responsible for designing and implementing the induction programme for new directors.

Statement of Compliance

The Company is a public limited liability company and therefore subject to the relevant provisions of the SEC as well as the NAICOM Codes of Corporate Governance. In the event of any conflict between the provisions of the two codes regarding any matter, the Company will defer to the provisions of the NAICOM Code as its primary regulator.

Regarding the minimum number of independent directors, the Company had two (2) Independent Directors in compliance with the SEC and NAICOM Codes that require a minimum of one independent director and at least two (2) Independent Directors respectively.

Non – Dealing Period Policy

Introduction

This document shall be read in conjunction with the Company's Code of Conduct Policy, the Guidelines for compliance with Rule 110 & 111 of the Securities & Exchange Commission Rules and Regulations, and all other policies of Wapic Insurance Plc.

Aim

The purpose of this document is to ensure that Directors, members of the Shareholders Audit committee, employees, a related company and all insiders (hereafter called "affected persons") do not abuse, or place themselves under the suspicion of abusing, price-sensitive information that they may have or be thought to have, especially at periods leading up to an announcement of the Company's financial results. Ultimately, it is the responsibility of affected persons, to ensure that none of their dealings constitute insider trading. If an affected person is in doubt about any provision of this guide, the person is duty bound to consult the Company Secretary prior to undertaking any transaction on the Company's securities or encouraging or procuring someone else to so deal.

Definitions

The following terms have the following meanings unless the context otherwise requires:

"Director"	Any person who occupies the position of a Director in Wapic Insurance Plc, or any of its Subsidiaries;
"Audit Committee"	The Statutory' Audit Committee;
"Employee"	Any person engaged under a contract of employment with the Company or any of its subsidiaries, and any other persons engaged by a third party service provider or outsourcing agency, to provide support services to Wapic Insurance Plc or any of its subsidiaries;
"A related Company"	A subsidiary of Wapic Insurance Plc
"An insider"	Shall include a Director or employee of Wapic Insurance Plc and any of its subsidiaries, a related company and its employees, a company or firm engaged in a professional or business capacity with the Company or any of its subsidiaries and their employees, including any shareholder who holds 5% or more of any class of Wapic Insurance Plc securities, or a similar holding of its subsidiaries. The company shall enforce confidentiality against its external advisers being a company engaged in a professional capacity;
"Non-Dealing Period"	any period when an affected person is in possession or deemed to be in possession (actual or constructive), of unpublished price sensitive information in relation to the Company or its securities, and any other period declared as a Non-Dealing Period by a notice in writing (electronic or otherwise) published by the Company Secretary of Wapic Insurance Plc;
"Company"	Wapic Insurance Plc;
"Dealing"	Means any change whatsoever to the holding of securities of which the holder is an affected person including: a. Any sale or purchase of, or agreement to sell or purchase, any securities of the Company; b. The grant to, or acceptance by such a person, of any option relating to such securities or of any right or obligation, present or future, conditional or unconditional, to acquire or dispose of any such securities; c. The acquisition, disposal, exercise or discharge of, or any dealing with, any such option, right or obligation in respect of such securities; d. Dealings between directors and/or applicable employees of the Company; e. Off market dealings; f. Transfers of no consideration;

"Holding"	Any legal or beneficial interest, direct or indirect in the Company's securities;
"Securities"	Any securities of Wapic Insurance Plc admitted to trading on a stock exchange
"Unpublished price sensitive information"	Means information which: a. Relates to particular securities of the Company, or the Company rather than its securities (and, for these purposes, information shall be treated as relating to the Company not only where it is about the Company but also where it may affect the Company's business prospects); b. Is specific or precise; c. Has not been made public; and d. If it were made public would likely have a significant effect on the price or value of any security.

1.0 Dealings by affected people

1.1 Transactions during Non-Dealing periods

An affected person shall not deal in any securities of the Company during a "Non-Dealing Period". For the avoidance of doubt, affected person(s) shall be deemed to be in constructive possession of unpublished price sensitive information where;

a. Such information is in possession of a class or a group of persons to which the affected person is a member; or

b. By virtue of the affected person's duties, job description, sphere of services or business relationship with the Company or any of its subsidiaries, he would reasonably be expected to be possessed of such price sensitive information

1.2 Compliance with SEC Rule 110 & 111

All securities transactions by affected persons shall be conducted in compliance with SEC Rule 110 & 111 and the Company's Guide on compliance with same

2.0 Non-Dealing Period

Except as otherwise communicated in writing by the Company Secretary, the following periods shall be deemed to be non-dealing periods.

iii. A period of 30 days prior to the publication of the Company's Quarterly Profit Forecast or its submission to regulatory authorities whichever occurs first;

iv. A period of 30 days prior to the publication of the Company's Quarterly Unaudited Accounts, or its submission to regulatory authorities whichever occurs first;

v. A period of not less than 30 days prior to the Board Audit and Compliance Committee's consideration of the Company's Audited Accounts;

vi. Any period after Board approval of the Company's Audited Accounts but prior to the publication of the Accounts or the submission to regulatory authorities whichever occurs subsequently;

vii. Any other period as may be designated by the Group Managing Director as a Non-Dealing Period.

Wapic Management's Commentary and Analysis

for the year ended 31 December 2015

In order to foster deeper understanding of our strategy, operating risk and performance and also in compliance with regulatory requirements, we have outlined a Management's Commentary and Analysis ("MC&A") report as contained hereunder.

Reference in this MC&A to the "Company" or to "Group" is with respect to, as the context may require, WAPIC Insurance Plc and all or some of its subsidiaries. Unless otherwise indicated, all financial information presented in this MC&A, including tabular amounts, is in Nigerian Naira and is prepared in accordance with International Financial Reporting Standards ("IFRS").

To facilitate wholesome understanding of the Company's position, it is advised that the content in this MC&A be read in conjunction with the full audited annual consolidated financial statements as well as the accompanying notes.

Nature of business

Wapic Insurance Group operates three Companies namely: Wapic Insurance Plc (the parent company), Wapic Life Assurance Limited and Wapic Insurance (Ghana) Limited. Wapic Insurance Plc's major business activity is insurance. However, the Group is developing capacity for expansion into the asset management and property business.

Business objective and strategy

Wapic Insurance Plc is registered, incorporated and listed in Nigeria. The Company is principally engaged in providing insurance and investment services to cater for the needs of corporate and retail sectors of the Nigerian economy. The Company aims to evolve into a truly diversified financial services institution that provides protection against all forms of insurable risks to all customer segments. By this, the Company's objective is to emerge as one of the top twenty financial services institutions in Nigeria by 2019.

To ensure this goal is achieved, Wapic Group's strategy is to broaden and align service delivery channels along customer segments taking cognizance of the difference between policy administration, product support and customer care to adequately cater for peculiar needs for each segment. Wapic is set to provide excellent service in a sustainable manner and thereby redefine the business of insurance within the West Africa region.

Performance indicators

Operating results and financial conditio

	Group			Company		
Gross premium written	7,100,713	5,203,960	36%	5,212,600	4,015,687	30%
Net premium income	3,940,484	2,836,982	39%	2,715,417	1,868,901	45%
Net claims expenses	1,634,687	997,570	64%	862,820	477,978	81%
Underwriting profit/ (loss)	**1,477,693**	**1,315,838**	**12%**	**1,194,177**	**838,441**	**42%**
Investment and other income	2,893,778	1,817,085	59%	2,207,035	1,122,716	97%
Operating expenses	(3,468,245)	(3,074,352)	13%	(2,364,885)	(2,235,984)	6%
Profit/ (loss) before tax	1,667,663	58,572	2747%	1,036,327	(274,827)	477%
Profit/(loss) after tax for the year	1,297,386	236,833	448%	624,185	(5,214)	12071%
Basic and diluted earnings/(loss) per share (kobo)	10	2	448%	5	(0)	12071%

The business experienced some gains resulting from the on-going business model restructuring and transformation of the service channels embarked upon to reposition the group. These contributed to a 36% (Company: 30% increase) increase in the Group's gross written premium when compared to prior year's result.

The alterations in the business model also impacted on the net premium income of N3.9 billion which represents an increase of N961 million over December 2014 results.

The Group reported a net insurance claims expenses of N1.64 billion in 2015, an increase of N637 million over December 2014. The Company also recorded an increase of N385 million in net claim expenses between 2014 and 2015. The underwriting result at the end of the year amounted to an underwriting profit of N1.48 billion (Company: underwriting profit of N1.19 billion) compared to an underwriting profit of N1.32 billion (Company: loss of N838 million) reported during the year ended 31 December 2014. The key drivers of the underwriting performance were the increase in premium income and comparative reduction in net claims expenses underscoring increased efficiency of underwriting risk selection.

Investment and other income grew by 59% (Company: 97%) a reflection of the group's strategic direction which leveraged on investment income as a key revenue source due to the challenging investment environment witnessed during the year. The growth from N1.82 billion (Company: N1.12 billion) in 2014 to N2.89 billion (Company: N2.21 billion) in 2015 is a reflection of the Company's efforts at growing investment portfolio with maximum yields within the challenging investment environment.

Operating expenses for the year totaled N3.46 billion (Company: N2.37 billion), representing a 13% increase (Company 6%) compared to prior year. As at 31st December 2015, the Group had N7.05 billion in the cash and cash equivalents (Company: N3.32 billion), including money market placements of N5.91 billion (Company: N2.91 billion) with maturity of not more than three months.

Liquidity, capital resources and risk factors

The Group's cash investment is in accordance with its investments policy which is compliant with regulatory requirements. The Group's investment strategy during the year was underpinned by a focus on highly liquid financial instruments such as term deposit, equity and debt instruments. At the end of December 2015, the Group had approximately N3.57 billion invested in fixed income, N0.74 billion in equity instruments and N5.91 billion on money market placements as against N6.60 billion, N2.19 billion and N4.87 billion respectively for the comparative prior year period as at 31 December 2014.

Forward looking statements

Some aspects of the statement above relate to the Company's future outlook. Reference to the Company's or Management's budget, estimates, expectations, forecasts, predictions or projections constitute aspect of the "forward-looking statements". Such statements may also be deduced from the use of conditional or forward_looking terminologies including but not limited to words such as "anticipates", "believes", "estimates", "expects", "may", "plans", "projects", "should", "will", or the adverse variants of such which appear within the body of this document.

"Many factors and assumptions may affect the manifestation of the Company's projections, including, but not limited to, production rate, claims rate, employee turnover, relationships with brokers, agents and suppliers, economic and political conditions, non-compliance with laws or regulations by the Company's employees, brokers, agents, suppliers, and/or partners, and other factors that are beyond its control.

Without prejudice to the Company, such forward looking statements reflect Management's current belief and are based on available information which are subject to risks and uncertainties as identified. Therefore, the eventual action and/or outcome could differ materially from those expressed or implied in such forward-looking statements, or could affect the extent to which a particular projection materializes. The forward-looking statements in this document reflect the Company's expectations at the time the Company's Board of Directors approved this document, and are subject to change after this date. The Company does not undertake any obligation to update publicly or to revise any such forward-looking statements, unless required by applicable legislation or regulation.

Statement of Directors' Responsibilities

For the year ended 31 December 2015

The directors accept responsibility for the preparation of the annual consolidated financial statements that give a true and fair view of the statement of financial position of the Group and Company at the end of the year and of its comprehensive income as required by the Companies and Allied Matters Act of Nigeria and the Insurance Act of Nigeria. The responsibilities include ensuring that the Group:

a) keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Group and comply with the requirements of the Companies and Allied Matters Act and the Insurance Act;

b) establishes adequate internal controls to safeguard its assets and to prevent and detect fraud and other irregularities;

c) prepares its financial statements using suitable accounting policies supported by reasonable and prudent judgements and estimates, which are all consistently applied.

The directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with;

- International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB);
- the requirements of the Insurance Act;
- relevant guidelines and circulars issued by the National Insurance Commission (NAICOM);
- the requirements of the Companies and Allied Matters Act.
- Financial Reporting Council Act of Nigeria

The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least twelve months from the date of this statement.

By order of the Board

Aigboje Aig-Imoukhuede (CON)
FRC/2013/CIBN/00000001999
Chairman
29 January 2016

Adeyinka Adekoya
FRC/2016/CIIN/00000013893
Managing Director
29 January 2016

Report of the Audit Committee

for the year ended 31 December 2015

In accordance with the provisions of Section 359 (6) of the Companies and Allied Matters Act of Nigeria, the members of the Audit Committee of Wapic Insurance Plc hereby, report on the financial statements for the year ended 31 December 2015 as follows:

- We have exercised our statutory functions under Section 359 (6) of the Companies and Allied Matters Act of Nigeria and acknowledge the co-operation of management and staff in the conduct of these responsibilities.
- We are of the opinion that the accounting and reporting policies of the Group and Company are in accordance with legal requirements and agreed ethical practices and that the scope and planning of both the external and internal audits for the year ended 31 December 2015 were satisfactory and reinforce the Group's internal control systems.
- We have deliberated with the External Auditors, who have confirmed that necessary cooperation was received from management in the course of their statutory audit and we are satisfied with management's responses to the External Auditor's recommendations on accounting and internal control matters and the effectiveness of the Company's system of accounting and internal control.

Mr. Chinwendu Achara
FRC/2013/IODN/00000002851
Chairman, Audit Committee
29 January, 2016

Members of the committee as at 31 December 2015:

Mr. Chinwendu Achara	Shareholder (Chairman)
Mr. Adeniyi Adebisi	
Mrs. Mary Joke Shofolahan	Shareholder (Member)
Mr. Bababode Osunkoya	
Mr. Barnabas Olise	Non - Executive Director (Member)
Ms. Chizoba Ufoeze	

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Financial Statement

Independent Auditor's Report

Consolidated Statements of Financial Position

	Notes	Group	Group	Company	Company
ASSETS					
Cash and cash equivalents	8	7,053,721	5,173,243	3,320,235	3,190,253
Financial assets	9	4,312,821	8,786,496	2,330,981	6,030,939
Trade receivables	10	552,079	2,699	534,723	-
Reinsurance assets	11	922,583	667,928	724,547	618,021
Deferred acquisition cost	12	414,545	253,508	339,529	214,138
Other receivables and prepayments	13	1,225,121	314,625	1,284,950	203,032
Investment property	14	674,950	4,056,313	639,950	4,021, 313
Investment in associates	15	5,244,301	-	4,364,339	-
Investment in subsidiaries	16	-	-	3,876,571	3,231,976
Intangible assets	17	35,065	49,814	31,844	45,835
Property and equipment	18	2,374,524	1,570,978	2,284,511	1,480,074
Deferred tax asset	19	363,353	664,759	131,679	479,583
Statutory deposit		521,547	518,508	300,000	300,000
TOTAL ASSETS		23,694,610	22,058,871	20,163,859	19,815,164
LIABILITIES					
Insurance contract liabilities	20	4,676,611	3,070,797	3,200,391	2,201,313
Investment contract liabilities	21	1,196,180	1,176,266	-	-
Trade payables	22	210,576	417,655	104,066	328,885
Other payables	23	2,496,916	2,893,034	2,228,084	2,731,208
Current income tax	25	152,029	300,498	57,636	162,681
TOTAL LIABILITIES		8,732,312	7,858,250	5,590,177	5,424,087
EQUITY and LIABILITIES					
Equity attributable to owners					
Share capital	26	6,691,369	6,691,369	6,691,369	6,691,369
Share premium	27	6,194,983	6,691,369	6,691,369	6,691,369
Contingency reserves	28	1,625,511	1,436,917	1,389,162	1,232,784
Other reserves	29	(209,751)	325,958	19,025	460,605
Retained earnings	30	660,186	(448,606)	279,143	(188,664)
TOTAL EQUITY		14,962,298	14,200,621	14,573,682	14,391,077
TOTAL LIABILITIES AND EQUITY		23,694,610	22,058,871	20,163,859	19,815,164

These financial statements were approved by the board of directors (BOD) on 29 January 2016 and signed on behalf of the board of directors by the directors listed below:

Aigboje Aig-Imoukhuede, CON
FRC/2013/CIBN/00000001999
Chairman

Adeyinka Adekoya
FRC/2016/CIIN/00000013893
Managing Director

Oluseyi Taiwo
FRC/2013/ICAN/00000004011
Chief Finance Officer

Consolidated Statements of Profit or Loss and Other Comprehensive Income

	Notes	Group	Group	Company	Company
Gross premium written	31	7,100,713	5,203,960	5,212,600	4,015,687
Gross premium income	31	6,148,778	4,704,156	4,542,960	3,507,334
Reinsurance expenses	31	(2,208,294)	(1,867,174)	(1,827,543)	(1,638,433)
Net premium income	31	3,940,484	2,836,982	2,715,417	1,868,901
Fee and commission income	32	429,822	323,443	351,847	286,777
Net underwriting income		**4,370,306**	**3,160,425**	**3,067,264**	**2,155,678**
Claims expenses	33	2,178,995	1,089,254	1,033,237	506,361
Claims expenses recoverable	33	(544,308)	(91,684)	(170,417)	(28,383)
Net claims expenses		1,634,687	997,570	862,820	477,978
Underwriting expenses	34	1,228,941	960,838	1,010,267	839,259
Increase in individual life fund	20(d)	28,985	(113,821)	-	-
Total underwriting expenses		**2,892,613**	**1,844,587**	**1,873,087**	**1,317,237**
Underwriting profit/ (loss)		1,477,693	1,315,838	1,194,177	838,441
Investment income	35(a)	1,376,314	1,455,201	746,137	955,784
Profit on investment contracts	35(b)	6,179	6,859	-	-
Net realised (loss)/gain on financial assets	36	1,124,779	(167)	1,124,780	-
Net fair value (loss)/gain on assets at fair value through profit or loss	37	(3,598)	(14,697)	(3,540)	(16,431)
Other operating income	38	390,104	369,889	339,658	183,363
		2,893,778	**1,817,085**	**2,207,035**	**1,122, 716**

	Notes	Group	Group	Company	Company
Net income		4,371,471	3,132,923	3,401,212	1,961,157
(Impairment reversal)/impairment on trade receivables	10(b)	(19,730)	153,902	(97,674)	107,788
(Impairment reversal)/impairment on reinsurance assets	11(e)	(7,151)	12,496	-	12,496
(Impairment reversal)/impairment on reinsurance assets	13(b)	14,410	24,521	7,611	23,450
Employee benefit expense	39	924,272	912,694	646,710	617,431
Other operating expenses	40	2,556,444	1,970,738	1,808,238	1,474,819
Expenses		**3,468,245**	**3,074,352**	**2,364,885**	**2,235,984**
Operating profit/(loss)		903,226	58,572	1,036,327	(274,827)
Share of profit of associate	15(c)	764,437	-	-	-
Profit/(loss) before tax		1,667,663	58,572	1,036,327	(274,827)
Income tax	25	(370,277)	178,621	(412,142)	269,613
Other comprehensive income, net of tax					
Items that are or may be reclassified to profit or loss:					
Foreign currency translation difference of foreign operations	29(b)	(209,654)	(64,419)	-	-
Net changes in fair value of AFS financial instruments:					
Unrealised net gains/(losses) arising during the period	29(c)	(116,437)	(151,321)	(116,437)	(151,321)
Net reclassification adjustments for realised net gains		(325,143)	-	(325,143)	-
Share of other comprehensive income of associates	15(c)	115,525	-	-	-
Other comprehensive (loss)/income for the year, net of tax		(535,709)	(215,740)	(441,580)	(151,321)
Total comprehensive (loss)/income for the year		761,677	21,093	182,605	(156,535)
Profit/(loss) atributable to the owners of the Company		1,297,386	236,833	624,185	(5,214)
Total comprehensive income/(loss) attributtable to the owners of the Company		761,677	21,093	182,605	(156,535)
Basic and diluted earnings/(loss) per share (kobo)	41	10	2	5	(0)

Consolidated Statements of Changes in Equity - Group

For the period ended 31 December 2015 (All amounts in Naira thousands unless otherwise stated)

	Notes	Share Capital	Share Premium	Contingency Reserves	Other Reserves	Retained Earnings	Total Equity
Balance at 1 January 2015		6,691,369	6,194,983	1,436,917	325,958	(448,606)	14,200,621
Total comprehensive income for the year							
Profits for the year		-	-	-	-	1,297,386	1,297,386
Transfer to contingency reserves	28	-	-	188,594	-	(188,594)	-
		-	-	188,594	-	1,108,792	1,297,386
Other comprehensive income							
Net changes in fair value of AFS financial instruments	29 (c)	-	-	-	(116,437)	-	(116,437)
Net reclassification adjustments for realised net gains	29 (c)	-	-	-	(325,143)	-	(325,143)
Foreign currency translation difference	29 (c)	-	-	-	(209,654)	-	(209,654)
Share of other comprehensive income of associates	15(c)				115,525		115,525
Total other comprehensive loss for the year		-	-	-	(535,709)	-	(535,709)
Total comprehensive income/(loss) for year		-	-	188,594	535,709	1,108,792	761,677
Transactions with equity holders, recorded directly in equity:							
Total transactions with owners		-	-	-	-	-	-
Balance at 31 December 2015		6,691,369	6,194,983	1,625,511	(209,751)	660,186	14,962,298

Statement of Changes in Equity - Company

For the period ended 31 December 2015 (All amounts in Naira thousands unless otherwise stated)

	Notes	Share Capital	Share Premium	Contingency Reserves	Other Reserves	Retained Earnings	Total Equity
Balance at 1 January 2015		6,691,369	6,194,983	1,232,784	460,605	(188,664)	14,391,077
Total comprehensive income for the year							
Profit for the year		-	-	-	-	624,185	624,185
Transfer to contingency reserves	28	-	-	156,378	-	(156,378)	-
		-	-	156,378	-	467,807	624,185
Other comprehensive income							
Net changes in fair value of AFS financial instruments	29 (c)	-	-	-	(116,437)	-	(116,437)
Net reclassification adjustments for realised net gains/(loses)	29 (c)				(325,143)		(325,143)
Total other comprehensive income for the year		-	-	-	(441,580)	-	(441,580)
Total comprehensive income for year		-	-	156,378	(441,580)	467,807	182,605
Transactions with equity holders, recorded directly in equity:							
Total transactions with owners		-	-	-	-	-	-
Balance at 31 December 2015		6,691,369	6,194,983	1,389,162	19,025	279,143	14,573,682

Consolidated Statements of Changes in Equity -Group

For the period ended 31 December 2014 (All amounts in Naira thousands unless otherwise stated)

	Notes	Share Capital	Share Premium	Contingency Reserves	Other Reserves	Retained Earnings	Total Equity
Balance at 1 January 2014		6,691,369	6,194,983	1,289,685	577,170	(573,679)	14,179,528
Total comprehensive income for the year							
Profit for the year		-	-	-	-	236,833	236,833
Transfer to contingency reserves	28	-	-	147,232	-	(147,232)	-
		-	-	147,232	-	89,601	236,833
Other comprehensive income							
Net changes in fair value of AFS financial instruments	29(c)	-	-	-	(151,321)	-	(151,321)
Foreign currency translation difference	29(b)	-	-	-	(64,419)	-	(64,419)
Reclassification - Excess depreciation transfer	29(a)	-	-	-	(35,472)	35,472	-
Total other comprehensive income for the year		-	-	-	(251,212)	35,472	(215,740)
Total comprehensive income for year		-	-	147,232	(251,212)	125,073	21,093
Transactions with equity holders, recorded directly in equity:							
Balance at 31 December 2014		6 691 369	6,194,983	1,436,917	325,958	(448,606)	14,200,621

Statement of Changes in Equity -Company

For the period ended 31 December 2014 (All amounts in Naira thousands unless otherwise stated)

	Notes	Share Capital	Share Premium	Contingency Reserves	Other Reserves	Retained Earnings	Total Equity
Balance at 1 January 2014		6,691,369	6,194,983	1,112,313	611,926	(62,979)	14,547,612
Total comprehensive income for the year							
Loss for the year		-	-	-	-	(5,214)	(5,214)
Transfer to contingency reserves	28	-	-	120,471	-	(120,471)	-
		-	-	120,471	-	(125,685)	(5,214)
Other comprehensive income							
Net changes in fair value of AFS financial instruments	29(c)	-	-	-	(151,321)	-	(151,321)
Total other comprehensive income for the year		-	-	-	(151,321)	-	(151,321)
Total comprehensive income for year		-	-	120,471	(151,321)	(125,685)	(156,535)
Transactions with equity holders, recorded directly in equity:							
Total transactions with owners		-	-	-	-	-	-
Balance at 31 December 2014		6,691,369	6,194,983	1,232,784	460,605	(188,664)	14,391,077

Consolidated Statement of Cash Flows

	Group	Group	Company	Company
Cash flows from operating activities				
Premiums received	6,571,063	5,484,911	4,775,551	3,942,329
Fees and commission received	449,095	392,907	366,307	347,857
Fees and commission paid	(1,387,981)	(1,033,516)	(1,135,658)	(905,232)
Reinsurance premiums paid	(2,553,235)	(2,187,997)	(1,490,282)	(1,786,499)
Gross claims paid to policy holders	(1,597,993)	(1,131,737)	(787,480)	(657,907)
Reinsurance recoveries on claims	434,666	415,102	159,579	207,876
Payments to employees	(924,272)	(912,694)	(646,710)	(617,431)
Other operating cash payments	**(283,495)**	(3,210,639)	(1,411,517)	(1,487,405)
Other operating cash receipts	466,096	280,670	339,658	183,363
Tax paid	(216,284)	(193,464)	(169,283)	(154,819)
Net cashflow from operations	**957,660**	**(2,096,457)**	**165**	**(927,868)**
Cash flows from investing activities				
Purchases of property and equipment	(1,041,107)	(1,012,086)	(981,562)	(989,662)
Purchases of intangible assets	(1,712)	(9,293)	(1,712)	(7,740)
Proceeds from sale of property and equipment	24,994	215,688	6,819	49,973
Purchases of investment securities	(5,005,731)	(7,646,101)	(4,016,724)	(5,728,050)
Proceeds from redemption of investment securities	6,099,092	8,064,364	3,601,892	5,928,610
Improvement to investment properties	(22,260)	(22,991)	(22,259)	(22,991)
Proceeds from sale of investment properties	1,090,547	322,880	1,090,546	308,775
Rental income received	42,578	15,362	42,578	15,362
Dividend income received	107,526	18,175	107,526	18,108
Interest income received	1,508,836	1,470,680	789,557	894,260
Net cash (used in) / from investing activities	2,802,765	1,416,678	616,662	466,645
Cash flows from financing activities				
Proceeds from issue of shares	-	-	-	-
Dividend paid	-	-	-	-
Net cash from financing activities	**-**	**-**	**-**	**-**
Changes in cash and cash equivalents	3,760,425	(679,779)	616,827	(461,223)
Cash and cash equivalent at beginning of year	5,173,243	5,853,022	3,190,253	3,651,476
Net increase/(decrease) in cash and cash equivalent	3,760,425	(679,779)	616,827	(461,223)
Cash and cash equivalent at end of year	**8,933,668**	**5,173,243**	**3,807,080**	**3,190,253**

Summary of Cash and cash equivalents	Group	Group	Company	Company
The statement of significant accounting policies and the accompanying notes form an integral part of these financial statements.				
Cash at bank and in hand	1,141,840	303,632	413,219	209,178
Money market placements	5,911,881	4,869,611	2,907,016	2,981,075
Treasury bills less than 90 days maturity	1,879,947	-	486,845	-
Balance, end of year	8,933,668	5,173,243	3,807,080	3,190,253

The statement of significant accounting policies and the accompanying notes form an integral part of these financial statements.

01. Reporting Entity

Wapic Insurance Plc ("Wapic" or "the Company") together with its subsidiaries (collectively "the Group") is a public liability company domiciled in Nigeria with operations in Nigeria and Ghana. Wapic Insurance Plc was incorporated on 14 March 1958 as a private limited liability Company under the name of West African Provincial Insurance Company Limited.

It became a public limited liability company in 1990 when the Company's shares were listed on the Nigerian Stock Exchange. The Company secured a life insurance business license from National Insurance Commission (NAICOM) in 2000, and became a composite insurance business.

The Company separated the life business and transferred the related assets and liabilities to its subsidiary, Intercontinental Life Assurance Limited (now Wapic Life Assurance Limited), on 1 March 2007 through which it continues to provide life assurance services. Wapic Insurance Ghana Limited, a wholly owned subsidiary of Wapic Insurance Plc, was incorporated on 21 January 2008 to carry on general insurance business in Ghana from 19 February 2008.

The address of the Company's corporate office is 50, Awolowo Road, Ikoyi. The Group is principally engaged in the business of underwriting life and non-life insurance risks and also issues a diversified portfolio of investment contracts products to provide its customers with asset management solutions for their savings and target investment plans.

Going concern

These financial statements have being prepared on the going concern basis. The Group and Company has no intention or need to reduce substantially its business operations. The management believes that the going concern assumption is appropriate for the Group and Company due to sufficient capital adequacy ratio and projected liquidity, based on historical experience that short-term obligations will be refinanced in the normal course of business.

Liquidity ratio and continuous evaluation of current ratio of the Group and Company is carried out to ensure that there are no going concern threats to the operation of the Group and Company.

02. Basis of Preparation

(a) Statement of compliance with International Financial Reporting Standards

The financial statements have been prepared in accordance with, and comply with, International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) Interpretations applicable to companies reporting under IFRS and in the manner required by Companies and Allied Matters Act of Nigeria, the Insurance Act of Nigeria, the Financial Reporting Council of Nigeria Act (FRC Act) and Nigerian Insurance Commission (NAICOM) guidelines and circulars.

These financial statements were authorised for issue by the Company's Board of Directors on 29 January 2016.

(b) Functional and presentation currency

The financial statements are presented in Nigerian currency (Naira) which is the Company's functional currency. Except otherwise indicated, financial information presented in Naira have been rounded to the nearest thousand.

(c) Basis of measurement

The consolidated financial statements have been prepared on a historical cost basis except for the following:

- financial instruments at fair value through profit or loss are measured at fair value;
- available-for-sale financial assets are measured at fair value;
- investment properties are measured at fair value;
- land and building are carried at revalued amount; and
- Insurance liabilities are measured at present value of future cashflows.

(d) Use of estimates and judgments

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates under different assumptions and conditions.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected. Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements is included in note 4 to the financial statements.

(e) Regulation

The Company is regulated by the NAICOM under the National Insurance Act of Nigeria. The Act specifies certain provisions which have impact on financial reporting as follows:

i. section 20 (1a) provides that provisions for unexpired risks shall be calculated on a time apportionment basis of the risks accepted in the year;

ii. section 20 (1b) requires provision for outstanding claims to be credited with an amount equal to the total estimated amount of all outstanding claims with a further amount representing 10 per centum of the estimated figure for outstanding claims in respect of claims incurred but not reported at the end of the year under review. Under IFRS the Incurred but not Reported (IBNR) claims are included in the reserves is as determined by the Actuary;

iii. sections 21 (1a) and 22 (1b) require maintenance of contingency reserves for general and life businesses respectively at specified rates as set out under note 3.24 to cover fluctuations in securities and variation in statistical estimates;

iv. section 22 (1a) requires that the maintenance of a general reserve fund (insurance contract fund) which shall be credited with an amount equal to the net liabilities on policies in force at the time of the actuarial valuation and an additional 25 percent of net premium for every year between valuation date;

v. section 24 requires the maintainenance of a margin of solvency to be calculated in accordance with the Act.

The FRC Act provides that in the matters of financial reporting if there is any inconsistency between the FRC Act and of other Act or law, the FRC Act shall supercede the other Act or law. The FRC Act provides that IFRS shall be the national financial reporting framework in Nigeria. Consequently, the following provision of the National Insurance Act, which conflict with the provisions of IFRS have not been adopted:

i. the requirement to provide 10 per cent for outstanding claims in respect of claims incurred but not reported at the end of the year under review under section 20 (1b);

ii. the requirement for additional provision of 25 per cent of net premium to general reserve fund under section 22 (1a).

(f) Changes in accounting policies

Except for the changes below, the Group and Company has consistently applied the accounting policies as set out in Note 3 to all periods presented in these financial statements.

The following new standards and amendments to standards, including any consequential amendments to other standards, with a date of initial application are applicable to the Group as of 1 January 2015.

a. Offsetting Financial Assets and Financial Liabilities (Amendments to IAS 32)
b. Recoverable Amount Disclosures for Non-Financial Assets (Amendments to IAS 36)
c. IFRIC 21 Levies

Annual Improvements 2010-2012 Cycle

The Company has applied these improvements which are all effective for accounting periods beginning on or after 1 July 2014 for the first time in these consolidated financial statements. They include:

i. IFRS 3 - Business Combination

ii. IFRS 8 - Operating Segments

iii. IAS 24 Related Party Disclosures

iv. IAS 16 - Property, Plant and Equipment and IAS 38 - Intangible Assets

v. IFRS 13 - Fair Value Measurement

i. IFRS 3 - Business Combination

"The amendment is applied prospectively and clarifies that all contingent consideration arrangements classified as liabilities (or assets) arising from a business combination should be subsequently measured at fair value through profit or loss whether or not they fall within the scope of IAS 39. This is consistent with the Group's current accounting policy and, thus, this amendment did not impact the Group's accounting policy.

ii. IFRS 8 - Operating Segments

The amendments are applied retrospectively and clarify that:

- An entity must disclose the judgements made by management in applying the aggregation criteria in paragraph 12 of IFRS 8, including a brief description of operating segments that have been aggregated and the economic characteristics (e.g., sales and gross margins) used to assess whether the segments are 'similar'.

- The reconciliation of segment assets to total assets is only required to be disclosed if the reconciliation is reported to the chief operating decision maker, similar to the required disclosure for segment liabilities. The Group has not applied the aggregation criteria in IFRS 8.12. The Group has presented the reconciliation of segment assets to total assets in previous periods and continues to disclose the same in Note 7 in this period's financial statements as the reconciliation is reported to the chief operating decision maker for the purpose of her decision making.

iii. IAS 24 Related Party Disclosures

The amendment is applied retrospectively and clarifies that a management entity (an entity that provides key management personnel services) is a related party subject to the related party disclosures. In addition, an entity that uses a management entity is required to disclose the expenses incurred for management services. This amendment is not relevant for the Company as it does not receive any management services from other entities.

iv. IAS 16 - Property, Plant and Equipment and IAS 38 - Intangible Assets

Both standards are amended to clarify how the gross carrying amount and the accumulated depreciation are treated where an entity uses the revaluation model. The carrying amount of the asset is restated to the revalued amount. The split between gross carrying amount and accumulated depreciation is treated in one of the following ways:

- either the gross carrying amount is restated in a manner consistent with the revaluation of the carrying amount, and the accumulated depreciation is adjusted to equal the difference between the gross carrying amount and the carrying amount after taking into account accumulated impairment losses; or
- the accumulated depreciation is eliminated against the gross.

This is consistent with the Group's current accounting policy and, thus, this amendment did not impact the Group's accounting policy.

v. IFRS 13 - Fair Value Measurement

"The amendment clarifed the consequential amendments to paragraphs B5.4.12 of IFRS 9 and AG79 of IAS 39 which meant that entities no longer had the ability to measure short-term receivables and payables at invoice amounts where the impact of not discounting is immaterial. The IASB has amended the basis for conclusions of IFRS 13 to clarify that it did not intend to remove the ability to measure short-term receivables and payables at invoice amounts in such cases. This is consistent with the Company's current accounting policy and, thus, this amendment did not impact the Company's accounting policy.

Annual Improvements 2011-2013 Cycle

These improvements are effective from 1 July 2014 and the Company has applied these amendments for the first time in these financial statements. They include:

i. IFRS 3 - Business Combinations

ii. IFRS 13 - Fair Value Measurement

iii. IAS 40 - Investment Property

i. IFRS 3 - Business Combination

The amendment is applied prospectively and clarifies for the scope exceptions within IFRS 3. It clarifies that Joint arrangements, not just joint ventures, are outside the scope of IFRS 3. The Group does have any joint arrangement.

ii. IFRS 13 - Fair Value Measurement

The amendment is applied prospectively and clarifies that the portfolio exception in IFRS 13 can be applied not only to financial assets and financial liabilities, but also to other contracts within the scope of IAS 39. The Group does not apply the portfolio exception in IFRS 13.

ii. IAS 40 - Investment Property

"The description of ancillary services in IAS 40 differentiates between investment property and owner-occupied property (i.e., property, plant and equipment). The amendment is applied prospectively and clarifies that IFRS 3, and not the description of ancillary services in IAS 40, is used to determine if the transaction is the purchase of an asset or a business combination. In previous periods, the Group has relied on IFRS 3, not IAS 40, in determining whether an acquisition is of an asset or is a business acquisition. Thus, this amendment did not impact the accounting policy of the Group.

New standards and interpretations not yet adopted

The following new or revised standards and amendments which have a potential impact on the Company are not yet effective for the year ended 31 December 2015 and have not been applied in preparing these financial statements. However, the Company's assessments of the new standards and amendments is that they are not expected to have significant impact on the it's operations and financial position.

Financial assets	Summary of the requirements and possible impact on consolidated financial statements
IFRS 9: Financial Instruments	"IFRS 9 addresses the classification, measurement and derecognition of financial assets and financial liabilities and introduces new rules for hedge accounting. In July 2014, further changes were made to the classification and measurement rules and also introduced a new impairment model. These latest amendments now complete the new financial instruments standard. While the Company has yet to undertake a detailed assessment of the debt instruments currently classified as available-for-sale financial assets, it would appear that they would satisfy the conditions for classification as at fair value through other comprehensive income (FVOCI) based on the current business model for these assets. Hence there will be no change to the accounting for these assets. There will also be no impact on the Company's accounting for financial liabilities, as the new requirements only affect the accounting for financial liabilities that are designated at fair value through profit or loss and the company does not have any such liabilities. The new hedging rules align hedge accounting more closely with the company's risk management practices. As a general rule it will be easier to apply hedge accounting going forward as the standard introduces a more principles-based approach. The new standard also introduces expanded disclosure requirements and changes in presentation. The new impairment model is an expected credit loss (ECL) model which may result in the earlier recognition of credit losses. The Company has no hedging arrangements and is yet to assess if/wheter it would be affected by the new impairment provisions rules. The Company will adopt the standard when it becomes effective on 1 January 2018.
IFRS 15 Revenue from Contracts with Customers	"The is the issued new standard for the recognition of revenue. This will replace IAS 18 which covers contracts for goods and services and IAS 11 which covers construction contracts. The new standard is based on the principle that revenue is recognised when control of a good or service transfers to a customer – so the notion of control replaces the existing notion of risks and rewards. The standard permits a modified retrospective approach for the adoption. Under this approach entities will recognise transitional adjustments in retained earnings on the date of initial application (eg 1 January 2017), ie without restating the comparative period. They will only need to apply the new rules to contracts that are not completed as of the date of initial application. Management is currently assessing the impact of the new rules and has identified that the standard is not expected to have significant impact on the Company's financial statements. The Company will adopt the standard on its mandatory effective date of 1 January 2017.

The following new or amended standards that have been issued but not yet effective are not expected to have a significant impact of the Company's financial statements.

The Company's assessments of the expected new standards and amendments is that they are not expected to have significant impact on the it's operations and financial position because it is not significantly exposed to their requirements.

New or amended standards	Effective date
IFRS 10: Consolidated financial statements and IAS 28 Investments in associates and joint ventures on sale or contribution of assets between an Investor and its Associate or Joint Venture	1 January 2016
IFRS 14 Regulatory deferral accounts	1 January 2016
IAS 1 Presentation of financial statements disclosure initiative	1 January 2016
AS 16 Property, plant and equipment and IAS 41 - Agriculture on bearer plants	1 January 2016
IAS 27 Separate financial statements on equity accounting	1 January 2016
IFRS 10, IFRS 12 and IAS 28 Investment Entities on applying the Consolidation Exception	1 January 2016
IFRS 9 Financial instruments on general hedge accounting	1 January 2016
Annual Improvements to IFRSs 2012–2014 Cycle:	1 January 2016
IFRS 5 Non-current Assets Held for Sale and Discontinued Operations	1 January 2016
IFRS 7 Financial Instruments: Disclosures - Applicability of the offsetting disclosures to condensed interim financial statements	1 January 2016
IFRS 7 Financial Instruments: Disclosures - Servicing contracts	1 January 2016
IAS 19 Employee Benefits	1 January 2016
IAS 34 Interim Financial Reporting	1 January 2016

3. Significant accounting policies

Except for the changes explained above, the significant accounting policies set out below have been consistently applied to all periods presented in these financial statements.

3.1 Cash and cash equivalents

Cash and cash equivalents include cash in hand and at bank, call deposits and short term highly liquid financial assets with original maturities of three months or less from the acquisition date, which are subject to insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

3.2 Financial instruments

i. Financial assets

a. Classification

The Company's financial assets include cash and short term deposits, commercial loan, quoted and unquoted equity instruments, treasury bills and bonds. The classification of financial assets depends on the purpose for which the assets were acquired or originated. The Company classifies its financial assets into the following categories:

- financial assets at fair value through profit or loss;
- held-to-maturity;
- loans and receivable, and;
- available-for-sale

b. Initial recognition

All financial instruments are initially recognized at fair value, which includes directly attributable transaction costs for financial instruments not classified at fair value through profit and loss. Financial instruments are derecognized when the rights to receive cash flows from the financial instruments have expired or where the Company has transferred substantially all risks and rewards of ownership.

c. Subsequent measurement

Subsequent to initial recognition, financial assets are measured either at fair value or amortised cost, depending on their categorization as follows:

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss include financial assets held for trading and financial assets designiated at initial recognition at fair value through profit or loss.

Financial assets classified as held for trading are acquired principally for the purpose of selling in the short term for profit purposes.

Subsequent to initial recognition, financial assets as fair value through profit or loss investments are re-measured at fair value, with gains and losses arising from changes in this value recognized in the profit or loss in the period in which they arise.

The fair values of quoted instruments in active markets are based on current bid prices, while those of unquoted instruments are determined by reference to an active markets or valuation techniques. Interest earned and dividends received while holding trading assets at fair value through profit or loss are recognised in the profit or loss.

The Company holds financial assets designiated at initial recognition at fair value through profit or loss in addition to those financial assets held for trading.

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed determinable payments and fixed maturities that management has both the positive intention and ability to hold to maturity other than:

- those that the Company designates as available for sale;
- those that upon initial recognition has been designated as at fair value through profit or loss; and;
- those that meet the definition of loans and receivables.

Such instruments as government bonds, corporate bonds and treasury bills are carried at amortised cost using the effective interest method, less impairment allowance, if any.

Held to maturity investments are measured subsequent to initial recognition at amortised cost using the effective interest rate.The Company consider tainted any financial assets classified as held to maturity, if during the current financial year or the two preceding financial years, it has sold or reclassified more than an insignificant amount of the held-to-maturity investments before maturity (more than insignificant in relation to the total amount of held-to-maturity investments) other than sales or reclassifications that:

- are so close to maturity or the financial asset's call date (for example, less than three months before maturity) that changes in the market rate of interest would not have a significant effect on the financial asset's fair value;
- occur after substantially all of the financial asset's original principal has been collected through scheduled payments or prepayments; or
- are attributable to an isolated event that is beyond the Company's control, is non-recurring and could not have been reasonably anticipated by the Company.

Available-for-sale

Available for sale financial investments include equity and debt securities. The Company classifies as available-for-sale those financial assets that are generally not designated as another category of financial assets and strategic capital investments held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices.

Available-for-sale financial assets are carried at fair value. Fair values for quoted instruments are determined in the same manner as those of instruments at fair value through profit or loss. The fair values of unquoted equities and other instruments for which there is no active market, are established using valuation techniques corroborated by independent third parties. These inputs may include reference to the current fair value of other instruments that are substantially similar in terms of underlying cash flows and risk characteristics.

Available for sale equity instruments for which fair value cannot be reliably determined are carried at cost less impairment allowance, if any.

Unrealized gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income while the investment is held, and are subsequently transferred to the profit or loss statement upon sale or de-recognition of the instrument. When available for sale instruments are impaired, the result of loss is recognised immediately in the statement of profit or loss.

Dividends received on available-for-sale instruments are recognised in profit or loss when the Company's right to receive payment has been established. Interest income on available for sale instruments are recognised in the statement of profit or loss.

Loans and receivables

"Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those classified by the Company as at fair value through profit or loss or available-for-sale.

Loans and receivables consist primarily of staff loans, premium debtors, due from reinsurers, other debtors.

Loans and receivables are measured at amortised cost using the effective interest rate method, less any impairment losses. Loans granted to staff at below market rates are fair valued by reference to expected future cash flows and current market interest rates for instruments in a comparable or similar risk class and the difference between the historical cost and fair value is accounted for as employee benefits under staff costs where these are considered material.

d. Impairment of financial assets

The carrying amounts of these assets are reviewed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events that have occurred since the initial recognition of the asset have had a negative effect on the estimated future cash flows of that asset and can be reliably estimated.

Observable data or evidence that the Company uses to determine if an impairment allowance is required on a financial asset include:

- significant financial difficulty of a counter party;
- a breach of contract such as default of contractual terms or delinquency in interest or principal payment;
- it is probable that the counterparty will enter bankruptcy or other financial reorganization;
- observable data which indicates that there is a measurable decrease in the estimated future cash flow from a Company of assets since the initial recognition of those assets although the decrease cannot yet be identified with the individual financial assets.

In addition, for an available-for-sale financial asset, a significant or prolonged decline in the fair value below its cost is also considered objective evidence of impairment. While the determination of what is significant or prolonged is a matter of judgment. In respect of equity securities that are quoted, the Company is guided by the following:

- a decline is generally regarded as significant if it represent substantial fall in value below cost and
- a decline in quoted price is considered to be prolonged if decline persists for more one financial year.

Loans and receivables and held-to-maturity financial instruments

For financial assets measured at amortised cost, the Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and or collectively for the entire portfolio or class of financial assets. Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

"When there is objective evidence of impairment, the amount of the impairment loss determined is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate (i.e. the effective interest rate computed at initial recognition). The carrying amount of the asset is reduced through an allowance account. The impairment loss is recognised in profit or loss.

Impairment reversals in a subsequent period arising as a result of decreases in the amount of the impairment loss is recognised where the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed by adjusting the allowance account. The reversal is reinstated as far it does not result in the carrying amount of the financial asset that exceeds what the amortised cost would have been had the initial impairment not been recognised.

Available for sale instruments

Available-for-sale financial assets are impaired if there is objective evidence of impairment, resulting from one or more loss events that occurred after initial recognition but before the reporting date, that have an impact on the future cash flows of the asset.

All impairment losses are recognized through profit or loss. If any loss on the financial asset was previously recognized directly in equity as a reduction in fair value, the cumulative net loss that had been recognized in equity is transferred to the statement of profit or loss and is recognized as part of the impairment loss. The amount of the loss recognized in the statement of profit or loss is the difference between the acquisition cost in the case of equity instruments or amortised cost in the case of debt instruments and the current fair value, less any previously recognized impairment loss in the profit or loss.

For debt instruments subsequent decreases in the amount relating to an impairment loss, that can be linked objectively to an event occurring after the impairment loss was recognized in the profit or loss, is reversed through the statement of profit or loss. An impairment loss in respect of an equity instrument classified as available-for-sale is not reversed through the statement of profit or loss.

When an available-for-sale financial instrument is carried at cost because fair value is not reliably measured, an impairment loss is measured as the difference between the carrying amount and the present value of estimated future cash flows discounted at current market rate of return for similar instruments.

ii. Financial liabilities

The Company's financial liabilities are classified as other financial liabilities at amortised cost. They include: investment contract liabilities, trade and other payables.

Subsequent to initial recognition, financial liabilities at fair value through profit or loss are measured at fair value while other financial liabilities are measured at amortised cost.

In accordance with IAS 39, all financial assets and liabilities (including derivative financial instruments) have to be recognized in the financial statements and measured in accordance with their assigned categories. The table below represents the Company's classification of all its financial assets and liabilities:

Category		Classes as determined by the Company		Subclasses
Financial Assets	Financial assets at fair value through profit or loss	Investment securities	Listed equity securities	Shares
	Loans and receivables	Cash and cash equivalants		Cash in hand and at bank
				Short-term bank deposits
		Trade receivables		Due from brokers and contract holders
				Receivables from related parties
				Others
				Sundry receivables
		Reinsurance assets		Claim recoverables
	Held to maturity	Investment securities	Listed debt securities	Treasury Bills
				Government Bonds
Financial Liabilities	Financial liabilities at fair value through profit or loss	Nil	Nil	Nil
	Financial liabilities at amortized cost	Trade payables		Due to reinsurance companies
		Other payables		Accounts payable
				Due to related parties
				Accrued expenses
		Investment contract liabilities		Individual deposit adminstration
				Group deposit adminsitration

iii. Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non performance risk.

When available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximize the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction. Valuation techniques include using recent arm's length market transactions between knowledgeable, willing parties, if available, reference to the current fair value of another instrument that is substantially the same, discounted cash flow analysis and option pricing models. Where an appropriate and reliable valuation technique can not be achieved the instrument is carried at cost.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price, i.e. the fair value of the consideration paid or received. If the Group determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognised in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data or the transaction is closed out. If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price or at the price that best present the financial instrument.

The fair value of a demand deposit is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid. The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

iv. Write-off policy

The Group writes off a financial asset (and any related allowances for impairment losses) when it determines that the assets are uncollectible. This is determined after consideration of information such as significant changes in the issuer's financial position such that the issuer can no longer pay the obligation or charge off decisions generally based on specific past due status considerations.

iv. Trade receivables

Trade receivables are loans and receivables financial instruments specifically arising from insurance contracts and constitutes premium debtors with determinable payments that are not quoted in an active market and the Group has no intention to sell. Trade receivables on insurance contracts are initially recognised at fair value and subsequently measured at amortised cost less impairment. Trade receivables are recognised for insurance cover for which payments have been received indirectly through duly licensed insurance brokers or lead insurers in co-insurance arrangements. Premium collected on behalf of the Group are expected to be received within 30 days from insurance brokers and lead insurers. Trade receivables that are individually identified as impaired are assessed for specific impairment. All other trade receivables are assessed for collective impairment.

3.3 Reinsurance assets and reinsurance liabilities

Trade receivables are loans and receivables financial instruments specifically arising from insurance contracts and constitutes premium debtors with determinable payments that are not quoted in an active market and the Group has no intention to sell. Trade receivables on insurance contracts are initially recognised at fair value and subsequently measured at amortised cost less impairment. Trade receivables are recognised for insurance cover for which payments have been

received indirectly through duly licensed insurance brokers or lead insurers in co-insurance arrangements. Premium collected on behalf of the Group are expected to be received within 30 days from insurance brokers and lead insurers. Trade receivables that are individually identified as impaired are assessed for specific impairment. All other trade receivables are assessed for collective impairment.

3.5 Deferred acquisition costs (DAC)

Acquisition costs comprise insurance commissions, brokerage and other related underwriting expenses arising from the generation and underwriting of insurance contracts. Deferred acquisition costs represent a proportion of commission and underwriting expenses which are incurred during a financial period and are deferred to the extent that they are recoverable out of future revenue margins.

The proportion of these acquisition costs that correspond to the unearned premiums are deferred as an asset and amortised over the life of the associated insurance contracts on a basis consistent with the related unearned portion of the premiums.

For non life business and short-duration life insurance contracts, the Group amortises the deferred acquisition costs over the terms of the policies as premium is earned on the underlying insurance contracts by applying to the acquisition expenses the ratio of unearned premium to written premium. For long-term life insurance contracts no assets are established in respect of deferred acquisition cost. However, an allowance for acquisition cost loading is provided for in the valuation of the insurance contract liabilities using assumptions consistent with those used in calculating future policy benefit liabilities as well as historical and anticipated future experience and is updated at the end of each accounting period.

3.5 Other receivables and prepayments

Other receivables are stated after deductions of amount considered bad or doubtful of recovery. These are loans and receivables other than investment securities, insurance trade receivables and reinsurance assets. When a debt is deemed not collectible, it is written-off against the related provision or directly to profit or loss account to the extent not previously provided for. Any subsequent recovery of written-off debts is credited to profit or loss.

Prepayments represent prepaid expenses and are carried at cost less amortisation expensed in profit or loss.

3.6 Basis of consolidation

(a) Subsidiaries

Investment in subsidiaries are carried in the Company's separate financial statements at cost less allowance for impairment.

Subsidiaries are entities controlled by the Group. The Group controls an entity if it is exposed to, or has rights to, variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The consolidated financial statements include the assets, liabilities and results of the Group and subsidiary undertakings. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases. The financial statements have been prepared using uniform accounting policies for like transactions and other events in similar circumstances.

Investment in subsidiary are carried at cost in the Group's separate financial statements and are reviewed for impairment annually. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

The results and financial position of all the Group entities (none of which has the currency of a hyper-inflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for statement of financial position presented are translated at the closing rate at the reporting date;
- income and expenses for each statement of profit or loss and other comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the rate on the dates of the transactions); and
- all resulting exchange differences are recognised in other comprehensive income and transferred to equity.

On the disposal of a foreign operation, the Group recognises in profit or loss the cumulative amount of exchange differences relating to that foreign operation. When a subsidiary that includes a foreign operation is partially disposed of or sold, the Group re-attributes the proportionate share of the cumulative amount of the exchange differences recognised in other comprehensive income to the non controlling interests in that foreign operation. In the case of any other partial disposal of a foreign operation, the Group reclassifies to profit or loss only the proportionate share of the cumulative amount of exchange differences recognised in other comprehensive income.

(b) Transactions eliminated on consolidation

Intra-Group balances and transactions and any unrealized gains or losses arising from intra-Group transactions are eliminated in preparing the consolidated financial statements. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(c) Associates

Investment in associates are carried in the Company's separate financial statements at cost less allowance for impairment and consolidated in the Group's consolidated financial statements under the equity accounting method.

Associates are entities over which the Group has significant influence but not control, generally accompanying a shareholding of between 20% and 50% of the voting rights. Investment in associates are accounted for using the equity accounting method. Under the equity accounting the method, the investment is initially recognised at cost, and the carrying amount is increased or decreased to recognise the investor's share of the post-acquisition profit or loss and other comprehensive income of the investee. The Group's investment in associates includes goodwill identified on acquisition while gains realised on purchase below fair value are recognised in profit or loss.

The Group's share of post-acquisition profit or loss is recognised in the income statement, and its share of the post-acquisition movement in other comprehensive income is recognised in other comprehensive income with corresponding adjustment to the carrying amount of the investment. When the Group's share of losses in an associate equals or exceeds its interest in the associates, including any unsecured receivables, the Group does not recognise further losses, unless it has incurred constructive obligations or made payments on behalf of the associate.

The Group determine at each reporting date whether there is any objective evidence that the investment in the associate is impaired. The amount of impairment is determined as the difference between the recoverable amount of the associate and its carrying value. This amount is recognised against the share of profit or loss of associates in the income statement.

On disposal of ownership interest in an associate which reduces holding but where significant influence in retained, only a proportionate share of the amount previously recognised in other comprehensive income is reclassified to profit or loss where appropriate, where significant influenced is lost, the investment is reclassified as equity investment and the amount previously recognised in other comprehensive income is reclassified to profit or loss.

(d) Elimination of upstream and downstream transactions

Profits and losses resulting from upstream and downstream transactions between the Group and its associate are recognised in the Group's financial statements only to the extent of unrelated investor's interests in the associate. Unrealised losses are eliminated unless the transaction present evidence of an impairment of the asset transferred. Accounting policies of the associate are reviewed and aligned to ensure consistency with the policies adopted by the Group. Dilution gains and losses arising in investments in associates are recognised in income statement.

3.7 Investment property

Investment property comprises investment in land or buildings held primarily to earn rentals or capital appreciation or both.

Investment property is initially recognized at cost including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes cost of day to day servicing of an investment property. Investment property is subsequently measured at fair value with any change therein recognised in profit or loss. Fair values are determined individually, on a basis appropriate to the purpose for which the property is intended and with regard to recent market transactions for similar properties in the same location.

Fair values are reviewed annually by independent valuer, registered with the Financial Reporting Council of Nigeria and holding a recognized and relevant professional qualification and with relevant experience in the location and category of investment property being valued. Subsequent expenditure on investment property is capitalized only if future economic benefit will flow to the Group; otherwise they are expensed as incurred.

Investment properties are disclosed separate from the property and equipment used for the purposes of the business. The Group separately accounts for a dual purpose property as investment property if it occupies only an insignificant portion and the related value can be separately identifiable and measured reliably. Otherwise, the portion occupied by the Group is treated as property and equipment.

3.8 Intangible assets

Software

Recognition of software acquired is only allowed if it is probable that future economic benefits attributable to this intangible asset will flow to the Company.

Software acquired is initially measured at cost. The cost of acquired software comprises its purchase price, including any import duties and non-refundable purchase taxes, and any directly attributable expenditure on preparing the asset for its intended use. After initial recognition, software acquired is carried at its cost less any accumulated amortization and any accumulated impairment losses. Maintenance costs should not be included.

Internally developed software is capitalized when the Company has the intention and demonstrates the ability to complete the development and use of the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development. The capitalized costs include all costs directly attributable to the development of the software. Internally developed software is stated at capitalized cost less accumulated amortization and impairment.

Subsequent expenditure on software assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred. Amortization is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use.

The estimated useful life of software is five years subject to annual reassessment.

3.9 Property and equipment

Recognition and measurement

All items of property and equipment except land and buildings are initially recognised at cost and subsequently measured at cost less accumulated depreciation and impairment losses. Cost includes expenditures that are directly attributable to the acquisition of the asset.

Land and buildings are initially recognised at cost and subsequently carried at revalued amounts, being fair value at the date of revaluation less subsequent accumulated depreciation and impairment losses, if any.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

The gain or loss on disposal of an item of property and equipment is determined by comparing the proceeds from disposal with the carrying amount of property and equipment, and are recognised net within other income in profit or loss.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to the profit and loss account during the financial period in which they are incurred.

Subsequent costs on replacement parts on an item of property are recognized in the carrying amount of the asset and the carrying amount of the replaced or renewed component is derecognized.

Depreciation

Depreciation is calculated on property and equipment on the straight line basis to write down the cost of each asset to its residual value over its estimated useful life. Depreciation methods, useful lives and residual values are reassessed at each reporting date. No depreciation is charged on property and equipment until they are available for use.

Land	Over the lease period
Buildings	
Office equipment	Over 5 years
Computer hardware	
Furniture and fittings	Over 5 years
Motor vehicles	

Revaluation of land and building

Land and building is accessed for impairment at each reporting date but valued on an open market basis by qualified property valuers at the reporting date at minimum of once within three financial years.

When an individual property is revalued, any increase in its carrying amount (as a result of revaluation) is transferred to a revaluation reserve, except to the extent that it reverses a revaluation decrease of the same property previously recognised as an expense in the statement of profit or loss.

When the value of an individual property is decreased as a result of a revaluation, the decrease is charged against any related credit balance in the revaluation reserve in respect of that property. However, to the extent that it exceeds any surplus, it is recognised as an expense in the statement of profit and loss.

Work-in-progress property and equipment

This represent property and equipment under construction and are carried at the cost incurred until completion. Work-in-progress property and equipment are transferred to the appropriate class of property and equipment upon completion when they are ready for use and are depreciated from the date of transfer when they are brought into use.

Decognition

An item of property and equipment is derecognised when it is disposed of or where no future economic benefits are expected from its use or disposal. Gains and losses arising on derecognition are calculated as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss as other income. Where a revalued asset is disposed or scrapped, the revaluation reserve balance in respect of that asset is transferred as a reserve reclassification from other reserves to retained earnings.

3.10 Leases

Operating leases

Leases where the lessor retains the risks and rewards of ownership of the underlying asset are classified as operating leases. Payments made under operating leases are charged against income on a straight-line basis over the period of the lease.

Finance leases

Leases of equipment where the group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased asset or the present value of the minimum lease payments. Each lease payment is allocated between the liability and finance charges so as to achieve a constant interest rate on the outstanding balance of the liability.

The corresponding lease obligations, net of finance charges, are included in liabilities. The finance cost is charged to profit or loss over the lease period according to the effective interest method. The equipment acquired under the finance lease is depreciated over the shorter of the useful life of the asset and the lease term, if ownership does not pass at the end of the lease term. Leased assets under finance leases where ownership is expected to pass to the Group at the end of the lease term are treated in the same manner as property and equipment.

3.11 Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets are considered to be impaired when there exist any indication that the asset's recoverable amount is less than the carrying amount and are at a minimum assessed for impairment annually. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which they are separately identifiable cashflows (cash generating units). Impairment losses are recognised in profit or loss.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are recognised in profit or loss.

3.12 Deferred tax

Deferred tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. However, if the deferred tax arises from initial recognition of the asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred tax is determined using the tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the related deferred asset tax is realisable or the deferred tax liability is payable.

Deferred tax assets are recognised to the extent that it is possible that future profit will be available against which the temporary differences can be utilised.

Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the Group controls the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets and liabilities are offset when there is legally enforceable right to offset current tax assets against current tax liabilities and when deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different entities where there is an intention to settle the balances on a net basis. The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

Deferred tax related to fair value re-measurement of available-for-sale investments, which are charged or credited directly in other comprehensive income, is also credited or charged to other comprehensive income and subsequently recognised in the consolidated income statement together with the deferred gain or loss.

3.13 Life insurance contract liabilities

The Group issues contracts that transfer insurance risk or financial risk or both. Insurance contracts are when the Group (the insurer) has accepted significant insurance risk from another party (the policyholder) by agreeing to compensate the policyholder if a specified uncertain future event (the insured event) adversely affects the policyholder. As a general guideline, the Group defines as significant insurance risk the possibility of having to pay benefits on the occurrence of the insured event that are at least 10% more than the benefit payable if the insured event did not occur.

Non-life insurance contracts are issued to indemnity against property and liability insurance risk and are generally annual in tenor although some contracts can be beyond one year. These are short term insurance risks.

Life insurance contracts are issued to indemnify the insured life, the dependent or other third-party of the insured life in the even of death, permanent disability, loss of job or on survival to maturity of the contract with the sums assured.

Investment contracts are those contracts that transfer financial risk and no significant insurance risk. Financial risk is the risk of possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expired. Investment contracts can, however, be reclassified as insurance contracts after inception if the terms are amended to include significant insurance risk.

Receipts and payments under investment contracts are not classified as insurance transactions in the income statement, but instead are accounted for in the statement of financial position in accordance with IAS 39. The liability recognised in the statement of financial position represents the expected amounts payable to the holders of the investment contracts inclusive of allocated investment income. Insurance contract liabilities are determined in line with the provisions of Section 20, 21 and 22 of the Insurance Act of Nigeria to the extent that they do not conflict with the requirements of IFRS as follows:

(a) General insurance contracts: Measurement of insurance contracts liabilities

(i) Reserve for unearned premium and unexpired risk

The reserve for unearned premium is calculated on a time apportionment basis in respect of risk accepted during the year. A provision for additional unexpired risk reserve is recognised for an underwriting year where it is envisaged that the estimated cost of claims and expenses would exceed the unearned premium reserve.

(ii) Reserve for outstanding claims

The reserve for outstanding claims is maintained at the total amount of outstanding claims incurred and reported plus claims incurred but not reported (IBNR) at the reporting date.

Reserving methodology and assumptions

Data segmentation

The data used for reserving is segmented into the 8 classes as per the Insurance Act 2003 of Nigeria:

- Motor vehicle insurance business
- Fire insurance business
- General accident insurance business
- Marine, aviation and transport insurance business
- Oil and gas insurance business
- Engineering
- Bonds, credit and suretyship
- Miscellaneous

Valuation methods and assumptions

The following valuation methods are used as appropriate in calculating the reserves:

(i) The basic chain ladder method

This model assumes that past experience is indicative of future experience, i.e. that claims reported to date will continue to develop in a similar manner in the future. An implicit assumption is that, for an immature accident year, the claims observed thus far tells something about the claims yet to be observed. A further assumption is that it assumes consistent claim processing, a stable mix of types of claims, stable inflation and stable policy limits.

This method is used for cases where there are extremely large losses that have been reported but not paid, and therefore will not influence the development patterns. The IBNR was calculated as follows; The reserving was determined as ultimate claim amount (excluding extreme large losses) minus claims paid to date (excluding extremely large losses) minus claims outstanding (excluding extreme large losses). This method was used for the following classes of business; motor vehicle, fire, general accident, marine, engineering and miscellaneous.

(ii) Loss ratio method, adjusted for assumed experience to date.

This model assumes that the average delay in the payment of claims will continue into the future. If it is expected that these delay assumptions no longer hold, an adjustment needs to be made to allow for this change in payment delay. If the delay period in payment is expected to have increased from previous years, the results shown in this report will be understated. Additionally, an estimate of the average ultimate loss ratio was assumed. The assumption for the ultimate loss ratio was based on estimated average loss ratio on claims experience to date for accident years 2006 to 2015. The Loss ratio method was used for three classes namely oil and gas, bonds and aviation which had very limited data, and where use of the basic chain ladder method was inappropriate.

The model allowed for expected experience to date within the assumed delay period and the assumed average ultimate loss ratios in carrying out the calculation. The average delay is the average number of months that it takes for a claim to be paid after the loss incident occurred. The IBNR was calculated as follows; Expected average ultimate loss ratio for the assumed average delay period x Earned premium for the assumed delay period- Current experience to date relating to the accident months that the delay implies.

Discounting

No allowance has been made for discounting as these reserves are for short term contracts, the effect of discounting is not expected to have a significant impact on the reserves.

Sensitivity analysis

Sensitivity analyses are performed to test the variability around the reserves that are calculated at the best estimate level. The sensitivity analysis is done to determine how the IBNR reserve amount would change if a 75th percentile is considered as opposed to the best estimate figures included in reserve reviews as at 31 December 2015. The 75th percentile is a generally accepted level of prudency.

(b) Life insurance contracts: Measurement of insurance contracts liabilities

(i) Life fund

This is made up of net liabilities on policies in force as determined by qualified actuaries at the reporting date. Surplus or deficit arising from the periodic valuation of the life insurance contracts are recognised in the income statement.

This is made up of liabilities on life policies in force as determined by qualified actuaries at the reporting date. Surplus or deficit arising from the periodic valuation of the life insurance contracts are recognised in profit and loss.

The reserves include Incurred But Not Reported (IBNR) and Unearned Premium Reserve (UPR).

The Group does not have contracts with discretionary participating features.

Data segmentation

The data used for reserving is segmented into the 2 classes as follows:

- Individual business
- Group business

Methodologies and assumptions

The valuation for both the individual business and Group business utilises various assumptions which include:

- the valuation age is taken as Age Last Birthday at the valuation date;
- the period to maturity is taken as the full term of the policy less the expired term.
- full credit is given to premiums due between valuation date and the end of the premium paying term.

For all individual risk business, the gross premium method of valuation was used. Reserves were calculated via a cashflow projection approach, taking into account future office premiums, expenses and benefit payments. Future cashflows were discounted back to the valuation date at the valuation rate of interest.

An unexpired premium reserve (UPR) was included for Group life business after allowing for acquisition expenses at a ratio of 20% of premium. The UPR is tested against an Additional Unexpired Risk Reserve (AURR) for adequacy and an AURR may also be held to allow for any inadequacies in the UPR for meeting claims in respect of the unexpired period. The claim rates underlying the AURR were based on pooled historical scheme claims experience. Allowance was made for IBNR (Incurred But Not Reported) claims in Group Life to take care of the delay in reporting claims. This was based on a loss ratio approach, which uses historical claims experience to estimate the expected claims, from which the IBNR portion is determined.

(c) General insurance: Insurance contracts revenue recognition

The recognition and measurement of the insurance contracts in the group's general business are set out as follows:

(i) Premiums income

Gross premium relates to premium written in a year to cover assumed insurance risk. Gross premiums comprise the premiums on insurance contracts entered into during the year, irrespective of whether they relate in whole or in part to a later accounting period.

Premiums on reinsurance inward from facultative reinsurance arrangement are included in gross written premiums and accounted for as if ceded business was direct business, taking into account the product classification of the reinsured business.

Outward reinsurance premiums are accounted for in the same accounting period as the premiums for the related direct insurance or reinsurance business assumed.

The earned portion of premiums written is recognized as revenue. Premiums are earned from the date of attachment of risk, over the indemnity period, based on the pattern of risk underwritten. Outward reinsurance premiums are recognized as an expense in accordance with the pattern of the indemnity.

(ii) Unearned premiums

Unearned premiums are those proportions of premiums written in the year that relate to periods of risks after the reporting date. It is computed separately for each insurance contract using a time proportionate basis, or another suitable basis for uneven risk contracts.

(iii) Reinsurance cost

The Group cedes insurance risks in the normal course of business for the purpose of limiting its potential net loss on policies written. Premium ceded comprise written premiums ceded to reinsurers, adjusted for the reinsurers' share of the movement in the provision for the unearned premiums; the prepaid reinsurance cost. Reinsurance arrangements do not relieve the Group from its direct obligations to its policyholders. Subsequently, premium ceded, claims reimbursed and commission recovered are presented in profit or loss and the statement of financial position separately from the gross amounts. Reinsurance recoverable are recognized when the Group records the liability for the claims and are not netted off claims expense but are presented separately in profit or loss as part of claims expenses recoverable.

(iv) Fees and commission

Fee and commissions are recognized on ceding business to reinsurance. Commissions are amortised and credited to the profit or loss account over the period of the reinsurance contract.

(iv) Claims incurred

"Claims incurred consist of claims and claims handling expenses paid during the financial year together with the movement in the provision for outstanding claims and these are recognised in the profit or loss. The provision for outstanding claims represent the Group's estimate of the ultimate cost of settling all claims incurred but unpaid at the reporting date whether reported or not. The provision includes an allowance for claims management and handling expenses.

The provision for outstanding claims is estimated based on current information and the ultimate liability may vary as a result of subsequent information and events and may result in significant adjustments to the amounts provided. Adjustments to the amounts of claims provision for prior years are reflected in the profit or loss in the financial period in which adjustments are made, and disclosed separately if material.

Claims on general insurance contracts are payable on a claims-occurrence basis. The Group recognise liability for all insured events that occurred during the term of the contract. There are several variables that affect the amount and timing of cash flows from these contracts. These mainly relate to the inherent risks of the business activities carried out by individual contract holders and the risk management procedures they adopted.

The estimated cost of claims includes direct expenses to be incurred in settling claims, net of the expected subrogation value and other recoveries. The Group takes all reasonable steps to ensure that it has appropriate information regarding its claims exposures. However, given the uncertainty in establishing claims provisions, it is likely that the final outcome will prove to be different from the original liability established.

The reserves held for these contracts comprises a provision for IBNR, a provision for reported claims not yet paid and a provision for unearned premiums at the end of the reporting period.

(v) Salvage and Subrogation Reimbursement

Some insurance contracts permit the Group to sell (usually damaged) property acquired in settling a claim for example and make salvage recovery on them. The Group may also have the right to pursue third parties for payment of some or all costs for example in a subrogation. A subrogation represent the portion of claims incurred expected to be recovered from negligent third-party or the third-party insurance Group.

Salvaged property is recognized in profit or loss when the amount that can reasonably be recovered from the disposal of the property has been established and are included as part of claims recoveries. Subrogation reimbursements are recognized in claim recoveries when the amount to be recovered from the liable third party has been established.

(vi) Deferred income

Deferred income represents a portion of commissions received on reinsurance contracts during the financial year but are deferred based on the tenor of the underlying contracts. It is calculated by applying the reinsurance commission income ratio of prepaid reinsurance to reinsurance cost.

(vii) Deferred acquisition cost

Acquisition costs comprise all direct and indirect costs arising from the origination of insurance contracts; commission and maintenance expenses. Deferred acquisition costs represent portion of commissions which are incurred during a financial year and are deferred to the extent that they are recoverable out of future revenue margins. It is calculated by applying the ratio of unearned premium to written premium.

(c) Life insurance: Insurance contracts revenue recognition

(i) Risk premiums on life assurance

Premiums and annuity considerations written and/or receivable under insurance contracts are stated gross of commission and recognised when due. Outward reinsurance premiums are recognised when due for payment. Premium written relates to risks assumed during the period.

(ii) Claims on life assurance

Claims recognised include maturities, surrenders, death and disability payments. Claims arising on maturities are recorded as they fall due for payments. Death, disability and surrenders are accounted for on notification. Reinsurance recoveries are accounted for when the Group records the liability for the claims.

(iii) Insurance contract provisions on life assurance

Insurance contract provisions are determined using valuation basis adopted in accordance with the generally accepted actuarial practices and methodologies as set out in note 3.16 (b).

The gross insurance contract provisions and related reinsurance recoveries are estimated on the basis of the information currently available to the Group. The ultimate liability may vary as a result of subsequent information and events and may result in significant adjustments to the amount provided.

(d) Classification of insurance contracts of the Group

(i) Short term insurance contracts

Short term insurance contracts are annual insurance contracts. This comprised mainly of the Group's general insurance business and the life insurance business group life products; for which the gross premium relates to premium written to cover assumed annual insurance risk liability.

For all these contracts, premiums are recognized as revenue proportionally over the period of coverage. The portion of premium received on in-force contracts that relates to unexpired risk at the end of reporting date is reported as the unearned premium liability.

(ii) Long term insurance contracts

Long term insurance contracts are insurance contracts which provide insurance cover over a long duration, generally more than one annual insurance period. This comprises mainly of the Group's life insurance business individual life products; for which the gross premium relates to premium written to cover assumed insurance risk liability covering more than one insurance period. These contracts insure events associated with human life (for example, death or survival) over a long duration.

3.14 Liability adequacy test of insurance contracts liabilities and related assets

The liability for insurance contracts is tested for adequacy by discounting current estimates of all future contractual cash flows and comparing this amount to the carrying value of the liability net of deferred acquisition costs. Where a shortfall is identified, an additional provision is made and the Group recognizes the deficiency in the profit or loss. Insurance contract liabilities are subject to liability adequacy testing on an annual basis. The method of valuation and assumptions used, the cashflows considered and the discounting and aggregation practices adopted have been set out as part of note 3.16(a) and 3.16(b).

3.15 Investment contract liabilities

Contracts under which the transfer of insurance risk to the Group from the policy holder is not significant are classified as investment contracts. Such contracts include savings and /or investment contracts sold with insignificant or without life assurance protection. These contracts transfer financial risk but insignificant insurance risk.

Amounts received under investment contracts are recognised directly as investment contract liabilities.

Investment contract liabilities are reported at amortised cost and are assessed for adequacy at each reporting date.

3.16 Trade and other payables

Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is omitted as the impact is not expected to be significant.

3.17 Provisions

A provision is recognized if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a rate that reflects current market assessments of the time value of money and the risks specific to the obligation.

3.18 Income tax

Income tax comprises current and deferred tax. Income tax expense or credit is recognised in the profit or loss except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

3.19 Dividends

Dividend distribution to the Group's shareholders is recognized as a liability in the financial statements in the period in which the dividends are approved by the Group's shareholders. Dividends that are proposed but not yet declared are disclosed in the notes to the financial statements. Dividends on the Group's ordinary shares are recognised in equity in the period in which they are paid or, if earlier, approved by the Group's shareholders.

3.20 Share capital and premium

The Company classifies ordinary shares and share premium as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to issue of shares are recognized as deductions from equity net of any tax effects.

3.21 Share premium

Share premiums are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

3.22 Contingency reserve

The Group maintains contingency reserves in accordance with the provisions of the Insurance Act 2003 to cover fluctuations in securities and variations in statistical estimates. For general business, the reserve is calculated at the rate equal to the higher of 3% of total premium or 20% of net profit until the reserve reaches the greater of minimum paid up capital or 50% of net premium for general business. Contingency reserve for life business is credited with the higher of 1% of gross premiums and 10% of net profit.

3.23 Other reserve

Other reserves are made up of the following:

Revaluation reserve

Revaluation reserve represents the fair value differences on the revaluation of items of property and equipment as at the statement of financial position date. If an asset's carrying amount is increased as a result of a revaluation, the increase is recognised in other comprehensive income and accumulated in revaluation reserve. The increase is recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss. If an assets carrying amount is decreased as a result of a revaluation, the decrease is recognised in profit or loss, however, the decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

The revaluation surplus in respect of an item of property and equipment is transferred to retained earnings when the asset is derecognised. This involves transferring the whole of the surplus when the asset is retired or disposed and some of the surplus are transferred to retained earnings to correspond to the asset use by the entity. The amount of the surplus transferred is the difference between depreciation based on the revalued carrying amount of the asset and the depreciation based on the asset's original cost. Transfers from revaluation reserve to retained earnings are not made through profit or loss.

Foreign currency translation reserve

The Nigerian Naira is the Group's functional and reporting currency. The assets and liabilities of foreign operations are translated to Naira at spot exchange rates at the reporting date. The income and expenses of foreign operations are translated to Naira at spot exchange rates at the dates of the transactions or at average rates of exchange where these approximate to actual rates. Foreign currency differences on the translation of foreign operations are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity.

However, if the foreign operation is not wholly owned the relevant proportion of the translation difference is allocated to non-controlling interests. When a foreign operation is disposed of, such that controls is lost, the cumulative amount in the foreign currency translation reserve related to that foreign operation is transferred to profit or loss as part of the gain or loss in disposal.

Fair value reserve

The fair value reserve comprises the net cumulative change in the fair value of available-for-sale investments until the investment is derecognised or impaired.

Merger reserve

Merger reserve warehouses the difference between the consideration paid and the capital of the acquiree under a common control transaction using the book value accounting method. This was accounted for by the merger of the Company business with it subsidiary Intercontential Properties Limited (IPL).

3.24 Retained earnings and Earnings per share

(i) Retained earnings

The net profits or losses from operations in current and prior periods are accumulated in retained earnings less distributions to equity holders.

(ii) Earnings per share

(a) Basic earnings per share

The Group presents basic earnings per share for its ordinary shares. Basic earnings per share are calculated by dividing the profit attributable to ordinary shareholders of the Group by the number of shares outstanding during the year.

Adjusted earnings per share is determined by dividing the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares adjusted for the bonus shares issued.

(b) Diluted earnings per share

The Group presents diluted earnings per share where appropriate. Diluted earnings per share is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise share options granted to employees.

3.25 Underwriting expenses

Underwriting expenses are made up of acquisition and maintenance expenses comprising commission and policy expenses, other direct costs and insurance supervision levy.

Underwriting expenses for insurance contracts are recognized as expense when incurred, with the exception of acquisition costs which are recognized on a time apportionment basis in respect of risk.

3.26 Income recognition

(i) Gross premium income

Gross written premiums recognised for assumed insurance risks during the year are amortised over the period of the insurance contract. The gross premiums written are recognised as gross premiums income by adjusting for the movement in the unearned premiums reserves for insurance risks brought forward from the last year at the beginning of the year and the required unearned premiums reserves for the outstanding insurance risks at the end of the year. Recognised gross premiums income represent the earned portion of all insurance contracts in force during the year both from preceding years and the current year.

(ii) Fees and commission income

Fees and commission income are recognised on the commission and policy admin fees received in respect of businesses ceded out to reinsurance companies and other insurance companies as set out in note 3.16 (c) (iv), and fees earned from other related financial services during the period.

(iii) Investment income

Investment income comprises interest income earned on short-term deposits, rental income and income earned on trading of securities including all realised and unrealised fair value changes, interest, dividends and foreign exchange differences. Investment income, other than interest income, is recognised at fair value and on an accrual basis.

Interest income is recognised in the profit or loss as it accrues and is calculated using the effective interest rate method. Fees and commissions that form an integral part of the effective yield of a financial instrument are recognised as an adjustment to the effective interest rate of the instrument.

Net realised gain/ (loss) from financial assets:

Net realised gain/ (loss) is the gain/(loss) arising from the disposal of financial assets held at fair value through other comprehensive income and are reclassified from other comprehensive income and recognised in the profit or loss.

Net fair value gain/ (loss) from assets at fair value through profit or loss (FVTPL):

Net fair value changes arising from the changes in the fair value of financial assets held at fair value through profit or loss are recognised in the profit or loss. These are mainly fair value changes from financial assets held for trading or designated at fair value through profit or loss and investment properties.

Net fair value gain/ (loss) from assets at fair value through profit or loss (FVTPL):

Net fair value changes arising from the changes in the fair value of financial assets held at fair value through profit or loss are recognised in the profit or loss. These are mainly fair value changes from financial assets held for trading or designated at fair value through profit or loss and investment properties.

(iv) Other operating income

Other operating income comprises of profit from sale of property and equipment, interest income earned on staff loans and net foreign exchange gain. Interest income is recognised in the profit or loss as it accrues and is calculated using the effective interest rate method.

(v) Dividend income

Dividend is recognized when the Group's right to receive the dividend has been established. The right to receive dividend is established when the dividend has been duly declared.

3.27 Foreign currency transactions

Foreign currency transactions are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the exchange rate ruling at the reporting date; the resulting foreign exchange gain or loss is recognized in the profit or loss.

Unrealized exchange differences are recognized in profit or loss for financial asset held for trading or designated at fair value through profit or loss, or directly in equity through other comprehensive income until the asset is sold or becomes impaired for available-for-sale financial assets.

3.28 Employee benefits

Short-term benefits

Short-term employee benefit obligations include wages, salaries and other benefits which the Group has a present obligation to pay, as a result of employees' services provided up to the reporting sheet date. The accrual is calculated on an undiscounted basis, using current salary rates and recognised in the profit or loss.

A provision is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Post employment benefits

The Group operates a defined contributory retirement scheme as stipulated in the Pension Reform Act 2004. Under the defined contribution scheme, the Group pays fixed contributions of 10% to a separate entity – Pension Fund Administrators; employees also pay a minimum fixed percentage contribution of 8% to the same entity.

Once the contributions have been paid, the Group retains no legal or constructive obligation to pay further contributions if the Fund does not hold enough assets to finance benefits accruing under the retirement benefit plan.

The Group's obligations are recognized in the profit or loss.

Termination benefits

Termination benefits are payable whenever an employee's employment is terminated before the normal retirement date or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits when it is demonstrably committed either to terminate the employment of current employees according to a detailed formal plan without possibility of withdrawal, or to provide termination benefits as a result of an offer made to encourage voluntarily redundancy if it is probable that the offer will be accepted and the number of acceptances can be estimated. Benefits falling due more than 12 months after reporting sheet date are discounted to present value.

3.29 Management expenses

Management expenses are expenses other than claims and underwriting expenses. They include depreciation expenses and other operating expenses and are accounted for on an accrual basis.

3.30 Operating segment

An operating segment is a component of the group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. The group's identification of segments and the measurement of segment results is based on the group's internal reporting to management. Transactions between segments are priced at market-related rates.

3.31 Business Combination

Business Combinations are accounted for using the acquisition method as at the acquisition date i.e.. when control is transferred to the Group. The Consideration transferred in the acquisition is generally measured at fair value as are the identifiable net assets acquired . Any goodwill that arises is tested annually for impairment.

Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred except if they are related to the issue of debt or equity securities. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in accordance with the relevant IFRS in profit or loss. Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.32 Statutory deposit

These deposits represent balances statutorily required by the insurance regulator of the Group to be held with the Central Bank of Nigeria. These deposits are not available for day to day use and are stated at amortised cost.

3.33 Contingent liabilities and contingent assets

The Group disclose as contingent liabilities possible obligations whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the entity's control; or a present obligation that arises from past events but is not recognised because, it is not probable that an outflow of economic benefits will be required to settle the obligation; or the amount of the obligation cannot be measured reliably.

The Group classify as contingent assets, possible assets whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the Group's control. Where the assets are not probable – no asset is recognised or disclosed, where the assets are probable, but not virtually certain – no asset is recognised, but disclosure is included; and where the assets are virtually certain – the asset is recognised in the statement of financial position. Contingent liabilities and contingent assets are grouped by class with brief description of the nature of the contingency and, where practicable, an estimate of the financial effect, the uncertainties relating to the amount and timing of the probable liabilities and assets. These normally comprise of legal claims under arbitration or court process in respect of which a liability or asset is not likely to crystallise.

04. Critical Accounting Estimates and Judgments

Management makes estimates and assumptions that affect the reported amounts of assets and liabilities. The underlying judgments of the selection and disclosure of the Group's critical accounting policies and estimates, and the application of these policies and estimates are continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Key sources of estimation uncertainty

i. Determination of fair values

The determination of fair value for financial assets and liabilities for which there is no observable market price requires the use of techniques as described in accounting policy 3.2(d). Further disclosures on the Company's valuation methodology have been made on note 5 (Fair value hierarchy) . For financial instruments that trade infrequently and have little price transparency, fair value is less objective, and requires varying degrees of judgement depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument.

ii. Depreciation and carrying value of property and equipment

The estimation of the useful lives of assets is based on management's judgement. Adjustment to the estimated useful lives of items of property and equipment will have an impact on the carrying value of these items. There were no significant sensitivities of the carrying value of property and equipment and the depreciation charge for the year to 10% increase or decrease in the useful life of property and equipment in the books of the Company as at 31 December 2015 (31 December 2014: Nil).

iii. Actuarial valution of insurance contracts liabilities

The liabilities for life insurance contracts are estimated using appropriate and acceptable base tables of standard mortality according to the type and nature of the insurance contracts. Assumptions such as expenses inflation, valuation interest rate, mortality and claims experience are considered in estimating the required reserves for individual life contracts fund and the incurred but not reported claims under the Group life contracts. The sensitivities to various valuation index is included under note 5 (Sensitivity Analysis).

iv. Recoverability of deferred tax assets

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that in management's judgements it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and adjusted to the extent that it is no longer probable that the related tax benefit will be realised.

v. Impairment of available-for-sale financial assets

At the balance sheet date, the fair values of certain equity securities classified as available-for-sale financial assets with a carrying amount of N 972.2 million have declined below cost by N 264.1 million. The Group has made a judgement that this decline is not significant or prolonged. In making this judgement, the Group has considered, among other factors, the short-term duration of the decline, the small magnitude by which the fair value of the investment is below cost; and the positive financial health and short-term business outlook of the investees.

If the decline in fair value below cost was considered significant or prolonged, the Group would have recognised an additional loss of N264.1 million in its 2015 financial statements.

vi. Impairment of fair value through profit or loss financial assets

At the balance sheet date, the fair values of certain financial assets classified as at fair value through profit or loss (FVTPL) with a carrying amount of N 398 million have have appreciated above cost by N 17.9 million. If the appreciation in fair value above cost were not considered, the Group would have recognised an additional loss of N17.9 million in its 2015 financial statements.

Claims Paid Triangulations as at December 2015

The claims paid triangulations is presented below for the five classes where triangulation methods were used, i.e. for Engineering, Fire, General Accident, Marine Cargo and Motor. The triangulations is based on the Company's claims paid data as at 31 December 2015 which formed the basis of the results of the actuarial valuation of the insurance contract claims liabilities carried-out by Alexander Forbes Consulting Actuaries Nigeria Limited.

ENGINEERING

	Development Year									
2006	612,979	793,521	31,361,731	35,413,830	35,413,830	35,413,830	35,413,830	35,413,830	35,413,830	35,413,830
2007	3,061,915	18,730,090	20,837,895	20,837,895	20,837,895	20,837,895	20,837,895	20,837,895	20,837,895	
2008	1,183,499	9,781,557	20,000,023	20,000,023	20,000,023	20,000,023	20,000,023	20,000,023		
2009	2,360,909	43,629,952	43,836, 452	43,836, 452	43,836,452	43,904, 984	43,904, 984			
2010	7,608,992	37,059,857	63,710,125	64,698,811	64,698,811	64,698,811				
2011	16,696,398	24,873,634	40,152,598	40,154,377	40,154,377					
2012	46,746,703	149,511,653	52,674,992	52,674,992						
2013	19,127,818	61,661,900	25,786,648							
2014	9,028,198	9,764,664								
2015	2,142,843									

FIRE

	Development Year									
2006	39,475,555	46,368,939	80,041,100	85,979,549	85,979,549	85,979,549	85,979,549	85,979,549	85,979,549	85,979,549
2007	23,303,768	44,330,380	53,656,663	54,050,853	54,756,866	55,992,051	55,992,051	55,992,051	55,992,051	
2008	64,227,677	127,911,623	139,232,653	139,232,653	139,232,653	139,232,653	139,232,653	139,232,653		
2009	40,937,273	114,548,121	119,212,960	119,212,960	119,221,760	119,221,760	119,221,760			
2010	14,058,843	25,577,128	27,677,117	28,222,647	28,222,647	28,222,647				
2011	8,850,612	39,764,583	40,169,587	41,941,919	42,117,672					
2012	6,956,337	46,860,967	47,200,550	47,200,550						
2013	5,541,845	54,436,925	55,374,297							
2014	3,417,765	11,581,843								
2015	24,041,289									

Claims Paid Triangulations as at December 2015

GENERAL ACCIDENT

	Development Year									
2006	37,926,968	106,127,791	118,802,257	121,454,938	124,369,680	124,369,680	124,369,680	124,369,680	124,369,680	124,369,680
2007	106,387,115	179,904, 803	233,656,011	236,130,244	238,461,729	242,705,888	242,821,312	243,248,812	243,480,135	
2008	95,246,249	231,689,063	287,336,184	294,342,361	99,209,041	300,485, 824	300,519,001	300,943,829		
2009	48,806,069	212,396,320	245,761,687	268,392,329	273,225,211	274,384,268	275,620,104			
2010	72,051,700	172,870,879	196,917,911	219,291,462	225,828,288	225,971,356				
2011	58,395,892	208,905,420	265,524,431	274,452,742	275,299,783					
2012	37,324,821	122,725,221	149,586,985	158,399,613						
2013	82,796,310	149,999,875	174,350,335							
2014	28,862,114	124,631,290								
2015	108,959,894									

MARINE CARGO

	Development Year									
2006	19,041,937	33,710,039	38,881,262	39,795,715	39,795,715	39,795,715	39,795,715	39,795,715	39,795,715	39,795,715
2007	28,873,155	43,428,239	47,096,323	47,286,882	48,242,886	48,242,886	48,242,886	48,242,886	48,242,886	
2008	10,041,349	95,143,050	155,997,891	156,243,329	156,243,329	156,243,329	156,243,329	156,243,329		
2009	31,537,216	64,874,539	100,050,600	100,554,119	100,554,119	100,554,119	100,615,612			
2010	28,954,132	45,973,224	46,031,767	47,302,856	47,302,856	47,302,856				
2011	50,333,949	99,423,651	114,853,221	119,373,293	119,373,293					
2012	14,363,632	44,204,968	44,204,968	44,204,968						
2013	41,397,922	44,075,404	44,075,404							
2014	9,019,667	13,527,085								
2015	20,647,833									

Claims Paid Triangulations as at December 2015

MOTOR

	Development Year									
2006	89 912 528	126 790 627	129 962 891	131 946 802	132 128 490	132 128 490	132 128 490	132 128 490	132 128 490	132,128,490
2007	214 681 643	350 932 235	368 453 760	370 874 847	370 874 847	370 874 847	370 874 847	370 874 847	370 874 847	
2008	442 931 617	656 874 254	672 336 910	673 417 360	674 312 064	674 312 064	674 312 064	674 312 064		
2009	421 152 839	587 874 584	595 920 840	595 920 840	596 608 840	596 608 840	596 608 840			
2010	256 770 668	356 755 050	365 152 337	366 429 075	366 931 318	366 985 450				
2011	227 594 911	295 665 676	299 592 255	300 496 940	300 904 358					
2012	120 160 436	172 810 134	172 818 234	172 818 234						
2013	113 637 984	144 895 313	148 603 342							
2014	118 670 920	188 724 175								
2015	250 904 197									

Claims Paid Triangulations as at December 2014

ENGINEERING

	Development Year									
2005	5,101,029	7,078,191	7,707,065	7,846,989	7,846,989	7,846,989	7,846,989	7,846,989	7,846,989	7,846,989
2006	612,979	793,521	31,361,731	35,413,830	35,413,830	35,413,830	35,413,830	35,413,830	35,413,830	
2007	3,061,915	18,730,090	20,837,895	20,837,895	20,837,895	20,837,895	20,837,895	20,837,895		
2008	1,183,499	9,781,557	20,000,023	20,000,023	20,000,023	20,000,023	20,000,023			
2009	2,360,909	43,629,952	43,836,452	43,836,452	43,836,452	43,904,984				
2010	7,608,992	37,059,857	63,710,125	64,698,811	64,698,811					
2011	16,696,398	24,873,634	40,152,598	40,154,377						
2012	46,746,703	144,511,653	52,674,992							
2013	19,127,818	20,836,534								
2014	9,028,198									

Claims Paid Triangulations as at December 2014

FIRE

	Development Year									
2005	24,626,496	52,968,925	54,936,028	56,360,134	56,769,218	56,769,218	56,769,218	56,769,218	56,769,218	56,769,218
2006	39,475,555	46,368,939	80,041,100	85,979,549	85,979,549	85,979,549	85,979,549	85,979,549	85,979,549	
2007	23,303,768	44,330,380	53,656,663	54,050,853	54,756,866	55,992,051	55,992,051	55,992,051		
2008	90,087,550	179,631,370	1 39,232,653	1 39,232,653	1 39,232,653	1 39,232,653	1 39,232,653			
2009	40,937,273	114,548,121	119,212,960	119,212,960	119,221,760	119,221,760				
2010	14,058,843	25,577,128	27,677,117	28,222,647	28,222,647					
2011	8,850,612	112,767,765	40,169,587	41,941,919						
2012	6,956,337	46,860,967	47,200,550							
2013	5,541,845	54,436,925								
2014	3,417,765									

GENERAL ACCIDENT

	Development Year									
2005	23,284,900	51,140,388	60,091,204	62,286,879	62,317,212	62,476,631	62,476,631	62,476,631	62,476,631	62,476,631
2006	37,926,968	106,127,791	118,802,257	121,454,938	124,369,680	124,369,680	124,369,680	124,369,680	124,369,680	
2007	106,387,115	179,904, 803	233,656,011	236,130,244	238,461,729	242,705,888	242,821,312	243,248,812		
2008	95,246,249	231,689,063	287,336,184	294,342,361	299,209,041	300,485,824	300,519,001			
2009	48,806,069	212,396,320	245,761,687	268,392,329	273,225,211	274,384,268				
2010	72,051,700	172,870,879	196,917,911	219,291,462	225,828,288					
2011	58 395 892	169 526 771	226 145 782	235 074 093						
2012	37,324,821	122,725,221	149,586,985							
2013	82,796,310	149,999,875								
2014	28,862,114									

Claims Paid Triangulations as at December 2014

MARINE

	Development Year									
2005	9 663 406	15 574 675	16 786 599	22 856 072	22 903 229	22 903 229	26 886 774	26 886 774	26 886 774	26 886 774
2006	19 041 937	33 710 039	38 881 262	39 795 715	39 795 715	39 795 715	39 795 715	39 795 715	39 795 715	
2007	28 873 155	43 428 239	47 096 323	47 286 882	48 242 886	48 242 886	48 242 886	48 242 886		
2008	10 041 349	42 853 371	103 708 212	103 953 649	103 953 649	103 953 649	103 953 649			
2009	31 537 216	64 874 539	100 050 600	100 554 119	100 554 119	100 554 119				
2010	28 954 132	45 973 224	46 031 767	47 302 856	47 302 856					
2011	50 333 949	99 423 651	114 853 221	119 373 293						
2012	14 363 632	44 204 968	44 204 968							
2013	41 397 922	44 075 404								
2014	9 019 667									

MOTOR

	Development Year									
2005	72,421,789	135,096,185	136,704,932	143,297,619	143,297,619	143,297,619	143,297,619	143,297,619	143,297,619	143,297,619
2006	89,912,528	126,790,627	129,962,891	131,946,802	132,128,490	132,128,490	132,128,490	132,128,490	132,128,490	
2007	214,681,643	350,932,235	368,453,760	370,874,847	370,874,847	370,874,847	370,874,847	370,874,847		
2008	442,931,617	656,874,254	672,336,910	673,417,360	674,312,064	674,312,064	674,312,064			
2009	421,152,839	587,874,584	595,920,840	595,920,840	596,608,840	596,608,840				
2010	256,770,668	356,755,050	365,152,337	366,429,075	366,931, 318					
2011	227,594, 911	295,665,676	299,592,255	300,496,940						
2012	120,160,436	172,810,134	172,818,234							
2013	113,637,984	144,895,313								
2014	118,670,920									

Yearly Triangulations as at December 2015

Claims Paid Triangulations as at December 2015

GROUP LIFE							
	Development Year						
2009	281,424,502	470,638,436	470,638,436	474,632,697	477,369,890	477,614,634	478,144,700
2010	181,258,769	381,954,131	403,483,193	459,478,576	473,555,443	482,087,731	
2011	153,644,033	254,274,204	321,915,739	343,497,864	362,608,004		
2012	53,304,757	284,490,103	316,287,480	323,020,533			
2013	196,586,494	402,332,242	437,338,020				
2014	51,663,570	158,540,350					
2015	201,936,910						

Claims Paid Triangulations as at December 2014

GROUP LIFE						
	Development Year					
2009	280,844,799	1,79,454,115	4,293,192	3,994,261	2,737,193	244,744
2010	180,162,677	315,235,983	46,624,996	57,927,907	14,076,867	
2011	38,433,527	85,106,337	84,147,414	9,729,353		
2012	42,627,362	227,080,361	31,797,376			
2013	179,613,360	204,831,171				
2014	46,477,074					

Sensitivity Analysis

Sensitivity of liabilities to changes in long term valuation assumptions

31 December 2015											
N'000m											
In thousands of Naira											
Individual Traditional	132,042	129,292	135,030	138,805	125,290	134,299	129,954	n/a	n/a	135,176	128,899
Individual Investment Linked	1,110,499	1,110,499	1,110,499	1,110,499	1,110,499	1,110,499	1,110,499	n/a	n/a	1,110,499	1,110,499
Group DA	63,481	63,481	63,481	63,481	63,481	63,481	63,481	n/a	n/a	63,481	63,481
Group Life – AURR	161,416	161,416	161,416	161,416	161,416	161,416	63,481	n/a	n/a	161,416	161,416
Group Life – UPR	15,287	15,287	15,287	15,287	15,287	15,287	15,287	n/a	n/a	15,287	15,287
Group Life – IBNR	492,432	492,432	492,432	492,432	492,432	492,432	492,432	n/a	n/a	492,432	492,432
Additional reserves	33,109	33,109	33,109	33,109	33,109	33,109	33,109	n/a	n/a	33,109	33,109
Reinsurance	(52,207)	(52,207)	(52,207)	(52,207)	(52,207)	(52,207)	(52,207)	n/a	n/a	(52,207)	(52,207)
Net liability											
% change in liability	-	-0.1%	0.2%	0.3%	-0.3%	0.1%	-0.1%	n/a	n/a	0.2%	-0.2%

Summary											
Summary											
Individual	1,275,650	1,272,900	1,278,638	1,282,413	1,268,898	1,277,907	1,273,562	n/a	n/a	1,278,784	1,272,507
Group	680,409	680,409	680,409	680,409	680,409	680,409	680,409	n/a	n/a	680,409	680,409
Net liability											
% change in liability	-	-0.1%	0.2%	0.3%	-0.3%	0.1%	-0.1%	n/a	n/a	0.2%	-0.2%

Sensitivity Analysis

Sensitivity and Liabilities to change in long term valuation assumptions.

31 December 2014											
In thousands of N'000m											
Individual Traditional	107,199	105,177	109,333	113,538	100,887	109,557	106,970	n/a	n/a	109,675	104,723
Individual Investment Linked	1,112,783	1,112,783	1,112,783	1,112,783	1,112,783	1,112,783	1,112,783	n/a	n/a	1,112,783	1,112,783
Group DA	63,481	63,481	63,481	63,481	63,481	63,481	63,481	n/a	n/a	63,481	63,481
Group Life – UPR	64,972	64,972	64,972	64,972	64,972	64,972	64,972	n/a	n/a	64,972	64,972
Group Life – IBNR	188,458	188,458	188,458	188,458	188,458	188,458	188,458	n/a	n/a	188,458	188,458
Additional reserves	6,767	6,740	6,793	7,148	6,385	6,799	6,759	n/a	n/a	6,913	6,620
Reinsurance	(6,113)	(6,113)	(6,113)	(6,113)	(6,113)	(6,113)	(6,113)	n/a	n/a	(6,113)	(6,113)
Net liability											
% change in liability	-	-0.1%	0.1%	0.4%	-0.4%	0.2%	-0.0%	n/a	n/a	0.2%	-0.2%

Summary											
Summary											
Individual	1,226,749	1,224,701	1,228,910	1,233,470	1,220,055	1,229,140	1,226,512	n/a	n/a	1,229,372	1,224,126
Group	310,798	310,798	310,798	310,798	310,798	310,798	310,798	n/a	n/a	310,798	310,798
Net liability											
% change in liability	-	-0.1%	0.1%	0.4%	-0.4%	0.2%	-0.0%	n/a	n/a	0.2%	-0.2%

Fair Value Hierarchy

The Group's accounting policy and basis of fair value measurements are disclosed under notes 3.2(d) and 4. The determination of fair value for financial and other assets as well as financial and other liabilities for which there is no observable market price requires the use of certain valuation techniques. For financial instruments and other assets and liabilities that trades infrequently and have little price transparency, fair value is less objective, and requires varying degrees of judgment depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument. The Group measures fair value using the following fair value hierarchy that reflects the significance of the inputs used in making the measurement.

Level 1

The fair value of financial instruments traded in active markets is based on quoted market price in an active market for an identical instrument at the balance sheet date.

Level 2

The fair value of financial instruments that are not traded in an active market are determined by using valuation techniques based on observable inputs. This category includes instruments valued using quoted market prices in active markets for similar instruments; quoted prices for similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3

This includes financial instruments and other assets and liabilities, the valuation of which incorporates significant inputs that is not based on observable market data (unobservable inputs). Unobservable inputs are those not readily available in an active market due to market illiquidity or complexity of the product. These inputs are generally determined based on inputs of a similar nature, historic observations on the level of the input or analytical techniques.

Determination of fair value of financial instruments:

(i) Valuation techniques used to derive Level 3 fair values

Level 2 and level 3 fair values of investments have been generally derived using the adjusted fair value comparison approach. Quoted price per earning or price per book value, enterprise value to EBITDA ratios of comparable entities in a similar industry were obtained and adjusted for key factors to reflect estimated ratios of the investment being valued. Adjusting factors used are the Illiquidity Discount which assumes a reduced earning on a private entity in comparison to a publicly quoted entity and the Haircut adjustment which assumes a reduced earning for an entity located in Nigeria contributed by lower transaction levels in comparison to an entity in a developed or emerging market. Below is a table showing sensitivity analysis of material unquoted investments categorised as Level 2 fair values.

African Reinsurance Corporation					
Relationship of unobservable inputs to fair value	Fair value at 31 December 2015	Valuation Technique	Unobservable Inputs	FV if P/B multiples is increased to 1.01x	FV if P/B multiples is decreased to 0.91x
The higher the P/B ratio of similar trading entities, the higher the fair value	22 259 399	Adjusted fair value comparison approach	Adjusted fair value comparison approach	23 467 717	21 144 180
Nigerian Liability Insurance Pool					
Relationship of unobservable inputs to fair value	Fair value at 31 December 2015	Valuation Technique	Unobservable Inputs	FV if P/B multiples is increased to 1.01x	FV if P/B multiples is decreased to 0.91x
The higher the P/B ratio of similar trading entities, the higher the fair value	12 494 365	Adjusted fair value comparison approach	Adjusted fair value comparison approach	13 371 627	12 527 103

(ii) Determination of fair value of investment property

Management employed the services of estate surveyors and valuers expert to value its investment properties. The estimated open market value is deemed to be the fair value based on the assumptions that there will be willing buyers and sellers. Recent market prices of neighborhood properties were also considered in deriving the open market values. A variation of -/+5% will result in N33.8 million and N32 million in the Group and Company results (2014: N202.8 million and N201.1 million).

The table below analyses financial instruments and other assets and liabilities measured at fair value at the end of the year, by the level in the fair value hierarchy into which the fair value measurement is categorised:

		31 December 2015			
	Notes				
Group					
In thousands of Naira					
Assets					
Equity securities - Available for sale	9	668,219	40,499	35,255	743,973
Equity securities - Held for trading	9	109	-	-	109
Investment properties	14	-	674,950	-	674,950
Total financial and other assets measured at fair value		**668,328**	**715,449**	**35,255**	**1,419,032**

		31 December 2014			
	Notes				
Group					
In thousands of Naira					
Assets					
Equity securities - Available for sale	9	303,108	1,858,207	16,736	2,178,052
Equity securities - Held for trading	9	10,083	-	-	10,083
Investment properties	14	-	4,056,313	-	4,056,313
Total financial and other assets measured at fair value		**313,191**	**5,914,521**	**16,736**	**6,244,448**

		31 December 2015			
	Notes				
Company					
In thousands of Naira					
Assets					
Equity securities - Available for sale	9	668,219	-	35,255	703,474
Equity securities - Held for trading	9	11	-	-	11
Investment properties	14	-	639,950	-	639,950
Total financial and other assets measured at fair value		**668,230**	**639,950**	**35,255**	**1,343,435**

		31 December 2014			
	Notes				
Company					
In thousands of Naira					
Assets					
Equity securities - Available for sale	9	303,108	1,858,207	16,736	2,178,051
Equity securities - Held for trading	9	9,827	-	-	9,827
Investment properties	14	-	4,021,314	-	4,021,313
Total financial and other assets measured at fair value		**312,935**	**5,879,520**	**16,736**	**6,209,191**

The following tables set out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised:

	31 December 2015				
Group					
In thousands of Naira					
Assets					
Cash and cash equivalents	7,053,721	-	7,053,721	-	7,053,721
Financial assets	3,568,739	3,447,137	-	-	3,447,137
Trade receivables	552,079	-	552,079	-	552,079
Reinsurance assets (excluding prepaid reinsurance)	391,265	-	-	391,265	391,265
Deferred acquisition cost	414,545	-	-	414,545	414,545
Other receivables (excluding prepayment)	1,174,204	-	-	1,174,204	1,174,204
Statutory Deposit	521,547	-	521,547	-	521,547
Total financial assets not measured at fair value	13,676,100	3,447,137	8,127,347	1,980,014	13,554,498
Liabilities					
Investment contract liabilities	1,196,180			1,196,180	1,196,180
Trade payables	210,576			210,576	210,576
Other payables	2,408,179			2,408,179	2,408,179
Total financial liabilities not measured at fair value	3,814,935	-	-	3,814,935	3,814,935

	31 December 2015				
Company					
In thousands of Naira					
Assets					
Cash and cash equivalents	3,320,235	-	3,320,235	-	3,320,235
Financial assets	1,627,496	1,541,582	-	-	1,541,582
Trade receivables	534,723	-	534,723	-	534,723
Reinsurance assets (excluding prepaid reinsurance)	238,287	-	-	238,287	238,287
Deferred acquisition cost	339,529	-	-	339,529	339,529
Other receivables (excluding prepayment)	1,256,940	-	-	1,256,940	1,256,940
Statutory Deposit	300,000	-	300,000	-	300,000
Total financial liabilities not measured at fair value	7,617,210	1,541,582	4,154,958	1,834,756	7,531,296
Liabilities					
Trade payables	104,066	-		104,066	104,066
Other payables	2,152,544	-	--	2,152,544	2,152,544
Total financial liabilities not measured at fair value	2,256,610	-	-	2,256,610	2,256,610

	31 December 2014				
Group					
In thousands of Naira					
Assets					
Cash and cash equivalents	5,173,243	-	5,173,243	-	5,173,243
Financial assets	6,598,361	6,674,358	-	-	6,674,358
Trade receivables	2,699	-	2,699	-	2,699
Reinsurance assets (excluding prepaid reinsurance)	274,472	-	-	274,472	274,472
Deferred acquisition cost	253,508	-	-	253,508	253,508
Other receivables (excluding prepayment)	167,629	-	-	167,629	167,629
Statutory Deposit	518,508	-	518,508	-	518,508
Total financial assets not measured at fair value	12 988 420	6 674 358	5 694 450	695 609	13 064 417
Liabilities					
Investment contract liabilities	1,176,266	-	-	1,176,266	1,176,266
Trade payables	417,655	-	-	417,655	417,655
Other payables	2,823,570	-	-	2,823,570	2,823,570
Total financial liabilities not measured at fair value	4,417,491	-	-	4,417,491	4,417,491

	31 December 2014				
Company					
In thousands of Naira					
Assets					
Cash and cash equivalents	3,190,253	-	3,190,253	-	3,190,253
Financial assets	3,843,061	3,921,385	-	-	3,921,385
Trade receivables	-	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	227,451	-	-	227,451	227,451
Deferred acquisition cost	214,138	-	-	214,138	214,138
Other receivables (excluding prepayment)	81,194	-	-	81,194	81,194
Statutory Deposit	300,000	-	300,000	-	300,000
Total financial assets not measured at fair value	7,856,097	3,921,385	3,490,253	522,783	7,934,421
Liabilities					
Trade payables	328,885	-	-	328,885	328,885
Other payables	2,670,128	-	-	2,670,128	2,670,128
Total financial liabilities not measured at fair value	2,999,013	-	-	2,999,013	2,999,013

Capital Management

Capital risk is the risk of company's capital diminishing or attaining below the minimum capital requirement level due to the occurrence of certain loss or risk event. The Group's objectives with respect to capital management are to maintain a capital base that is structured to exceed regulatory and to best utilize capital allocations. Insurance industry regulator measures the financial strength of Non-life insurers using a solvency margin model, NAICOM generally expect non-life insurers to comply with this capital adequacy requirement.

This test compares insurers' capital against the risk profile. Section 24 (1) of the Insurance Act, 2003 requires that an insurer shall in respect of its business other than its life insurance business, maintain at all times a margin of solvency being the excess of the value of its admissible assets in Nigeria over its liabilities in Nigeria.

The solvency margin shall not be less than 15 per centum of the gross premium income less reinsurance premiums paid out during the year under review or the minimum paid-up capital whichever is greater. During the year, the Company has consistently exceeded this minimum. The regulator has the authority to request more extensive reporting and can place restrictions on the Company's operations if the Company falls below this requirement as deemed necessary.

During the year, the company complied with the minimum capital requirements and the statutory regulatory solvency margin requirement. The company apart from having a solid risk-based capitalization position, has established its dividend policy. The company has commenced to link its risk management framework with its capital management in order to have an optimize capital allocation.

The solvency margin for the Company as at 31 December 2015 was as follows

	N'000	N'000
Excess of Assets (Admissible assets) over Liabilities -Solvency Margin	-	**10,502,266**
Higher of:		
Gross premium written	5,212,600	-
Less: Reinsurance paid during the year	(1,827,543)	-
Net Premium	3,385,057	-
15% of Net premium	507,759	-
Minimum capital base- Non life	3,000,000	-
The higher thereof:	-	3,000,000
Surplus in Solvency Margin over minimum capital base	-	7,502,266
Solvency Ratio	-	250%

The solvency margin for the Company as at 31 December 2014 was as follows;

	N'000	N'000
Excess of Assets (Admissible assets) over Liabilities -Solvency Margin	-	**8,128,938**
Higher of:		
Gross premium written	4,015,687	-
Less: Reinsurance paid during the year	-1,638,433	-
Net Premium	2,377,254	-
15% of Net premium	356,588	-
Minimum capital base- Non life	3,000,000	-
The higher thereof:	-	3,000,000
Surplus in Solvency Margin over minimum capital base	-	5,128,938
Solvency Ratio	-	171%

06. Financial Assets and Liabilities

(i) Financial assets:

(ii) Cash and cash equivalents, trade receivables, other receivables, reinsurance assets and statutory deposits:

(iii) Investment contract liabilities, trade payables and other payables:

Accounting classification and fair values

The table below sets out the Group's classification of each class of financial assets and liabilities, and their fair values.

		FVTPL	Held-to-Maturity	Loans & Receivables	Available for-sale	Other financial liabilities at Amortised cost	Total Carrying amount	Fair Value
Group	Notes							
In thousands of Naira								
31 December 2015								
Cash and cash equivalents	8	-	-	7,053,721	-	-	7,053,721	7,053,721
Financial assets	9	109	3,568,739	-	743,973	-	4,312,821	4,236,633,89
Trade receivables	10	-	-	552,079	-	-	552,079	552,079
Reinsurance assets (excluding prepaid reinsurance)	11	-	-	391,265	-	-	391,265	391,265
Other receivables (excluding prepayment)	13	-		1,174,204	-	-	1,174,204	1,174,204
Statutory deposit	19			521,547	-	-	521,547	521,547
Total financial assets		109	3,568,739	9,692,816	743,973	-	14,005,637	13,929,450
Investment contract liabilities	21	-	-	-	-	1,196,180	1,196,180	1,196,180
Trade payables	22					210,576	210,576	210,576
Other payables (excluding non-financial liabilities)	23	-	-	-	-	2,198,093	2,198,093	2,198,093
Total financial liabilities						3,604,849	3,604,849	3,604,849

		FVTPL	Held-to-Maturity	Loans & Receivables	Available for-sale	Other financial liabilities at Amortised cost	Total Carrying amount	Fair Value
Group	Notes							
In thousands of Naira								
31 December 2014								
Cash and cash equivalents	8	-	-	5,173,243	-	-	5,173,243	5,173,243
Financial assets	9	10,083	6,598,362	-	2,178,051	-	8,786,496	8,746,299
Trade receivables	10	-	-	2,699	-	-	2,699	2,699
Reinsurance assets (excluding prepaid reinsurance)	11	-	-	274,472	-	-	274,472	274,472
Other receivables (excluding prepayment)	13	-	-	167,629	-	-	167,629	167,629
Statutory deposit	19	-	-	518,508	-	-	518,508	518,508
Total financial assets		10,083	6,598,362	6,136,551	2,178,051	-	14,923,047	14,882,850
Investment contract liabilities	21	-	-	-	-	1,176,266	1,176,266	1,176,266
Trade payables	22	-	-	-	-	417,655	417,655	417,655
Other payables (excluding non-financial liabilities)	23	-	-	-	-	2,623,135	2,623,135	2,623,135
Total financial liabilities		-	-	-	-	4,217,056	4,217,056	4,217,056

Accounting classification and fair values

		FVTPL	Held-to-Maturity	Loans & Receivables	Available for-sale	Other financial liabilities at Amortised cost	Total Carrying amount	Fair Value
Company	Notes							
In thousands of Naira								
31 December 2015								
Cash and cash equivalents	8	-	-	3,320,235	-	-	3,320,235	3,320,235
Financial assets	9	11	1,627,496	-	703,474	-	2,330,982	2,314,707
Trade receivables	10	-	-	534,723	-	-	534,723	534,723
Reinsurance assets (excluding prepaid reinsurance)	11	-	-	238,287	-	-	238,287	238,287
Other receivables (excluding prepayment)	13	-	-	1,256,940	-	-	1,256,940	1,256,940
Statutory deposit	19	-	-	300,000	-	-	300,000	300,000
Total financial assets		11	1,627,496	5,650,185	703,474	-	7,981,167	7,964,892
Trade payables	22	-	-	-	-	104,066	104,066	104,066
Other payables (excluding non-financial liabilities)	23					2,028,098	2,028,098	2,028,098
Total financial liabilities		-	-	-	-	2,132,164	2,132,164	2,132,164

		FVTPL	Held-to-Maturity	Loans & Receivables	Available for-sale	Other financial liabilities at Amortised cost	Total Carrying amount	Fair Value
Company	Notes							
In thousands of Naira								
31 December 2014								
Cash and cash equivalents	8	-	-	3,190,253	-	-	3,190,253	3,190,253
Financial assets	9	9,827	3,843,061	-	2,178,051	-	6,030,939	5,993,070
Trade receivables	10	-	-	-	-	-	-	-
Reinsurance assets (excluding prepaid reinsurance)	11	-	-	227,451	-	-	227,451	227,451
Other receivables (excluding prepayment)	13	-	-	81,194	-	-	81,194	81,194
Statutory deposit	19	-	-	300,000	-	-	300,000	300,000
Total financial assets		9,827	3,843,061	3,798,898	2,178,051	-	9,829,837	9,791,968
Trade payables	22	-	-	-	-	328,885	328,885	328,885
Other payables (excluding non-financial liabilities)	23	-	-	-	-	2,547,344	2,547,344	2,547,344
Total financial liabilities		-	-	-	-	2,876,229	2,876,229	2,876,229

07. Operating Segments

The corporate expenses for the following centrally shared services are being apportioned to all business segments in the group:

- Internal controls and audits
- Financial control
- Human resources
- Information technology

Business segments

The Group operates the following main business segments:

General	
Wapic Insurance Plc	Includes general business insurance transactions with individual and corporate customers
Wapic Insurance Ghana Limited	Includes general business insurance transactions with individual and corporate customers
Life	
Wapic Life Assurance Limited	Includes life insurance policies with individual and corporate customers

The segment information is based on internal reporting to the Chief Operating Decision Maker in line with IFRS..

07. Operating Segments (continued)

	General Business		Life Business		General Business			General Business		
	Wapic Insurance Plc		Wapic Life Assurance Ltd		Wapic Insurance Ghana Ltd		Elimination Adjustments	Elimination Adjustments	Group	
	31/12/15	31/12/14	31/12/15	31/12/14	31/12/15	31/12/14	31/12/15	31/12/14	31/12/15	31/12/14
Revenue:										
Derived from external customers:										
- Gross premium income	4,542,960	3,507,334	1,069,261	620,349	536,557	576,473	-	-	6,148,778	4,704,156
- Reinsurance expenses	(1,827,543)	(1,638,433)	(164,186)	(105,567)	(216,565)	(123,174)	-	-	(2,208,294)	(1,867,174)
Net insurance premium income	2,715,417	1,868,901	905,075	514,782	319,992	453,299	-	-	3,940,484	2,836,982
- Commission received	351,847	286,777	24,903	4,400	53,072	32,266	-	-	429,822	323,443
- Investment income	746,137	955,784	533,658	324,256	197,261	175,162	(100,742)	-	1,376,314	1,455,202
Net realised gain/(loss) on financial assets	1,124,780	-	(1)	(167)	-	-	-	-	1,124,779	(167)
- Net fair value loss on financial assets at fair value through profit or loss	(3,540)	(16,431)	(58)	1,735	-	-	-	-	(3,598)	(14,697)
- Other operating income	339,658	183,363	35,664	171,936	37,922	24,995	(23,141)	(10,406)	390,104	369,888
	5,274,299	3,278,393	1,499,241	1,016,942	608,247	685,722	(123,882)	(10,406)	7,257,905	4,970,652
Expenses:										
Underwriting expenses	(1,010,267)	(839,259)	(230,145)	(21,694)	(112,077)	13,936	94,563	-	(1,257,926)	(847,017)
Employee benefit expense	(646,709)	(617,432)	(132,999)	(113,284)	(144,564)	(148,094)	-	(33,884)	(924,272)	(912,694)
Other operating expense	(1,718,176)	(1,618,553)	(577,239)	(309,613)	(271,834)	(237,102)	23,277	3,611	(2,543,973)	(2,161,657)
Claims incurred	(862,820)	(477,979)	(518,963)	(439,279)	(252,904)	(80,313)	-	-	(1,634,687)	(997,570)
Total underwriting and operating expenses	(4,237,972)	(3,553,221)	(1,459,346)	(883,870)	(781,379)	(451,573)	117,840	(30,273)	(6,360,858)	(4,918,939)
Profit/(Loss) before tax	1,036,327	(274,829)	39,895	133,072	(173,132)	234,149	(6,043)	(40,679)	897,047	51,714
Income tax	(412,141)	269,612	20,826	(33,208)	21,038	(58,143)	-	-	(370,277)	178,261
Profit/(loss) after tax	624,186	(5,217)	60,721	99,865	(152,094)	176,006	(6,043)	(40,679)	526,770	229,975
Assets and Liabilities:										
Total assets	20,163,859	19,815,164	4,916,413	4,457,335	(1,636,772	1,036,469	(3,020,434)	(3,250,097)	23,694,610	22,058,871
Total liabilities	5,590,177	5,424,087	2,383,697	1,931,441	708,033	558,484	50,405	(55,762)	8,732,312	7,858,250
Net assets/(liabilities)	14,573,682	14,391,077	2,532,716	2,525,894	926,739	477,985	(3,070,839)	(3,570,486)	14,962,298	14,200,621

07. Operating Segments (continued)

Revenue Account - Company

Revenue account for the period ended 31 December 2015

Details	MOTOR	FIRE	GEN ACC	MARINE	AVIATION	ENGI-NEERING	OIL AND ENERGY	BOND	TOTAL
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Income									
Direct Premium	748,340	320,280	1,474,717	124,023	68,644	84,054	2,114,176	-	**4,934,234**
Reinsurance Inwards	20,502	14,554	13,233	193,888	802	5,998	29,387	-	**278,364**
Gross written premium	**768,842**	**334,834**	**1,487,950**	**317,911**	**69,446**	**90,052**	**2,143,563**	**-**	**5,212,598**
Movement in provision for unexpired risks	(74,714)	(46,192)	(83,589)	(50,321)	53,875	53,332	(522,031)	-	**(669,640)**
Gross premium income	**694,128**	**288,642**	**(83,589)**	**267,590**	**123,321**	**143,384**	**1,621,532**	**-**	**4,542,958**
Deduction from income									
- Facultative outward	38,858	22,779	514,664	32,926	20,295	9,775	727,837	-	**1,367,134**
- Liability pool	26,007	-	3,671	-	-	-	-	-	**29,678**
- Surplus Treaty	-	188,730	77,956	76,819	-	88,530	-	-	**432,035**
- Minimum and deposit premium	-	16,200	13,500	8,550	-	-	-	-	**38,250**
Outward reinsurance Premium	**64,865**	**(21,235)**	**609,791**	**118,295**	**20,295**	**98,305**	**727,837**	**-**	**1,867,097**
Movement in prepaid rein-surance	(1,971)	227,709	(18,847)	1,011	57,874	7,284	(63,670)	-	**(39,554)**
Reinsurance Cost	62,894	206,474	590,944	119,306	78,169	105,589	664,167	-	**1,827,543**
Net premium income	**631,234**	**82,168**	**813,417**	**148,284**	**45,152**	**37,795**	**957,365**	**-**	**2,715,415**
Commission received	8,071	65,843	177,126	46,521	4,757	36,063	27,926	-	**366,307**
Movement in deferred commission income	503	(2,932)	(7,546)	1,582	14,756	(4,727)	(16,096)	-	**(14,460)**
Underwriting income	**639,808**	**145,079**	**982,997**	**196,387**	**64,665**	**69,131**	**969,195**	**-**	**3,067,262**
Expenses									
Gross claims paid	323,829	33,318	247,835	25,217	30,728	7,830	118,723	-	**787,480**
Movement in provision for outstanding claims	8,237	4,137	25,382	13,314	(1,346)	(3,505)	(60,857)	5,500	**(9,138)**
Movement in provision for IBNR	11,658	8,475	128,718	9,939	12,556	13,325	70,226	(2)	**254,895**
	343,724	**45,930**	**401,935**	**48,470**	**41,938**	**17,650**	**128,092**	**5,498**	**1,033,237**
Claims recoveries	(33,938)	(52,698)	(63,120)	(3,181)	(9)	(6,633)	-	-	**(159,579)**
Movement in claims recov-erable	10,280	125	-	51,881	843	3,008	-	-	**66,137**
Movement in IBNR claims recoverable	(1,356)	(2,715)	(57,216)	(5,143)	(461)	(2,073)	(8,011)	-	**(76,975)**
Net claims incurred	**318,710**	**(9,358)**	**281,599**	**92,027**	**42,311**	**11,952**	**120,081**	**5,498**	**862,820**
Underwriting expenses									
Acquisition expenses	83,158	65,879	265,552	62,262	13,809	17,695	405,951	-	**914,306**
Movement in deferred acquisition cost	(7,943)	(9,658)	(14,418)	(8,672)	9,103	10,824	(104,627)	-	**(125,391)**
Maintenance expenses	24,133	10,939	58,433	14,084	2,616	3,605	107,542	-	**221,352**
Total underwriting expenses	99,348	67,160	309,567	67,674	25,528	32,124	408,866	-	**1,010,267**
Underwriting profit	**221,750**	**87,277**	**391,831**	**36,686**	**(3,174)**	**25,055**	**440,248**	**(5,498)**	**1,194,175**

Revenue Account - Company

Revenue account for the period ended 31 December 2014

Details	MOTOR	FIRE	GEN ACC	MARINE	AVIATION	ENGINEER-ING	OIL AND ENERGY	BOND	TOTAL
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Income									
Direct Premium	633,967	226,878	1,195,348	82,708	123,177	337,933	1,221,125	-	**3,821,136**
Reinsurance Inwards	19,538	15,950	16,028	129,166	2,357	3,955	7,557	-	**194,551**
Gross written premium	**653,505**	**242,828**	**1,211,376**	**211,874**	**125,534**	**341,888**	**1,228,682**	**-**	**4,015,687**
Movement in provision for unexpired risks	(108,939)	(47,253)	(84,093)	(48,834)	(59,466)	(190,519)	30,596	155	**(508,353)**
Gross premium income	**544,566**	**195,575**	**1,127,283**	**163,040**	**66,068**	**151,369**	**1,259,278**	**155**	**3,507,334**
Deduction from income									
- Facultative outward	57,343	22,165	464,766	6,575	99,672	122,921	619,235	-	**1,392,677**
- Liability pool	33,617	-	9,254	-	-	-	-	-	**42,871**
- Surplus Treaty	-	159,234	145,355	124,216	-	141,698	-	-	**570,503**
- Minimum and deposit premium	8,550	14,400	-	-	-	-	-	-	**22,950**
Outward reinsurance Premium	**99,510**	**195,799**	**619,375**	**130,791**	**99,672**	**264,619**	**619,235**	**-**	**2,029,001**
Movement in prepaid rein-surance	(12,019)	(53,810)	(29,934)	(38,595)	(59,297)	(102,140)	(94,773)	-	**(390,568)**
Reinsurance Cost	87,491	141,989	589,441	92,196	40,375	162,479	524,462	-	**1,638,433**
Net premium income	**457,075**	**53,586**	**537,842**	**70,844**	**25,693**	**(11,110)**	**734,816**	**155**	**1,868,901**
Commission received	16,643	53,985	148,525	57,606	24,662	42,026	4,411	-	**347,858**
Movement in deferred commission income	(3,259)	(14,708)	(8,135)	(10,752)	(15,173)	(6,678)	(2,376)	-	**(61,081)**
Underwriting income	**470,459**	**92,863**	**678,232**	**117,698**	**35,182**	**24,238**	**736,851**	**155**	**2,155,678**
Expenses									
Gross claims paid	150,988	54,424	231,593	16,217	15,276	52,144	137,265	-	**657,907**
Movement in provision for outstanding claims	(7,080)	(4,435)	(219,037)	(7,650)	1,466	(29,490)	(114,010)	(52,500)	**(432,736)**
Movement in provision for IBNR	2,792	10,152	145,926	9,550	(44)	6,555	106,274	(15)	**281,190**
	146,700	**60,141**	**158,482**	**18,117**	**16,698**	**29,209**	**129,529**	**(52,515)**	**506,361**
Claims recoveries	(29,822)	(108,675)	(51,250)	(15,790)	-	(14,635)	-	-	**(220,172)**
Movement in claims recov-erable	1,867	2,167	203,933	3,015	40,400	25,664	(843)	-	**276,203**
Movement in IBNR claims recoverable	(1,488)	(3,253)	(61,237)	(5,844)	(54)	(415)	(12,123)	-	**(84,414)**
Net claims incurred	**117,257**	**(49,620)**	**249,928**	**(502)**	**57,044**	**39,823**	**116,563**	**(52,515)**	**477,978**
Underwriting expenses									
Acquisition expenses	73,687	46,987	244,566	43,069	22,199	73,232	210,216	-	**713,956**
Movement in deferred acquisition cost	(8,188)	(8,020)	(14,862)	(9,555)	(1,065)	(37,761)	13,447	31	**(65,973)**
Maintenance expenses	31,128	11,566	57,701	10,092	5,979	16,285	58,525	-	**191,276**
Total underwriting expenses	96,627	50,533	287,405	43,606	27,113	51,756	282,188	31	**839,259**
Underwriting profit	**256,575**	**91,950**	**140,899**	**74,594**	**(48,975)**	**(67,341)**	**338,100**	**52,639**	**838,441**

08. Cash and Cash Equivalents

Cash and cash equivalent includes cash in hand, balances at bank and short term instruments with less than 3 months maturity from the date of acquisition

	Group	Group	Company	Company
In Thousands of Naira				
Cash at bank and in hand	1,141,840	303,632	413,219	209,178
Money market placements	5,911,881	4,869,611	2,907,016	2,981,075
Balance, end of year	**7,053,721**	**5,173,243**	**3,320,235**	**3,190,253**

09.Financial Assets

These financial assets represent the Group's and the Company's holdings in investment securities and are summarised by classification category below:

	Group	Group	Company	Company
In Thousands of Naira				
Available-for-sale (see note 9(a) below)	743,973	2,178,051	703,474	2,178,051
Held for trading (see note 9(b) below)	109	10,083	11	9,827
Held-to-maturity (see note 9(c) below)	3,568 739	6,598 362	1,627,496	3,843,061
Balance, end of year	**4,312,821**	**8,786,496**	**2,330,981**	**6,030,939**

(a) Available-for-sale financial assets

These securities represent the Group and the Company's interest in entities:

	Group	Group	Company	Company
In Thousands of Naira				
Equity securities:				
Listed (see note (i) below)	668,218	303,108	668,218	303,108
Unlisted (see note (ii) below)	75,754	1,874,943	35,255	1,874,943
Carrying amount	**743,973**	**2,178,051**	**703,474**	**2,178,051**

Movement in Available-for-sale financial assets

	Group	Group	Company	Company
In Thousands of Naira				
Equity securities:				
1. Listed				
Balance, beginning of year	303,108	-	303,108	-
Acquisitions during the year	501,040	454,429	501,040	454,429
Fair value changes during the year	(135,929)	(151,321)	(135,929)	(151,321)
Balance, end of year	**668,218**	**303,108**	**668,218**	**303,108**
Equity securities:				
2. Unlisted				
Balance, beginning of year	1,874,943	869,721	1,874,943	869,721
Acquisitions during the year	1,746,308	1,005,222	1,705,809	1,005,222
Fair value changes during the year	19,205	-	19,205	(151,321)
Net fair value gain on acquisition of associate	799,637	-	799,637	-
Disposal during the year (see note (iv) below)	(4,364,339)	-	(4,364,339)	-
Balance, end of year	**75,754**	**1,874,943**	**35,255**	**1,874,943**

iii) The breakdown of available-for-sale unlisted equity securities are shown below;

	Group	Group	Company	Company
In Thousands of Naira				
African Reinsurance Corporation	22,306	6,495	22,306	6,495
Nigerian Liability Insurance Pool	12,949	10,241	12,949	10,241
Coronation Merchant Bank Limited (Formerly; Associated Discount House Limited) (see note (iv) below)	-	1,858,207	-	1,858,207
Access Bank (Ghana) Limited	40,499	1,874,943	35,255	1,874,943
Carrying amount	**75,754**	**1,874,943**	**35,255**	**1,874,943**

iv) The investment in the Coronation Merchant Bank Limited (CMBL) was reclassified to investment in Associate following an additional acquisition of equity shareholding in January 2015 which increased the holding of the Company to 23.74%.

The Company acquired additional 450,338,194 units of CMBL shares for N1.7 billion which brought its equity holdings in the investee to 1,151,522,568 units representing 23.74% of the issued and fully paid ordinary shares of the investee.

The entire equity holding in CMBL was therefore revalued to the fair value (N4.36 billion) at the acqusition date and appropriately reclassified to investment in Associate and the Company accounted for this investment using the equity accounting method.

(b) Held for trading financial assets

	Group	Group	Company	Company
In Thousands of Naira				
1. Listed				
Balance, beginning of year	10,083	12,563	9,827	11,375
Acquisitions during the year	-	512	-	1,512
Fair value changes during the year	(839)	(2,992)	(781)	(3,060)
Disposal during the year	(9,135)	-	(9,035)	-
Carrying amount at fair value	**109**	**10,083**	**11**	**9,827**

(c) Held to maturity financial assets

	Group	Group	Company	Company
In Thousands of Naira				
Movement in Held to maturity financial assets				
Balance, beginning of year	6,598,362	6,724,620	3,843,061	4,913,310
Acquisitions during the year	2,758,383	6,185,938	1,165,281	3,740,487
Disposals/maturities/redemption during the year	(6,089,957)	(8,064,364)	(3,592,857)	(5,928,610)
Accrued interest receivables	163,795	888,882	113,005	566,810
Interest received during the year	138,156	863,286	99,006	551,064
Balance, end of year	**3,568,739**	**6,598,362**	**1,627,496**	**3,843,061**

The breakdown of Held to maturity financial assets are shown below;

	Group	Group	Company	Company
	2015	2014	2015	2014
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
In Thousands of Naira				
Debt securities:				
Corporate bonds	499,762	-	499,762	-
Government bonds	1,189,030	812,424	640,889	502,574
Treasury bills	1,879,947	5,785,938	486,845	3,340,487
Carrying amount at amortised cost	**3,568,739**	**6,598,362**	**1,627,496**	**3,843,061**

Held to maturity financial assets are carried at amortised cost. At the reporting date, no held to maturity financial asset was either past due or impaired.

10. Trade Receivables

(a) Trade receivables

	Group	Group	Company	Company
Due from agents	223,910	135,301	195,520	135,301
Due from policy holders/brokers	1,066,364	616,102	542,103	159,037
Due from insurance companies	147,843	139,845	147,843	139,846
Bancassurance receivables	16,363	33,582	14,870	29,103
Total	1,454,480	924,830	900,336	463,287
Less: impairment allowance (see note (b) below)	(902,401)	(922,131)	(365,613)	463,287
Balance end of year	552,079	2,699	534,723	-

(b) The movements in impairment allowance on trade receivables is analyzed below;

	Group	Group	Company	Company
Balance, beginning of year	922,131	1,019,558	463,287	355,499
Exchange difference	-	(40,521)	-	-
Allowance made/(recovery) during the year	(19,730)	153,902	(97,674)	107,788
Bad debt written off	-	(210,808)	-	-
Balance end of year	902,401		365,613	463,287

Subsequent to year end, the Group and Company received N552.1 million and N534.7 million for receivables less than 30 days as at 31 December 2015 (December 2014: N2.6 million and N2.6 million).

There are no trade receivables which are past due, but not impaired as at year end (2014: Nil)

11. Reinsurance Assets

	Group	Group	Company	Company
(a) Claim recoverables (see note (b)	426,496	316,854	273,518	262,682
Prepaid reinsurance	531,318	393,456	486,260	390,570
	957,814	710,310	759,778	653,252
Less impairment (see note (c) below)	(35,231)	(42,382)	(35,231)	(35,231)
Balance end of year	922,583	667,928	724,547	618,021

(b) Claims recoverables are analysed as follows:

	Group	Group	Company	Company
Recoverable on claims - Incurred but not reported claims	221,447	144,474	221,447	144,474
Recoverable on outstanding claims	205,049	172,380	52,071	118,208
Balance end of year	426,496	316,854	273,518	262,682

(c) The movements in claims recoverable analyzed below;

	Group	Group	Company	Company
Balance, beginning of year	316,854	640,272	262,682	442,175
Recoveries during the year	(434,666)	(415,102)	(159,579)	(207,876)
Increase in recoverable during the year	544,308	91,684	170,417	28,383
Balance end of year	426,496	316,854	273,520	262,682

(d) The movements in prepaid reinsurance cost is analysed as follows:

	Group	Group	Company	Company
Balance, beginning of year	393,456	117,226	390,570	117,226
Cost incurred during the year	2,346,156	2,143,404	1,923,233	1,911,777
Amortised during the year	(2,208,294)	(1,867,174)	(1,827,543)	(1,638,433)
Balance end of year	531,318	393,456	486,260	390,570

(e) The movements in impairment allowance for reinsurance assets is analyzed below;

	Group	Group	Company	Company
Balance, beginning of year	42,382	29,886	35,231	22,735
(Recovery)/allowance made during the year for doubtful recoverables	(7,151)	12,496	-	12,496
Balance end of year	35,231	42,382	35,231	35,231

12. Deferred Acquisition Cost

This represents commission on unearned premium relating to the unexpired tenure of risk.

	Group	Group	Company	Company
Balance, beginning of year	253,508	194,916	214,138	148,165
Exchange difference	(2,944)	(7,562)	-	-
Addition during the year	1,392,922	1,026,992	1,135,658	905,232
Amortised during the year	(1,228,941)	(960,838)	(1,010,267)	(839,259)
Balance end of year	414,545	253,508	339,529	214,138

13. Other Receivables and Prepayment

(a) (i)	Group	Group	Company	Company
Staff loans	8,439	26,819	6,642	24,235
Prepayment	50,917	146,996	28,010	121,838
Intercompany receivables (see note (iii) below)	-	-	114,246	-
Sundry receivables (see note (ii) below)	2,590,516	1,472,716	2,251,822	1,086,683
	2,649,872	1,646,531	2,400,720	1,232,756
Less: Impairment allowance (see note (b) below):				
Sundry receivables	(1,424,751)	(1,331,907)	(1,115,770)	(1,029,725)
	1,225,121	314,624	1,284,950	203,031

(ii)	Group	Group	Company	Company
Due from Summit Finance Limited	1,011,631	1,011,631	728,106	728,106
Due from Tropics Finance Limited	228,115	228,115	228,115	228,115
Due from Petralon Energy Limited	779,387	-	779,387	-
Due from Oceanview property	226,840	-	226,840	-
Due from Victoria Estate	106,295	-	106,295	-
Due from Etuna	78,434	-	78,434	-
Due from Oilview Estate	29,600	35,000	29,600	35,000
Due from Profund Securities Limited	21,785	21,785	21,785	21,785
Withholding Tax Receivable	28,157	19,083	17,299	12,591
Interest Receivable on Statutory Deposit	21,764	18,195	12,986	8,890
Others	58,508	138,907	22,975	52,196
	2,590,516	1,472,716	2,251,822	1,086,683

(iii) This relates to expenses recoverable by the Company from related entities within the Group for cost incurred on their behalf and shared premium for Life and General received on behalf of the Company by Wapic Life Assurance. Breakdown of due from related parties is analysed below:

	Company	Company
Due from Wapic Ghana - expense recoverable	43,909	-
Due from Wapic Ghana - management services fees	20,511	-
Due from Wapic Life - premium receipts	49,826	-
	114,246	-

(b) The movements in impairment allowance for other receivables and prepayments is analyzed below;

	Group	Group	Company	Company
Balance, beginning of year	1,331,907	1,335,386	1,029,725	1,034,275
Exhange difference	78,434	-	78,434	-
Allowance made during the year	-	-	-	-
Recoveries during the year	14,410	24,521	7,611	23,450
Amount written off during the year	-	(28,000)	-	(28,000)
Balance end of year	1,424,751	1,331,907	1,115,770	1,029,725

There are no other receivables which are past due, but not impaired as at year end (2014: Nil)

(c) The breakdown of impairment allowance on other receivables is analyzed below:

	Group	Group	Company	Company
Profund securities	21,785	21,785	21,785	21,785
Sunmmit finance limited	1,011,630	1,011,630	728,106	728,106
Tropics finance limited	228,115	228,115	228,115	228,115
Triumph bank	10,079	10,079	10,079	10,079
Societe generale bank	43	43	43	43
Fortune int'l bank	1,456	1,456	386	386
Olushola Oyinloye	4,000	10,000	4,000	10,000
Okorafor Ebenzer	25,000	12,500	25,000	12,500
Receivable from Etuna on closed property development	86,882	8,448	86,882	8,448
Withholding tax receivable	10,264	10,264	10,264	10,264
Marina securities stock trading account	4,991	-	1,111	-
Inventory	17,089	17,089	-	-
Others	3,417	498	-	-
Balance, end of year	1,424,751	1,331,907	1,115,770	1,029,725

14. Investment Properties

	Group	Group	Company	Company
Investment properties (see (a) below)	674 950	1 953 520	639 950	1 918 520
Investment property under construction (see (h) below)	-	2 102 794	-	2 102 794
Balance end of year	674 950	4 056 314	639 950	4 021 314

(a) Investment properties are analysed by location as follows:

	Group	Group	Company	Company
Hexagon Court, Ikeja Lagos (see (c) and (d) below)	105,500	105,000	70,500	70,000
Ocean Garden, Lekki, Lagos (see (c) below)	80,250	80,000	80,250	80,000
PalmView Estate, Magodo, Lagos (see (c) below)	55,000	54,450	55,000	54,450
Meadow Estate, Lekki, Lagos (see (c) below)	-	392,870	-	392,870
Ocean View Estate, Lekki, Lagos (see (c) below)	-	309,500	-	309,500
Happy People Estate, Magboro, Ogun State (see (b) below)	18,200	-	18,200	-
Whitesand Estate, Lekki, Lagos (see (c) below)	-	595,700	-	595,700
Investment properties located at Yaba, Lagos (see (c) below)	416,000	416,000	416,000	416,000
Balance end of year	674,950	1,953,520	639,950	1,918,520

b. During the year, the Company disposed its investment property located at Meadow Estate Lekki, Ocean view Estate and Whitesand Estate. A total proceeds of N1.091billion was realised from the disposal.

c. The Company's investment properties were valued by independent professional Estate Surveyors and Valuers as at 31 December 2015. The determination of fair value of the investment properties were supported by market evidence. The modalities and process of valuation utilised extensive analysis of market data and other sector specific perculiarities corroborated with available database derived from previous experiences. The Company used the following Estate Surveyors and Valuers who have recent experience in the location and category of the investment properties being valued:

Estate Surveyors and Valuers	*FRC Registration Number*
Bode Adedeji Partnership Estate Surveyors and Valuers	FRC/2013/NIESV/00000001517

d. The amount disclosed represent the Company ownership interest in Hexagon Court Estate, Ikeja, Lagos. The property is owned 66.8% by the Company and 33.2% by Wapic Life Assurance Limited.

The Group applied fair value model in determining the carrying value of its investment properties

e. The fair value measurement for the investment properties has been categorized as a Level 2 fair value basis, it was determined by reference to valuation techniques in which all significant inputs are directly or indirectly observable from market data.

(f) The movement in investment properties during the year was as follows:

	Group	Group	Company	Company
In Thousands of Naira				
Balance, beginning of year	1,953,520	2,255,701	1,918,520	2,205,367
Acquisition during the year	22,260	22,991	22,259	22,991
Disposal during the year	(1,298,071)	(313,467)	(1,298,070)	(296,467)
Fair value loss recognised in profit or loss	(2,760)	(11,705)	(2,759)	(13,371)
	674,950	**1,953,520**	**639,950**	**1,918,520**

(g) The Group and the Company earned total rental income N42.578million and N42.578million reseptively (2014: N15.362million and N15.362million respectively) from its investment properties during the year (see note 35). Rental income is analysed below:

	Group	Group	Company	Company
In Thousands of Naira				
Ocean Garden, Lekki, Lagos	575	-	575	-
Ocean View Estate, Lekki, Lagos	-	3,937	-	3,937
Whitesand Estate, Lekki, Lagos	-	3,500	-	3,500
Investment property located at Victoria Island, Lagos (See note (i) below)	41,250	-	41,250	-
Investment properties located at Yaba, Lagos	753	7,925	753	7,925
	42,578	**15,362**	**42,578**	**15,362**

(i) This property was a sale and leaseback arrangement, and was repurchased by the tenant during the year.

(h) Investment properties under construction:

	Group	Group	Company	Company
In Thousands of Naira				
Balance, beginning of year	2,102,794	2,102,794	2,102,794	2,102,794
Transfer out of investment properties under construction (see i(ii) below)	(2,102,794)	-	(2,102,794)	-
Balance, end of year	-	2,102,794	-	2,102,794

(i) (i) Investment property under construction represents the costs incurred and fair value gain on 22 units of four bedroom semi detached houses with inbuilt boys quarters and five blocks of three bedroom flat with inbuilt boys quarters all located at Victoria Garden Estate, Plot 359, Cadastral Zone B06, Mabushi District, Abuja.

(ii) The investment properties under construction was completed and allocated to subscribers to the properties during the year. This repesented the amount transferred out of investment properties under construction during the year. The payments of the subscribers for these properties were held as customers deposit for housing as at December 2014.

(j) Investment properties disposed during the year was as follows:

	Group	Group	Company	Company
In Thousands of Naira				
Sales proceeds	1,090,547	322,881	1,090,546	308,775
Transfer from investment property account	(1,298,070)	(313,468)	(1,298,069)	(296,467)
(Loss)/gain on disposal of investment property	(207,523)	9,413	(207,523)	12,308

15. Investment in Associates

	Group	Group	Company	Company
In Thousands of Naira				
Coronation Merchant Bank Limited	5,244,301	-	4,364,339	-
Balance, end of year	**5,244,301**	**-**	**4,364,339**	**-**

(a) Nature of investment in associates

Name of entity	Place of business/ country of incorporation	% of ownership interest	Nature of the relationship	Measurement method
Investment in Coronation Merchant Bank Limited	Nigeria	23.72%	Investee	Equity method

This represents 23.72% holding in the ordinary share capital of Coronation Merchant Bank Limited, a Company incorporated and operating in Nigeria. The holding became an associate as a result of additional acquisition of shareholding in the Company in January 2015. Coronation Merchant Bank Limited (Formerly; Associated Discount House Limited (ADH)) is involved in trading in, holding and provision of discount and rediscount facilities for Federal Government Securities, Commercial Bills and other eligible financial instruments, as prescribed by the CBN to corporate and individual customers.
There are no contingent liabilities relating to the group's interest in the associates

(b) Summarised financial information for associates

Below are the summarised financial information for investment in associate accounted for using the equity method

(i) Summarised balance sheet	**31-Dec-2015**	**31-Dec-2014**
Assets		
Cash and cash equivalents	23,770,743	11,570,356
Financial assets held for trading	-	470,490
Investment securities:		
Held-to-maturity	11,746,851	16,402,421
Available for sale securities	12,611,114	8,332,907
Pledged assets	20,086,561	32,296,487
Loans and advances to customers	2,475,468	413,078
Other assets	203,258	194,887
Intangible assets	388,435	44,207
Property, plant and equipment	1,732,500	165,106
Investment in subsidiaries	-	-
Deferred tax	5,217,194	4,184,550
Assets held for sale	48,756	48,756
Total assets	**78,280,880**	**74,123,245**
Liabilities		
Financial liabiliites (excluding trade payables)	57,729,551	57,266,205
Other liabiliites	314,588	329,683
Total liabilities	**58,044,139**	**57,595,888**
Total equity	**20,236,741**	**16,527,357**

(ii) Summarised statement of profit or loss and other comprehensive income	31-Dec-2015	31-Dec-2014
Interest income	9,949,388	10,923,949
Interest expense	(6,882,393)	(8,736,442)
Net Impairment / (writeback) on financial assets	(6,734)	21,842
Trading income	1,219,903	673,416
Net gains / (losses) from financial instruments at fair valu	1,263	(5,273)
Other income	2,183	5,476
Fees and commission income	65,701	29,679
Operating expenses	(2,019,134)	(1,291,585)
Profit/(loss) before tax	2,330,177	1,621,062
Income tax	892,223	(10,527)
Profit/(loss) for the year	3,222,400	1,610,535
Other comprehenive income	444,062	71,284
Total comprehensive income	3,666,462	1,681,819

(c) Movement in investment in associate

	Group	Group	Company	Company
In Thousands of Naira				
Balance, beginning of year	-	-	-	-
Additions during the year	4,364,339	-	4,364,339	-
Share of current year profit	764,437	-	-	-
Share of current year other comprehensive income	115,525	-	-	-
Balance, end of year	5,244,301	-	4,364,339	-

(i) There are no significant restrictions on the Group's ability to access or use the assets and settle the liabilities of the associate to the extent that regulatory framework within which the associate operate does not inhibit the Group.

(ii) Net gain on deemed disposal of equity investment available for sale is analysed below:	Group	Group	Company	Company
In Thousands of Naira	N'000	N'000	N'000	N'000
Fair value of equity interest in available for sale investment	4,364,339	-	4,364,339	-
Cost of investment on date of acquisition of associate	(3,239,846)	-	(3,239,846)	-
	1,124,493	**-**	**1,124,493**	**-**

(iii) Reconciliation of summarised financial information	Group	Group
In Thousands of Naira	N'000	N'000
Opening net assets/net assets on date on acquisition	16,593,453	-
Profit/(loss) for the year	3,222,400	-
Other comprehensive income for the year	444,062	-
Net loss on AFS instruments recycled to profit or loss	42,922	-
Closing net assets	20,302,837	-
Interest in associate (23.72%)	4,816,359	-
Notional goodwill	427,942	-
Carrying value	**5,244,301**	**-**

16. Investment in Subsidiaries

	Group	Group	Company	Company
In Thousands of Naira				
Wapic Life Assurance Limited (see note (a) below)	-	-	2,700,000	2,700,000
Wapic Insurance Ghana Limited (see note (b) below)	-	-	1,176,571	531,976
Balance, end of year	**-**	**-**	**3,876,571**	**3,231,976**

a. This represents 100% holding in the ordinary share capital of Wapic Life Assurance Limited, a wholly owned subsidiary incorporated and operating in Nigeria. There was no additional capital injected into the subsidiary during the year.

b. This represents 100% holding in the ordinary share capital of Wapic Insurance Ghana Limited; a wholly owned subsidiary incorporated and conducting general insurance business in Ghana. The Company injected additional capital of N644,595,000 into the subsidiary during the year.

c. The Group does not have significant restrictions on its ability to access or use its assets and settle its liabilities other than those resulting from the supervisory framework within which subsidiaries operate. The supervisory framework require the insurance subsidiaries to keep certain levels of regulatory capital and liquid assets.

d. The movement in investment in subsidiaries during the year was as follows:

	Group	Group	Company	Company
Balance, beginning of the year	-	-	3,231,976	2,705,576
Additions during the year	-	-	644,595	526,400
Balance, end of year	**-**	**-**	**3,876,571**	**3,231,976**

17. Intangible Assets - Computer Software

	Group	Company
In Thousands of Naira	N'000	N'000
Cost:		
31 December 2015		
Balance at 1 January 2015	165,822	129,002
Additions	1,712	1,712
Write-off from intangible asset	(1,025)	(1,025)
Exchange difference	(411)	-
Balance at 31 December 2015	**166,098**	**129,002**
31 December 2014		
Balance at 1 January 2014	157,158	121,262
Additions	9,293	7,740
Exchange difference	(629)	-
Balance at 31 December 2014	**165,822**	**129,002**
Amortization		
31 December 2015		
Balance at 1 January 2015	116,008	83,167
Charge for the year	15,536	15,105
Write-off from intangible asset	(430)	(427)
Exchange difference	(81)	-
Balance at 31 December 2015	**131,033**	**97,845**
31 December 2014		
Balance at 1 January 2014	86,946	61,136
Charge for the year	29,109	22,031
Exchange difference	(47)	-
Balance at 31 December 2014	**116,008**	**83,167**
Balance at 31 December 2015	35,065	31,844
Balance at 31 December 2014	49,814	45,835

The Group and Company's intangible assets relates only to computer software.

18. Property and Equipment

(a) Property and Equipment - Group

As at 31 December 2015

	Leasehold Land	Building	Motor Vehicles	Computer Equipment	Office Equipment	Work in Progress	Total
Cost							
Balance, beginning of year	188,763	-	670,841	120,691	240,811	898,417	2,119,523
Additions	-	-	132,942	40,887	5,546	861,732	1,041,107
Exchange difference	-	-	(4,199)	(2,262)	1,486	-	(7,947)
Disposals	-	-	82,499	(181)	(7,488)	-	(90,168)
Balance, end of year	188,763	-	717,085	159,135	237,383	1,760,149	3,062,515
Accumulated depreciation							
Balance, beginning of year	6,758	-	331,449	49,796	160,542	-	548,545
Exchange difference	-	-	(2,167)	(946)	(738)	-	(3,851)
Charge for the year	2,996	-	146,908	35,057	27,968	-	212,929
Disposals	-	-	(65,584)	(161)	(3,887)	-	(69,632)
Balance, end of year	9,754	-	410,606	83,746	183,885	-	687,991
Net book value							
Balance at 31 December 2015	179,009	-	306,479	75,389	53,498	1,760,149	2,374,524
Balance at 31 December 2014	182,005	-	339,392	70,895	80,269	898,417	1,570,978

i. The latest independent valuation of the Interest in leasehold land to ascertain the open market value of the leasehold land was carried by Jide Taiwo & Co, professional estate valuers, as at 31 December 2013. No valuation was carried out in the current financial year and it is the Group's policy to carry-out valuations of its leasehold land at least once within three financial year. The Group's assessment is that there has not been significant risk of impairment in the open market value of the land and it is currently carried at the valued amount of N185,000,000.00 (31 December 2014: N185,000,000.00) plus the additions less amortisation of the lease charge during the period.

ii. The carrying amount of the leasehold land would have been N17,512,000.00 (31 December 2014: N17,838,000.00) based on the cost model if it had not been restated at the revalued amount.

iii. There are no other leased assets included in the Group's property and equipment apart from leasehold land (31 December 2014: Nil)

iv. The Group had no capital commitments as at the Statement of Financial Position date (31 December 2014: Nil)

(b) Property and Equipment - Company

As at 31 December 2015

	Leasehold Land	Building	Motor Vehicles	Computer Equipment	Office Equipment	Work in Progress	Total
Cost							
Balance, beginning of year	188,763	-	554,770	94,210	155,820	898,417	1,891,980
Additions	-	-	82,373	34,232	3,225	861,732	981,562
Disposals	-	-	(48,255)	-	(1,895)	-	(50,150)
Balance, end of year	188,763	-	588,888	128,442	157,150	1,760,149	2,823,392
Accumulated depreciation							
Balance, beginning of year	6,758	-	262,227	36,482	106,439	-	411,906
Charge for the year	2,996	-	123,241	30,016	16,762	-	173,015
Disposals	-	-	(45,107)	-	(933)	-	(46,040)
Balance, end of year	9,754	-	340,361	66,498	122,268	-	538,881
Net book value							
Balance at 31 December 2015	179,009	-	248,527	61,944	34,882	1,760,149	2,284,511
Balance at 31 December 2014	182,005	-	292,543	57,728	49,381	898,417	1,480,074

i. The latest valuation of open market value of the Company's interest in leasehold land was independently valued by Jide Taiwo & Co, professional estate valuers, as at 31 December 2013. No valuation was carried out in the current financial year and it is the Company's policy to carry-out valuations of its leasehold land at least once within three financial year. The Company's assessment is that there has not been significant risk of impairment in the open market value of the land and it is currently carried at the valued amount of N185,000,000.00 (31 December 2014: N185,000,000.00) less amortisation of the lease charge during the period.

ii. The carrying amount of the Company's leasehold land would have been N17,512,000.00 (31 December 2014: N17,838,000.00) based on the cost model if it had not been restated at the revalued amount.

iii. There are no other leased assets included in the Company's property and equipment apart from leasehold land (31 December 2013: Nil)

iv. The Company had no capital commitments as at the Statement of Financial Position date (31 December 2013: Nil)

(a) Property and Equipment - Group

As at 31 December 2014

	Leasehold Land	Building	Motor Vehicles	Computer Equipment	Office Equipment	Work in Progress	Total
Cost							
Balance, beginning of year	277,473	147,060	661,922	65,131	245,490	89,414	1,486,490
Additions	3,371	-	121,829	59,484	18,399	809,003	1,012,086
Exchange difference	-	-	(9,211)	(3,924)	(2,400)	-	(15,535)
Disposals	(92,081)	(147,060)	(103,699)	-	(20,678)	-	(363,518)
Balance, end of year	188,763	-	670,841	120,691	240,811	898,417	2,119,523
Accumulated depreciation							
Balance, beginning of year	5,840	8,760	249,001	36,018	150,564	-	450,183
Exchange difference	-	-	(3,302)	(1,314)	(1,564)	-	(6,180)
Charge for the year	3,176	778	150,133	15,092	31,710	-	200,889
Disposals	(2,258)	(9,538)	(64,383)	-	(20,168)	-	(96,347)
Balance, end of year	6,758	-	331,449	49,796	160,542	-	548,545
Net book value							
Balance at 31 December 2014	182,005	-	339,392	70,895	80,269	898,417	1,570,978
Balance at 31 December 2013	271,633	138,300	412,921	29,113	94,926	89,414	1,036,307

i. The latest independently valuation of the Interest in leasehold land to ascertain the open market value of the leasehold land was carried by Jide Taiwo & Co, professional estate valuers, as at 31 December 2013. No valuation was carried out in the current financial year and it is the Group's policy to carry-out valuations of its leasehold land at least once within three financial year. The Group's assessment is that there has not been significant risk of impairment in the open market value of the land and it is currently carried at the valued amount of N271,633,000.00 (31 December 2013: N271,633,000.00) plus the additions less amortisation of the lease charge during the period.

The latest valuation of the building was equally determined by Bode Adedeji Partnership, professional estate valuers as at 31 December 2013. No valuation was carried out in the current financial year and in-line with the Group's policy, the Group's assumed that there has not been significant risk of impairment to the open market value of the building and it is currently carried at the valued amount of N138,300,000 (31 December 2013: N138,300,000.00) less the depreciation charge during the period. During the year, the Group disposed land and building total with the carrying amount of N251,146,000.00 (Leasehold land valued at N122,673,000.00 and building valued at N138,473,000.00). There were no other significant movement in the Group property and equipment.

ii. There are no other leased assets included in the Group's property and equipment apart from leasehold land (31 December 2013: Nil)

iii. The Group had no capital commitments as at the Statement of Financial Position date (31 December 2013: Nil

(b) Property and Equipment - Company

As at 31 December 2014

	Leasehold Land	Building	Motor Vehicles	Computer Equipment	Office Equipment	Work in Progress	Total
Cost							
Balance, beginning of year	188,763	-	529,683	40,312	166,051	89,414	1,014,223
Additions	-	-	118,270	53,898	8,491	809,003	989,662
Disposals	-	-	(93,183)	-	(18,722)	-	(111,905)
Balance, end of year	188,763	-	554,770	94,210	155,820	898,417	1,891,980
Accumulated depreciation							
Balance, beginning of year	3,763	-	190,718	25,564	106,036	-	326,081
Charge for the year	2,995	-	125,466	10,918	18,670	-	158,049
Disposals	-	-	(53,957)	-	(18,267)	-	(72,224)
Balance, end of year	6,758	-	262,227	36,482	106,439	-	411,906
Net book value							
Balance at 31 December 2015	182,005	-	292,543	57,728	49,381	898,417	1,480,074
Balance at 31 December 2014	185,000	-	338,965	14,748	60,015	89,414	688,142

i. The latest valuation of open market value of the Company's interest in leasehold land was independently valued by Jide Taiwo & Co, professional estate valuers, as at 31 December 2013. No valuation was carried out in the current financial year and it is the Company's policy to carry-out valuations of its leasehold land at least once within three financial year. The Company's assessment is that there has not been significant risk of impairment in the open market value of the land and it is currently carried at the valued amount of N185,000,000.00 (31 December 2013: N185,000,000.00) less amortisation of the lease charge during the period.

ii. There are no other leased assets included in the Company's property and equipment apart from leasehold land (31 December 2013: Nil)

iii. The Company had no capital commitments as at the Statement of Financial Position date (31 December 2013: Nil)

19. Statutory Deposit

This represents amounts deposited with the Central Bank of Nigeria (CBN) pursuant to Section 10(3) of the Insurance Act, 2003. The deposits are not available for use by the Group on a normal course of day to day business.

	Group	Group	Company	Company
In Thousands of Naira				
Balance, beginning of year	518,508	516,234	300,000	300,000
Exchange difference	(1,618)	(2,523)	-	-
Additions	4,657	4,797	-	-
Balance, end of year	**521,547**	**518,508**	**300,000**	**300,000**

20. Insurance Contract Liabilities

	Group	Group	Company	Company
In Thousands of Naira				
Outstanding claims (See note (a) below):				
Claims reported and loss adjustment expenses	510,440	571,296	319,344	328,482
Claims incurred but not reported	1,523,059	905,825	878,297	623,403
Total outstanding claims	**2,033,499**	**1,477,121**	**1,197,641**	**951,885**
Claims payable	132,105	48,423	132,105	48,423
Unearned premiums (See note (b) below)	2,368,056	1,431,287	1,870,645	1,201,005
Life insurance contract liabilities (See note (d) below)	142,951	113,966	-	-
Total insurance contract liabilities	**4,676,611**	**3,070,797**	**3,200,391**	**2,201,313**

(a) Outstanding claims

	Group	Group	Company	Company
In Thousands of Naira				
Group life	579,645	357,995	-	-
Fire	73,500	46,566	49,414	31,571
General accident	490,105	453,239	482,621	339,203
Motor	278,298	71,909	76,734	56,945
Marine	49,295	45,512	47,919	23,655
Oil and Energy	464,453	429,855	464,453	450,722
Engineering	69,562	44,766	47,859	36,965
Aviation	14,141	13,633	14,141	2,995
Bond	14,500	13,636	14,500	9,829
Total outstanding claims	**2,033,499**	**1,477,121**	**1,197,641**	**951,885**

b) Unearned premiums

	Group	Group	Company	Company
In Thousands of Naira				
Group life	217,057	64,972	-	-
Fire	196,335	117,602	143,119	96,927
General accident	280,028	188,496	258,591	175,002
Motor	499,466	342,111	301,976	227,262
Marine	141,16	93,524	139,934	89,613
Engineering	857,376	221,281	857,376	208,900
Oil and Energy	162,097	335,345	155,568	335,345
Aviation	14,081	67,956	14,082	67,956
Total unearned premium	**2,368,056**	**1,431,287**	**1,870,645**	**1,201,005**

(c) The movement in unearned premium account during the year was as follows:

	Group	Group	Company	Company
Balance, beginning of year	1,431,287	931,483	1,201,005	692,652
Exchange difference	(15,166)	(37,179)	-	-
Increase in unearned premium	951,935	536,983	669,640	508,353
Balance, end of year	**2,368,056**	**1,431,287**	**1,870,645**	**1,201,005**

(d) Life insurance contract liabilities

	Group	Group	Company	Company
Balance, beginning of year	113,966	227,787	-	-
Addition/(release) during the year	28,985	(113,821)	-	-
Balance, end of year	**142,951**	**113,966**	**-**	**-**

21. Investment Contract Liabilities

(a) At amortised cost

	Group	Group	Company	Company
Group deposit administration -Interest linked	63,481	63,481	-	-
Individual deposit administration -Interest linked	1,132,699	1,112,785	-	-
Balance, end of year	1,196,180	1,176,266	-	-

(b) The movement in deposit administration funds during the year was as follows:

	Group	Group	Company	Company
Balance, beginning of year	1,176,266	1,455,087	-	-
Additions	75,992	81,685	-	-
Withdrawals	(147,695)	(261,946)	-	-
Guaranteed interest on deposit administration	91,617	72,343	-	-
Reversal of surplus reserves	-	(170,903)	-	-
Balance, end of year	1,196,180	1,176,266	-	-

22. Trade Payables

	Group	Group	Company	Company
Due to reinsurance and coinsurance	210,576	417,655	104,066	328,885
Balance, end of year	210,576	417,655	104,066	328,885

23. Other Payable

	Group	Group	Company	Company
Accrued expenses (see (a) below)	210,086	200,435	124,446	122,784
Accounts payable (see (b) below)	2,153,275	631,196	1,983,280	468,657
Due to related parties (see note (c) below)	-	-	-	86,748
Due to contractors	44,818	44,318	44,818	44,318
Deferred commission income	88,737	69,464	75,540	61,080
Customers deposits (see (d) below)	-	1,947,621	-	1,947,621
Balance, end of year	2,496,916	2,893,034	2,228,084	2,731,208

(a) Breakdown of accrued expenses is analysed below:

	Group	Group	Company	Company
NAICOM annual levy	57,999	44,552	47,000	41,000
Audit fee and related expenses	23,858	33,272	18,990	31,970
Staff expense payable	13,577	19,099	12,568	11,066
NSITF remittance	777	744	744	744
Directors' allowances	2,129	9,846	424	4,563
Accrued training cost	11,244	9,081	6,039	9,081
Accrued advert and publicity expense	28,134	27,877	11,308	8,509
Consultancy and professional fees	71,560	48,172	26,565	8,057
Office rent	809	5,781	809	5,781
NSE annual fee	-	2,012	-	2,012
Balance, end of year	210,086	200,435	124,446	122,784

(b) Breakdown of accounts payable is analysed below:

	Group	Group	Company	Company
Other taxes	157,575	217,468	78,840	145,985
Pension payable	2,760	1,161	664	680
Fixed asset expense payable	262,312	63,704	238,262	29,080
Investment property development payable	72,170	24,319	72,170	24,319
Unallocated premiums	271,194	276,157	222,016	229,519
Provision for legal expenses	1,210	1,210	-	-
Share acquisition cost payable	1,365,425		1,365,425	
Others	20,630	47,177	5,903	39,075
Balance, end of year	2,153,275	631,196	1,983,280	468,657

Accounts payable has a balance of N1.365 billion due to Access Bank Plc. with respect to outstanding purchase consideration on the purchase contract of Access Bank holding in Coronation Merchant Bank Limited by the Company.

(c)This relates to shared premiums of life and general business recoverable by Wapic Life from the Company for premium on Life businesses received on-behalf of Wapic Life Assurance by the Company. Breakdown due to related parties is analysed below:

	Company	Company
Shared premium reciepts for Life business due to Wapic Life Assurance	-	86,748

(d) Customer deposits represents deposit payment for the purchase of properties currently shown as investment property under construction (see note 14). The properties have been transferred upon full payment for the properties and the gain/loss recognised on completion of the transfer.

24. Deferred Taxation

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis..

	Group	Group	Company	Company
Deferred tax assets	(363,353)	(664,759)	(131,679)	(479,583)
Net deferred tax	(363,353)	(664,759)	(131,679)	(479,583)

a)Net deferred tax asset is attributable to the following:

	Group	Group	Company	Company
Property and equipment	(109,042)	(20,236)	(80,286)	(6,909)
Trade receivable	(37,539)	-	-	-
Investment property	-	(1,170)	-	(1,337)
Tax losses	(216,772)	(643,353)	(51,393)	(471,337)
Total	(363,353)	(664,759)	(131,679)	(479,583)

b)The movement in deferred tax account during the year was as follows:

	Group	Group	Company	Company
Balance, beginning of year	664,759	330,580	479,583	133,073
Exchange difference	(1,796)	11,717	-	-
Movement during the year	(299,610)	322,462	(347,904)	346,510
Movement affecting items in OCI	-	-	-	-
Balance, end of year	363,353	664,759	131,679	479,583

25. Current Income Tax Liabilities

(a) The movement in this account during the year was as follows:

	Group	Group	Company	Company
Balance, beginning of year	300,498	351,171	162,681	240,603
Exchange difference	(2,852)	(1,410)	-	-
Charge for the year (see note (b) below):	70,667	144,201	64,238	76,897
Payments during the year	(216,284)	(193,464)	(169,283)	(154,819)
Balance, end of year	152,029	300,498	57,636	162,681

b) The tax change for the year comprises

	Group	Group	Company	Company
Corporate income tax charge	53,185	130,873	47,156	76,897
Education levy	-	2,485	-	-
Capital gains tax	-	-	-	-
Information technology development levy	10,879	1,398	10,479	-
National fiscal stabilisation levy	-	9,445	-	-
Prior year under provision	6,603	-	6,603	-
	70,667	144,201	64,238	76,897
Deferred tax charge/(credit)	299,610	(322,462)	347,904	(346,510)
Total tax charge for the year	370,277	(178,261)	412,142	(269,613)

(c) Reconciliation of effective tax rate

	Group		Group		Company		Company	
Profit before Tax		1,667,663		58,572		1,036,327		(274,827)
Income tax using the domestic corporation tax rate	30%	500,299	30%	17,572	30%	310,898	30%	(82,449)
Effect of tax rate in foreign jurisdictions	(1)%	(21,038)	48%	28,249	0%	-	0%	-
Non deductible expense	24%	400,300	256%	149,889	35%	366,746	(41)%	111,693
Tax exempt income	(144)%	(2,401,349)	(836)%	(489,924)	(177)%	(1,830,394)	137%	(375,754)
Corporate income tax charge	3%	53,185	191%	112,070	5%	47,156	(28)%	76,897
Temporary difference	5%	77,591	0%	-	6%	59,417	0%	-
Prior year over provision	(19)%	(314,663)	0%	-	(39)%	(407,321)	0%	-
Deferred tax	0%	-	0%	-	0%	-	0%	-
Information technology tax levy	1%	10,879	2%	1,398	1%	10,479	0%	-
Tertiary education tax	0%	-	4%	2,485	0%	-	0%	-
Exempted permanent differences	124%	2,065,072	0%	-	179%	1,855,161	0%	-
	22%	370,277	(304)%	(178,261)	40%	412,142	98%	(269,613)

26. Share Capital

	Group	Group	Company	Company
In Thousands of Naira				
Authorized:				
17,000,000,000 units ordinary shares of 50k each	8,500,000	8,500,000	8,500,000	8,500,000
Issued and fully paid:				
13,382,738,248 units of ordinary shares of 50k each (2014: 13,382,738,248 ordinary shares of 50k each)	6,691,369	6,691,369	6,691,369	6,691,369

27. Share Premium

Share premium comprises additional paid-in capital in excess of the par value. This reserve is not ordinarily available for distribution.

28. Contigency Reserves

(a) In accordance with Section 21 (1) of Insurance Act 2003, the contingency reserve is credited with the greater of 3% of total premiums, or 20% of the profits. This shall accumulate until the reserve reaches the amount greater than the minimum paid-up capital or 50 percent of net premium.

b) The movement in this account during the year is as follows:

	Group	Group	Company	Company
In Thousands of Naira				
Balance, beginning of year	1,436,917	1,289,685	1,232,784	1,112,313
Transfer from profit and loss	188,594	147,232	156,378	120,471
Balance, end of year	**1,625,511**	**1,436,917**	**1,389,162**	**1,232,784**

29. Other Reserves

a) Revaluation reserve

	Group	Group	Company	Company
In Thousands of Naira				
Balance, beginning of year	306,150	341,622	306,150	306,150
Transfer to retained earnings (See note 29 (i))	-	(35,472)	-	-
Balance, end of year	**306,150**	**306,150**	**306,150**	**306,150**

(i) This represent the reclassification of revaluation surplus on disposed item of property and equipment during the year from revalaution reserve to retained earnings reserve:Nil (2014: N35.472m).

	Group	Group	Company	Company
In Thousands of Naira				
b) Foreign currency translation reserve				
Balance, beginning of year	(134,647)	(70,228)	-	-
Changes during the year	(209,654)	(64,419)	-	-
Balance, end of year	**(344,301)**	**(134,647)**	**-**	**-**
c) Fair value reserve				
Balance, beginning of year	173,822	325,143	173,822	325,143
Changes during the year (see note 9 (a)(i))	(116,437)	(151,321)	116,437)	(151,321)
Net reclassification adjustments for realised net gains/(loses)	(325,143)	-	(325,143)	-
Balance, end of year	**(267,758)**	**173,822**	**(267,758)**	**173,822**
d) Merger reserves				
Balance, beginning of year	(19,367)	(19,367)	(19,367)	(19,367)
Balance, end of year	**(19 367)**	**(19,367)**	**(19,367)**	**(19,367)**
e) Share of other comprehensive income of associates				
Balance, beginning of year	-	-	-	-
Changes during the year	115,525	-	-	-
Balance, end of year	**115,525**	**-**	**-**	**-**
Total	**(209,751)**	**325,958**	**19,025**	**460,605**

30. Retained Earnings

The movement in this account during the year was as follows;

	Group	Group	Company	Company
In Thousands of Naira				
At beginning of year	(448,606)	(573,679)	(188,664)	(62,979)
Transfer from profit or loss	1,297,386	236,833	624,185	(5,214)
Transfer to contingency reserve (see note 28(b) above)	(188,594)	(147,232)	(156,378)	(120,471)
Transfer from revaluation reserve (see note 29(a) above)	-	35,472	-	-
Balance, end of year	**660,186**	**(448,606)**	**279,143**	**(188,664)**

31. Net Premium Income

	Group	Group	Company	Company
In Thousands of Naira				
Short-term insurance contracts:				
Gross premium	7,000,707	5,064,912	5,212,600	4,015,687
Movement in unearned premium	(951,935)	(499,804)	(669,640)	(508,353)
Long-term insurance contracts:				
Gross premium	100,006	139,048	-	-
Premium revenue arising from insurance contracts issued	**6,148,778**	**4,704,156**	**4,542,960**	**3,507,334**
Short-term reinsurance contract:				
Reinsurance cost	(2,195,962)	(1,860,904)	(1,827,543)	(1,638,433)
Long-term reinsurance contract:				
Reinsurance cost	(12,332)	(6,270)	-	-
Reinsurance expenses	**(2,208,294)**	**(1,867,174)**	**(1,827,543)**	**(1,638,433)**
Net premium income	**3,940,484**	**2,836,982**	**2,715,417**	**1,868,901**

32. Fee and Commission Income

	Group	Group	Company	Company
In Thousands of Naira				
Policy administration				
Insurance contracts	429,822	323,443	351,847	286,777
Total	**429,822**	**323,443**	**351,847**	**286,777**

33. Claims Expenses

	Group	Group	Company	Company
Insurance claims and loss adjustment expenses				
– Claims paid	1,597,993	1,131,737	787,480	657,907
– Changes in outstanding claims	581,002	(42,483)	245,757	(151,546)
Total claims and loss adjustment expense	**2,178,995**	**1,089,254**	**1,033,237**	**506,361**
Recoverable from reinsurance	**(544,308)**	**(91,684)**	**(170,417)**	**(28,383)**
Net claims and loss adjustment expense	**1,634,687**	**997,570**	**862,820**	**477,978**

34. Underwriting Expenses

	Group	Group	Company	Company
In Thousands of Naira				
Commission paid	1,158,317	755,732	914,306	713,956
Other acquisition cost	229,664	277,784	221,352	191,276
Changes in deferred acquisition cost	(159,040)	(72,678)	(125,391)	(65,973)
Total	**1,228,941**	**960,838**	**1,010,267**	**839,259**

35. Net Investment Income

a) Investment income

	Group	Group	Company	Company
In Thousands of Naira				
Dividend income	107,526	18,175	107,526	18,108
Interest income on held-to-maturity financial assets	1,166,154	888,883	585,976	566,810
Interest income on cash and cash equivalents	200,478	469,851	175,293	311,053
Interest income on statutory deposits	67,101	53,517	42,287	32,143
(Loss)/gain from sale of investment property	(207,523)	9,413	(207,523)	12,308
Rental income	42,578	15,362	42,578	15,362
Total	**1,376,314**	**1,455,201**	**746,137**	**955,784**

b) Profit on investment contracts

	Group	Group	Company	Company
In Thousands of Naira				
Interest income	100,742	84,025	-	-
Guaranteed interest	(91,617)	(72,343)	-	-
Other expenses	(2,946)	(4,823)	-	-
Total	**6,179**	**6,859**	**-**	**-**

36. Net Realised Gain/(Loss) on Financial Assets

	Group	Group	Company	Company
In Thousands of Naira				
Gain on sale of available for sale financial assets:				
Equity securities (See note 36(a) below)				
Net fair value gain on acquisition of associate	799,637	-	799,637	-
Net reclassification adjustments for realised net gains	325,143	-	325,143	-
Loss on sale of financial assets - trading assets:				
Equity securities	(1)	(167)	-	-
Total	**1,124,779**	**(167)**	**1,124,780**	**-**

a) This represent the gains arising upon reclassification of the investment in Coronation Merchant Bank Limited (CMBL) from Available for sale to investment in Associate (Note 15(c)).

37. Net Fair Value Gain/(Loss) on Assets

(a) Fair value gain/(loss) through profit or loss

	Group	Group	Company	Company
In Thousands of Naira				
Fair value loss on equity securities	(839)	(2,992)	(781)	(3,060)
Fair value loss on investment property (see note 14(e))	(2,759)	(11,705)	(2,759)	(13,371)
Total	**(3,598)**	**(14,697)**	**(3,540)**	**(16,431)**

Net fair value gains on assets relate to financial assets categorised upon initial recognition at fair value through profit or loss and other assets recognised at fair value through profit or loss such as held for trading financial assets, financial assets through profit or loss and investment properties.

b) Fair value gain/(loss) through other comprehensive income

	Group	Group	Company	Company
In Thousands of Naira				
Fair value gain on equity securities	(116,437)	151,321	(116,437)	151,231
Total	**(116,437)**	**151,321**	**(116,437)**	**151,231**

38 . Other Operating Income

	Group	Group	Company	Company
In Thousands of Naira				
Profit from sale of property and equipment	4,458	-	2,709	10,292
Interest income on staff loans	6,343	1,546	6,236	1,326
Other income received (see note 38(a) below)	73,336	196,968	63,876	171,613
Recoveries from write-off (see note 38(b) below)	305,967		266,837	
Reversal of surplus reserves (see note 21(b))		170,903		
Net foreign exchange gain	-	472	-	132
Total	**390,104**	**369,889**	**339,658**	**183,363**

a) Included in other income is N42.8 million (Group) and N38.1 million (Company) earned from withholding tax credit notes claimed during the year from prior years fixed deposit investment contracts and recognised to other income. Also included in other income for the Company is N24.5 million of technical and management fees from the subsidiary for shared support service, this amount has been eliminated in the Group result.

b) This represents amounts recovered from outstanding premiums and other assets previously written-off impairment from trade receivables and other receivables.

39. Employee Benefit Expense

	Group	Group	Company	Company
In Thousands of Naira				
Staff cost	783,628	853,716	522,229	563,990
Pension cost	31,992	23,776	27,337	20,133
Other staff cost	108,652	35,202	97,144	33,308
Total	**924,272**	**912,694**	**646,710**	**617,431**

40. Other Operating Expenses

	Group	Group	Company	Company
In Thousands of Naira				
Depreciation (see note 18)	212,928	200,889	173,015	158,049
Amortization of intangible assets (see note 17)	15,536	29,109	15,105	22,031
Directors emoluments	307,391	295,491	222,884	295,491
Auditors remuneration	49,506	53,190	30,300	32,750
Legal expenses	43,716	16,910	11,064	13,271
Professional fee on outsourced service (tax, actuarial,rating)	146,482	40,089	109,260	16,853
Professional fees on management consultancy	287,083	21,334	182,083	21,334
Professional fees on consumer research	65,608	-	-	-
Professional fees on HR optimisation	49,404	-	24,077	-
Professional fees on systems and process optimisation	28,178	-	28,178	-
Corporate strategy	17,623	101,285	17,623	101,285
Corporate branding	243,654	128,080	178,680	86,544
Board expenses	48,615	35,127	48,615	35,127
Staff training	49,318	42,091	33,754	28,923
Rent and rate	67,415	146,608	22,213	89,567
Insurance cost	26,489	21,475	10,924	12,732
Printing and stationaries	91,932	18,558	76,366	14,187
Newspapers and periodicals	500	1,214	500	1,214
Transport and tour	38,103	43,862	22,537	39,490
Outsourced support staff cost	215,187	186,957	160,706	120,754
Business promotion and marketing	221,273	111,643	182,358	76,670
Subscription	5,514	11,269	5,514	11,269
Recruitment expense	14,748	2,773	14,748	2,773
Write off of assets	4,447	76,442	-	-
Repairs and maintenance	134,721	118,621	97,190	86,781
Annual general meeting expense	46,000	34,239	46,000	34,239
Registrar maintenance expense	22,000	52,388	22,000	52,388
Statutory annual dues and levies	70,749	63,459	44,246	57,207
Audit and performance review expense	9,945	16,090	9,945	16,090
Fines and penalty	250	38,095	250	38,095
Bank charges	10,384	11,969	7,739	9,704
Loss on disposal of property and equipment	-	51,483	-	-
Net foreign exchange loss	11,744	-	10,364	-
Total	**2,556,444**	**1,970,738**	**1,808,238**	**1,474,819**

41. Earning Per Share

Basic earnings per share is calculated by dividing the profit/(loss) attributable to equity holders of the group by the weighted average number of ordinary shares in issue during the year, excluding own ordinary shares purchased by the Company. Diluted earnings per share is computed by dividing the profit/(loss) attributable to equity holders of the Company by the weighted average number of ordinary shares outstanding after adjusting the effects of all dilutive ordinary shares.

	Group	Group	Company	Company
	2015	2014	2015	2014
	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000
In Thousands of Naira				
Profit/(loss) attributable to the Company's equity holders	1,297,386	236,833	624,185	(5,214)
Weighted average number of ordinary shares in issue (thousands)				
Issued ordinary shares at 1 January	13,382,738	9,513,316	13,382,738	9,513,316
Effect of issue of shares during business integration	-	239,695	-	239,695
Effect of rights issue during the year	-	3,629,727	-	3,629,727
Weighted average number of ordinary shares in issue (thousands)	**13,382,738**	**13,382,738**	**13,382,738**	**13,382,738**
Basic and diluted earnings/(loss) per share (Kobo per share)	**10**	**2**	**5**	**(0)**

The calculation of basic earnings per share as at 31 December 2015 was based on the profit attributable to ordinary shareholders of N1.297 billion and N624.185 million for the Group and Company respectively and weghted average number of ordinary shares outstanding of 13,382,738,000. The Group and Company had no dilutive instruments as at 31 December 2015 (2014: nil). Hence the basic and diluted earnings per share are equal.

42. Staff Information

(a) Staff analysis:

i. Employees earning more than 600,000 per annum, other than the executive directors, whose duties were wholly or mainly discharged in Nigeria, received emoluments (excluding pension contribution and other allowances) in the following ranges:

	Group	Group	Company	Company
N600,001 – N700,000	-	4	-	-
N700,001 – N800,000	-	38	-	-
N800,001 – N900,000	-	6	-	-
N900,001 – N1,000,000	-	2	-	-
N1,000,001 – N2,000,000	89	42	32	28
N2,000,001 – N3,000,000	43	39	30	39
N3,000,000 – N4,000,000	-	2	-	-
N4,000,001 – N5,000,000	28	17	20	13
N5,000,001 – N10,000,000	35	28	24	25
Above N10,000,000	15	10	11	9
Total	210	188	117	114

ii. The average number of full time persons employed by the Company during the year was as follows:

	Group	Group	Company	Company
Management staff	13	17	10	9
Non management staff	197	171	107	105
Total	210	188	117	114

(b) Directors' remuneration

i. Remuneration paid to the directors of the Company (excluding pension contributions) was as follows:

	Group	Group	Company	Company
Directors' fees and sitting allowances	92,242	92,242	92,242	92,242
Other emoluments	130,642	201,485	130,642	201,485
Total	222,884	293,727	222,884	293,727

ii. The directors' remuneration shown above (excluding pension contributions and other allowances) includes:

	Group	Group	Company	Company
Chairman	14,350	14,350	14,350	14,350
	75,286	95,132	75,286	95,132
Highest paid director				

iii. The emoluments of all other directors fell within the following range::

	Group	Group	Company	Company
N200,001 - N500,000	-0	-0	-0	-0
N500,001 - N5,000,000	1	2	1	2
N5,000,001 - N10,000,000	-0	4	-0	4
N10,000,001 - N20,000,000	8	4	8	4
Total	9	10	9	10

43. Contravention of Laws and Regulations

The Company contravened certain laws and regulations during the year and paid a total penalty of N0.25million (31 December 2014 : N38.10 million). This is analyzed below:

	Company
Penalties	
Violation of provisions of section 49(1)b of the NAICOM circular on Oil and Gas placement	250

	Company
Penalties	
Violation of Securities and Exchange Commission (SEC) Regulations (see note (i) below)	33,945
Late filling of 2013 Audited Financial Statement to the Nigerian Stock Exchange (NSE)	700
Contravention of Insurance Act and NAICOM Operational guidelines (see note (ii) below)	1,450
Late submission of IFRS readiness assessment documents to Financial Reporting Council of Nigeria	2,000

i. The penalty paid related to sanctions for contravention of SEC rules 39(2), 41(1) and 42(1) on filing of annual reports, half yearly and quarterly returns between the periods of June 2008 and December 2013.

	Company
ii. Details of penalties on the contraventions of Insurance Act and NAICOM operational guidelines include:	
Violation of S.36 of the Insurance Act: Use of unregistered brokers	
Contravention of operational guidelines: Non-submission of personnel returns for Q4, 2012 and Q1, 2013	
Contravention of operational guidelines: Placement of funds above 20% with one financial institution	500
Contravention of operational guidelines: Restatement of 2013 annual accounts	100
Contravention of operational guidelines: Restatement of 2013 solvency margin certificate	100

44. Litigations and Claims

The Group in the ordinary course of business is presently involved in 15 (2014: 10) litigation cases and the Company is involved in 15 (2014: 10) litigation cases.

Based on the advice of the solicitors, the Directors of the Company are of the opinion that none of the cases is likely to have material adverse effect on the Company and they are not aware of any other pending and or threatened claims or litigation which may be material to the financial statements.

45. Events after the End of the Reporting Period

No significant event that requires special disclosure occurred between the date of authorisation of the financial statements and the date when the financial statements were issued.

46. Dividend

A dividend in respect of the year ended 31 December 2015 of 3 kobo per share amounting to a total dividend of N402 million is to be proposed by the directors at the annual general meeting. The dividend has not been included as a liability in these financial statements.

47. Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current period..

48. Related Parties

a. Parent

Wapic Insurance Plc is the parent Company of the Wapic Group.

b. Subsidiaries

The Company has two wholly owned subsidiaries as at 31 December 2015. These are Wapic Life Assurance Limited, domiciled in Nigerian and Wapic Insurance (Ghana) Limited incorporated in Ghana. Transactions between Wapic Insurance Plc and the subsidiaries also meet the definition of related party transactions. Where these are eliminated on consolidation, they are not disclosed in the consolidated financial statements.

c. Associate

The Group's key management personnel and persons connected with them, are also considered to be related parties for disclosure purposes. The definition of key management includes close members of family of key management personnel and any entity over which key management personnel exercise control. The key management personnel have been identified as the executive and non-executive directors of the Group. Close members of family are those family members who may be expected to influence, or be influenced by that individual in their dealings with Wapic Insurance Plc.

d. Transactions with key management personnel

The Group's key management personnel and persons connected with them, are also considered to be related parties for disclosure purposes. Key management personnel is defined as members of the board of directors of the Company, including their close members of family and any entity over which they exercise control. Close members of family are those who may be expected to influence, or be influenced by that individual in dealings with Wapic Plc. and its subsidiaries.

e. Key management personnel compensation

The compensation of key management personnel comprised the following:

	Group	Group	Company	Company
In Thousands of Naira				
Short term employees benefits	307,391	388,486	222,884	355,226
Total	**307,391**	**388,486**	**222,884**	**355,226**

f. Key management personnel and diretor transactions

Key management personnel engaged in the following transactions with the Company during the year:

		Transaction values for the year ended	Transaction values for the year ended	Balance outstanding as at	Balance outstanding as at
(i) Income received/receivable from key management personnel:					
Directors	**Transactions**				
Mr. Bababode Osunkoya	Insurance Premium Income	1,129	-	-	-
Mrs. Ifeyinwa Osime	Insurance Premium Income	-	-	-	-
Mr. Barnabas Olise	Insurance Premium Income	10	-	-	-
Mr. Adamu Mahmoud Atta	Insurance Premium Income	630	-	-	-
Ms. Chizoba Ufoeze	Insurance Premium Income	600	-	-	-
Mr. Femi Obaleke	Insurance Premium Income	5	-	-	-
Mr. Bode Ojeniyi	Insurance Premium Income	-	-	-	-
Mrs. Adeyinka Adekoya		-	-		
Mr. Aigboje Aig-Imoukhuede		833	1,050	-	-
Total		3,207	1,050	-	-

		Transaction values for the year ended	Transaction values for the year ended	Balance outstanding as at	Balance outstanding as at
(ii) Loans and advances to key management personnel:					
Mr. Bababode Osunkoya	Loans and advances	4, 236	8, 403	-	-
Total		4, 236	8, 403	-	-

g) Other related party transactions

Transactions with key management personnel's related persons and entities as at end of year:

			Transaction values for the year ended	Transaction values for the year ended	Balance outstanding as at	Balance outstanding as at
			31-Dec	31-Dec	31-Dec	31-Dec
Entities	**Relationship**	**Transactions**	2015	2014	2015	2014
(i) Income received/receivable related entities:						
Coronation Merchant Bank	Associate company	Insurance premium	3,481	5,264	-	-
Limited Petralon Energy	Common director	Insurance premium	11,240	-	-	-
Cornation Capital Limited	Common director	Insurance premium	2,916	-	--	-
Coronation Merchant Bank Limited	Associate company	Interest income	19,847	-	-	-
Total			**37,483**	**5,264**	**-**	**--**
(ii) Expense paid/payable to related entities:						
Cornation Capital Limited	Common director	Consultancy fee	105,000	-	-	-
Total			**105,000**	**-**	**-**	**-**
(iii) Cash and cash equivalents						
Coronation Merchant Bank Limited	Common director	Money market placement	502,012	-	-	-
Total			**502,012**			

49. Hypothecation

The Group is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Group's assets and liabilities are allocated as follows:

Group- 31 December 2015	Insurance Contract		Investment Contract		Shareholders Funds		Total
In thousands of Naira							
Assets							
Cash and cash equivalents	3,781,456	965,156	-	1,233,623	165,218	908,268	7,053,721
§	-	-	-	-	3,065,522	1,247,299	4,312,821
Trade receivables	-	-	-	-	534,724	17,355	552,079
Reinsurance assets	-	-	-	-	838,207	84,376	922,583
Deferred acquisition cost	-	-	-	-	374,191	40,354	414,545
Other receivables and prepayments	-	-	-	-	1,188,688	36,433	1,225,121
Investment properties	-	-	-	-	639,950	35,000	674,950
Investment in associates	-	-	-	-	5,244,301	-	5,244,301
Investment in subsidiaries	-	-		-	-	-	-
Intangible assets	-	-	-	-	34,971	94	35,065
Property, plant and equipment	-	-	-	-	2,340,070	34,454	2,374,524
Deferred tax asset			-	-	147,801	215,552	363,353
Statutory deposit			-	-	321,547	200,000	521,547
Total assets	3,781,456	965,156		1,233,623	14,895,190	2,819,185	**23,694,610**
Liabilities							
Insurance contract liabilities	3,736,958	939,653	-	-	-	-	4,676,611
Investment contract liabilities	-	-	-	1,196,180	-	-	1,196,180
Trade payables	-	-	-	-	185,402	25,174	210,576
Provisions and other payables	-	-	-	-	2,287,892	209,024	2,496,916
Current income tax liabilities	-	-	-	-	57,636	94,393	152,029
Deferred tax income liabilities	-	-	-	-	-	-	-
Total Liabilites	3,736,958	939,653	-	1,196,180	2,530,930	328,591	8,732,312
Gap	44,498	25,503	-	37,443	12,364,259	2,490,594	**14,962,298**

49. Hypothecation (Continued)

The Group is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that the in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Group's assets and liabilities are allocated as follows:

Group- 31 December 2014	Insurance Contract		Investment Contract		Shareholders Funds		Total
In thousands of Naira							
Assets							
Cash and cash equivalents	2,563,240	551,506	-	1,213,079	641,095	204,324	5,173,243
Financial assets	-	-	-	-	6,883,183	1,903,313	8,786,496
Trade receivables	-	-	-	-	-	2,699	2,699
Reinsurance assets	-	-	-	-	645,924	22,004	667,928
Deferred acquisition cost	-	-	-	-	246,803	6,705	253,508
Other receivables and prepayments	-	-	-	-	199,400	115,224	314,624
Investment properties	-	-	-	-	4,021,314	35,000	4,056,314
Investment in associates	-	-	-	-	-	-	-
Investment in subsidiaries	-	-		-	-	-	-
Intangible assets	-	-	-	-	49,694	120	49,814
Property, plant and equipment	-	-	-	-	1,529,011	41,967	1,570,978
Deferred tax asset	-	-	-	-	500,935	163,824	664,759
Statutory deposit	-	-	-	-	318,508	200,000	518,508
Total assets	2,563,240	551,506	-	1,213,079	15,035,867	2,695,180	**22,058,871**
Liabilities							
Insurance contract liabilities	2,533,864	536,933	-	-	-	-	3,070,797
Investment contract liabilities	-	-	-	1,176,266	-	-	1,176,266
Trade payables	-	-	-	-	398,059	19,596	417,655
Provisions and other payables	-	-	-	-	2,757,319	135,715	2,893,034
Current income tax liabilities	-	-	-	-	198,514	101,984	300,498
Deferred tax income liabilities	-	-	-	-	-	-	-
Total Liabilites	2,533,864	536,933	-	1,176,266	3,353,892	257,295	7,858,250
Gap	29,376	14,573	-	36,813	11,681,975	2,437,885	**14,200,621**

49. Hypothecation (Continued)

The Group is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that the in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Group's assets and liabilities are allocated as follows:

Company- 31 December 2015	Insurance Contract	Shareholders Funds	Total
Company- 31 December 2014			
Assets			
Cash and cash equivalents	3,249,094	71,141	3,320,235
Financial assets	-	2,330,981	2,330,981
Trade receivables	-	534,723	534,723
Reinsurance assets	-	724,547	724,547
Deferred acquisition cost	-	339,529	339,529
Other receivables and prepayments	-	1,284,950	1,284,950
Investment properties	-	639,950	639,950
Investment in associates	-	4,364,339	4,364,339
Investment in subsidiaries	-	3,876,571	3,876,571
Intangible assets	-	31,844	31,844
Property, plant and equipment	-	2,284,511	2,284,511
Deferred tax asset	-	131,679	131,679
Statutory deposit	-	300,000	300,000
Total assets	3,249,094	16,914,765	**20,163,859**
Liabilities			
Life insurance contract liabilities	3,200,391	-	3,200,391
Investment contract liabilities	-	-	-
Trade payables	-	104,066	104,066
Provisions and other payables	-	2,228,084	2,228,084
Current income tax liabilities	-	57,636	57,636
Deferred tax liabilities	-	-	-
total liabilities	3,200,391	2,389,786	5,590,177
Gap	48,703	14,524,979	**14,573,682**

49. Hypothecation (Continued)

The Group is exposed to a range of financial risks through its financial assets, financial liabilities, reinsurance assets and insurance liabilities. In particular, the key financial risk is that the in the long- term its investment proceeds will not be sufficient to fund the obligations arising from its insurance and investment contracts. In response to the risk, the Group's assets and liabilities are allocated as follows:

Company- 31 December 2014	Insurance Contract	Shareholders Funds	Total
In thousands of Naira			
Assets			
Cash and cash equivalents	2,234,812	955,441	3,190,253
Financial assets	-	6,030,939	6,030,939
Reinsurance assets	-	618,021	618,021
Deferred acquisition cost	-	214,138	214,138
Other receivables and prepayments	-	203,031	203,031
Investment properties	-	4,021,314	4,021,314
Investment in subsidiaries	-	3,231,976	3,231,976
Intangible assets	-	45,835	45,835
Property, plant and equipment	-	1,480,074	1,480,074
Deferred tax asset	-	479,583	479,583
Statutory deposit	-	300,000	300,000
Total assets	2,234,812	17,580,352	19,815,164
Liabilities			
Insurance contract liabilities	2,201,313	-	2,201,313
Trade payables	-	328,885	328,885
Provisions and other payables	-	2,731,208	2,731,208
Current income tax liabilities	-	162,681	162,681
Total liabilities	2,201,313	3,222,774	5,424,087
Gap	33,499	14,357,578	14,391,077

Value Added Statement

	Group		Group		Company		Company	
Net premium income - Nigeria	3,620,492		2,383,683		2,715,417		1,868,901	
- Foreign	319,992		453,299		-		-	
Investment Income - Nigeria	3,070,850		1,272,035		1,867,377		939,353	
- Foreign	197,261		175,161		-		-	
Other income - Nigeria	352,182		344,893		339,658		183,363	
- Foreign	37,922		24,996		-		-	
Claims incurred, net commissions and operating expenses								
- Nigeria	(4,214,877)		(3,160,057)		(3,051,295)		(2,468,934)	
- Foreign	(563,422)		(292,746)		-		-	
Value added	2,820,400	100	1,201,264	100	1,871,157	100	522,683	-
Applied to pay								
Employee benefit expense	924,272	33	912,694	76	646,710	35	617,431	118
Government taxes	370,277	13	(178,261)	(15)	412,142	22	(269,613)	(52)
Retained in the business:								
Depreciation of property and equipment	212,928	8	200,889	17	173,015	9	158,049	30
Amortisation of intangible assets	15,536	1	29,109	2	15,105	1	22,031	4
To augment contingency reserve	188,594	7	147,232	12	156,378	8	120,471	23
(Depletion)/augmentation of reserves	1,108,792	39	89,601	7	467,807	26	(125,685)	(24)
Value added	2,820,400	100	1,201,264	100	1,871,157	100	522,683	100

Financial Summary

	Group	Group	Group	Group	Group	Company	Company	Company	Company	Company
	2015	2014	2013	2012	2011	2015	2014	2013	2012	2011
	31-Dec	31-Dec	31-Dec	31-Dec	01-Jan	31-Dec	31-Dec	31-Dec	31-Dec	01-Jan
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Assets										
Cash and cash equivalents	7,053,721	5,173,243	5,853,022	4,068,517	3,895,663	3,320,235	3,190,253	3,651,476	2,671,903	1,938,389
Financial assets	4,312,821	8,786,496	7,606,904	5,043,368	3,972,134	2,330,981	6,030,939	5,794,406	2,384,345	3,076,543
Trade receivables	552,079	2,699	186,223	667,365	630,000	534,723	-	34,430	231,422	276,724
Reinsurance assets	922,583	667,928	727,612	474,394	142,717	724,547	618,021	536,666	286,791	73,317
Deferred acquisition cost	414,545	253,508	194,916	175,788	192,239	339,529	214,138	148,165	110,639	130,255
Other receivables and prepayments	1,225,121	314,624	1,423,543	642,027	759,098	1,284,950	203,031	1,319,670	647,172	507,941
Investment in associates	5,244,301	-	-	-	-	4,364,339	-	-	-	-
Investment in subsidiaries	-	-	-	-	-	3,876,571	3,231,976	2,705,576	2,705,576	2,455,576
Investment property	674,950	4,056,314	4,358,495	264,334	1,067,072	639,950	4,021,314	4 308,161	182,667	446,000
Deferred tax asset	363,353	664,759	330,580	100,116	26,101	131,679	479,583	133,073	-	-
Property, plant and equipment	2,374,524	1,570, 978	1, 036, 305	659, 532	597, 573	2, 284 ,511	1, 480, 074	688, 142	361, 731	333, 590
Intangible assets	35 ,065	49, 814	70, 212	65, 695	56, 819	31, 844	45, 835	60, 127	53, 316	37, 687
Statutory deposit	521, 547	518, 508	516, 234	517, 619	605, 207	300, 000	300, 000	300, 000	300, 000	300, 000
Total assets	23, 694, 610	22, 058, 871	22, 304, 046	12, 678, 755	11, 944, 623	20, 163, 859	19, 815, 164	19, 679, 892	9, 935, 562	9, 576, 022
Equity and Liabilities:										
Liabilities										
Insurance contract liabilities	4, 676, 611	3, 070, 797	2, 951, 635	3, 545, 872	3, 439, 325	3, 200, 391	2, 201, 313	1, 923, 813	1, 373, 644	1, 403, 456
Investment contract liabilities	1, 196, 180	1, 176, 266	1, 455, 087	65, 591	63, 432	-	-	-	-	-
Trade payables	210, 576	417, 655	462, 248	492, 509	164, 014	104, 066	328, 885	203, 607	231, 036	117, 770
Provisions and other payables	2, 496, 916	2, 893, 034	2, 904, 378	360, 710	527, 295	2, 228, 084	2, 731, 208	2, 764, 257	256, 967	262, 270
Deferred income tax liabilities	-	-	-	175, 787	87, 365	-	-	-	124, 175	63, 554
Current income tax liabilities	152, 029	300, 498	351, 171	414, 809	387, 069	57, 636	162, 681	240, 603	219, 957	230, 931
Total liabilities	8, 732, 312	7, 858, 250	8, 124, 519	5, 055, 278	4, 668, 500	5, 590, 177	5 ,424, 087	5, 132, 280	2, 205, 779	2, 077, 981
Equity attibutable to parent company										
Share capital	6, 691, 369	6, 691, 369	6, 691, 369	2, 530, 902	2, 530, 902	6, 691, 369	6, 691, 369	6, 691, 369	2, 530, 902	2, 530, 902
Share premium	6, 194, 983	6, 194, 983	6, 194, 983	5, 240, 627	5, 240, 627	6, 194, 983	6, 194, 983	6, 194, 983	5, 240, 627	5, 240, 627
Contingency reserves	1, 625, 511	1, 436, 917	1, 289, 685	1, 189, 986	1, 076, 848	1, 389, 162	1, 232, 784	1, 112, 313	1, 040, 912	964, 220
Other reserves	(209, 751)	325, 958	577, 169	85, 127	120, 805	19, 025	460, 605	611, 926	97, 315	106, 406
Retained earnings	660, 186	(448, 606)	(573, 679)	(1, 423, 165)	(1, 693, 059)	279, 143	(188, 664)	(62, 979)	(1, 179, 973)	(1, 344, 114)
Total Equity	14, 962, 298	14, 200, 621	14, 179, 527	7, 623, 477	7, 276, 123	14, 573, 682	14, 391, 077	14, 547, 612	7, 729, 783	7, 498, 041
Total Liabilities and Equity	23, 694, 610	22, 058, 871	22, 304, 046	12, 678, 755	11, 944, 623	20, 163, 859	19, 815, 164	19, 679, 892	9, 935, 562	9, 576, 022

Statement of Profit or Loss and Other Comprehensive Income

	Group	Group	Group	Group	Group	Company	Company	Company	Company	Company
	2015	2014	2013	2012	2011	2015	2014	2013	2012	2011
	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec	31-Dec
	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Gross premium written	7, 100,713	5,203,960	3,760, 515	4,178,285	5,033, 358	5,212,600	4,015,687	2,380,024	2,232,122	3,160,853
Net underwriting income	4,370,306	3,160,425	2,843,023	3,640,120	4,285,655	3,067,264	2,155,678	1,566,602	1,845,446	2,624,857
Total underwriting expenses	2,892,613	1,844,587	2,942,261	2,204,925	2,242,055	1,873,087	1,317,237	1,638,150	971,107	1,328,639
Underwriting profit	1,477,693	1,315,838	(99,238)	1,435,195	2,043,600	1,194,177	838,441	(71,548)	874,339	1,296,218
Total investment income	2,893,778	1,817,085	2,274,227	1,348,853	850,842	2,207,035	1,122,716	1,766,104	827, 350	575, 124
Net income	4, 371, 471	3, 132, 923	2, 174, 989	2, 784, 048	2, 894, 442	3, 401, 212	1, 961, 157	1, 694, 554	1, 701, 689	1, 871, 342
Expenses	3, 468, 245	3, 074, 352	2, 804, 118	2, 231, 663	2, 193, 120	2, 364, 885	2, 235, 984	1, 904, 404	1, 318, 229	1, 456, 217
Profit before tax	1, 667, 663	58, 572	(629, 129)	552, 385	701, 322	1, 036, 327	(274, 827)	(209, 850)	383, 460	415, 125
Income tax expense	(370, 277)	178, 261	421,002	(157,153)	(235, 893)	(412, 142)	269, 613	241, 326	(142, 627)	(127, 438)
Profit after tax	1, 297, 386	236, 833	(208, 127)	383, 032	465, 429	624, 185	(5, 214)	31, 476	240, 833	287, 687
Other comprehensive income:										
Items that are or may be reclassified to profit or loss:										
Foreign currency translation difference of foreign operations	(209, 654)	(64, 419)	(64, 419)	(54, 048)	14, 399	-	-	-	-	-
Net changes in fair value of AFS financial instruments:										
• Unrealised net gains/(losses) arising during the period	(116, 437)	(151, 321)	(151, 321)	-	-	(116, 437)	(151, 321)	325, 143	-	-
• Net reclassification adjustments for realised net gains/(loses)	(325, 143)	-	-			(325, 143)	-			
Share of other comprehensive income of associates	115, 525	-	-	-		-	-	-		
Items will not be reclassified to profit or loss:										
Revaluation gain on property and equipment, net of tax	-	-	255, 903	164, 570	-	-	-	243, 898	125, 340	-
Deferred tax on revaluation gain on property and equipment	-	-	(36, 836)	(49, 371)	-	-	-	(33, 235)	(37, 602)	-
Total comprehensive income for the year	761, 677	21, 093	305, 504	444, 183	479, 828	182, 605	(156, 535)	567, 282	328, 571	287, 687
Earnings per share (basic)	10	2	(2)	8	9	5	(0)	0	5	6
Earnings per share (adjusted)	10	2	(2)	8	9	5	(0)	0	5	6

Shareholder Information

Shareholder Engagement

The Board and Management of Wapic Insurance Plc are committed to ensuring transparency to our stakeholders. Accordingly we provide shareholders with a continuous and timely flow of financial information in order to ensure that shareholder expectations are aligned with the company's corporate objectives.

Wapic Insurance Plc in the past two years has carried out several enhancements of its IR programme to effectively communicate with shareholders. The Company, in keeping with best practice, employs various channels of communication to provide information to its shareholders:

Channel	Description
Annual Report & Accounts	The Annual Report & Accounts is a comprehensive report of the Company's activities throughout the preceding year. They are produced in paper and electronic formats and posted to shareholders and other stakeholders at least 21 days before the AGM as approved by law.
Website	The Company's website, www.wapic.com, serves as a go-to resource and is continuously updated with relevant information for our shareholders.
Results Announcement	The Company ensures complete access to financial performance information through publishing the information for each quarter in the papers and online (website, social media, newswires).
Conference calls	Following the publication of the Company's results is the conference call with shareholders, investors and analysts. These allow for the investment community to gain a better understanding.
Annual General Meeting	The AGM is an event for mainly retail shareholders. Held once a year, the Company's management and senior team meets with retail shareholders to discuss the Company's performance, strategy and other concerns of benefit to all shareholders. Resolutions are voted upon by the shareholders with the majority of votes as a determinant.

Investor Relations and Financial Information

- Individual Shareholder Enquiry:

  United Securities Limited

  Telephone: 234(1) 2714566-7

  Email: info@unitedsecuritieslimited.com

- Financial Analysts and Institutional Investors:

  Wapic Insurance Plc

  Telephone: + 234 (1) 271 4500 Ext. 4920

  Email: investorrelations@wapic.com

Complaints Management Policy

1. Introduction

It is the Policy of Wapic Insurance Plc. to respond to customer complaints, disputes and issues promptly and to take each complaint seriously. Complaints and compliments provide unique information about the quality of service from the perspective of customers and other stakeholders.

Management of a complaint provides the opportunity for complainants to have their issues resolved effectively, ensures that any identified risks are managed appropriately and that action is taken to minimize or eliminate those risks. A key component of complaint management is the systematic recording of issues, risks, complaints, and their resolution.

This policy applies to all complaints about Wapic Insurance Plc. made by members of the public or external organizations arising out of issues contained in the Investment and Securities Act. The Company shall issue copies of the Complaint Management Policy to Customer's during their account opening process. The Policy shall be made available to shareholders at the Company's Annual General Meeting.

The Policy shall be posted on the Company's website.

2. Objectives

The objectives of the complaints policy are to:

- Provide an avenue for customer communication and feedback;
- Recognize, promote and protect the customer's rights, including the right to comment and provide feedback on service;
- Provide an efficient, fair and accessible framework for resolving customer complaints and monitoring feedback to improve service delivery;
- Inform customers on the customer feedback handling processes; and
- Establish a standard approach to complaints handling including the establishment of performance indicators to monitor compliance.
- Ensure that Wapic Insurance Plc. staff are aware of their responsibilities and are empowered to manage complaints

3. Principles

The customer complaint policy is based on the following principles:

- Customers should be encouraged to voice their concerns at the point of service as soon as they feel unsatisfied. Staff may then be able to resolve the matter without delay;
- Wherever possible, complaints should be resolved at the point from which they originate; and information about how and where to complain should be well publicized to customers, personnel and other interested parties.
- Complaint management mechanisms should be easily accessible to all complainants. The process should be easy to find, use and understand.
- All complaints are dealt with in a manner that is effective, complete, fair to all parties and provides just outcomes.
- Complaint information is openly communicated while protecting confidentiality and personal privacy.
- All complaints are recorded to enable review of individual cases, to identify trends and risk and report on aggregated complaint information.
- Complaint management policy, practices, and data are regularly evaluated and the information is used to improve services.

4. Roles and Responsibilties

Effective complaint management requires a whole-of-organisation approach with clear points of accountability for reporting and feedback, as follows:

4.1.Roles and Responsibilties

- Encouraging an environment where complaints are handled seriously and thoroughly.
- Ensuring an effective complaint management system is developed and in place for the health service.
- Ensuring appropriate resources are available and utilized for effective complaint management.
- Reporting to registration boards in accordance with the provisions of the Securities and Exchange Commission Rules Relating to Complaints management Framework.
- Ensuring appropriate actions are implemented to eliminate or minimize similar problems from occurring.
- Nominating an executive staff member within the Company who is responsible for:

  a. Ensuring monitoring and risk rating of all complaints.

  b. Ensuring local actions are implemented to eliminate or minimize similar problems from occurring.

  c. Reporting trended complaint data every quarter to the Securities and Exchange Commission and other relevant groups within the Insurance Sector.

  d. Updating the Complaints register monthly.

  e. Implementing policies and local procedures that support staff, including staff training on complaint management.

4.2 Company Secretary is responsible for:

- Providing a single, publicly recognizable point of contact for the receipt and management of serious complaints from members of the public and staff.
- Having a designated Complaints Officer available 24 hours a day, 7 days a week.
- Ensuring the proper process for managing complaints is followed by the organisation.

4.3 Regulatory Compliance Unit is responsible for:

- Reviewing and evaluating the implementation and effectiveness of complaint management policy.
- Reviewing reports provided by the Securities and Exchange Commission on complaint data and trend analysis.
- Ensuring a nationwide report on complaint information is produced annually.
- Providing advice to the system in response to specific queries about complaint management.
- Providing advice to the Board on issues of public concern/media or public attention that arise from complaint management.

5. Steps in Complaint Management

- Receive
- Register and Acknowledge
- Initial Assessment
- Investigate
- Respond
- Resolution
- Record Complaint Details

5.1. Receiving Complaints

Complaints may be received in person, over the telephone or in writing. Staff at all levels must accept complaints and know what action they can take to resolve them.

With complaints received verbally staff should:

- Give a calm explanation of what happened if they do know why it happened.
- Offer an apology if warranted.
- Encourage the complainant to discuss their concerns with the relevant staff.
- Speak to the relevant staff on behalf of the complainant.
- Advise the complainant of the complaint management process.
- Know when to refer the complaint on.
- Comprehensively record the conversation and concerns, along with all necessary details (names, addresses, phone numbers, etc.)
- If possible, provide a copy of the completed record to the complainant to ensure they agree that it is factually correct.
- Advise them of the appropriately identified person if they wish to send any written correspondence.
- Commence actioning the complaint if possible.

5.2. Registering and Acknowledging Complaints

As soon as a complaint is received:

- It must be registered via the Complaint Notification Form. If it involves a claim, a copy of the claims document must be attached with the complaint.
- Acknowledge its receipt within 48 hours. Acknowledgement may be by mail or in writing. Complaints received by email shall be acknowledged within 48 hours. Complaints received by post shall be acknowledged in writing.
- Written acknowledgements should:

  Explain the complaints process

  Identify contact person/details for the complainant

  Expected timeframes and what might be requested from the complainant
- Assess the complaint and assign it to the relevant person to co-ordinate its management

5.3. Initial Assessment

The purpose of the assessment process is to:

- classify the complaint appropriately to determine appropriate action
- ensure the process is commensurate to the seriousness of the complaint and the issues raised
- ensure fairness to any staff concerned.

There are several steps a staff must take in assessing a complaint:

Identify the issues raised

- Identify the issues for resolution, which includes the key concerns raised by the complainant, as well as any other issues that arise or are identified by the Staff.
- If any or all of the issues are unclear, before progressing the matter, clarify them with the complainant

Identifying the parties involved.

- The relevant parties are those key people involved with the complaint plus those involved with the incident that is the subject of the complaint. They may not always be a respondent to the complaint, but may be key people in the provision of service under inquiry.

5.4. Investigate the complaint

Information collection

All complaints require to a greater or lesser degree a fact-finding process in order to determine what has happened and what course of action is required in response. Consideration is required to determine:

- what information to obtain
- where it is to be obtained
- how it should best be collected (interview, site inspection, phone call, email),and
- how it is communicated (report, statement)

The Company Secretary would:

- Consider who may be appropriate to provide expert advice/review.
- Consider whether information is needed from external agencies or from other areas within the company.
- Consider whether information needs to be secured.
- Construct a chronology of events, or flow chart, particularly if the matter is complex.
- Identify who may be interviewed and the appropriate order of interviews.
- Consider if an interpreter is required.
- Consider whether an on-site investigation is appropriate.
- Develop questions for the key parties based on the analysis of the issues and information required.
- Determine the applicable standards/procedures/policies and whether they were adhered to.

Analysis and review

- As information is collected, it must be analyzed and reviewed. Analysis includes identifying:
- What can be agreed upon between the parties.
- What facts are in dispute.
- Is information provided relevant and reliable.
- Sufficient information has been gathered to determine whether particular standards have been met.
- Whether there are inconsistencies.
- Whether independent verification has been obtained.
- What systemic and performance factors led to the outcome.

5.5. Respond

Once the information has been analyzed, the person managing the complaint makes findings and recommendations for action. Actions taken by a Wapic staff to resolve a complaint must be based on the evidence, address any system, process or practitioner issues, and are informed by the principles of public interest.

Options for appropriate action may include:

- Offering an apology
- Waiving fees
- Develop or amend policy/procedure training/education of staff or public
- Modification of the environment
- Requesting a formal Review
- Ongoing monitoring of an issue, or
- No action recommended

The Wapic Staff must ensure that the outcome and recommendations are clearly communicated to the consumer, staff, and management, and integrated into quality improvement systems through appropriate implementation and subsequent review of effectiveness.

5.6. Complaint Resolution - Final Response

The target for finalizing complaints is 10 calendar days. Final responses will be in the form of a letter from the Chief Executive or their delegate. The final response must be factually correct and:

- Include an apology. NB: This is not necessarily about accepting blame or fault, but will sometimes be an acknowledgement of the complainant's experience and their feelings.
- Address each of the points the complainant has raised with a full explanation or give the reason(s) why it is not possible to comment on a specific matter.
- Give specific details about the investigation, i.e. sources of information, what was discovered, etc.
- Give details of action taken as a result of the complaint.
- Provide the name and telephone number of the investigating officer for further queries/discussion.
- Offer to meet the complainant with the key staff involved. If there is a reason why a specific issue cannot be addressed this should be stated.
- Include details of further action available to the complainant.

As much as possible, the complaint manager should ensure that department heads and staff members who have been involved are given the opportunity to see the final response before it is sent for final signature.

The final response will be:

- Sent to the complainant and include a copy of the Companies Complaint Management Policy.
- Copied to the relevant Manager.
- Copied to any requesting parties to which the patient has given consent e.g. Solicitor
- Copies to the corporate record system record.

Where the complaint is not resolved within the stipulated time frame, the complaint would be forwarded to the Securities and Exchange Commission within two calendar days. The delegated officer will deal with the points raised within the complaint and ensure it is forwarded to SEC.

Timeframes for answering further correspondence will be as those for the first response.

6. Framework for Complaint Management

Framework for Complaint Management

Complaints can be managed:

- At point of service
- Through a staged process
- Through referral to an external body/agency

6.1. Point of Service Complaints

Ideally, most complaints will be dealt with directly and quickly at the point where the problem arises. Escalation of complaints may be avoided where staff have clear authorization to resolve complaints at first contact. Often, no changes to procedures are required as many complaints involve an acknowledgement of the complainant's perspective, an explanation of events and validation of the complainant's satisfaction with the explanation.

Complaints should be referred to a line manager if they:

- remain unresolved,
- involve serious consequences,
- involve complex medical issues or a number of different staff,
- need action that is beyond the responsibility of the staff at point of service,
- require escalation or reporting to an external body under the Securities and Exchange Commission's Rules Relating to Complaints Management

6.2. Escalation process

Complaints are referred to the next level of management when the matter is outside delegation or is unresolved.

The escalation process proceeds as follows:

- Immediate line manager.
- Facility manager and/or Patient Liaison Officer as appropriate.
- Senior Complaints Officer.

In cases where the complainant does not feel comfortable in making a complaint to those directly delivering the service, the appropriate line manager should be sought to speak to the complainant. If the complainant will not speak with a line manager, they must be offered alternative ways to make their complaint, such as to the Company Secretary. The recipient of the complaint must then inform the complainant of the course of action that will be taken next.

Complaints should be dealt with by the unit involved where possible, with support from a complaints manager. However, for more serious matters or those with broader implications for the Company, senior management and the executive must be notified and participate in the resolution.

Depending on the type of complaint, it may be necessary to alert the Securities and Exchange Commission or obtain legal advice. This should not interfere with the aim of resolving the complaint quickly and amicably.

7. Complaint Handling Consideration

7.1. Anonymous complaints

Anonymous callers should be advised that an investigation is made more problematic if they do not divulge identities as this severely limits the service's ability to obtain information.

They should then be informed of confidentiality, as applied to the complaint management process, to encourage them to reveal their own and/or the subject's identity.

The complainant needs to be informed:

- there will be disclosure of information to any respondents identified;
- there is "nothing off the record" in information provided to the service;
- what will happen with the information given to the service.

However, the complainant's wishes should be respected, as an assurance of absolute confidentiality cannot be given. Anonymous written complaints may reveal the identity of the complainant or it may be apparent from the complaint details. An inquiry may still be possible and may be warranted if the complaint raises public health and safety concerns or where external agencies may need to be notified.

7.2. Declining to deal with a complaint

The Company may decide to decline to deal with a complaint because it is:

- vexatious or frivolous,
- the subject matter of the complaint (or part) has been or is under investigation by some other competent person or body or has been or is the subject of legal proceedings.
- Complaints on matters that are sub-judice or in arbitration.
- Complaints falling outside the purview of the Securities and Exchange Commission
- Care needs to be taken in assessing these complaints to ensure that every effort is made to understand the information the complainant is attempting to convey.

If a complaint has been declined, complainants should be advised of the reasons for the decision as well other agencies that may be able to assist them with their concerns.

7.3. Unresolved Complaints

If a complainant remains dissatisfied following the service's response, they have several options available to them, which may include:

- Review by another senior member of staff or the Company Secretary
- Independent review by external agency/person
- Referral to the Securities and Exchange Commission 2 working days after the ten days' time frame

Complainants have the right to pursue their complaint until it is resolved to their satisfaction. However, there are reasonable limits in terms of dealing with continued contact and correspondence with dissatisfied complainants and matters that might be frivolous or vexatious complaints.

8. Complaint Register

The Company shall maintain an electronic complaints register that would be updated monthly. The Complaints register, shall contain the following details:

- Name of the complainant
- Date of the complaint
- Nature of complaint
- Complaints details in brief
- Remarks/comment

REPORTING PERIOD 20_____			Q1 Q2 Q3 Q4		
S/N	Date[2]	Complainant's Information[3]	Nature and Details of Complaint[4]	Status and Date of Resolution[5]	Comments
	19 May 2015	Mrs. Halima Ifeoma Adeosun 11A Ibadan Road, Ebute Meta Lagos. adeosun@xmail.com.ng Shareholder	Shareholder did not receive her notice of 2014 AGM and Annual Report.	Resolved. Shareholder had changed her address and was directed to registrar to update her address. She was also given the 2014 Annual Report. 30 May 2015	N/A

I certify that I have taken steps to satisfy myself and, therefore, believe that the above information is accurate and complete for the period indicated.

Managing Director/Chief Executive Officer		Company Secretary	
Name		Name	
Signature		Signature	
Date		Date	

9. Definition

- The following terms have the following meanings unless the context otherwise requires:
- 'SEC' means Securities & Exchange Commission
- 'ISA' means Investment Securities Act (2007)
- 'CMO' means Capital Markets Operators as defined by the Investment Securities Act (2007)
- Complainant means a customer, operator, regulator, or any third party that makes a complaint, makes a comment or provides feedback to the Company.
- Complaint means:

  1. An expression of dissatisfaction with a service offered or provided, or

  2. A concern that provides feedback regarding any aspect of service that identifies issues requiring a response.
- Complaint management Involves notification and acknowledgement, assessment, information collection, analysis and review, and appropriate action.
- Investigation

  1) Incident investigation: The management process by which underlying causes of undesirable events are uncovered and steps are taken to prevent similar occurrences.

  2) Complaint investigation: The process of using inquiry and examination to gather facts and information in order to solve a problem or resolve an issue.

10. Related Policies and Regulations

- Investment & Securities Commission Act, 2007 (ISA)
- Securities & Exchange Commission Rules Relating to Complaints Management Framework
- Guidelines of Recognized Trade Associations
- Rules and Regulations made pursuant to ISA
- Wapic Insurance Plc. Standard Operating Manual

Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN that the 57th Annual General Meeting of members of WAPIC INSURANCE PLC will hold at The Lagoon Restaurant, 1c, Ozumba Mbadiwe Street, Victoria Island, Lagos, on Tuesday, April 5, 2016 at 10:00a.m.to consider and if thought fit pass the following as ordinary resolutions:

A. ORDINARY BUSINESS

1. To receive the Audited Financial Statements for the year ended December 31, 2015 and the Reports of the Directors, Auditors and Audit Committee thereon.
2. To declare a final dividend.
3. To re-elect Mr. Aigboje Aig-Imoukhuede as a Non-Executive Director.
4. To re-elect Mr. Barnabas Olise as a Non-Executive Director.
5. To re-appoint PricewaterhouseCoopers as the Auditors to the Company from the end of the Annual General Meeting until the end of the next year's Annual General Meeting.
6. To authorize the Directors to fix the remuneration of the Auditors.
7. To elect/re-elect members of the Audit Committee.

B. SPECIAL BUSINESS

To consider and if thought fit pass the following resolutions as Ordinary Resolutions:

8. That the Board of Directors be and is hereby authorized to commence all processes required to obtain shareholders, regulatory and other approvals necessary for the adoption of a holding company group structure.
9. That the Directors' Fees for the financial year ending December 31, 2016 be and is hereby fixed at N6,500,000.00 (Six Million Five Hundred Thousand Naira only).
10. That in compliance with Article 5.07 (iv) of the National Insurance Commission Code of Good Corporate Governance for the Insurance Industry in Nigeria, the Directors are hereby authorized to appoint an external consultant to conduct the Annual Board Performance Appraisal for the financial year ending December 31, 2016.

PROXY

A member entitled to attend and vote at the Annual General Meeting is entitled to appoint a proxy to attend and vote in his/her stead. A proxy form is attached to the Notice and it is valid for the purpose of the meeting. All instruments of proxy should be duly stamped at the Stamp Duties Office and deposited at the office of the Registrars, United Securities Limited, No. 10, Amodu Ojikutu Street, Victoria Island, Lagos, not later than 48 hours prior to the time of the meeting.
Dated this 11th day of March, 2016.

MARY AGHA
Company Secretary
50, Awolowo Road
Ikoyi, Lagos

NOTES

Dividend

If the proposed dividend of 3kobo per ordinary share is approved, dividend warrants will be posted on Tuesday, April 5th, 2016 to shareholders whose names appear in the Register of Members at the close of business on the 23rd day of March, 2016, while shareholders who have mandated their dividend to their Bank accounts will also be credited on the same date.

Closure of Register of Members

The Register of Members and Transfer Books of the Company will be closed on the 24th day of March 2016 to enable the Registrar prepare the register of shareholders eligible to attend and vote at the meeting and for the payment of dividend.

Audit Committee

The Audit Committee consists of 3 shareholders and 3 Directors. In accordance with S.359(5) of the Companies and Allied Matters Act, 2004, any member may nominate a shareholder for election as a member of the Audit Committee by giving notice in writing of such nomination to the Company Secretary at least 21 days before the Annual General Meeting.

S.30.2 of the Securities and Exchange Commission Code of Corporate Governance for Public Companies in Nigeria requires that members of the committee should have basic financial literacy and should be able to read financial statements. The Code also requires that at least one member should be knowledgeable in accounting or financial matters. Consequently, a detailed resume should be submitted with each nomination.

Unclaimed Dividend Warrants and Share Certificates

Some dividend warrants and share certificates have remained unclaimed or are yet to be presented for payment or returned to the Company for revalidation. Affected shareholders are advised to contact the Registrars, United Securities Limited, No. 10, Amodu Ojikutu Street, Victoria Island, Lagos.

E-Dividend

Shareholders are advised to update their records and/or open bank accounts, stock broking accounts and CSCS accounts for the purpose of e-dividend payments. Detachable Shareholders Information Update Forms and E-Dividend Mandate Forms are attached to the Annual Report for the convenience of shareholders. The forms can also be found on the Company's website, www.wapic.com or from the Registrars website www.unitedsecuritieslimited.com. The duly completed form should be returned to the Registrars, United Securities Limited, Plot 10, Amodu Ojikutu Street, Victoria Island, Lagos. P.M.B.12753, Marina, Lagos or to any of the Company's offices.

Biographical Details of Directors for Re-election

Biographical details of directors standing for re-election are provided in the Annual Report.

Website

A copy of this Notice and other information relating to the meeting can be found at www.wapic.com.

Explanatory Notes to the Proposed Resolutions

The Notes below provide explanations to the proposed resolutions.

All the resolutions are being proposed as Ordinary Resolutions. This means that for each resolution to be passed, a simple majority vote in favor of the resolution is required. Please note that if you abstain from voting you will not be counted in the calculation of the proportion of votes "for" or "against" a resolution.

Resolution 1: Annual Report and Accounts

The Directors are required under Section 345 (1) of the Companies and Allied Matters Act 1990 to lay before the Company in General Meeting for each financial year, copies of the financial statements of the Company made up to a date not exceeding nine months previous to the date of the meeting. This gives the shareholders the opportunity to ask questions on the content of the Annual Report and Financial Statements. The Shareholders' shall have a right to ask questions not only at the Meeting, but also in writing prior to the Meeting, and such written questions must be submitted to the Company on or before March 29, 2016.

Resolution 2: Declaration of Final Dividend

By virtue of the provisions of Section 379 (1) of the Companies and Allied Matters Act 1990, the general meeting can upon the recommendation of the directors, declare dividends in respect of any year or period. The general meeting is empowered under Section 379 (3) of the Companies and Allied Matters Act 1990, to decrease the recommended dividend amount but not to increase it. In line with the provisions of Section 379 of the Companies and Allied Act, the Board of Directors of Wapic Insurance Plc is recommending a dividend of three (3) kobo per ordinary share. If the dividend recommended by the Directors is approved, the final dividend net of withholding tax will be payable on April 5, 2016 to those shareholders registered on the Company's Register of Shareholders as at March 23, 2016.

Resolutions 3 - 4: Re-election of Directors

Your Company's Articles of Association requires one-third of all Non-Executive Directors (rounded down) to stand for re-election every year (depending on their tenure on the Board) together with Directors appointed by the Board since the last Annual General Meeting (AGM). In keeping with this requirement, one-third of all the Non-Executive Directors as at the 23rd day of March 2016, will retire at this AGM. Consequently, Mr. Aigboje Aig-Imoukhuede and Mr. Barnabas Olise, will retire at this AGM, and being eligible, will submit themselves for re-election. It is hereby confirmed that following a formal evaluation, their performance continued to be effective and they continued to demonstrate commitment to their role as Non-Executive Directors.

The Board considers the Directors submitting themselves for re-election as highly experienced and having a good understanding of the financial services industry. Given their experience and background, the Board believes that they will continue to make valuable contributions to the Company.

The biographical details of the Director standing for re-election are set out below. The Board recommends that these Directors should be re-elected to maintain the appropriate balance of skill, knowledge and experience on the Board.

Mr. Aigboje Aig-Imoukhuede – Non-Executive Director

Mr. Aigboje Aig-Imoukhuede was appointed to the Board on the 3rd day of November 2011. He is the Chairman of the Board of Directors and has astutely stirred the affairs of the Board and the Company during this period.

Mr. Aigboje Aig-Imoukhuede is a highly regarded banking professional with 25years experience in financial markets, investment banking, management, risk management, strategy and commercial banking. He retired in 2014, from Access Bank Plc, which is the leading African Bank, where he served as Chief Executive Officer for twelve years. Mr. Aigboje Aig-Imoukhuede is currently the President of the Nigeria Stock Exchange and is a non-executive director on the boards of both local and foreign companies.

Mr. Aigboje Aig-Imoukhuede holds a Bachelors of Law (LLB) degree from the University of Benin and was called to the Nigerian Bar in 1987. He is an Honorary Fellow of the Chartered Institute of Bankers of Nigeria and is currently studying for the Trium EMBA Degree at the London School of Economics. Mr. Aigboje Aig-Imoukhuede has attended numerous notable training programs locally and internationally, including the Program for Management and Development at Harvard Business School Boston, International Directors' Program at Insead as well as Banks and Credit Officers Program at the CitiBank School of Banking New York. He is passionate about sustainability, leadership, global health and the economic advancement of Africa.

Mr. Aigboje Aig-Imoukhuede is aged 49 as at the date of this Annual General Meeting.

Mr. Barnabas Olise – Non-Executive Director

Mr. Barnabas Olise was appointed to the Board on the 3rd day of November 2011. He sits on the Audit and Compliance, Investment, Enterprise Risk Management and Finance and General Purpose Committees.

Mr. Barnabas Olise's work experience spans nearly two decades and covers auditing, consulting and banking. He began his career in Deloitte, an international firm of chartered accountants as an audit trainee, where he spent nearly a decade with the firm and gained cognate experience in auditing companies operating in virtually every sector of the Nigerian economy. Mr. Barnabas Olise later joined Intercontinental Bank (Now Access Bank Plc) and facilitated the expansion of the Ghanaian subsidiary's branch expansion to 28 outlets. He was the Group Head, Project Management and later Group Executive Management Services and Franchise Expansion before resigning from the Bank to set up Enterprise Value Matrix Consult Limited, a multidisciplinary consultancy firm where he is the Managing Director/CEO.

Mr. Barnabas Olise is aged 47 as at the date of this Annual General Meeting.

The interest of Directors standing for election and re-election in the ordinary shares of the Company as at December 31, 2016 is as shown below:

Name of director	Direct holding	Indirect holding	Total
Mr. Aigboje Aig-Imoukhuede	5,495,785	4,685,838,642	4,691,334,427
Mr. Barnabas Olise	5,002,061	-	5,002,061

Resolution 5 – 6: Re-Appointment of External Auditors and Approval of Auditor's Remuneration

Section 357(1) of the Companies and Allied Matters Act 1990 provides that every company shall at each annual general meeting appoint an auditor to audit the financial statements of the company and to hold office from the conclusion of that annual general meeting until the conclusion of the next annual general meeting. The Board Audit and Compliance Committee has recommended the re-appointment of PricewaterhouseCoopers as the Company's External Auditors and the Auditors have indicated their willingness to so act for the next one year. Shareholders will be required at this Annual General Meeting to re-appoint PricewaterhouseCoopers as the Company's Statutory Auditors and also authorize the Board to fix their remuneration in accordance with Section 361 of the Companies and Allied Matters Act, 1990.

Resolution 7: Election/Re-election of Members of Audit Committee

IIn accordance with S.359(5) of the Companies and Allied Matters Act, 1990, any member may nominate a Shareholder for election as a member of the Audit Committee by giving notice in writing of such nomination to the Company Secretary at least 21 days before the Annual General Meeting. The Shareholders will be required to vote at the Annual General Meeting to elect or re-elect members of the Company's Statutory Audit Committee.

Resolution 8: Adoption of a holding company group structure

To enable our Company take advantage of the various business lines that are traditionally associated with insurance, such as, pensions and asset management, our Company has identified that these opportunities can be most efficiently optimized through a holding company group structure. The Shareholders will be required at this Annual General Meeting to authorize the Board of Directors to commence all processes required to obtain shareholders, regulatory and other approvals necessary for the adoption of a holding company group structure.

Resolution 9: Approval of Directors' Fees

Your Company is required by law to seek the approval for the annual fees payable to the Non-Executive Directors. Shareholders will therefore be required to approve annual fees of N6,500,000.00 (Six Million Five Hundred Thousand Naira Only) for the Non-Executive Directors for the 2016 financial year. The commitments and responsibilities of the Non-Executive Directors have expanded considerably as regulatory requirements for insurance companies and other financial institutions have grown and the expectations of Non-Executive Directors have correspondingly increased. The approval of shareholders is being sought for the annual fees of N6,500,000.00 for the Non-Executive Directors.

Resolution 10: Appointment of External Consultant to conduct the Annual Board Performance Appraisal of the Board and Directors

The NAICOM Code of Good Corporate Governance for the Insurance Industry in Nigeria provides that annual Board performance appraisals should be carried out by an external consultant appointed by the Shareholders. The approval of Shareholder's is therefore required for the Board to appoint an external consultant to carry out a Board performance appraisal for the 2016 financial year.

Share Capital History

S/N	Year	Authorized Share Capital	Issued & Fully paid share capital	Bonus Issues	Dividend Declared (KOBO)
	In thousands of Naira				
1	1958	200	80	-	-
2	1974	200	200	-	-
3	1977	300	300	-	-
4	1987	1, 000	1, 000	-	-
5	1990	1, 000	1, 000	-	4
6	1991	5, 000	1, 500	1 for 2	4
7	1992	5, 000	2, 000	1 for 3	7
8	1993	10, 000	5, 000	3 for 7	-
9	1994	10, 000	5, 000	-	-
10	1995	20, 000	7, 500	1 for 2	5
11	1996	50, 000	8, 250	1 for 10	1,2
12	1997	100, 000	70, 000	-	-
13	1998	100, 000	84, 000	1 for 5	4
14	1999	100, 000	90, 000	1 for 14	-
15	2000	100, 000	100, 000	1 for 9	10
16	2001	100, 000	100, 000	-	10
17	2002	500, 000	250, 000	-	15
18	2003	500, 000	416, 667	2 for 3	17,5
19	2004/2005	500, 000	416, 667	-	22,5
20	2005/2006	3, 500, 000	416, 667	-	17,5
21	2006/2007	3, 500, 000	500, 000	1 for 5	12,5
22	2007	3, 500, 000	2, 109, 085	-	10
23	2008	3 ,500, 000	2, 530, 902	1 for 5	-
24	2013	17, 000, 000, 000	13, 382, 738 ,248	-	-
25	2014	17, 000, 000, 000	13, 382, 738, 248	-	-

E - Dividend Mandate Form

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Following the passing into law by the National Assembly and the official launch of the e-dividend payment system, all registrars have been mandated to effect payment of dividend on behalf of their client companies electronically.

The e-dividend payment system ensures that your dividend is credited directly into the bank account of your choice within 24 hours of the payment date.

In order to prepare for this new payment procedure, we require you to kindly complete the e-dividend form below.

PLEASE NOTE THAT THE SECTION FOR YOUR BANK ACCOUNT DETAILS HAS TO BE COMPLETED BY YOUR BANK.

Kindly return the duly completed form to the Registrar. United Securities Ltd at the address stated below.

DATE

D D M M Y Y Y Y

SURNAME / NAME OF COMPANY

PHONE NUMBER

OTHER NAMES (FOR INDIVIDUAL SHAREHOLDER)

POSTAL ADDRESS

CITY

STATE

EMAIL ADDRESS 1

EMAIL ADDRESS 2

THIS SECTION TO BE COMPLETED BY YOUR BANK

BANK NAME

BRANCH ADDRESS

BANK ACCOUNT NUMBER

BRANCH SORT CODE

BRANCH CODE

I/We hereby request that from now, all dividend warrant(s) due to me/us from my/our holdings in Wapic Insurance Plc be mandated to my/our Bank named above.

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

AUTHORISED SIGNATURE & BANKERS STAMP

INCORPORATION NUMBER WITH COMPANY SEAL

The completed form should be returned by post, or hand-delivered to the office of the Registrar, United Securities Limited, 10 Amodu Ojikutu Street, Victoria Island, PMB 12753, Lagos. T: 01-730-0898, 01-714566-7 F:01-2714568 E: info@unitedsecuritieslimited.com

or to Wapic Insurance Plc, c/o Investor Relations Unit. Scanned copies of the form are not acceptable as only originals will be processed.

Strategy&InvestorRelations@wapic.com

Shareholder Information Update Form

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I/We wish to request that my/our details as (a) Shareholder(s) of Wapic Insurance Plc be amended to reflect the following information:

DATE

D D M M Y Y Y Y

SURNAME / NAME OF COMPANY

PHONE NUMBER

OTHER NAMES (FOR INDIVIDUAL SHAREHOLDER)

PRESENT POSTAL ADDRESS

CITY

STATE

EMAIL ADDRESS 1

EMAIL ADDRESS 2

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

SHAREHOLDER'S SIGNATURE OR THUMBPRINT

AUTHORISED SIGNATURE & BANKERS STAMP

INCORPORATION NUMBER WITH COMPANY SEAL

The completed form should be returned by post, or hand-delivered to the office of the Registrar, United Securities Limited, 10 Amodu Ojikutu Street, Victoria Island, PMB 12753, Lagos. T: 01-730-0898, 01-714566-7 F:01-2714568 E: info@unitedsecuritieslimited.com or to the nearest Wapic Insurance Plc branch closest to the Shareholder, c/o Investor Relations Unit. Scanned copies of the form are not acceptable as only originals will be processed.

Proxy Form

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57th Annual General Meeting to be held at The Lagoon Restaurant, 1c, Ozumba Mbadiwe Street, Victoria Island, Lagos on April 5, 2016 at 10:00a.m

I/We .....
(Name of Shareholder in block letters)

Being a member/(s) of the above named Company hereby appoint Mr. Aigboje Aig-Imoukhuede or failing him Mrs. Adeyinka Adekoya as my/our proxy to vote for me/us and on my/our behalf at the 57th Annual General Meeting of the Company to be held on the 5th day of April 2016 and at any adjournment thereof. Unless otherwise instructed, the Proxy will vote or abstain from voting as he/she thinks fit.

Signature.....

ORDINARY BUSINESS / ORDINARY RESOLUTIONS	FOR	AGAINST
1. To receive the Audited Financial Statements for the year ended December 31, 2015 and the Reports of the Directors, Auditors and Audit Committee thereon;		
2. To declare a final dividend		
3. To re-elect Mr. Aigboje Aig-Imoukhuede as a Non-Executive Director;		
4. To re-elect Mr. Barnabas Olise as a Non-Executive Director;		
5. To re-appoint PricewaterhouseCoopers as the Auditors to the Company from the end of the Annual General Meeting until the end of the next year's Annual General Meeting		
6. To authorize the Directors to fix the remuneration of the Auditors;		
7. To elect/re-elect members of the Audit Committee.		

SPECIAL BUSINESS / ORDINARY RESOLUTIONS	FOR	AGAINST
8. That the Board of Directors be and is hereby authorized to commence all processes required to obtain shareholders, regulatory and other approvals necessary for the adoption of a holding company group structure		
9. That the Directors' Fees for the financial year ending December 31, 2015 be and is hereby fixed at N6,500,000.00 (Six Million Five Hundred Thousand Naira only)		
10. That in compliance with Article 5.07 (iv) of the National Insurance Commission Code of Good Corporate Governance for the Insurance Industry in Nigeria, the Directors are hereby authorized to appoint an external consultant to conduct the Annual Board Performance Appraisal for the financial year ending December 31, 2016		

Please indicate by marking 'X' in the appropriate space how you wish your votes to be cast on the resolution(s) set out above, unless otherwise instructed, the proxy will vote or abstain from voting at his/her discretion.

Dated this ..... Day of..... 2016

.....
NAME/SIGNATURE OF PERSON ATTENDING

IMPORTANT NOTES:

1. Before posting the above proxy, please tear off this part and retain it. A person attending the Annual General meeting of the Company should produce this card to secure admission to the meeting.
2. A member of the Company is entitled to attend and vote at the Annual General Meeting of the Company. He is also entitled to appoint a proxy to attend and vote instead of him, and in this case, the above card may be used to appoint a proxy.
3. In line with best practice, the name of two Directors of the Company have been entered on the proxy form to ensure that someone will be at the meeting to act as your proxy, but if you wish, you may insert in the blank space on the form (marked*) the name of any person, whether a member of the Company or not who will attend and vote on your behalf instead of one of the Directors named.
4. The above proxy, when completed must be deposited at the office of United Securities Limited, 10, Amodu Ojikutu Street, Victoria Island, Lagos, not less than 8 hours before the time fixed for the meeting.
5. It is a requirement of the law under the Stamp Duties Act, CAP 58, Laws of the Federation of Nigeria, 2004, that any instrument of proxy to be used for the purpose of voting by any person entitled to vote at any meeting of shareholders must bear a stamp duty.
6. If a proxy form is executed by a company, it should be sealed under its common seal or hand and seal of its attorney.

BEFORE POSTING THE ABOVE FORM PLEASE TEAR OFF THIS PART AND RETAIN IT FOR ADMISSION TO THE MEETING

Wapic Insurance PLC

57TH ANNUAL GENERAL MEETING TO BE HELD AT THE LAGOON RESTAURANT, 1C, OZUMBA MBADIWE STREET, VICTORIA ISLAND, LAGOS ON APRIL 5, 2016 AT 10:00A.M.

Name and Address of Shareholder .....

Number of Shares Held .....

Corporate Information

Corporate Information

Wapic Insurance Plc

SN	Area	Offices	Addresses
01.	Lagos	Corporate Office	50 Awolowo Road, South West Ikoyi P.O. Box 55508, Falomo, Ikoyi, Lagos, Nigeria T: (+234) (1) 271 4500 / 4555 | (+234) (0) 700DIALWAPIC E: info@wapic.com
02.	Lagos	Corporate Office Annex	11 Ademola Street, Off Awolowo Road P.O. Box 55508, Falomo, Ikoyi, Lagos, Nigeria T: (+234) (1) 270 4500 / 4555 | (+234) (0) 700DIALWAPIC E: info@wapic.com
03.	Lagos	Corporate Office Annex	42 Ademola Street, Off Awolowo Road P.O. Box 55508, Falomo, Ikoyi, Lagos, Nigeria T: (+234) (1) 270 4500 / 4555 | (+234) (0) 700DIALWAPIC E: info@wapic.com

Branch Information

Location	Address	Phone Numbers	Email
Abuja	Access Bank Building 1st Floor, Plot 6 Jos Street Area 3, Opposite Sharon Ultimate Hotel Abuja FCT	01-2774584	Info@wapic.com
Port Harcourt	42B Trans Amadi Industrial Layout Port Harcourt, Rivers State	01-2774582	Info@wapic.com
Benin	Access Bank Building 103 Akpakpava Road, Benin Edo State	01-2774585	Info@wapic.com
Enugu	Access Bank Regional Office Plot 7 Ebeano Layout Garden Avenue, Enugu Enugu State	01-2774583	Info@wapic.com
Ibadan	Access Bank Building Beside Tantalizers, Ring Road Ibadan, Oyo State	01-2774581	Info@wapic.com
Kano	2 Niger Street Gidangoldie P.O. Box 545 Kano, Kano State	01-2774586	Info@wapic.com

Our Subsidiaries

SN	Area	Offices	Addresses
01.	Wapic Life Assurance Limited		Wapic Insurance Corporate Office Annex 42 Ademola Street, Off Awolowo Road P.O. Box 55508, Falomo, Ikoyi, Lagos, Nigeria T: (+234) (0)7098821284 / 85 | (+234) (1) 2700 4500 / 4555
02.	Wapic Insurance (Ghana) Limited		35 Aviation Road, PMB 163, KIA Airport Residential Accra, Accra, Ghana

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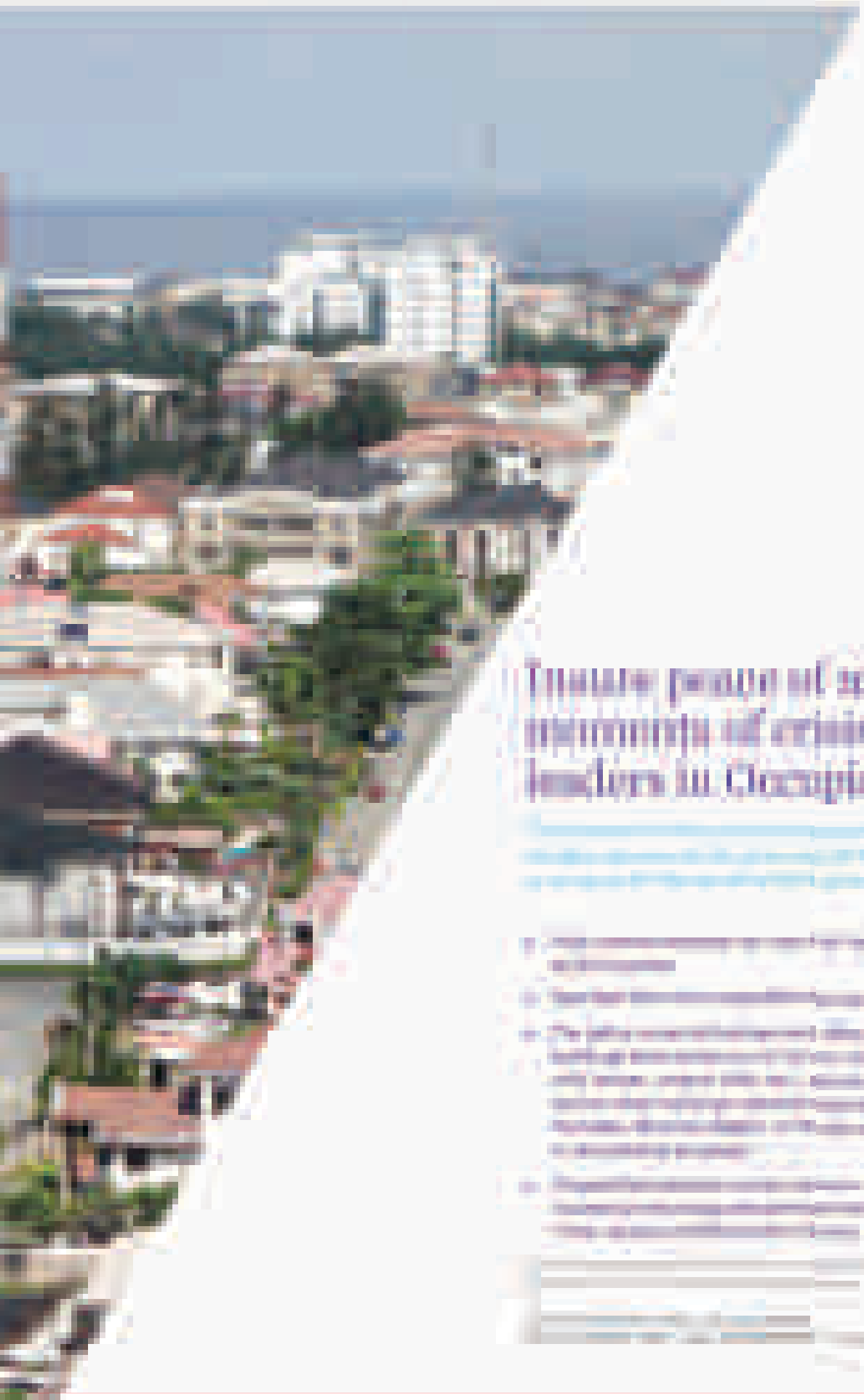

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